Ujjivan Small Fin (UJJIVANSFB)

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Date: July 29, 2022
To,
National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C-1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051
Symbol: UJJIVANSFBBSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 542904
Dear Sir/Madam,
Sub: Transcript of Earnings Call held on July 26, 2022
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnings/quarterly conference call held on July 26, 2022 for the quarter ended June 30, 2022 is enclosed herewith.
The same shall be available on the Bank's website at www.ujjivansfb.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED
Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework
Encl: as mentioned above
 "Ujjivan Small Finance Bank Limited Q1 FY-23
Earnings Conference Call"
July 26, 2022
MANAGEMENT : M R.ITTIRA DAVIS –MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER ,UJJIVAN SMALL FINANCE BANK
LIMITED
MS.CAROL FURTADO –CHIEF BUSINESS OFFICER ,
UJJIVAN SMALL FINANCE BANK LIMITED
MR.M.D.RAMESH MURTHY –CHIEF FINANCIAL
OFFICER ,UJJIVAN SMALL FINANCE BANK LIMITED
MR.MARTIN P.S.–CHIEF OPERATING OFFICER ,UJJIVAN
SMALL FINANCE BANK LIMITED
MR.ASHISH GOEL –CHIEF CREDIT OFFICER ,UJJIVAN
SMALL FINANCE BANK LIMITED
MR.VIBHAS CHANDRA –HEAD-MICRO BANKING ,UJJIVAN
SMALL FINANCE BANK LIMITED
MR.DEEPAK KHETAN –HEAD-FINANCIAL PLANNING ,
STRATEGY AND INVESTOR RELATIONS ,UJJIVAN SMALL
FINANCE BANK LIMITED
MODERATOR : M R.ALPESH MEHTA –IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Ujjivan Small Finance Bank Q1 FY '23 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Alpesh Mehta from IIFL Securities Limited. Thank you, and over to you, sir.
Alpesh Mehta: Thank you, Lizanne, and I welcome all of you to the Ujjivan Small Finance Bank 1Q FY '23 Results Conference Call. From the management side, we have Mr. Ittira Davis, MD and CEO; Ms. Carol Furtado, Chief Business Officer; Mr. M. D. Ramesh Murthy, CFO; Mr. Martin P. S., Chief Operating Officer; Mr. Ashish Goel, Chief Credit Officer; Mr. Vibhas Chandra, Head Micro Banking; and Deepak, who heads the Financial Planning and Investor Relationships. Now without much ado, I hand it over to Mr. Davis for the opening comments, and post which we

will have a Q&A session. Thank you, and over to you, sir.
Ittira Davis: Thank you, Alpesh. Good evening, everyone. I am delighted to welcome you to our Q1 FY '23 earnings call. I hope all of you are keeping safe. It is been more than 9 months since we started on our recovery path with a fourfold objective of strengthening the leadership team, growing business volumes, increasing collections, and improving asset quality. We are pleased with the outcome of our efforts on all 4 counts.
We stabilized our business in Q3, turned around in Q4, and this quarter marks growth and profitability. Q1 business volume kept pace with a mammoth fourth quarter, both in terms of assets and deposits. On the deposit side, we focus more on growing granular retail base and also curtailing the overall cost of funds. On the asset quality side, we have maintained the traction as collections are inching up with slippages being under control. Recoveries and upgrades are helping us reduce our PAR and GNPA every quarter, in fact, every month. We have already taken the provisions upfront and thus do not expect major credit quality challenges this year.
As of June 22, our NNPA is just at Rs. 18 crores or 0.1%. Also, our SMA book as well as restructured book have shrunk further indicating the reduced stress. The outcome of all this put together is the highest ever quarterly profit for Ujjivan, which is more than Rs. 203 crores on the back of a strong PPOP of Rs. 271 crores and a negligible credit cost. We are maintaining healthy CRAR of 20%. This quarter, we have considered Rs. 30 crores for floating provision as part of Tier 2 capital and Rs. 220 crores for netting off from gross GNPA.
The entire floating provision continues to be on the books and can be utilized in the future for making specific provisions in extraordinary circumstances, with, of course, prior approval from the RBI. Including Rs. 250 crores of floating provision, total provision of gross advances are at Rs. 1,290 crores.

Now we have achieved the objectives we started out with. We have put our sight on growing the platform further. This year, we would look to restart expanding our physical presence across the country, though we look to make a modest beginning with around 25 branches, largely focused on the liability-rich catchment areas. Physical reach would be supplemented by a strong and focused investment in digital platforms to grow our business volumes, both assets and liabilities. Services to improve processes and the overall reach to our customers.
Our focus this year is to consolidate our business and make them profitable, invest in new avenues of growth. Our econ

omy is recovering. The credit demand has picked up. This is evident
from our performance over the last 3 quarters. We look to grow our gross advances by around 30% this year with deposits growing faster than advances. We are monitoring our costs very closely and aim to bring in efficiency through process improvement and productivity enhancement. We look to hold our cost to income ratio at the current levels.
Credit cost, we have already guided would be contained well below 1% as the declining trend in NPA and PAR would continue for the balance of the financial year '23. Return on assets should be north of 2.3%. The risk to this guidance is the inflationary pressure that is brewing up in the economy and the resultant rate hike movements, also, we are monitoring the global geopolitical scenario.
Overall, I see financial year '23 as a strong comeback year for Ujjivan, which would create a solid platform for the next growth cycle. I would like to stop here and request the operator to begin with the question and answers.
Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.
Vivek Ramakrishnan: And I am glad to note the optimistic tone. I just touch up on the issue that you raised of inflation and the two-pronged recovery, especially in the micro banking segment of your customers. How is the restructured book doing? I know the customers cannot make more than one EMIs typically. So, do you expect recoveries from this book with the lag or are the customers still feeling a lot of pain? That is my only question.
Ashish Goel: Ashish here. On the restructured book, let me answer that question first. Under the resolution framework 2.0, which was the May 5th, 2021 guideline, we had restructured about Rs. 944 crores in the micro banking book and a small amount in the housing and the MSE book. Out of the Rs. 945 crores, we have already recovered Rs. 580 crores from the customers. In fact, almost 1.6 lakh customers have also closed their accounts.
And we currently have an outstanding of about Rs. 360 crores on the RF2 book. And we continue to collect from there. In fact, what we have seen is that post restructuring and the moratorium that we had given for about 3 months and immediately post the lockdown customers had indeed started paying very well. And our collection efficiency in the restructured book continues to be above 80%. The current quarter, we have ended at about 79%.

So, this trend has continued. In fact, out of the Rs. 360-odd crores, we have Rs. 148 crores in NPA, which is fully provided. So, we do not see any incremental risk in this portfolio. In fact, we see that the portfolio will do even better as we go into the remaining part of the year because our paying customers are actually paying at a very healthy rate of 80%.
Vivek Ramakrishnan: Sir, if I can just dwell on that NPA part, is it because they are just more than 3 months dues, is it more accounting? Or are the customers, do you feel that they are going to be more written off and they are now going to come back as paying customers?
Ashish Goel: On the NPA portion, we have seen that about 30% of our customers are paying on a month-to-month basis. The only problem is they are not able to recover the past EMIs and the arrears which have got built up over a period of time. So, even on the NPA portfolio, we are not saying that we will write off. There will be a small portion of write-off, which may happen. However, as I was saying, 30% of our NPA customers are paying month-on-month. So, we do not see write-offs happening in that segment.
Deepak Khetan: Vivek, also one more thing. Given that what Ashish mentioned, NPA is quite high in that Rs. 360 crores, but the overall collection efficiency is 80%, which means even the NPA custom

ers
are paying. They are NPA because 3 months overdue is there, and then they are paying one EMI at a time. So, it is not that, that entire amount, whatever is NPA anyway is 100% provided for will be written off or there is any, which is why we believe there is no pressure on that book.
Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus. Please go ahead.
Shreepal Doshi: Firstly, on the microfinance side, our ticket size has gone up significantly in the last 2 quarters to almost 56,000 now. So, could you please throw some color as to what would be the reason behind the same? And in the MFI segment, are we continuing to focus on the urban side only or are we also exploring of increasing our share in the rural side?
Vibhas Chandra: Thank you for the question. As we mentioned in our last quarterly call also, that our ticket size went up mostly because after the lockdown, we mostly focused on repeat loans the customers who are paying during the pandemic period, and we were not able to provide them repeat loans. And ss you know, that in microfinance and repeat loans the ticket size on the higher side.
So, first two quarters went on serving the customers who we were not able to serve them during lockdown. And as we have moved into quarter 1, and we have already served the pending customers, we have moved our focus to new customer acquisition as well. If you compare from the last quarter, last quarter NPA was, the new customer acquisition was close to 24% which is now close to 34% this quarter.
So, our focus has changed and in NPA, the ticket size is on the lower side, which actually are yielded into lower ticket size, average ticket size in the last quarter, Q1 of this year. So, that is one thing. And second, as you mentioned that whether we are focusing on urban only, so as after

conversion to a bank, we have also opened branches in urban and rural locations, which is 25% of bank presence.
And we have started focusing on rural areas as well, and we have not only microfinance the product we are selling them. We are selling other products also which is relevant and logical to the rural market. And apart from asset, we also sell liability products in these branches. So, our focus is both in urban as well as rural.
Shreepal Doshi: Just one follow-up there. So, what would be the ticket size bracket for our more than, say, 5-year vintage customer that we would be having?
Ashish Goel: We go up to Rs. 1 lakh for repeat loans after the third or fourth cycle, and our average ticket size is close to for the repeat ticket size is close to Rs. 58,000. But the range is from, say, Rs. 50,000 to Rs. 1 lakh.
Shreepal Doshi: What is the maximum that we give to a new customer, group loan customer?
Management: Rs.1 lakh is the maximum in group loan.
Shreepal Doshi: Sir, the question was on the housing side. So, that is another segment where we are seeing strong growth. So, there the ticket size is 1.2 million. And so, if you could just give some color as to which geographies are we targeting? Or is the product available at all the branches? And what is the strategy going ahead with respect to the share in the overall loan book mix?
Carol Furtado: This is Carol. On the housing side, our focus has now moved a little bit from the informal to semi-formal and the formal segments. And what we have also done is that we have gotten to state-wise policies, which is helping us get better results there. And yes, so informal is very low as a percentage, but we are focusing on the semi-formal and the formal segments.
Shreepal Doshi: And ma'am, geography wise, we would be broadly doing business in all our stakes or like heavy?
Carol Furtado: Geography wise, we are focusing mainly on the semi-urban areas.
Shreepal Doshi: Just a few bookkeeping questions. So, on the NPA side, so if you could give us the slippage recovery up

grade and write-off number for the quarter?
Ashish Goel: Rs. 156 crores, right? The upgrade was 215, and we did a write-off of about Rs. 63 crores.
Deepak Khetan: That is the technical rate. That is the total write-off is around Rs. 79 crores.
Shreepal Doshi: Slippage numbers, I think I missed that number?
Deepak Khetan: 156.
Ashish Goel: 156.

Shreepal Doshi: Okay. One last question. On the provisioning side. So, what is the provision that we are having on the restructured NPA books?
Ashish Goel: So, on the restructured book, on the NPA side, we have about Rs. 148 crores of NPA in RF-2 on which we are holding full provision. And in RF-1, we have Rs. 130-odd crores of NPA, again, on which we are holding full provision.
Shreepal Doshi: Basically, we are having 100% coverage on the restructured NPA bucket?
Ashish Goel: That is right.
Moderator: Thank you. The next question is from the line of Nidhesh from Investec. Please go ahead.
Nidhesh Jain: Two questions. First, if you can share the number of customers and group loans and individual loans in the micro banking at the end of June '22? That would be the first data point portion. And secondly, if you look at the segment-wise collection trends, we have seen sharp improvement in collections in micro banking. But in MSE and affordable housing, our collection trends have not improved. They have remained at around 95% for the housing and I think 84% ,85% for MSE. So, what was the reason behind that?
Ashish Goel: Okay. I will take the question on the collection trends. Now the collection that we see is a blend of nondelinquent and NPA collections. So, in secured book, which is the MSE book, we have an elevated NPA as of now, it is in the range of 10%. So, therefore, our overall blend rate collection is in the range 85%. Although we have seen some significant improvement in upgrades in the MSE portfolio also, there is a quarter-on-quarter decline in the gross NPA there. And on the housing side, the collection continues to be in the range of 95% and above, again a reflection of a much lower GNPA in the housing book. On the nondelinquent portfolio, we continue to have a collection efficiency of more than 95% in both the products.
Nidhesh Jain: And sir, also, just a follow-up on this. If I look at additional collection, additional collection is as high as the collection that we are doing against the due for months for MSE and affordable housing. Does it indicate the balance transfer happening in this portfolio? How should we look at look at the additional collection which are happening on MSE and affordable housing?
Deepak Khetan: If you look at the upgrades which is happening, Nidhesh, take that there is a whatever NPA, out of NPA, whatever collection we are getting and all that, like Ashish mentioned, there is a good amount of upgrade that happened in the MSE also. So, that amount was totally roughly around Rs. 40-odd crores for this quarter.
Nidhesh Jain: And there is the first question on number of customers in group banks?
Deepak Khetan: We do not share segment-wise product-wise number. So, we cannot share.

Nidhesh Jain: I was just looking at the loan outstanding per customer, loan size in group loans specifically because ticket size sometimes, ticket size, I am assuming, is based on disbursement that we have done in this quarter. So, I was more interested in looking at a loan size outstanding. That is why I was asking that number. So, if you could just share that number what is the loan outstanding per customer in only in group loans, that would be useful?
Ashish Goel: So, at any point in time, we would have repeat as well as new customers coming into the bank. And as Vibhas was sharing that there is repeat loan, which is in the range of Rs. 63,000 and new loans in the range of Rs. 44,000. And the blended avera

ge of both the loans put together is in the range of Rs. 55,000, Rs. 56,000.
Now in terms of the average ticket size, these are short tenor loans, about 22 months is the average tenure. So, typically, the loan outstanding per customer should be in the range of Rs. 30,000, Rs. 35,000, because we would have amortized by about 50% in the last 6 to 9 months.
Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.
Deepak Poddar: And sir, I just wanted to understand now I think you spoke about cost to income holding at current level with good growth as well as the credit cost well below 1%. But why we are still guiding for ROA of 2.3% plus as compared to this quarter, I think would is about 3.4%. So, is that a conservative kind of outlook that given on ROA front?
Deepak Khetan: Deepak, we are baking in like Mr. David mentioned in his remarks, we are baking in a little bit of credit inflationary pressure and swaps hike on the repo rate hike and cost of fund hike and all that. That is why we are keeping that as a little conservative side.
Deepak Poddar: Okay. Yes. So, that is a little conservative number. But we do expect our NIMs to what sort of

outlook we have on NIM, actually?
Ashish Deepak Khetan: So, overall yield should be improving even if we do not take any kind of a rate hike on our lending rates, yield should continue to improve as the NPAs go down, and we expect the declining trend on the NPA and PAR to continue. With that, even if the cost of fund is stable, the NIM should be stable or upward trajectory. But we take that plus or minus as a stable NIM for the year.
Deepak Poddar: That is great. And my second query is on your cost to income over the next 2 to 3 years. So, I think earlier, we were kind of targeting 50% kind of a cost to income on a little medium-term basis. So, any thoughts on that, would be helpful?
Deepak Khetan: So, I would put it like this 50% is the first milestone that we want to achieve within a short term and then the journey should continue beyond that.
Deepak Poddar: Is the first milestone, and what is the timeline we are looking?

Deepak Khetan: Short-term milestone that we do that.
Deepak Poddar: Sure. Maybe so 2 years, maybe something like that?
Deepak Khetan: I do not want to put a year to that.
Moderator: Thank you. The next question is from the line of Renish Bhuva from ICICI Securities. Please go ahead.
Renish Bhuva: Sir, first question is on this new MFI regulation in terms of the process alignment. So sir, where do we stand currently in terms of the process migration as per the new regulation?
Vibhas Chandra: Yes. Thank you very much for this question. We know that the new MFI regulation came into force on 1st of April. And it is essentially we have also published the FAQs. That clarifies that implementation date is 1st of October. As this regulation came into force and communication came in the month of March. Fortunately, most of the items which are mentioned in RBI policy, we are already following it for the last 10 years. So, it is just a confirmation of whatever we are doing for the last 10 years is something RBI also wants others to follow. There are some items which needs time. For example, to check rate bureau of customer households, there are some still that need to happen at credit bureau end also. For that RBI has allowed us time till 1st of October.
And apart from that, we did not face any issue in the month of April. We were normally able to do business in the month of April as well, which is a good thing that has happened to us whatever we have done over a period of time in microfinance business as we are a very old player in the microfinance business. That has helped us in following the RBI regulations. And we are on line with the pending items which need to be delivered, where the time line is 1st of October.

Hopefully, we will be able to do that well within the timeline.
Renish Bhuva: Sir, just a follow-up on this. So, on this 50% FOIR, have you seen higher detection rate once we have implemented the new process?
Ashish Goel: No. In fact, our rejection rates in Q4 and Q1 have been exactly the same. There is been no uptick in rejection rates. In fact, we were also thinking what would the rejection rate look like post the FOIR implementation, but we found that the rejection rates have not gone up, not have they gone down. They have remained to be the same.
Vibhas Chandra: And perhaps, the reason is that, as I mentioned, that we were following more of items which were prescribed by RBI but over a long period of time. So, we are already following this process and rejection which were based on customer income and their dispensable income. That had led to now constitution our registered tenure has not gone up based on the calculation.
Renish Bhuva: And sir, a second sort of question is kind of repeating. So, on the MSE and the affordable housing piece, even if you look at the gross NPA number and PAR 0 number, PAR 0 appears to be on

the higher side. So, I mean, in terms of the process, what we have changed, let us say, during COVID to make sure that the incremental growth in both these segments should be of a better quality than what we have seen during COVID?
Ashish Goel: Okay. I will this question in two parts. One, what was the portfolio composition when COVID 2 happened and therefore, what was the reason for the increase in GNPA. So, when COVID 2 happened, most of our portfolio and about 58% to 60% of our portfolio was from the informal segment, which got hit very hard due to income-related reasons. So, people were not earning that income due to the lockdown.
So, that led to a very sharp increase in the GNPAs. During the same time, we also started to recalibrate our strategy, started planning for a shift in our customer segment from informal to semi-formal and formal. And during the last one year, we have made significant progress. In fact, on MSE, we had an 8% formal segment. We are now at 22%, and the incremental disbursements on a quarter-on-quarter basis has been 48% in the formal segment. So, therefore,

the change of composition of the book has been very significant in the last one year.
And if you want to ask me about the delinquencies, we have seen in the last 24 months, the
GNPA is less than 0.5%.
Renish Bhuva: Okay. This is for the MSE business, right?
Ashish Goel: That is right. On affordable housing, if you were to ask me about our change of strategy, we
have in the last four quarters done significant work on our salaried segment. So, the salaried
segment pre-COVID used to be in the range of about 38%, which is now almost 47% of the
book. And our quarter-on-quarter disbursements are almost 54% to 55% on the salaried segment.
Therefore, the book composition has also changed and therefore the risk composition has also
changed in the entire portfolio.
Again, I would want to say that in the last 24 months, the book that we have disbursed has GNPA
of less than 0.5% in the housing portfolio as well.
Renish Bhuva: And sir, just last data point. Again, on the MFI book. So, if you can, let us say, highlight the
number of borrowers who are unique to us and maybe the borrowers having plus 1 lender?
Ashish Goel: Okay. On the unique segment, we have almost 35% of the customers that we have are unique to
Ujjivan, and 65% of the customers have multiple borrowing arrangements.
Renish Bhuva: Sorry, 35% is unique and 55% is?
Ashish Goel: 65% customers have unique borrowing arrangements, sorry, multiple borrowing arrangements.
Renish Bhuva: And would you like to highlight, let us say, Ujjivan plus 1 lender if you have that data with you?

Ashish Goel: I would not hav

e. It would be there plus 1 or plus 2. It cannot be more than that.
Moderator: Thank you. The next question is from the line of Gautam from GCJ Financial. Please go ahead.
Gautam C Jain: My question is related to your growth expansion plans. Since you have stabilized and now you
started growing, can you throw some light on your branch expansion plan going forward?
Ittira Davis: Gautam, in which regard you want the expansion? Is it branches or is it book? What is the focus?
Nidhesh Jain: Branch expansion.
Ittira Davis: The branches, yes, our strategy is both brick-and-mortar and digital. So, we will grow the
branches in areas where we think it is good to be there. For example, this year, we will be
entering Telangana. We have not been in Andhra and Telangana. So, this is an area for us, which
we need to look at. So, we are entering Telangana this year. But we will continue to grow the
branch network as required, but we are trying to push more in growing business through the
digital route.
Gautam C Jain: Okay. And second question pertained to deposit. The deposit growth was very slow in this
quarter. I think sequentially, we have added only Rs. 156 crores. My question is, I mean, what
is our strategy to grow deposit in line with your loan growth? And what steps we are taking to
raise the deposit in a upward interested rate market?
Ittira Davis: Yes, see the thing is that it is important that we have a granular retail growth because that is the
type of deposits, we would like to have long term as against bulk deposits. So, that is the focus.
We have got our branches now working full gear to increase the deposit base. And we are also
looking at different segments in that, including government and local municipalities and all of
that. So, we have got a very good strategy in place. And I think the coming quarters will show
the growth on that front.
Gautam C Jain: Have we raised the deposit rates?
Ittira Davis: Sorry?
Gautam C Jain: Have we raised the deposit rate?
Ittira Davis: Yes. We raised the deposit rates after RBI changed the repo rates by 50 and then 40 basis points.
So, we have made a slight adjustment in the deposit rates.
Gautam C Jain: And last question is, since microfinance industry is doing very good post-COVID, and we are
doing, I think, one of the best among the industry. I would like to hear your qualitative comments
on your overall collection and how long this industry will continue to do like this? And is there
any change in competitive landscape I mean, pre-COVID and post-COVID, any small player
left the ground or just your comments on that?

Vibhas Chandra: So, thank you for the question. What we see is we have gone through microfinance industry has
gone through various crisis. This is one of them. Before that we have also seen demonetization
and other crisis. And what we have seen that after these crisis, the customer segment that we
serve in microfinance, we have seen that they bounce that very quickly.
And at the same time, at industrial level, we have also seen that, after any crisis there are a lot
of addition that happen especially in the institutions who are weaker. We see a lot of opportunity
going forward after this crisis in terms of customer liquidation and market share. And we are all
set. As a microfinance lender, we do not only lend the group loans, we have full basket of product

that we offer to customers, not only in asset also in liabilities.
And thankfully, we have a lot of activity around digital for these customers. So, we are seeing some time very, very positive. And in terms of growth in microfinance, we see, I mean, sometimes very, very positive for microfinance growth in Ujjivan.
Ittira Davis: And to add to that, I can say that to the microfinance customer base, we will be looking at adding some of the secured products as well. So, we see this as a good base for us.
Moderator: Th

ank you. The next question is from the line of V.P. Rajesh from Banyan Capital Advisors LLP. Please go ahead.
V.P. Rajesh: My first question was regarding the restructured book. If you can give a little more color on the customer behavior as to how some of them are able to repay? Is it that their businesses have rebounded or they are able to borrow from other banks or NBFCs or something else? That will be just helpful.
Ashish Goel: So, I would not like to see the restructured book as behaving any differently from our overall book. When there was a lockdown, there was a need for customers who had lost their income to get some kind of relief from the bank, and therefore, we had done the restructuring under RF 2.0. Post the lockdown opened, we saw that customers' incomes had come back to normalcy. And therefore, we started seeing some very repayment rates from the overall book as well as from the restructured book.
So, I would say that the restructured book has not behaved very differently from the overall book because the customer segment was the same and the incomes had got back to normal. So, therefore, I would say that restructured book has behaved very well for us. And it was indeed the set of customers who were looking for some kind of relief had been given relief.
V.P. Rajesh: Right. But if they are lagging in their payments and they have prior EMIs, obviously, we will have to have extra money or extra funds to pay that back. And where is that coming from? If you have any sense on that?
Ashish Goel: I am sorry, there was a little bit of disturbance in the line. Could you please repeat the question?

V.P. Rajesh: Sure. So, what I was saying is that when the book was restructured, we probably would have prior EMIs that were unpaid at that point in time. So, as their businesses are coming back, are they coming back that strong that they can clear all the past dues as well very quickly. I mean I am just trying to get a sense whether they are borrowing more from other institutions to clear their dues with you or some informal sources or it is just that their business has come back very, very strong?
Ashish Goel: So, there are indeed, I would say that about 5% to 7% of the customers who went back into NPA because their incomes had not come back to normal. But we have not seen any behavior in the restructured book, which is any different from the overall book. So, as I was saying, the restructured book behaved quite well in spite of the first 3 or 4 months of setback that the customers have had. And they have continued to pay their EMIs. In fact, as I was saying, from the Rs. 945 odd crores, we have collected Rs. 580 crores already. The overall book has come down to Rs. 360 crores now.
V.P. Rajesh: And my second question, any guidance on the fundraise?
Deepak Khetan: So, the fund raise is just enabling resolutions we have taken, we have taken two, one on the equity side and one of the debt sides. Both are enabling resolution. And we will see as and when we want to get the funding from the market. Right now, we do not want to give any time line to any of the activity. We have a timeline of December, that by December, we need to meet the SEBI requirement of minimum public shareholding, so we will meet the SEBI requirement.
M. D. Ramesh Murthy: Apart from the equity side, which Deepak has covered, we are also looking to raise some sub debt. But as Deepak has mentioned, we would not like to right now put a time line to it, but it is very much on a radar and very much on our cards here. And we have the enabling resolutions as he has mentioned before.
Moderator: Thank you. The next question is from the line of Harsh Shah from Dimensional Securities. Please go ahead.
Harsh Shah: This is Harsh here. So, just wanted to understand the macro situation that is going on in the rural and semi-urban side, because we hear a lot of comm

entary from the FMCG companies that there is some sort of slowdown that is happening. So, just wanted to get a sense from your side. I mean, since you are saying that the credit demand is picking up, how is the business environment that is there in the macro, in the rural India.
Carol Furtado: On the rural areas, we are mainly in the unbanked rural areas, and that is our licensing condition also where 25% of our branches need to be unbanked rural areas. We are not seeing a slowdown there. We are seeing that the credit demand is equally high and things are going on well there.
We are, in fact, opening branches in these unbanked rural areas here again. On the semi-urban

side, also, as of now, we do not see any impact . We are going strong in those areas, too.

Harsh Shah: Okay. And when we guide this growth rate of 30%, so is it the entire industry is going to grow at that rate or is it Ujjivan who is going to take the market share? And will it be from the organized player or from the unorganized to organized that sort of migration are we expecting?
Ittira Davis: I think the 30% is a reasonable level as far as, I do not know about the full industry, but the microfinance banks, which are active in the micro banking area, as indication in a recent seminar, which was held a couple of days ago, 30%, 35% seems to be a rate which is doable. So, for the SMBs, who are operating in the micro banking area. But MFIs, I do not have any figure on that.
Harsh Shah: Okay. Sir, so when we say SMB is growing at 30%. So, I mean just wanted to understand from where is the demand being generated because I mean you have the GDP which is growing at 10%, 11% at the best. Then how is the 30% growth coming in? Is it that the unorganized segment is too large and some demand is coming out from there?
Ittira Davis: The one thing you have to keep in mind is that last year was a very slow year because there was COVID. From that base, when you say 30%, it looks reasonable. So, I think we are not. When the industry gets back to a normal run, then 30% maybe a number which looks ambitious if the environment is not strong. But in a condition where you are coming from a low, some people degrowth to some extent, 30% this recovery year looks reasonable.
Harsh Shah: And if everything remaining stable, what kind of growth can we see over the next 5 years or so, I mean, just a ballpark guess?
Deepak Khetan: That is too futuristic to comment, Harsh.
Harsh Shah: I mean just if there are no hiccups, no major headwinds?
Ittira Davis: Harsh, the industry has had a good. If you look back at a period when there was no constraints, the industry has done very well. If you look at the 2018-19 period before demonetization, it was okay.
Moderator: Thank you. The next question is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.
Ashlesh Sonje: Just one question from my side. So, wanted to get an assessment of the ex-NPA provision buffer that we are carrying. There is, of course, a Rs. 220 crores floating provision. But outside of that, what are the standard asset provisions and the restructured asset provisions outside of NPA?
Deepak Khetan: So, the total provision that we have on the book is Rs. 1,290 crores. Of that Rs. 1,290 crores, Rs. 909 crores is my NPA provision and Rs. 250 crores is my floating provision. And the balance is my standard asset provision. Roughly Rs. 131 crores would be my standard asset provision.
Ashlesh Sonje: Okay. And the restructured provision would be part of the standard assets, is that right?

Ashish Goel: Yes, it is part of the NPA provision. As I have said that we are carrying 100% provision on both RF-1 and RF-2 book, which has turned into NPA. So, that is part of the Rs. 909 crores which Deepak mentioned.
Deepak Khetan: There is a small portion of the res

tructured provision, which is there in the standard asset provisioning right now. Not very big portion, but a very small portion.
Moderator: Thank you. The next question is from the line of Vikram Subramanian from Spark Capital. Please go ahead.
Vikram Subramanian: I just wanted to get some clarity on the equity raise that you had mentioned. So, I know it was an enabling resolution. But this equity raise would be completely towards meeting the NPA's requirement, right? So, do we at least have a number of shares locked in, in terms of how much we would be raising?
Ashish Goel: No, we do not have any number of shares locked in that we will be raising so and so number of shares. It is but your understanding is correct that the reason for doing this equity raise right now is for meeting NPA's requirement. However, I will also add that given the kind of growth that we are expecting, it is always better to have a little extra capital. And thus, we are looking for this equity raise. And like Ramesh mentioned, we might also look to supplement with a little bit of sub debt if required.
Butnothing concrete right now. So, we would not be able to give quantum and time line for either of those things.
Vikram Subramanian: And I think you had mentioned something like December to be a deadline by which we might do the equity raise?
Deepak Khetan: Yes. That is the 3-year time period that we have from SEBI because we got listed in December 2019. And within 3 years, you need to meet the NPA's requirement. So, our 3 year ends on 11th of December 2022. So as per the regulatory requirement we need to finish this equity raise by that time. And we are hopeful we will be able to meet the regulatory requirements.
Moderator: Thank you. The next question is from the line of Eric Chan from Buena Vista Fund Management.

Please go ahead.
Eric Chan: I have two questions. The first question is on the strong disbursement in 1Q. Can you talk about what would you do? How do you adjust your process to take care of the RBI harmonization requirements for income and liability check for household in microfinance?
Deepak Khetan: Eric, actually, Vibhas actually mentioned a couple of questions back, that we have been following all the norms required by RBI under the new requirement. And thus we did not have to tweak our processes to comply with that. And thus, we were able to do the disbursement in line with whatever we have been doing so far.

Ittira Davis: And Eric, the other thing is that we have been disbursing over Rs. 4,800 crores in the previous two quarters. So, this pace is now sustainable.
Eric Chan: Sorry. I was under the impression that the RBI Rs. 3 lakhs household income check and the 50% maximum servicing ratio was a new requirement that came out in March this year?
Deepak Khetan: Yes. The requirement is new, but Ujjivan as the process has been following it for a very long time. So, as per our process, it is in line. For the industry, it is new. And thus, a lot of other players will have to make shift or make arrangements or changes in their process to comply with the requirements. And like Vibhas also mentioned, RBI has recently announced that the regulations are implemented with an effective date of 1st of October.
Eric Chan: Got it. Second question is, can you talk a bit about your PSL certificates? We heard that RBI has been tightening their audit checks and now require for some of the MFI loans to have various paperwork and support proof. For example, agri loans require proof of either land ownership or land lease contracts. I wanted to just check whether you have been seeing some of that challenges and how does that impact your PSLC eligibility?
Vibhas Chandra: Yes. Thank you for your question. As far as PSL is concerned, we have been following RBI policy around that in latent spirit, both in micro finance and other books also including hous

ing
and MSE and whatever business we do. We do not see any challenge in that. We have a robust process and mechanism to qualify our loans into different PSL categories.
So, we have also heard what you were telling in the market. But at the same time, we are confident that whatever we are ways and process we have to qualify loans into different categories is something which is in line with RBI requirements.
Moderator: Thank you. The next question is from the line of Moin Danawala from Tata Opportunities Fund. Please go ahead.
Moin Danawala: I have three questions. Question number one, would you be able to provide us a summary of the overall kind of actual plus estimated losses that we would have seen from the time COVID started to today? And question number 2 would be could you just give us an update on the merger?
Deepak Khetan: I will answer on the merger part. And while Ashish frames his answer on the first part. He will have to do a little bit of digging on the number. So, on the merger, the first step is to meet the NPS requirement. And like I mentioned to the previous caller question that we would be meeting the SEBI requirement by December as the time line is there.
And only post that we can take ahead the reverse merger process. In parallel process, which we are seeing, we have not seen that the SSB had any challenge in getting the regulatory approval from RBI or SEBI or exchanges. So, that process should not take much of time.

Ashish Goel: On the overall impact during the year, we had overall slippages in both micro banking as well as the other segments, housing as well as MSE. And on micro banking, specifically because the slippages were higher, we had overall slippage in the range of about Rs. 1,500 crores. We recovered Rs. 700-odd crores from the NPA pool, and we had a write-off of about Rs. 780 crores.
So, the total inventory has actually come down by about Rs. 60 crores between March to June, between March of last year to June 30 of this year, this is what we would say as the first year, that is the last full financial year and the first quarter of this year. In terms of write-offs, I could give you the number, it was about Rs. 780 crores that we did in the last financial year.
But one more important data I would want to share. Out of the Rs. 780-odd crores of write-off we have actually also recovered Rs. 65 crores in the last 4 quarters. So, the write-off, as I was saying earlier, is not something that would not come back. We are seeing some signs of recovery from there and close to 8% of the overall write-off for the year has been recovered already.
Moin Danawala: That is great news. So, would it be right to summarize this as saying that we would have approximately Rs. 1,715 crores of write-offs between April '21 to today and a similar number in the year prior to that?
Deepak Khetan: No, I do not know how did you get a Rs. 1,700 crores of write-off. We had roughly Rs. 780 crores of write-off last year.

Ashish Goel: Rs. 63 crores this quarterly.
Deepak Khetan: Yes, total Rs. 80 crores this quarter, including everything. And prior to that, the write-off amount was very limited. So, the write-off amount if you are looking at would be roughly Rs. 870-odd crores, not more than that. And like Ashish mentioned, out of that Rs. 870-odd crores, roughly Rs. 70-odd crores has been recovered already. And we expect that recovery should continue as this year proceeds.
Moderator: Thank you. The next question is from the line of Vijay Karpe from Shriram Life. Please go ahead.
Vijay Karpe: I had two questions. One was, if you could talk about your top state, which is Tamil Nadu. And also, if you could talk about Uttar Pradesh and Bihar in terms of business environment there and also in terms of disbursements, AUM growth and collection?
Ashish Goel: Sorry, Vijay, we did not get the first part of the question.
Vijay Ka

rpe: Yes. My question was, how has been the business environment in the state of Tamil Nadu, Bihar and UP? And also, how has been the disbursements, AUM growth and collections there?
Vibhas Chandra: Yes. I think you are coming from the point that these states are retail in terms of OSP and these are first, second and third states in terms of OSP or both top 5 they belong to, I think Tamil Nadu

and Bihar in top 3 in terms of OSP. However, the market is concerned. We always had a policy that we do not grow to a certain extent or beyond certain extent in any state.
And that is why we have grown business in almost everywhere in the country. And these states also have that limit. We do not grow beyond certain limit. We do not grow beyond 10% to 15% of our OSP is not residing in any particular state. As far as the business environment is concerned, as we mentioned earlier that most of the branches are urban and semi urban focused as they were it was microfinance branches converted into banks. And we do not see any particular challenge in terms of credit quality or political risk in these states, Tamil Nadu, West Bengal, Bihar and UP. In terms of portfolio quality also all these states are in line with or a little better than our overall portfolio quality at pan India level.
Vijay Karpe: Great. And how has been the collection efficiencies in these 3 states?
Deepak Khetan: So, as I mentioned that I do not have exact number, but all these states are performing like the overall pan India performance, if not better. Especially Bihar and UP is a little better than our national average. Tamil Nadu is in line with our national average. So, there is no much difference.
Vijay Karpe: And the last question from my side. So, in December, the dilution which we are doing, will that be a fresh issue? Or will it be also an OFS?
Deepak Khetan: It will be completely fresh issues.
Moderator: Thank you. The next question is from the line of Akash Jain from MoneyCurve. Please go ahead.
Akash Jain: Yes. So, first of all, I think a huge congratulations for the team. I think, excellent set of numbers. I think we are very quick to criticize management when numbers are bad. I think we should be equally open to congratulating them when numbers are good. So, huge congratulations. So, I have just two clarifications. One is, when you say 80% collection efficiency on the restructured books, so is it on that month's EMI? Or is it on the whole base where old past EMIs are also being considered?
Ashish Goel: It is on that month EMI, Akash.
Akash Jain: So, in that case, there would be slippages coming from the restructured book into GNPA on a monthly basis, right? So, there will be some slippage from restructured book on a monthly basis on the NPA book. And then there will be some recoveries potentially from the GNPA book. That is the way this whole thing will work, right?
Ashish Goel: Your understanding is correct. Yes, Akash. However, one point I would want to make here is the SMA book, SMA 0, 1 and 2 on the restructured book is in single digits. So, even if there is any slippage, it is a very minor small number.

Akash Jain: But when there is 80% collection efficiency, then theoretically 20% of the book is the non-provided book is going into GNPA every quarter, right?
Ashish Goel: So, let me put it this way. So, the 80% collection efficiency is a blend of nondelinquent and the NPAs. If I were to look at the collection efficiency on the NPA, that would be in the range of 30% and the collection efficiency on the nondelinquent and the SMA book would be in the range of 98%, 99%.
Moderator: Ladies and gentlemen, the line for the management has got disconnected. Please stay connected while we reconnect the management. Over to you, sir.
Ashish Goel: So, Akash, as I was saying, the collection efficie

ncy of 80% on the restructured book is a blend
of nondelinquent as well as NPA collection. And out of the Rs. 360-odd crores of restructured
RF-2 book, we have Rs. 148 crores already in NPA. That is giving a 30% collection efficiency.
The nondelinquent book is giving more than 96%, 97% collection efficiency. So, the overall
average comes to about 80%.
Akash Jain: Okay. So, because you have already provided for practically the whole restructured NPA part,
we do not see too much slippages coming from the non-NPA book because there the collection
efficiency is broadly in line with the overall book as well?
Ashish Goel: That is right. So, in fact, as I was saying, our SMA book, SMA 0, 1 is in single digits. It is a very
small number.
Akash Jain: And on the NPA book, I think earlier, you guys had mentioned that 30% of the customers are
giving every month EMI. But if I just broadly want to understand what is the collection
efficiency of the GNPA book, including the restructured book GNPA as well as overall book
GNPA, what will that correction number look like?
Deepak Khetan: Akash, let me put it like this. The entire book that we have NDA or PAR or GNPA or
restructured, everything put together, collection efficiency is 99%. So, whatever NPA also or
restructured also is there, there is very limited scope where the payment is not coming. Rest, the
overall collection is 99%.
Akash Jain: So, if I want to just clarify one thing here. So, when we talk about 99% collection efficiency on
our slide I think 21, it basically means all the customers which are 0 to 90 and even more than
90, which have not been fully provided for. Is that the base that we have to take in to account?
Deepak Khetan: Everything that was due for that month is counted. So, if you look at the June number on that
slide 21, if that is that Rs. 1,121 crores include every money that is due in the month of June, for
the month of June.
Akash Jain: I got it. One last question here, sir. So, unfortunately, with the way the RBI regulation is that
once a customer goes into delinquency, even if he is paid one or two past EMIs, he is still remains

in as a delinquent customer. If I for ones forget or ignore the RBI requirement. I just want to
understand how many of the actual book not from an RBI norm perspective, how much of the
actual book is actually 90 days plus? Is that number significantly different from the 5.9% we
have as per RBI norms?
Ashish Goel: No, it will not be very different. See when customers miss 2 or 3 EMIs and they start touching
91 or 121 DPD, they could actually pay 1 or 2 EMIs and come back to 61 or maybe 31%, but
they still continue to be tagged as NPA customers because till the time, as you said, the arrears
are completely repaid, we will not be upgrading any of these to standard assets. So, therefore,
the quantum of customers who are in 30 or 60 DPD, it is a small number. I would say it is not
more than Rs. 40 crores to Rs. 50 crores.
Management: The overall SMA book itself.
Ashish Goel: The overall SMA book itself is 1%. I would say this is a fraction of that, maybe 0.2%, 0.3%,
which is NPA but with maybe 2 EMIs pending.
Akash Jain: So, most of the customers are barely able to pay even on the NPA book, they are barely able to
meet that EMI requirement for that month. And hopefully, over a period of time, they will be
able to pay, but asking them to pay more than one EMI is a difficult scenario for a MFI customer?
Deepak Khetan: Yes. Also Akash, there would be customers who is an NPA for more than 3 EMI payable.
Moderator: Thank you. We will move on to the next question that is from the line of Jai Mundhra from B&K
Securities. Please go ahead.
Jai Mundhra: Sure. So, apology, sir, if this question has been answered earlier. I wanted to check what is the
total stock of provisions in the balance sheet, which is specific plus floating, plus rest

ructured?
Is this what you are giving on Slide 23?
Deepak Khetan: So, Jai, the total provision on the book is Rs. 1,290 crores. Of that Rs. 1,290 crores, Rs. 131
crores is standard asset provision, Rs. 909 crores is my NPA provision, specific NPA provision
and Rs. 250 crores is my floating provision. So, out of that Rs. 250 crores of floating provision,
Rs. 220 crores is being counted for a PCR calculation and Rs. 30 crores is being used for my
Tier 2 capital.
Jai Mundhra: Total is Rs. 1,290 crores?
Deepak Khetan: Rs. 1,290 crores. If you see Slide #23 on the bottom of the Slide 23, we have mentioned that Rs.
1,290 crores.
Jai Mundhra: Sure. And second question is, sir, on one of your peer banks had shown that RBI in their
instruction had called out for people who have taken MFI loan, but they did not qualify for PSL

because of, let us say, inconsistent land record, et cetera. I wanted to check if you would have
faced similar problem? Or could that be a potential sort of a risk?

Deepak Khetan: So, we have not had any such observation from RBI. What I understand in one of the recent peer bank's call there was a discussion regarding agri book being classified as PSL they needed some bit of documentation and all. And this question was also discussed and Vibhas clarified. The requirement came in September '20 onwards, and we have all the documentation required wherever it is required. And also, there is a RBI point where the documentation is required for agri-allied only if the ticket size is above Rs. 2 lakhs. For us, the ticket sizes are not there. So, for that category for MFI category, we would not require that documentation.
Jai Mundhra: Understood. And last question, sir, I just wanted to clarify. The RBI new recent guidelines on MFI lending, which asked you to calculate the household savings, et cetera. This clearly does not seem to have any impact, right, because your disbursement has been fairly good, but I just wanted to double check that, I mean, does this new regulation had any business impact if at all?
Vibhas Chandra: Yes. So, as I mentioned earlier that household income or household liability, et cetera, this is something which we is in practice Ujjivian and given for last 10 years. So, that is something we are already doing. So, we did not have to stop for that. There are certain changes for which RBI allowed the time till 1st of October, on which we and other partners credit bureau are working. And we will meet the requirement on time. But yes, as far as income and liability is concerned, this was already in place before the RBI came up with their requirement and the policy.
Moderator: Thank you. Ladies and gentlemen, we will be taking the last question, that is from the line of Sameer Bhise from JM Financial. Please go ahead.
Sameer Bhise: Strong quarter for Ujjivan. So, just wanted to get a sense on the provisioning policy. Would it be more prudent to create some buffer given that we have kind of had a significant stress in the past, we are probably heading into very good times in terms of growth and profitability. So, just wanted to get management's thoughts there? Right now, I think the floating provision buffer is around Rs. 250 crores. Would it be more prudent to create some more buffer before just to kind of shield off some of the unforeseen events in the future.
Ittira Davis: Yes. I think at the moment, you are right, we have the Rs. 250 crores that is sufficient for the time being. We are coming out of a crisis. But in the future, we will look at the model again and see what we have learned from the COVID situation. And if required, we will set aside if our model is to be continuing to focus substantially on the micro banking, we will look at the risk factors from that perspective and set it up accordingly. It is something that we plan to discuss at our board level.
Sameer Bhise: Okay. But it is

on agenda, but so far, I think nothing is finalized. Is that a fair assessment?

Ittira Davis: And right now, we are continuing with the guidelines, which we had from before, which I think is also quite prudent because it takes care of all the risks at the present time. But whether we need to prepare for another COVID situation, that is something that we can look at later on.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for their closing comments. Please go ahead.
Ittira Davis: Yes. Thank you very much. I appreciate all the questions that we received and the interest shown by the participants. I appreciate the support provided by IIFL. So, thank you very much.
Moderator: Thank you. Ladies and gentlemen, on behalf of IIFL Securities Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2022

USFB/CS/SE/2022-23/65
Date: November 11, 2022
To,
National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C-1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051
Symbol: UJJIVANSFBBSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 542904
Dear Sir/Madam,
Sub: Transcript of Earnings Call held on November 07, 2022
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnings/quarterly conference call held on November 07, 2022 for the quarter and half year ended September 30, 2022 is enclosed herewith.
The same shall be available on the Bank's website at www.ujjivansfb.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED
Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework
Encl: as mentioned above
"Ujjivan Small Finance Bank
Q2 FY '23 Earnings Conference Call"
November 07, 2022
MANAGEMENT : M R.ITTIRA DAVIS –MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER –UJJIVAN SMALL
FINANCE BANK
MS.CAROL FURTADO –CHIEF BUSINESS OFFICER –
UJJIVAN FINANCIAL SERVICES LIMITED
MR.M.D.RAMESH MURTHY –CHIEF FINANCIAL
OFFICER –UJJIVAN SMALL FINANCE BANK
MR.MARTIN P.S.–CHIEF OPERATING OFFICER –
UJJIVAN SMALL FINANCE BANK
MR.ASHISH GOEL –CHIEF CREDIT OFFICER –
UJJIVAN SMALL FINANCE BANK
MR.VIBHAS CHANDRA –HEAD MICRO BANKING –
UJJIVAN SMALL FINANCE BANK
MR.DEEPAK KHETAN –HEAD OF FINANCIAL
PLANNING ,STRATEGY AND INVESTOR RELATIONSHIPS
–UJJIVAN SMALL FINANCE BANK
MODERATOR : M R.ARASH ARETHNA –IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Ujjivan Small Finance Bank Limited 2Q FY '23 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask questions, after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Arash Arethna from IIFL Securities Limited.
Arash Arethna: Thank you, Vivian. Welcome to the participants for the Ujjivan Small Finance Bank 2Q FY '23 Earnings Call. From the management side, we have Mr. Ittira Davis, MD and CEO; Ms. Carol Furtado, Chief Business Officer; Mr. M. D. Ramesh Murthy, Chief Financial Officer; Mr. Martin P. S., Chief Operating Officer; Mr. Ashish Goel, Chief Credit Officer; Mr. Vibhas Chandra, Head Micro Banking; and Mr. Deepak Khetan, Head of Financial Planning, Strategy and Investor Relationships.
I'd now like to hand over the call to the management for their opening remarks, and then we can

move to Q&A.
Ittira Davis: Thank you, Arash. Good evening, everyone, and welcome to our Q2 financial year '23 earnings call.
We began this financial year with a great quarter, witnessing an all-around performance, along with improved profitability. Q2 further built on that good performance. Our disbursements continue to track the INR 4,000-plus crores mark, which has now become a new normal. Our gross advances are up 8% against June '22 and 44% against September '21. This is in line with our guidance of 30% growth for the financial year.
As we have mentioned in our last earnings call, Q2 has delivered strong deposit growth, INR 1,947 crores of incremental deposits, marking 11% growth against the previous quarter and 45% growth versus September '21. Most of this growth came from retail, which is now 61% of total deposits. On the liquidity front, we also continue to tap alternate channels like IBPC, securitization and term loans. We also raised sub-debt and fresh equity this quarter, taking our CRAR to 26.7%.
On the asset quality side, sustained collection efficiency and normalized leverages coupled with strong recoveries continue to drive lower PAR and NPAs. We maintain our innovation on credit costs that with sustained collections and improving credit parameters, provisions would be sub-1% this fiscal, which is below normal. This would be supplemented by strong recoveries. As of September '22, our NNPA is just at INR 8 crores or 0.04%. Also, our SMA book as well as restructured book has shrunk further, indicating the reduced stress.
I would also like to highlight that as of 30th September, '22, our total provision on books are at INR 1,126 crores, of which INR 115 crores standard provision, INR 762 crores account level NPA provision and INR 250 crores floating provision. The entire floating provision of INR 250 crores created in June '21 continues to be there on our books and can be utilized for making

specific provisions in extraordinary circumstances with prior approval of the Reserve Bank of India. Only INR 160 crores is utilized for NNPA/PCR calculation, INR 30 crores towards Tier 2 capital and the balance INR 60 crores has been grouped as part of other provisions without utilizing the same towards Tier 2 capital. This amount continues to be earmarked for utilization for NNPA or PCR as and when needed.
The outcome of all this put together is the highest ever quarterly profit, PPoP of INR 385 crores and PAT of INR 294 crores. Credit cost is negative this quarter, as I mentioned, that while slippages have come under control, recoveries continue to be strong. Also, I would like to clarify tha

t as per regulatory guidelines, we have revised the treatment of bad debt recovery. Since Q2 financial year '22, we have been netting it off from credit costs. However, this quarter onwards, we have restated the earlier treatment, which is showing bad debt recovery as part of other income. This leads to increase in income and PPoP on the one side and credit costs on the other. But PBT and PAT remains the same. Prior period items have been restated for your reference.
With the recent equity raise, we have complied with the SEBI requirement for minimum public shareholding, following which the both the boards have approved a revised scheme of amalgamation with our promoter Ujjivan Financial Services. The same has been submitted to exchanges and the Reserve Bank of India. We are in process to get the requisite regulatory approvals, post which we can approach the NCLT. The entire process may take around 12 months.
The outlook now for the rest of the year. As promised on last call, we're now looking at growing our platform further. We have added 15 branches this quarter and we'll add a similar number in the second half of the year. We are keeping our branch strategy a bit dynamic to complement our growing digital presence. I'm extremely delighted to mention that we have launched a mobile banking app, which is first of its kind to target customers who are not tech savvy. It is called Hello Ujjivan, and it's based on voice and video in vernacular languages. We have it in eight languages. The same is now available for customers to download and use.
We would be encouraging our semi-literate customers to use this app and increase penetration of digital banking.
This will have multiple benefits in the long run. We continue to invest in technology and other digital platforms to grow our business, volumes, assets and liabilities, both services, improved processes and overall reach our customers. I would like to reiterate that our focus this year is to consolidate our businesses and make them profitable and invest in new avenues for growth.
We maintain our 30% gross advances growth guidance with deposits growing a little faster.
While cost of fund is increasing, our focus is to grow CASA to reduce the rate of increase of the cost of funds. Also, time-to-time, we'd like to evaluate and pass on the increased cost of funds as and when it is possible to do so. For example, we took some rate hikes in September '22 on our asset book. We are monitoring our operating costs very closely and aim to bring in efficiencies through process improvement and productivity enhancement. This is a continuing

process.

We look to hold our cost-to-income ratio comfortably below 60% for the financial year '23. H1 cost-to-income ratio is at 55%. Also, we had earlier guided for a 2.3% return on assets, which we said is a conservative guidance. However, our first half performance, we are confident of a comfortably higher ROA. The second half would be a bit different than the first half because of a couple of items. PSL income might be a bit lower and opex might be a little higher as we invest in branding and also expand our branch network. NIMs we believe will be around 9.5% for the year. Overall, the second half of the year would be similar to the first half in terms of overall profitability.

As we discussed earlier, the risk to this guidance is the inflationary pressure that's growing in the economy and the resulting rate hike movements. Also, we would be monitoring the global geopolitical scenario. Overall, I see financial year '23 as a strong comeback year for Ujjivan, which would create a solid platform for the next growth cycle. I'd like to stop here and request the operator to begin the Q&A.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer-session. Participants who wish to ask a question may kindly press star an

d one on your touchtone
telephone. If you wish to withdraw yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Renish from ICICI. Kindly proceed.

Renish: Congrats on a great set of numbers. So sir, my question is on ROA guidance. So if we look at the first half '23 ROA, it is already at around 4%. And when we are guiding at 2.3% for the full year, it suggests that the second half profitability will be much lower. Though you have mentioned about the investment towards infrastructure and the bank building, but why we're expecting half ROA in second half?

Deepak Khetan: Renish, Mr. Davis just said that we are expecting much higher than what we guided. So we guided a conservative ROA of 2.3% earlier. And now we are saying that our full year ROA for this year would be much higher. He also mentioned that second half would be more or less similar to the first half on the overall profit number or profitability basis. We're nowhere saying that second half would be poor than first half.

Renish Bhuva: So would you like to revise your ROA guidance to 4%? I mean, that is what the projector suggest.

Deepak Khetan: We would stop here and not give a number of ROA.

Ittira Davis: We have given you a profit guidance because we said second half will be similar to first half.

Renish Bhuva: And sir, secondly, on the growth guidance. So of course, I mean, AUM growth will be 30%, but would you like to highlight also the key growth drivers amongst the broader segments?

Ittira Davis: Yes, our overall business is growing and that will continue to grow because our disbursements are north of INR 4,000 crores quarter-on-quarter. So that our OSP will continue to build on that

basis, on that disbursement basis. So the yield from that portfolio will be substantially higher with each passing quarter. So that will be the basic growth drivers. In addition to that, in this quarter, we had some PSL income and some other income coming in. But the other most important thing is our recoveries, our NPA recoveries and our collections. So that we expect to continue to be good for the rest of the year, but perhaps not as good as the second quarter or first quarter, but still at good levels. Not very good, but good.

Deepak Khetan: Renish, for the first half, bad debt recovery was roughly INR 56 crores. So that is what Mr. Davis is saying. It might not be INR 56 crores, but it will be a very good number because it's a number which generally tend to slow down as the NPAs are old or the write-off account gets older and older. Though so far we have not seen that flattish kind of a growth coming -- a number coming in.

On the PSL side, we have booked a good amount of PSL in the first half, 9.2% or 9.3% in the first quarter and INR 14-plus crores this quarter. So we don't expect a very big number in the second half.

So these are the two numbers which we do not expect to be coming in the second half. But overall, given that the business volumes have increased, the P&L size has increased, we do not see the overall P&L to be very different compared to what the first half P&L numbers are.

Renish: So because -- in fact, my question was around the AUM mix impact. So what I was trying to get a sense is that you have the 70-30 mix, which has been actually static from last three, four quarters. So how should one look at it?

Ashish Goel: So Renish, this -- the next two quarters are not going to see any significant change in the current mix that we have. Because as we said in the previous two calls also that micro finance for us has seen a very good demand from the market. And therefore, the disbursements have continued to be very good. And the secured products obvious

ly take a little longer to build a book. Therefore, the mix is not going to be significantly different in the next two quarters as compared to the last two.

Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus. Kindly proceed.

Shreepal Doshi: Congrats on great sort of numbers. Sir, firstly I wanted to understand and get some sense on what was the slippages, recovery and upgrades during the quarter?

Ashish Goel: In terms of, slippages was about INR 75 crores and the upgrade was INR 146 crores. In terms of percentage, it was 0.4 and 0.7.

Shreepal Doshi: So the upgrade you are saying overall reduction was INR 146 crores. But if you could say what were the other like the recoveries would be?

Ashish Goel: So overall, we look at recoveries and upgrades as a single unit. The last three quarters, I would want to say that our slippages have come down from 1.2 to 0.8 to 0.4. And the upgrades have

remained always higher than the slippages. So we've seen a net reduction in all the three consecutive quarters.

Shreepal Doshi: Sir, with respect to the reverse merger aspect, so I heard that it will take another 12 months to sort fructify?

Ittira Davis: It's the overall timelines because we have to get clearances from RBI and from the stock exchanges, following which we will go to the NCLT. So how long it takes with each of these bodies is not certain. So this is a conservative number we have given of 12 months. We hope it will be faster, but we are just putting that as a rough estimate at this stage, because we have submitted all these papers to RBI and to the stock exchanges last month. So from last month, we could say 12 months is a conservative estimate. We also contained in the last call that we expect it to be completed by September of next year is the indication that we have.

Shreepal Doshi: Sir, the last question was on credit cost side. So you said it will be -- like for FY '23, it will be less than 1%. So I expect second half to have relatively higher as compared to first half on the credit cost side. So is it because there will be some write-offs that could be from the restructured pool, which is having a correction efficiency of close to 88%?

Ashish Goel: So on the credit cost, there are two factors that I would want to highlight. One, our SME pool, which is now about 1.7%. So as a result of that, our incremental slippages, as I was saying, the trend has been downward. And last quarter, we had about 0.4%. So therefore, this trend we expect to continue because our restructured assets, which I would want to give you some numbers.

We had restructured micro banking portfolio of about INR 944 crores and we have collected almost INR 600-odd crores out of it. The book that we currently have is -- I'll just give the exact number. So the INR 222 crores is the book that we currently have, of which INR 110 crores is NP and fully provided. So we don't see too much of a risk in terms of the restructured portfolio. The credit cost would happen from the existing NPA moving to higher buckets because slippages are coming down. Existing, we have some NPAs which will move to higher buckets. And that's where we expect the credit cost to come from.

Shreepal Doshi: So just one sense, I think the last three quarters, our disbursements have been pretty strong. So how is the new book performing in terms of asset quality? And what is the steady state sort of business as usual credit cost that we are looking at from, say, FY '24 onwards?

Ashish Goel: So in terms of new book, we continue to have a 99.5% to 99.7% collection efficiency. On micro banking, which is our largest portfolio, about 85% of our book is new book, which was disbursed in the last four quarters. And therefore, the portfolio quality is quite stable there, 99.7% to 99.8% is the collection efficiency. Old book, which is about 7% of book, which is m

ore than two years' old, that has slippages and that accounts for whatever fiscal '23 has. In terms of credit costs, we will continue to see 100 to 150 bps in a normalized year.

Moderator: Thank you. Participants are requested to kindly restrict your question to two per participants. The next question is from the line of Harsh Shah from Dimensional Securities. Kindly proceed.

Harsh Shah: My first question is pertaining to the AUM mix. Since you are entering a very high interest rate regime, so is it a conscious decision on our part to maintain the MSI book at a higher level? Because earlier, we were guiding of 60% kind of contribution from MFI and 40% from non-MFI. So is that the thought process behind keeping the MFI book at higher level, because currently we are at around 70%?

Deepak Khetan: Harsh, it is not a factor of the interest rate scenario in the market. We have been mentioning over last couple of calls that given the micro finance industry coming off from a very bad two years, there's a very high credit demand which is there. And that is interim, while the other businesses start delivering very high volume in terms -- because anyway the micro finance portfolio for us is big. So it will take time for other businesses to start delivering in that absolute amount. So there's no such thought process on the interest rate cycle.
Ittira Davis: We are still committed in the longer term in the next three years to five years to balance that portfolio as we have indicated in previous calls. So that strategy remains intact. The focus is on growing the secured book also.
Harsh Shah: And second question pertains to the kind of asset, AUM growth we are seeing, we are guiding 30%. Then probably even after that, we will be higher double-digit. So what is the strategy on the liability side? How do we plan to catch up in terms of liquidity to maintain, to sustain that kind of growth? And when we tap the external borrowing market, so what would be your incremental borrowing cost on that side?
Carol Furtado: So I'll take the first question. We have not changed our strategy. We are going very strong on retail granular growth. And the same thing of having our customers segmented into various categories like the high net worth, senior citizens and having specific programs for that is still under traction and we are going ahead with that. We are also opening branches. One of the advantages that we have is on the interest rate, and we are taking a lot of -- we are getting good deposits from these customers across the segments. Our customer service and technology is also helping us do that. We are also working on a very strong branding for Ujjivan, and that is going to help us in accelerating our deposit growth. And the focus is also a lot more now increasingly on the digital.
Harsh Shah: And then incremental cost of borrowing?
Deepak Khetan: Incremental cost of borrowing right now what we would probably be looking at is not really a normal bank loan or term loan or something, probably we can look at a refinance facility or something. So that may not be very expensive, would be more or less where the current cost is there for the current cost of borrowings are there. It would not be very different from there. So we will get to know the final number when we get the facility, but would not be very different.
Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Kindly proceed.

Deepak Poddar: Sir, first off, I wanted to understand on the accounting adjustment you mentioned that the bad debt recovery is accounted in other income. So basically, other income and then the provision is kind of nullifying each other, right? So the PBT and PAT remains same, right?
Ramesh Murthy: Let me answer. This is Ramesh Murthy here. If you recall,

there was a master direction driven by RBI in August 2021, which again, they reverted to the original position in November 2021. So all what we have done here is that we have regrouped this after confirming to the RBI master direction, as always, which is why the recoveries from bad debt previously written off have been added to other income.
Deepak Poddar: And so just wanted to understand now the going forward other income -- because we are seeing a lot of variability, right? From INR 90 crores, INR 100 crores, it has jumped up to INR 150 crores this quarter. So going forward, if I have to, I mean, understand what should be the right range for other income? I mean, so some understanding on that, if you can provide?
Ramesh Murthy: Range is we cannot predict, because that depends on the recovery which we get. So, and Deepak has already mentioned that whatever we were having on the PSLC income, we have taken. And we don't expect that to be at the same level in the next half.
Deepak Poddar: So this INR 140 crores, INR 145 crores will reduce, right? Ideally, that recovery amount that has come this quarter will not come again in third quarter, fourth quarter?
Deepak Khetan: Deepak, I can say that there is no one-off on this other income. The only thing is what I already mentioned that the bad debt recovery depends on what kind of tools you have for bad debt recoveries. As we move forward, that pool will continue to shrink. So last quarter, we had INR 30 crores. This quarter, we have around INR 26 crores. And it's not too much of a difference, but there is some difference. And PSLC income is basically your book that you have. So we have booked around INR 25 crores of PSLC income in the first half. Second half, we will have some income, but we cannot say how much it will be there and which quarter it will be there.
Deepak Poddar: Fair enough. I got a hang of it.
Deepak Khetan: Rest, in other income, there is nothing else, which is a one-off. So these two items also will be there, but the quantum may be up and down depending upon the quarter and the overall business. That's it.
Deepak Poddar: And my second question, regarding your cost-to-income. I think you did highlight that you expect that to increase driven by branding exercise and infrastructure building. So I think it was about 53% this quarter. And overall, we are expecting below 60% for the entire year, right?

Deepak Khetan: So this quarter, it is 52%. And for the first half, it is 55%. What we are seeing is, again, we have taken a little bit of conservatism in the overall guidance like we have been saying. So overall, we are saying that comfortably below 60%, we will be there. And Mr. Davis has already mentioned that second half would be more or less similar to first half. So we do not see that 55% or 56% kind of a first half number as a challenge.

Deepak Poddar: Understood. Fair enough.
Deepak Khetan: One thing that we need to also see is the rate cycle, as the rates move up, the overall size of the P&L moves up with the income moving up, but the absolute opex does not move with the rate cycle. So that helps quantify.
Deepak Poddar: Correct. So the base effect you will get basically?
Deepak Khetan: Yes.
Moderator: Thank you. The next question is from the line of Abhishek Murarka from HSBC. Kindly proceed.
Abhishek Murarka: Congratulations for the quarter. So my question is on opex. Now when I look at your growth of 30%-plus, plus on the retail liability side, you're having to work with -- on granular deposits. On the other hand, you've not really added a lot of branches and your employees have actually, number of employees have actually come down in the last two quarters, three quarters. So how long can this sustain? As in how much capacity is there in the system to sustain growth before you have to add branches and employees more aggressively?
Ittira Dav

is: I think in our opening remarks we said the branch expansion is going to take place continue. In the second half, we'll add a few more branches. But next year, we'll be going back to a more normal branch growth plan. And obviously, with that, staffing will also grow. So those numbers we'll begin to look up. And yes, it will answer your question that with that growth we will be able to add to the granular growth of deposits.
Carol Furtado: And we will work on the productivity also. I mean, we've been working very hard towards getting our productivity levels up. And in a lot of our business verticals, it will surpass the industry standards.
Abhishek Murarka: Of course. So because your branch count hasn't really gone up much in the last few -- since 2020 because of all the pandemic-related issues in between, what would be a normalized branch addition? Let's say, to support a 30% growth, what kind of normalized branch and employee addition would you expect?
Ittira Davis: So we said because we also have a digital strategy, so what we had earlier is not a guidance for going forward. But I would say that this year, we are adding about 40, 45 branches this financial year. Next year, it could be a little bit more, could be towards the 75, 100 mark. But the numbers will keep shifting based on how our digital strategy presents itself because we believe that's very core to our digital strategy, and that is a cost contained strategy. So that is very important. So as that opens up and is successful, we will slow down the branch growth. But if that is not producing the deposit that we require, we will continue the branch expansion.
Abhishek Murarka: So sir, what I'm trying to gauge here is, is sub-60% a normalized cost to income level. So this year, I understand. But next year, a more normalized cost to income, would it be sub-60% or around 60%, how do we think about it?

Deepak Khetan: Abhishek, it will be probably much below 60%.
Abhishek Murarka: My second question is on credit cost. So I understand this year, again, sub-1%. But I believe you mentioned 100 to 150 bps normalized credit cost. Was that only for MFI or was that for, let's say, going forward?
Ashish Goel: So we were mentioning 100 to 150 bps for the bank as a whole.
Abhishek Murarka: For the bank as a whole? Okay. So in case your book doesn't require additional credit costs, would you still make that or would you, maybe this year you won't, but next year onwards, it gets back to 100, 150?
Ashish Goel: I didn't get the question, Abhishek.
Deepak Khetan: Abhishek, this year, we have not. When Ashish said, 100, 150, that was normalized the next year, not for this year.
Abhishek Murarka: No, no. Two edge. So 2H, if it is normalized, would second half also run at 100, 150 or this sort of kicks in next year in FY '24?
Ashish Goel: This is for next year. This year is a very exceptional year because we've done provisions in first and second quarters of last year and we are getting good recoveries this year. And therefore, you would have seen the bad debt recovery as well as the credit cost being very minimal in the first two quarters. We expect that this trend for the next two quarters will remain. However, next year onwards, those recoveries may not happen. So we would probably see 100 to 150 bps year-on-

year for as a normalized cost.
Deepak Khetan: And Abhishek, also for this year, our PCR currently is almost at 99% with a NNPA of just INR 8 crores. And INR 90 crores of floating provision is not being used to calculate this PCR. INR 30 crores of that INR 90 crores is in Tier 2 capital calculation and INR 60 crores is being put under other provisions, which can be any time moved back to NPA provision if required. So this year, actually, like Ashish has been mentioning calls-after-calls, this year would be a little below normal kind of a credit cost. Second half, we'll

see how the things move. If required, we probably doesn't look like anything, but we understand what you are coming from, whether we'll still go ahead and make some provisions. We haven't taken that call yet if additional provisions just to be on a safer side is required.
Deepak Khetan: But we'll continue to have about 1% as floating provision, that I think is sufficient for us to take care of any extraordinary circumstances.
Moderator: Thank you. The next question is from the line of Ashlesh Sonje from Kotak Securities. Kindly proceed.
Ashlesh Sonje: So a few questions on the individual loan book. That book has grown at a robust pace this quarter. Disbursements almost doubled Y-o-Y and up 35% Q-o-Q. So can you talk about what proportion of these IL customers would have graduated from our group loan product?

Vibhas Chandra: So yes, ILs has been our strategy one of the product in micro banking which is rare in the country. And the thought just -- the rule of the entire micro finance game changing with RBI policy coming, IL has become even more important, and we are focusing on IL. It is largely GL to IL graduation, close to 90%, and remaining 10% comes from the open market.
Ashlesh Sonje: So roughly 10% would be new-to-bank. And what proportion of IL customers would you say be new-to-credit?
Vibhas Chandra: For credit, negligible.
Ashlesh Sonje: And second question, again, on IL. So what would be your qualifying criteria for graduating customers from the group loan product to the individual loan product?
Vibhas Chandra: We see the customers repayment behavior in the group lending and also the repayment capacity of the customer. We also look at the data which is available in the market around the customers -- their MFIs and banks as well to assess customers repayment capacity. And based on that, we'll graduate customers into -- from GL to IL.
Ashlesh Sonje: Sir, more specifically, would you have any thresholds on experience with that customer, as in...
Vibhas Chandra: We normally graduate customers after two years.
Ashlesh Sonje: Any qualifying criteria on number of EMIs that he has paid with us so far?
Vibhas Chandra: So there are credit card area. But on an average, customers are graduated to IL after 24 EMI minimum.
Moderator: Thank you. The next question is from the line of Sharaj Singh from Laburnum Capital. Kindly proceed.
Sharaj Singh: Sir, my question is on the rate hike pass on. Are we looking to pass on any rate hikes to our customers? And do we see any pushback here?
Ittira Davis: On the asset side, we have done a rate hike in September of 50 basis points on the micro banking book. On the housing loan and the MSE, there is a fixed to floating conversion that we have from time to time. So those kick in also during this period. So on that basis, the higher interest rates on the book are brought in. And if necessary, we will look at the way in which rates are moving and look at further increases if required.
Sharaj Singh: Sir, actually I want to understand like given the segment and customers we deal with, how much of a rate hike can the customers actually bear? Is there some threshold we have?
Carol Furtado: In the MFI segment?
Sharaj Singh: Yes, in the MFI segment.

Carol Furtado: We have not received any pushback from the customers as of now. And we are quite competitive there. So we are not looking at a rate hike in the immediate future.
Deepak Khetan: And there are players who are much higher than us on the rate side. So that is not really something which is a much challenge here. It's more of a TAT and service and how you deal with the customer, which brings the customer back to you and the loyalty of the customer rather than the interest rate, because these are small tenures, small ticket size loans, so the EMI amount change is not s

omething that pinches the customers' pocket much, whether customer believes or would prefer RMs or ROs who serve them much better.
Carol Furtado: It's mainly the customer connect and how we service the customers that matters most to them.

Sharaj Singh: And on the deposit side, how do we look at the rate hikes? How much have we passed on so far? And how do we look at it in the current quarter or the coming quarters?
Carol Furtado: So we recently did a rate hike and we are yet to see the results of that. We did one I think sometime in September also. And I mean, in August, we did a rate hike and we got a good traction there. Recently, we did another and we are yet to see the numbers coming through.
Sharaj Singh: Can you quantify this, please?
Carol Furtado: Sorry?
Sharaj Singh: Can you quantify the rate hikes that you've taken in Q1 and Q2 together so far?
Deepak Khetan: We'll come back to you on the exact amount, but we can tell you that among our peers, we are not like we have the highest rate or something. We are in line with the peers.
Sharaj Singh: One last question. You mentioned there could be a way looking at in the borrowing mix, you're looking at some change with the term loans coming in. Could you explain like when can we look at the term loan expanding in the mix?
Deepak Khetan: So we mentioned that we would be looking for some refinance facility. What happened is, during COVID, we allowed our refinance facilities to dry down because we were sitting on very huge pile of cash as disbursements were not happening. And after COVID, once we have now got back into action and the business has started to perform, now we are looking at expanding or going back and taking those refinance facilities. So that is something that we are looking at. We wouldn't be able to comment on the timing and all of that.
Ramesh Murthy: It wasn't term loans.
Deepak Khetan: Yes, we didn't mention term loan. We said, in the Q2, we have already taken it. And that was a small facility, not a big one.
Moderator: Thank you. The next question is from the line of Raj Shom from Shom Partnership. Kindly proceed.

Raj Shom: So sir, it's a question, like I see that -- first is like a clarification. Did you just say that your deposit growth will be higher than 30% loan book growth for this fiscal?
Deepak Khetan: Yes, we did say that our deposits will grow faster than 30%.
Raj Shom: Now the question is this. Like, when I listened to the con calls of the other banks, it's clearly a fact like there is a war on deposits, on getting deposits. But when I listen to you and listen to the presentation, I didn't get that feel. So what is it, for example, like I know it can be a little bit of a base effect as well, but can you just give some more color as to why like it's very simpler for Ujjivan to get the deposits, whereas, let's say, for the other banks it's becoming difficult. So if you can just throw some color on this, sir?
Deepak Khetan: Raj, thank you for pointing it out, but I would say, it's not simpler for Ujjivan, there's a lot of hard work and strategy that has gone behind it and a lot of good execution that our teams on round has been doing. Couple of things which I think Carol have already mentioned to one of the questions earlier, is that one, we have not done much of branding yet, which we are now doing, which Mr. Davis also covered in his opening remarks. There's a lot of focus on digital, which is now taking shape in a good form. One is the Hello Ujjivan app which was launched. There was on the branding side, I would say that we did a good campaign on 15th of August. And the result of that was very good. It was a tactical campaign that we did on the Independence Day where a lot of ads were put on while the PM's speech was there. And we got very good feedback on that and a very good customer connect from there. We believe there will be a lo

t of
future tactical campaigns that we'll do. So, one that would be there, branch expansion, like Mr. Davis has been mentioning, that would be there.
A lot of training of the ground staff has been there. A lot of focus on the service quality is being put. So while the service quality is already good, there's a lot of improvement that we have been doing. There's a lot of investment in technology side which is there. Our renewal rate on FDs are improving. Our business from our existing customers, now that we have a good base of customers on the liability side that is helping us, that ticket size is increasing. So all these things put together for us is helping us and giving us the confidence that the growth in the liability would be much faster than what the growth in the asset would be.
Moderator: Thank you. The next question is from the line of Pritesh Bumb from DAM Capital Advisors. Kindly proceed.
Pritesh Bumb: Congratulations on a good set of numbers. Just two questions from my side. I see the average ticket size has dropped on the MFI book. So are we now starting to do incremental lending to new to bank customers and on the lower cycle customers, which I think during the COVID, we had more into higher cycle customers?
Ashish Goel: Yes, you're absolutely right. Last year, we were focusing on repeat customers, Q3 and Q4. The ticket sizes had indeed gone up because repeat customers were almost 90% to 92% of our overall disbursements. In Q1 and Q2, we have added about 4 lakh new customers, new to bank customers. And as you know, new to bank is in the range of 40,000 to 45,000, are in the range

of about 65,000. So that has brought down the ticket size. Currently, we are in the range of 54,000.

Pritesh Bumb: So incrementally, do you see or we get comfortable to continue to reduce this ticket size?

Ashish Goel: So it will be an outcome of the ratio of new to bank and repeat loan customers. We expect that the ratio that we currently have about 30 to 70, 30 new and 70 repeat, will continue in the next two quarters.

Pritesh Bumb: And a follow-up to that. Basically, the new cycle customers will be relatively higher rates is what we can assume compared to older cycle customer? Is that fair understanding?

Ashish Goel: No, there is no differentiation in terms of lending rates. So the rates are uniform. That rate is uniform.

Pritesh Bumb: And last question was, when we look at the share of mix between states of our MFI book, where are we growing incrementally? Because I would assume Tamil Nadu and Karnataka is almost at the upper range of your mix, right? So incrementally, which states we are growing by book?

Vibhas Chandra: So see our strategy from day one was to diversify in other states where we work and we work almost everywhere in the country except few states. And our share of like a banking portfolio is not more than 15%, close to 15% in state. So we have ensured that. At this point of time, I just see that as we mentioned in the last two earnings call also, that initially after pandemic ended, we were focusing on our existing customers as we were not able to serve many customers during pandemic.

And that is why the percentage of repeat loans were very high and that is why our ticket size was on the higher side in the previous quarter. As we have been able to serve the customers, we have moved to new customer acquisition, and that has led to the ticket size going down. But at the same time, if you see the growth, it is almost similar, not very different. Yes, there are some states where we see that overall industry level portfolio very high. But at the same time, our portfolio in these states are limited to 15%. And at the same time, there are states which have behaved much better during the pandemic like the Eastern part of the country, Bihar, U.P., Rajasthan, Gujarat, etcetera, where our branches are also not that

saturated, relatively new, and
we are seeing more growth there. At the same time, we all know that Assam, the industry is facing, see and there we are not growing at this point in time.

Second, in terms of ticket size, though the ticket size has gone down, but at the same time, we have an IL product program, where our ticket size is on the higher side. And with the renewed focus, we will be targeting GL to IL conversion more and we will be seeing IL percentage going up quarter-on-quarter going forward.

Moderator: Thank you. Ladies and gentlemen, the management would be taking last three questions. The next question is from the line of Yash Dantewadia from Dante Equity. Kindly proceed.

Yash Dantewadia: So my first question is regarding your branch growth plans. Which areas are you targeting? Is it urban, semi-urban or rural?

Carol Furtado: So in the branch growth plan, we are looking at both semi-urban and also Tier 2, Tier 3 cities are our focus areas. A few in the urban. And as a regulatory compliance, we need to also have 25% of our branches in unpacked rural areas, and that is something that we will also be growing.

Yash Dantewadia: Also, as we move towards normalized profitability, what I mean by normalized profitability is as we've already discussed in length, minus your additional collections and minus -- and a normalized provision, sorry, addition of normalized provisions, are these cycles that you kept in mind while saying that we are expecting the same profitability to carry on in the second half?

Deepak Khetan: Yash, we didn't understand the question. Can you please repeat?

Yash Dantewadia: I'll repeat it. As we're moving towards normalized provisions. This time the provisions were in minus because of collections. So when we move towards additional provisions, normalized provisions is what I mean, and when your other income becomes normalized, when your additional collections stop, is that what you meant when you said that we'll have similar profitability in first half and second half?

Deepak Khetan: What we said that bad debt recovery in the first half is good. And there has been a good amount of write-off that has been done in FY '21, FY '22 and first half FY '23, of that, roughly what we have collected in the last six quarters is a little over INR 100 crores. So we would have written-off INR 1,000-odd crores plus and we have recovered INR 100-odd crores or little more than that. INR 900 crores of that is still available from which we can recover. So based on how this book performed, the recovery will continue to be there. What we mentioned is, it's a kind of a cautious call that we have given that this number may, may not track the same trend. So they might be a little up and down depending upon the quarter and the economy and all that. On the provision side, I think Ashish had mentioned that the recoveries or the slippages are now more

or less slippages are more or less normal and recoveries given that the sustained collections are there and there is a strong collection effort which we continue to put, I think we have token a very good slide there where we put in how the collection team has been moving since the last 10, 12 quarters. So if you see that, that also gives a kind of a trend how the collection effort has been put. So with that, we believe that the collections would be good and there would not be much of slippage going ahead.
Yash Dantewadia: Could you also tell me how your cashless collection has gone from 16% to 22%? What is the process behind this?
Deepak Khetan: Cashless collection for us is, there are two parts. One is a direct, direct digital where the customer deposits through GPay or some other digital means, where we are not involved through our manpower or any form and the money comes directly to our account. And there is another mean where they come and deposit in our collection ce

nters where we have tie-up with the payment bank or some other fintech or where are -- and these two put together is 22%. There is another way where the CRO deposits the money into these fintech partners or the payment plan, which is another 35% or plus more of that.

Vibhas Chandra: So digitally payment is something though as our customers, large customers is micro banking. And one good thing that has happened out of the lockdown and pandemic is that both us and customers have learned to pay digitally. And due to pandemic only, we offset ourselves for all platform including all the wallet and on UPI, etcetera, to give option to the customer to pay it digitally as center meeting and movements were not possible. And we saw that customers responded and slowly our repayment on the digitally mediums are increasing. We have just launched Hello Ujjivan app for the micro finance segment. And with the help of the app, we are looking at increasing digital repayment quarter-over-quarter.
Yash Dantewadia: Also, this INR 250 crores floating provision that we've kept, it's written in the presentation that this is kept for extraordinary circumstances, right? So what kind of extraordinary circumstance you've been expecting in the future? Is it something like inflation or something else other than inflation?
Ashih Goel: Extraordinary circumstances is anything which is not in the normal course of business, like we had a pandemic about two years back.
Yash Dantewadia: So how long are you planning to carry this forward?
Ashish Goel: This is 1% of our overall book, which we plan to carry for some time till the time we see that there is probably no use for it. So we want to carry it at least for the next two quarters. And then based on whether we decide and RBI permits us, we will then take a decision on retailing it or withdrawing it.
Yash Dantewadia: Also, when you recently raised money at around INR 21 per share, you sold mostly to institutions. Can I know what was the subscription on the book? How much is it subscribed by, the book?
Deepak Khetan: Sorry, we cannot mention that as that's not a public information. What I can say that, there was a very strong demand from different kind of institutions, including insurance, mutual funds and a lot of large FIIs also. But beyond that, we cannot mention anything.
Moderator: Thank you. The next question is from the line of Darpin Shah from Haitong India. Kindly proceed.
Darpin Shah: So again on this loan loss provisions. In case, in FY '24 also we see a healthier collection efficiency of 99.5%-plus, and we don't require any additional provisions, will it be fair to assume that the...
Deepak Khetan: Darpin, I'm sorry. Darpin, Deepak here. Sorry to interrupt. Can you be a little more clearer. We can't hear you properly.
Darpin Shah: So my question was, assuming in FY '24, we see a superior performance in terms of collection efficiency, 99.5%-plus. So for our provisions then, will we create additional standard asset provision and create cushions for future or will we let it flow through in ROAs?

Ashish Goel: So Darpin, taking -- hiking standard asset provision really doesn't help in the long-term because, let us say, that there is an extraordinary circumstance like the pandemic when the NPAs went up to 10%, we continue to carry standard asset provision for the balance 90%. So that may not be a preferred strategy for us.
Darpin Shah: No, but keep on adding these provisions, won't it help in the longer run? Not only for MFI, but for other segments as well when we grow faster than the other businesses?
Ashish Goel: We will have to evaluate and create some kind of a countercyclical or a contingency provision if that is something that we have to think about. As of now, we are carrying about 1% of our book at floating provision. Bu

t whether another contingency provision or something else is also
required to be done is something that we haven't evaluated as yet.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments.
Ittira Davis: Well, thank you very much for all those who participated and joined us in this conference and also to IIFL for hosting it. Thank you. And we look forward to seeing you at the next conference.
Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2023

USFB/CS/SE/202 2-23/80
Date: February 0 7, 202 3

To,

National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

Symbol: UJJIVANSFB BSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 542904

Dear Sir/Madam,
Sub: Transcript of Earnings Call held on February 02 , 202 3
Pursuant to Regulation 30 o f SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnin gs/quarterly conference c all held on February 02, 2023 for the quarter and nine months ended December 31 , 2022 is enclosed herewith.
The same shall be available on the Bank's website at www.ujjivansfb.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED

Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework

Encl: as mentioned above

"Ujjivan Small Finance Bank Limited
Q3 FY '23 Earnings Conference Call"
February 02, 2023
MANAGEMENT : M R.ITTIRA DAVIS –MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER –UJJIVAN SMALL
FINANCE BANK LIMITED
MS CAROL FURTADO –CHIEF BUSINESS OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR.M.D RAMESH MURTHY –CHIEF FINANCIAL
OFFICER –UJJIVAN SMALL FINANCE BANK LIMITED
MR.MARTIN PS–CHIEF OPERATING OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR.ASHISH GOEL –CHIEF CREDIT OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR.VIBHAS CHANDRA –HEAD OF MICRO BANKING –
UJJIVAN SMALL FINANCE BANK LIMITED
MR.DEEPAK KHETAN –HEAD FINANCIAL PLANNING ,
STRATEGY &INVESTOR RELATIONS –UJJIVAN SMALL
FINANCE BANK LIMITED
MODERATOR : M R.ARASH ARETHNA –IIFL SECURITIES LIMITED –

Moderator: Ladies and gentlemen, good day, and welcome to Ujjivan Small Finance Bank Limited Q3 FY '23 Earnings Conference Call, hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Arash Arethna from IIFL Securities Limited. Thank you, and over to you, sir.

Arash Arethna: Yes. Thank you to the participants for joining and thanks to the management of Ujjivan Small Finance Bank for giving us the chance to host this call. From the management, we have Mr. Ittira Davis, MD and Chief Executive Officer; Ms. Carol Furtado, Chief Business Officer; Mr. M. D. Ramesh Murthy, Chief Financial Officer; Mr. Martin P. S., Chief Operating Officer; Mr. Ashish Goel, Chief Credit Officer; Mr. Vibhas Chandra, Head of Micro Banking; and Mr. Deepak Khetan, Head Financial Planning, Strategy and Investor Relations.

I'd now like to hand over the call to the management for their opening comments, post which we can move on to Q&A. Thank you.

Ittira Davis: Thank you. Good evening, and welcome to our Q3 Financial Year '23 Earnings Call. It gives me immense pleasure to share with you that we just turned six. This is our sixth anniversary. It is an important milestone for us, because today we serve 7.3 million customers through 607 branches and an employee strength of 17,000. These six years have been a mixed bag of learnings and achievements in our journey towards becoming a leading mass market bank. Q3 has been another good quarter for Ujjivan, as it marks more than 12 months of being profitable after a rough patch. Another update is, RBI extending my tenure as MD.

During this period of the extension, the Board would identify potential candidates and they would work with me for a smooth transition to take the Ujjivan journey forward. Coming to our Q3 performance, it was an all-around performance with strong disbursements, gross loan book growth, and an even better deposit growth. Collection continues to be good and credit quality has improved further. This quarter, even post-implementation of the new credit MFI norms, we disbursed INR 4,838 crores and almost another record from the previous quarter.

The system took a little while to settle down with the new norms but now all is back to normal. In fact, December '22 was the highest ever monthly disbursement for Ujjivan. Our gross loan books grew 5% sequentially to INR 21,895 crores after total write-off of INR 179 crores. While overall, all asset businesses performed well. You would have noticed a small decline in the MSE book. This is in-line with what we have been mentioning since the last two calls that we are adjusting our strategy there and we'll see growth once all changes are in place, and systems also upgraded for that.

Asset growth was outpaced by the growth of our deposits, which grew at 14% sequentially, registering the highest ever quarterly inflows of INR 2,806 crores. Growth in deposits is in line with our guidance of reducing the CD ratio and bringing it closer to 80%, in line with the rest of the banking industry. Our retail deposits grew 15% sequentially and CASA grew 10% sequentially in a market where most banks are witnessing negative CASA growth. I believe this underlines our efforts towards building a granular liability franchise.

On the asset quality, our collection efficiency continues to be around 100%, taking our PAR further down to 4.9% from 6.1% as of September '22. If you look for year-on-year improvement, it is around 1,000 basis points.

As of December '22, our GNPA is at 3.4% and NNPA is just 0.05%. Also, our SMA book, as well as restructured book have shrunk further indicating the reduced stress. The restructured book is now just INR 302 crores with collections, almost in line with the overall book.

On profitability side, our pre-provision operating profits stands at INR 389 crores with a PAT of INR 293 crores. NIM for the second — for this quarter was 9.4%. For the nine month period, our pre-provision operating profit stands at INR 1,074 crores with the profit-after-tax of INR 790 crores with the net interest margin of 9.6%. We expect Q4 '23 to be similar to Q3 '23.

Now an update on the merger with UFSL. As per the update published by SEBI on their website, basis our submission of scheme documents with the exchanges, the NOCs have been received from both the BSE and NSE on January 6th, and SEBI is in the process of seeking clarification from other regulatory bodies.

Further, Reserve Bank of India has given us notice to our application, which was uploaded on the exchanges last night. Once we are in receipt of the SEBI clearance, we will proceed to file the application with the NCLT. On submission of our application with the NCLT on receipt of their requisite regulatory and shareholder's approval, we will positively expect to get the proposal — the proposed merger completed by September this year.

Now just a little bit on the outlook for the year ahead and for the fourth quarter. Going ahead, we will be growing our presence, both physically and digitally. In Q3, we added eight branches, marking our foray into the new state Telangana. As of today, we have 606 branches, in fact, 607, we have just opened one this — today. And are looking to add more this quarter.

Financial year '24 branch addition would be close to between 50 and 70. Focus is to expand in deposit-rich catchment areas. In addition, as we have always maintained, we would look to add multiple connect points with our customers using technology as an enabler. Our digital initiatives are towards direct acquisition of liability and asset customers, FinTech partnerships, focus on our IBMB platform to generate more business.

Our Hello Ujjivan mobile app is the step in that direction. This has already had 60,000 downloads within a month. With this app, we wish to increase digital penetration among our mass market customers and inculcate banking habits. Also we wish to capitalize this asset to

disburse MFI loans with very limited human intervention and focus on digital collections as well.

The process will be tedious and gradual, but has high potential of benefits, like improved collection, productivity, and reduced opex. We also look forward to automate the processes and use RPAs to improve productivity and service quality. With our digital taking shape, we are also working on shifting customers to cashless alternatives. During FY ’23, we have invested on our digital capabilities like video banking, KYC, access management and others. These would also help us in our digital journey.

Micro banking continues to be well backed by strong credit demand, while we did see some hiccups in process due to implementation of the new MFI credit norms, but that is all settled down now and we are seeing good disbursements. We continue to invest in the business and look to newer avenues like QR code, cashless collection, BC partnerships, and others.

The micro and small enterprises, we are currently in a transition phase and investing and expanding our product suites and services to be more relevant to the semi-formal and formal segment. Also, we are upgrading our technology platform to serve the customers better.

The other businesses that we have, one is housing. We are pleased to say that we have crossed the INR 3,000 crore OSP this year for housing. Incrementally, we are focusing on semi-formal in Tier 2

and Tier 3 towns. We implemented a state-wise collection collateral policy and ROI metrics and recently — and increased productivity. Consequently, the business has turned profitable. And we have now opened a couple of new asset centers as well, where housing will be operating out of these centers.

Vehicle finance, our IT integration is in place. We look to scale up the business in the coming year, once this is fully operational. Currently, we are doing limited business, majorly with ETB MFI customers. Now we are looking to focus on the new to bank customers as well. Among other secured businesses, we are looking to scale up our gold loan business once the test marketing is completed and this will be done commercially across 50+ branches.

Also our NBFC lending business is doing well with Nil delinquencies. We are focusing on our fee income with the addition of new products like 3 in 1 account, NPS and mutual fund in FY ’24. We are confident that the new initiatives will start materializing in the second half of ’24 one by one and you will see this impact.

Overall, we expect to grow our gross loan book by about 25% in FY ’24. Given the increase in cost of funds, there would be some pressure on NIMs, which we would need to manage by focusing on increased CASA, especially the CA part of it through yield expansion. While we would continue to invest in the tech and digital platforms, as well as brand visibility, we would keep cost-to-income ratio under control. FY ’23 has been an abnormal year in terms of credit cost, abnormal, what I mean is very good year in terms of credit costs.

Next year we expect provisions to move up towards 1% on average gross loan book and recoveries though significant, this would be lower than financial year ’23. We would be able to share more details once we are — once we close the financial year. Dynamic, macroeconomic and geopolitical factors, along with inflation and rate scenario would be key monitorable items. However, given our business model and investment in various banking platforms, we are confident of a strong Q4 and a good fiscal 2024.

I’d like to stop here and request the operator to begin with Q&A. Thank you.

Moderator: First question is from the line of Renish Hareshbhai Bhuva from ICICI Securities. Please go ahead.

Renish Hareshbhai Bhuva: Yes. Hi, sir. And congrats on a great set of numbers. So sir, just two questions. One, on the deposit side, though the absolute deposit acquisition has been robust in the quarter. But when we look at the customer acquisition run-rate, which is roughly around INR 3 lakhs per quarter. So that had actually declined this quarter. So can you please throw some light on what is happening there in terms of the customer acquisition? Is there any particular channel, let’s say, a digital or any particular geography which is, you know, under pressure which is leading to the lower customer acquisition?

Carol Furtado: Hi, this is Carol. Thank you for your question. So what we are doing currently is that we are focusing a lot more on the quality acquisition, than over quantity and increasing the acquisition of higher ATS customers. And that's the reason why you see a slight dip there. But this is just a one off and we will be increasing our customer acquisition.
Renish Hareshbhai Bhuva: Got it. Got it. Thank you on that. So my second question is on the opex strategy side. So if we look at the last three, four quarters trend in terms of the AUM mix — the share of MFI has been going up steadily, which is in contrast to what we have been stated since our SFB journey of our asset mix. So sir, what would be the strategy going into '24, '25 in terms of the AUM mix?
Ittira Davis: Yes. I mean, that's a good question. I think we have outlined our longer-term strategy which is to build a balanced 50-50 between secured and unsecured. As I just mentioned, we are
dev

eloping several of our secured products, which will be launched into the market next year, that will help us. And we are also growing our secured housing and MSE portfolios. There are some system changes, which are taking place right now, which will help us to grow these portfolios faster.
So in the short-run, what has happened is that, post-COVID, we were more prepared with the micro-banking business as an overall to — to come out of COVID. So that is why it has grown faster. But eventually, the other businesses, the secured portfolios will have to catch-up and overtake in terms of rate of growth, but micro-banking will continue to be an important part of our portfolio. And as I said, eventually, in five years or thereabouts, we are looking at a 50-50 breakup between secured and unsecured debts.

Deepak Khetan: Also Renish, in the interim, as Mr. Davis mentioned, that the micro-banking portfolio is doing much better. We also need to see that the micro-banking portfolio is much more profitable also and giving us that kind of income that is required for the business to invest in all other businesses that we have.
Renish Hareshbhai Bhuva: Got it. Sir, just a last follow-up on the deposit side. What is the deposit rate hike we have taken, let's say, during the last three, four months?
Deepak Khetan: Come again, Renish. Which rate hike are you talking about?
Renish Hareshbhai Bhuva: Deposit rates, TD rates.
Martin Pampilly: So we have not taken any TD rate hike after November. The last we took was November and after that market has seen a decent amount of rate hike and we have not been taking rate hikes. We are still seeing very good flow on our liquidity side, our deposit intake, we just mentioned, Mr. Davis mentioned in his speech also, this quarter was very good in terms of overall deposit inflow. In fact, we got INR 2,800 crore of deposit inflow. And in January too, we saw very good amount of deposit inflow. So we haven't taken rate hike. And as of now, we are feeling — we feel comfortable with that…
Renish Hareshbhai Bhuva: So despite not picking the rate hike, we are seeing the incremental flows to be much higher. Fantastic. Thank you. Thank you.
Ittira Davis: We took the rate hike in November, but we are happy with that hike. We're not chasing to look at anymore hikes in the near-term. So we will watch the market. But what we did in November was adequate for us.
Renish Hareshbhai Bhuva: Got it. Because, in December, January actually the rate hike gathered pace. So just one thing we have not yet taken that rate hike, despite that we are able to garner before deposits. Okay.
Deepak Khetan: Yes, we have not participated in that change of December, January. So whatever we did in November has helped us get the deposit rate going — deposit garnering going.
Renish Hareshbhai Bhuva: Got it. Got it. That's it.
Moderator: The next question is from the line of Shreepal Doshi from Equirus.
Shreepal Doshi: Hello, sir. Good evening and thank you for giving me the opportunity, and congrats for the good set of numbers. Sir, the first question was for the micro individual loan category. So wanted to understand, when do we, is it only focus towards captive customers, captive GLG customers? And secondly, after how many cycles of being in the GLG cycle do we shift the GLG customer to individual category?
Vibhas Chandra: So, hi, thank you for the question. Individual loan is something which is we offer to our customers after completion of one GL cycle, but largely, we have seen that customers opt for

individual lending generally after two or three cycles. This is answer to your first question. Second is?
Shreepal Doshi: 90%.
Ashish Goel: Yes. 90% of our customers in individual loans are the one who graduates from the home loans.
Carol Furtado: Yes, its existing cus

tomers.
Ashish Goel: Existing customers, largely they are existing customers.
Vibhas Chandra: So yes, we have put up for both the active customers, as well as open-market customer acquisition. But we have — largely focus on our internal customers as we have a large customer base. So more than — close to 95% customer acquisition happens through graduation of GL customers.
Shreepal Doshi: Okay. Got it. And sir, how is the process for this, like the disbursements and collections for this happens through the same channel or do we have a separate — like separate channel or separate channel for this particular business?
Vibhas Chandra: So yes, the entire acquisition process for GL lending. GL lending is something which is very old in Ujjivan. We have been doing GL lending business for last about 12 years. And process is — the product and process is that, as far as Ujjivan is concerned. The entire acquisition process and collection process is separate from group loan business. The customers who graduate to IL, the underwriting mechanism is very, very different which is they are in group loan. And apart from that, we have completely independent credit team right from the field to the top, which is — which has no relation with the business team and a great team besides upon ticket size and customer acquisition of GL lending customers.
As for our repayment concern, we offer different mediums and different channels for repayment, including UPI payment, SI payment, ACS payment and all other digital mediums which is possible for our customers to use. Apart from that, they can also — they are also welcome to center meetings as well as branches for repayment.
Shreepal Doshi: But, sir, here the model will be monthly, right? They will be paying monthly EMI sort of a model, right?
Vibhas Chandra: We offer frequencies but generally, we have seen both in group loan as well as individual lending customers generally opt for monthly as it is convenient.
Shreepal Doshi: Got it. So the second question was with respect to MFI book only. So after — once a customer has defaulted and we've written him off from the book, how much of the cooling time do we give to the customer that we can again sort of bring him on board? Or so do we have a strategy there or do we have a line of action there? Once we have written off a customer, can we again onboard him after six months or 12 months of a time period?

Ashish Goel: Shreepal, we have consciously not taken on board any customers who we have written off in the past. They are not in the qualifying list for acquisition.
Shreepal Doshi: Even if it has been written off by somebody else, so even in that case, we don't onboard such a customer.
Ashish Goel: Yes.
Shreepal Doshi: Got it, sir. Got it. Sir, the third question was we acquired 2.3 lakh new customers during this quarter. So what percentage of them were new to credit customer for us?
Ashish Goel: Approximately, 60:40. 60% are customers who had tracks with the industry, and about 40% turned into credit.
Shreepal Doshi: Okay. And, sir, during this quarter, disbursements, so in the MFI piece, what were to the existing customers and what were to the new customers? Like what percentage?
Ashish Goel: So about 35% to 40% is disbursements to new customers, the NCA, and between 65% to 70% are existing Ujjivan customers.
Shreepal Doshi: Got it, sir. The last question was if you could give details of the movement of NPA, that is what was the gross slippage, recoveries, upgrades? Write-off you've already given in your filing.
Ashish Goel: So on upgrade for the quarter, it was about INR 97 crores, which is about 10% of the gross NPA that we were having. And these slippages was about 0.5%.
Shreepal Doshi: Okay. Got it, sir. Thank you, sir, and good luck for the next quarters, sir. I'll come in the queue if I have more questions. Thank you.
Moderator: The next

question is from the line of Gautam Jain from Gcj Financial Advisors. Please go ahead.
Gautam Jain: Good evening, sir.
Deepak Khetan: Good evening.
Gautam Jain: Yes. My first question pertains to your cashless collection, which is rising every quarter. So can you throw some light on it? What is it leading to such a high or increase in cashless collection? And what — any target we have in mind that we can reach to that level, just your thought on that?
Vibhas Chandra: Yes. So it all started during pandemic. Before pandemic also we were trying, but pandemic was a time when even customers started to learn. And we also learned that we have to provide different channels of repayment as during pandemic even we were not able to move into the field and for the collection. So during pandemic we developed various channels, digital channels through which customers can repay their EMI. And so take example of all the wallets, UPI payment, SI and ACH. These all models we established during pandemic and customers also adapted, and we saw a huge jump in cashless repayment from the customers. Looking at the

success, we have also developed a mobile application, especially dedicated for micro-banking customer segment, which we call Hello Ujjivan, where customers can use it conveniently to repay our EMI and do many other things as far as banking is concerned.
So today, about 26% customers pay us digitally. This not only is convenient for our customers, but at the same time, it reduces your opex as well. As far as long-term numbers are concerned, we are looking at first looking at the milestone of 30%, but the data which is available in the market, that says that close to 40% to 45% customers at this point of time have smartphones, and we are targeting these customers in the next financial year, and this number will gradually increase. So we are looking at gathering more and more customers into a digital repayment so that the entire process of collection becomes much more inexpensive.
Gautam Jain: And which channel they use the most? I mean, Google Pay, G-Pay, or I mean.
Vibhas Chandra: It is — UPI is first, and followed by SI and ACH.
Gautam Jain: Okay. And my second question is, Mr. Davis has talked about the FY ’24 to be a good year and credit cost to be around 1%. Can you also guide about what growth we would like to have in 2024 and what kind of cost-to-income ratio we want to achieve next year?
Deepak Khetan: Gautam Bhai, we’ll come to that when we — as Mr. Davis mentioned, towards the close of the fiscal. Right now we can say that the broad growth guidance will be 25% and credit cost would be around 1% and we will keep a good tab on the cost-to-income ratio. This year, nine months is around 55%. Probably, we will be around that range only when we close the year, more or less. We will keep a very strong tab on the cost-to-income ratio. We will not want that to go up from where it is.
Moderator: Thank you, Mr. Jain. May we request that you return to the question queue for follow-up questions. We’ll take the next question from the line of Shailesh Kanani from Centrum Broking.
Shailesh Kanani: Congratulations, sir on a good set of numbers, and thanks for the opportunity. Sir, my question is respect to comparative landscape on the industry side. Are we facing any competition or are there any pressure on yields?
Deepak Khetan: Overall, see, for industry-wide, there is a lot of banks, what we are seeing is there’s a lot of pass-on that most of the banks are doing in terms of the interest rate hike. In fact, we have not been doing that, for example, in micro-banking, while peers have passed on a lot of rate hike, we have only taken a 50 bps rate hike so far. Even in housing, like Mr. Davis mentioned, it is linked to EBLR, the increased rate that we have done for the new disbursement is around 90 to 100 bps. We have not passed on yet.

So we still have that up our sleeve that we will be able to do a little bit of a rate hike, and that’s what he mentioned in his speech also that for whatever cost of fund hike is there, we’ll have to see how we increase our yields going ahead.
Shailesh Kanani: We are not passing on as of now. But…
Deepak Khetan: As of now we’re pretty comfortable where we are, and we see that as a buffer in our hand.

Carol Furtado: We are closely monitoring the situation, and we will take the calls at the right time because right now, we are in a comfortable situation.
Shailesh Kanani: *********
Moderator: Your audio is breaking from your line, sir. Please repeat your question.
Shailesh Kanani: So I was asking the same thing on TD rates. On deposit side as we are seeing good growth, I’m not seeing any pressure on that as well, right?
Carol Furtado: Not at the moment. We are able to hold onto to the rates.
Shailesh Kanani: Okay, sir. And sir, one last question. We are entering into new geographies. So can you just outline some strategy on that? Or how we approach to a new state, the credit culture over there and what is our basic premise of entering into a new state?
Carol Furtado: Okay. So we recently entered Telangana and we went ahead with the liabilities front. Our branches are more into retail liabilities. We will also be setting up the housing and the MSE teams out there. We are seeing a very good garnering of deposits happening in Telangana. We’ve opened four branches at the moment.
Moderator: Thank you. Mr. Kanani, may we request that you return to the question queue for follow-up questions. The next question is from the line of Sharaj from Laburnum Capital. Please go ahead.
Sharaj: Hello, sir. Thanks for the opportunity. My question is on the MSE lending side. What is the new strategy? We’ve tried this a couple of times, but we’re not even successful. So what is the right to do-- and what are we targeting?
Carol Furtado: So on the MSE side, yes, I mean, we did speak about revising our strategy. We will be focusing a lot on the shorter tenure products in the strategy, going-forward and also our customer segment will move towards the semi formal and the formal segment. So this is something that we’re working on. And also we have launched the product called Prime LAP for our customer

segments for the longer-term loans. And this would be facilitated also to a large extent through our growth in FinTech partnerships.

Sharaj: So what would be a right to win here is what I'm trying to understand. Essentially, I mean, it's a new customer segment we're going after, new market entirely. So like, what is it that we'll be able — what is it that makes you think like we'll be able to succeed here? Like, what is it that we'll be doing differently?

Carol Furtado: I didn't get your question.

Deepak Khetan: Sorry, could you just repeat? It was not clear

Sharaj: Yes, sorry. The entire market segment, as in the customer profile, the businesses all will be different now, right? So what is it that will give us our edge here to succeed?

Carol Furtado: So we have always been in the semiformal segment, but we are going to focus a lot more in the semiformal segment. We have moved out of the informal segment. Our USP would continue to be customer service and technology would play a very important role for these customers.

Sharaj: Okay. And in the ticket side, you mentioned this time for the MSE lending, it's gone up from INR 20 lakhs to INR 40 lakhs and MSE fintech lending. So what is the difference here?

Deepak Khetan: So the fintech lending was short-term build discounting accounting kind of a product where the ticket sizes were very small and the tenors were also very short. So since we have discontinued that product for the time being, the difference is that our core lendin

g book, the ticket sizes have not moved up significantly.

Moderator: Thank you, Mr. Sharaj. May we request that you return to the question queue for follow-up questions. The next question is from the line of Deepak Thakran from 1729 Advisors. Please go ahead. Mr. Thakran, your line is in talk mode. Please go ahead with your question. Mr. Thakran, please unmute your line from your side if muted. As there is no response from the current participant, we'll move onto the next question from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje: Hi team, congratulations. A couple of questions from my side. Firstly, on the deposit front, we have seen quite robust growth there, both on the savings accounts as well as retail term deposits. And I believe that TD rate has been increased by only about 40 basis points since September. So what exactly has worked for us in terms of our strategy to garner deposits here? If you can elaborate on that, please?

Carol Furtado: So I think what has worked for us is, of course, the interest rates, but I think this has also been supplemented with our customer service where we have been able to provide relationship banking services to our customers, getting a lot more granular. And also, we have seen the digital working well for us. We have also introduced the cash management, QR. And we have taken on a lot of efforts to increase the marketing activities in the local areas of our branches. And we have done two major all India marketing activities on newspapers, press, TV that has got us a lot of customer leads. And on the other side, we have also worked a lot on increasing the productivity of our staff. And this has also — again, we have done very thorough workshops with our branch managers and training to our sales teams. All these, put together, I guess, has increased the deposit base.

Ittira Davis: You might have seen us also in the New Zealand match yesterday, our advertising. We were all over the place. So branding has become very important.

Ashlesh Sonje: Okay. good to know, sir. Sir, would you say we would have added more to the sales staff on the liability side during the quarter?

Carol Furtado: We've not increased our sales staff.

Ashlesh Sonje: Okay.

Deepak Khetan: If you see, our overall employee count has not gone up significantly. So not much of addition has been there.

Carol Furtado: In fact, it has gone down.

Ashlesh Sonje: Perfect. Thanks, mam. The second question is on the.

Deepak Khetan: See, I think we would be adding a bit now with the new branches and even in the existing branches, we have identified few branches, which has much larger potential. So there we would be adding, and you will see the benefit of that coming in.

Ashlesh Sonje: Okay, thanks, Deepak. And secondly, on the individual loan book within MFI. Can you talk about the range of ticket sizes that we offer and the tenors offered in that segment?

Vibhas Chandra: So our range is INR 51,000 to INR 3 lakh, and it depends upon how many cycles customers are with us in GL and then IL as well. As far as their average ticket size is concerned, all the customers that we have lent, it is close to INR 1.2 lakh. And these are the two questions you had?

Ashlesh Sonje: Tenor?
Ittira Davis: Because we are now moving, we also offer customers tenure of two to three years as well, which is maximum. Our average tenor is close to 26 months.
Ashlesh Sonje: Okay. Perfect. Sir, if I may just squeeze in one last question on the slippages front. Can you clarify what the actual slippage number was in rupee terms and what is the way for accounting slippages? So let's say, a loan slips into NPA in the month of October but recovers in the same quarter, let's say, in the month of November. Would that be counted as a slippage the way you report it?
Ashish Goel: So our overall slippage number was INR 110

crores, these were net slippages. So there is an upgrade also which gets reported in the same quarter. So slippages and upgrades are netted off. So overall, I would say that the net slippage was about INR 14 crores for the quarter.
Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.
Deepak Poddar: Yes. Hello, sir. Congratulations on a good set of numbers, sir. Sir, just wanted to understand — just one question I have. So in terms of rate hike, you mentioned, since November, we have not done any kind of rate hike, right? And this last cycle, we have not participated, right? So any plans for further rate hike that might be on the cards? So any thought process would be helpful.
Carol Furtado: Not at the moment, but then we are closely watching the situation, and we will take the call as and when it is required.
Deepak Poddar: Because you did say that next year, we are expecting some pressure on NIMs, right? So.

Ittira Davis: I just want to add. See the thing is that when we did make the rate hike, we did a good rate hike that we didn't have to keep adjusting 20, 30 basis points here and there. So we realized the cycle in which or the rate at which the markets and interest rates were moving, and we took a bold step in November, and we have held on to that.
Now going forward, if the Central Bank or the Reserve Bank of India continues to increase rates, then we have to watch that very carefully. So we are watching and we will do what it requires to keep us in the forefront of the deposit growth. So NIMs — yes, when NIMs are being squeezed, we also have to look at the lending side. And as I said, there is a potential that if the RBI raises interest rates, we may look at having to raise the lending rates as well because the lending rates on the micro-banking book, we have raised only once since September by 50 basis points, and we have not done anything else after that. So we have an opportunity to see if the rates go up and continue to go up, we may have to raise the lending rates as well.
Deepak Poddar: And in terms of pressure on NIMs, so what sort of basis point would be comfortable with? I mean, in terms of NIMs compression, if at all next year we can see. I mean, 20, 25 basis point, would that be comfortable for us to kind of absorb and not go for the rate hike?
Deepak Khetan: Deepak we will talk about more financial data about next year when we come back in the fourth quarter. Also, one more thing I'd like to add on the rate hike on the TD side. Our liquidity currently is quite good and we believe we are quite well placed for this quarter disbursement, even for the fourth quarter, which is generally expected to be a little higher compared to the other quarters. So we'll see how and what kind of rate hike is required.
Moderator: Thank you, Mr. Poddar. May we request that you return to the question queue for follow-up questions. The next question is from the line of Deepak Thakran from 1729 Advisors. Please go ahead. Mr. Deepak Thakran, your line is in.
Sanjay Pandit: Hello, can you hear me?
Ittira Davis: Yes, Deepak. Hi.
Sanjay Pandit: This is Sanjay Pandit here from 1729. Just a quick question. What is your run rate long-term.
Moderator: Your audio is breaking from your line. Please check.
Sanjay Pandit: Sorry. I have one question. What is your long-term return on assets and return on equity estimate/target as you look at your business across cycle? And the second question is by when do you think the reverse merger with Ujjivan Financial will be completed?
Deepak Khetan: Deepak on the longer term sustainable ROA is that what you are asking for, we believe. In this kind of a business is 2.25% to 2.5% kind of a sustainable ROA is easily manageable. And yes, and with a few years being exceptional like current year was a good year for us as an exception. So we are hav

ing that 4% kind of a return. And ROE is largely a factor of your what kind of capital adequacy you are maintaining.

So, given this year was a very — this year is after a rough patch, so we are maintaining a high capital adequacy, this wouldn't be the case. So our ROEs will accordingly adjust as the capital adequacy move. Industry-wise, I think capital adequacy for SFBs is around 20% — 20% to 22%.

On your reverse merger question, we have mentioned in our press release also, and Mr. Davis
covered in his speech also that we are awaiting a SEBI approval on the application that we have
made, and then we will move to NCLT. With all the other regulatory approvals and all, we
expect the process to close by September ’23.
Sanjay Pandit: Thank you very much. Congrats on a good quarter.
Deepak Khetan: Thank you, Deepak.
Moderator: The next question is from the line of Bhuvnesh Garg from Investec Capital.
Bhuvnesh Garg: Yes. Hi, sir. Thank you for the opportunity. Sir, I would like to know what would be the number
of active customers in group loans? And how it has moved in last three, four quarters?
Deepak Khetan: So our active micro-banking customers which I have off-hand is around 34 lakhs and it is up
25% YTD.
Bhuvnesh Garg: 25% YTD?
Deepak Khetan: Yes.
Bhuvnesh Garg: Okay. That’s it from my side. Thank you, sir.
Deepak Khetan: Thank you.
Moderator: The next question is from the line of Yash Dantewadia from Dante Equity.
Yash Dantewadia: Hi, sir. Good evening. So my first question is regarding the floating provision. When are you
planning to write back the amount to outlook? And what’s the thought process behind this
provision now? Because COVID is done I think. So I want to understand this first.
Ramesh Murthy: Hi, this is Ramesh Murthy here. Floating provision is governed by RBI norms. So it really
depends on when the Reserve Bank of India allows us to take a call on floating provision. We
have represented this matter to Reserve Bank of India and we are waiting for a response. So we
have to just wait till RBI comes back to us, because this is under a regulatory guideline.
Yash Dantewadia: Okay. And my second question is, your H2 guidance was similar to H1 guidance, which was
IINR 500 crore. Would you like to upgrade this guidance to maybe INR 600 crore now because
of how the quarter 3 went?
Deepak Khetan: We just mentioned, Q4 would be more or less similar to Q3 in our speech, opening remarks.
Yash Dantewadia: So, your H2 guidance would be 600, right?

Ittira Davis: 600, yes, it is okay. And one more thing on the floating provision, it’s good to have a little bit of
floating provision, a little bit of extra cushion on your balance sheet.
Yash Dantewadia: Sir, my last question is regarding the secured and unsecured book ratio. You said you want to
take it towards 50-50. By when do you see this happening?
Ittira Davis: Yes, we have a broad timeline for about five years. And within five years, we’d like to see this
there. So from the next financial year, you will start seeing the unsecured book coming down a
little bit at a time till it reaches 50-50. When I say five years, I’m talking about ’28, ’29 in that
range.
Moderator: The next question is from the line of Ayush Vimal from Clearview Capital.
Ayush Vimal: Thanks for taking my question. Mr. Davis suggested that the share of secured book will actually
go up from 28% to 50% over the next five, six years. I just wanted to understand the impact of
this on the NIM over the long-term and the return on assets?
Ittira Davis: Yes. I mean, definitely the pricing on the secured book is lower than the micro-banking book.
But we hope that the credit quality and other aspects will also enhance - the longer-term return
on assets will be around the 2%, 2.5%, which is what we expect. And also the return-on-equ

ity
will have to be in line with what we are expecting from the market for this sort of thing. But the
main thing is that, we build a balanced book and the risk is mitigated through this process.
Ayush Vimal: Thank you. And the next question I had was on the strategy that you’ll be entering the gold loan
segment sometime next year to shore up the secured book. Given that this segment is under
intense competition at present, and there’s lot of yield compression in banks entering the space,
just wanted to understand the rationale for entering the segment at this point in time?
Vibhas Chandra: First thing is that we have entered into gold loan market. We have launched it in some branches,
and we are testing, and we intend to start operation in about close to 50 branches next financial
year. You are right that the competition is intense in gold loan, but at the same time, we see that
in our micro-banking customers, the overlap is close to 10% to 11%, and that is a huge number.
And we see that our customer is in demand of gold loans and because we are giving loan, we
are also trying to offer them gold loans.
Apart from micro-banking loan, we have other customers also in the branches, including branch
banking, MSE and housing, there also we see demand. And looking at the customer demand
with an in-depth survey with the customers and even open market customers, we decided to
enter into gold loan market business. And this will allow customers to take a one-stop-shop kind
of solution where they can get all kind of loans that they need from us. At the same time, it will
also help us increase our secured loan portfolio, which we target to reach 50-50 in the next five
years.

Carol Furtado: And in addition, we will be launching this product in identified geographies, where we believe that it makes sense for us.

Moderator: Thank you, Mr. Vimal. May we request that you return to the question queue for follow-up questions. The next question is from the line of Sarvesh Gupta from Maximal Capitals.
Sarvesh Gupta: Sir, most of my queries are answered. Just one thing, like this quarter we had a Q-o-Q growth, but somehow the other expenses sort of made us not grow the pre-provision operating profit. So are there any one-offs related to the tech or some other initiatives that we have taken, which are expected to taper off in the coming quarters or this is business as usual?
Deepak Khetan: You are talking about other opex, right?
Sarvesh Gupta: Yes. I mean, you did grow your book on a quarter-to-quarter basis, but your pre-provision operating profit did not grow. So are there any one-offs related to the expenses also in the P&L, which are starting to sort of build-up?
Deepak Khetan: One thing that was there last quarter was a PSL income of around INR 14 crore, which is not there this quarter. PSL income doesn't come every quarter. It comes like in blocks when we sell the certificate and take that income. So last quarter, that income was there. This quarter, that income is not there. To some extent, the finance cost has gone up because of the rising interest rate as you have been listening on the call. Other opex, there have been a little bit of a marketing spend that we have done, a little bit of an investment that has gone in, for example, Mr. Davis mentioned in his speech also like one of the avenue on the micro-banking side is QR code, so little bit of investment has gone there. So all those investments, a little bit of branding and all that has put that other opex at INR 217 crore. Other than that, there is no one-off item in the other opex. But yes, on the income side, that income is not there versus Q-on-Q if you are comparing.
Sarvesh Gupta: And this long-term ROA sort of a thing that you're looking in the range of 2%, 2.5% seems to be pretty low compared to where we are already at 4.5-odd-percent because it would mean essent

ially that even if you are going to double your asset book in three years, perhaps with 25% growth, you will still be at the same level of profit after tax or something like that. So is that overly conservative guidance? Or what is leading to this sort of a number?
Deepak Khetan: So what we said as a sustainable ROA. The question was the sustainable ROA in this kind of a business. This year, as you are aware, the credit cost is almost negligible and the bad debt recoveries are quite high. That has increased or that has skewed the ROA this year towards on a higher side. But a long-term sustainable with all the changes that you're talking about, the ROAs sustainable should be around 2.5 percent.
Sarvesh Gupta: Understood. And what kind of cost-to-income that you are targeting? Any guidance on that?
Vibhas Chandra: We'll come with more details number — detailed numbers when we come towards the end of the quarter — end of the fiscal.
Moderator: Thank you. The next question is from the line of Vivek Gautam from GS Investments. Please go ahead.

Vivek Gautam: Yes, congratulations on good set of numbers, sir. Basically, [inaudible 0:53:54] after giving very good numbers post listing and somehow we when - the bad phase, our good performance was not the same. So besides, COVID, what were the factors which were there, and what have been the key learnings and how sustainable is our business now and any concern you still have, sir?
Deepak Khetan: We couldn't quite follow your question, there's a little bit of a background noise.
Vivek Gautam: Basically the question was that…
Moderator: Mr. Gautam, the audio is breaking from your line. Please check.
Vivek Gautam: Yes. Just wanted to understand the reasons behind the improved performance of late, and is it sustainable, particularly in view of the — we went through a bad patch post-COVID. COVID was one of the major reason. What were the other reasons, sir?
Ittira Davis: Yes, the bad patch which we went through in fiscal year '21, '22 was primarily due to COVID because we recognized many of our customers were affected by the COVID conditions, and we had to recognize and make provisions for that. So that was what we did and followed all the accounting and RBI guidelines on that front. Now that is behind us. We are turning around. And this year, we have had fantastic recoveries. Our collection team and our credit team have worked extensively with our customers. And what we are seeing is perhaps second to none in the industry, at least definitely in the small — SFB space.
So I think that is helping us. Now, this cannot — this is a very unique situation. And when we come to a more normal environment next financial year and beyond, the things will be different. And we'll be operating at a normal thing, not at current levels of profitability. It will come more normal profitability. But we expect the business to continue to do well and go back to what we

were doing pre-COVID days in terms of how we were operating at that time. Our profitability was good, and the business was doing well. So I think when we get back to normal conditions, that is what we are aiming for.

Vivek Gautam: And, sir, one more thing, sir. In the current rising interest rate scenario, how will be our performance been and what can be the impact on the credit growth, sir?

Ittira Davis: Maybe the interest rate environment, so far we are not seeing a problem with loan growth. And that, I think, is not just us, the whole industry is continuing to see because we are coming out of COVID and there is a demand for credit. So I think that will continue into next year as well. Now if interest rates continue to remain high throughout next year, then we'll have to see how to address that situation. But the whole industry is expecting a turnaround or a decline in interest rate to start sometime in the second half of the financial

year, definitely. So once that happens, I think the credit demand will continue to be sustained.

Moderator: Thank you. Ladies and gentlemen, we'll take the last question from the line of Tushar Sarda from Athena Investments. Please go ahead.

Tushar Sarda: Yes, thank you for the opportunity. I just wanted to understand your normalized profit. So you've got PPOP of INR 389 crores this year, which has INR 30 crores miscellaneous income or bad debt recovery, which I assume will not recur in a normal year, right? Right now, we have lot of NPA. So it may continue for a year or so. But after that, it will taper off. Is that assumption correct?

Ashish Goel: True, that's right. So bad debt recovery is something because we had a lot of bad debt accumulation last year. So recovery process and our investment into the collections infrastructure has given us some very good result this year. But over a period of next four to six quarters, obviously, this number is not going to sustain.

Tushar Sarda: And you allow credit costs coming in, we're guiding for 100 basis point on the gross number?

Ashish Goel: That's right. That is right.

Tushar Sarda: And what would be the tax-rate, one should assume 25%?

Deepak Khetan: Yes.

Tushar Sarda: That's it from my side. Thank you very much and congratulations on a superb set of performance.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Ittira Davis: Well, thank you very much. I appreciate the time all of you have taken to join us and participate in this discussion and conference. I'd like to thank our partners IIFL for organizing this, and appreciate the support that they've given us. Thank you very much and have a good evening.

Moderator: Ladies and gentlemen on behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us and you may disconnect your lines.

Call: May 2023

USFB/CS/SE/202 3-24/22
Date: May 15 , 202 3

To,

National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block G, Bandra Kurla Complex,
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Mumbai – 400 051

Symbol: UJJIVANSFB BSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 542904

Dear Sir/Madam,
Sub: Transcript of Earnings Call held on May 11 , 202 3
Pursuant to Regulation 30 o f SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnin gs/quarterly conference c all held on May 11 , 2023 for the quarter and year ended March 31, 202 3 is enclosed herewith.
The same shall be available on the Bank's website at www.ujjivansfb.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED

Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework

Encl: as mentioned above

"Ujjivan Small Finance Bank Limited
Q4 FY '23 Earnings Conference Call "
May 11, 202 3

MANAGEMENT : MR. ITTIRA DAVIS – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – UJJIVAN SMALL
FINANCE BANK LIMITED
MS. CAROL FURTADO – CHIEF BUSINESS OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR. MARTIN P S – CHIEF OPERATING OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR. VIBHAS CHANDRA – HEAD OF MICRO BANKING –
UJJIVAN SMALL FINANCE BANK LIMITED
MR. DEEPAK KHETAN – HEAD FINANCIAL PLANNING ,
STRATEGY & INVESTOR RELATIONS – UJJIVAN SMALL
FINANCE BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY '23 Earnings Conference Call of Ujjivan Small Finance Ba nk Limited hosted by IIFL Securities. We have with us today Ittira Davis, MD and Chief Executive Officer; Carol Furtado, Chief Business Officer; Martin P.S., Chief Operating Officer; Vibhas Chandra, Head of Micro Banking; Deepak Khetan, Head, Financial Pla nning, Strategy and Investor Relations.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ittira Davis, MD and Chief Executive Officer from Ujjivan Small Finance Bank. Thank you , and over to you.

Ittira Davis : Okay. Thank you. Good evening, everyone and welcome to our fourth quarter FY '23 earnings call. Hope all of you are keeping well. Fourth quarter not only was a successful quarter by itself, but also marks Ujjivan crossing several milestones along its journey of becoming a leading mass market bank and setting new benchmarks.

Some of the milestones we crossed are quarterly disbursements of INR6,001 crores, up 23% year-on-year and 24% quarter -on-quarter. So, this is a crossing of the INR6,000 mark. Yearly disbursement of INR20,037 crores, up 42% year -on-year. This is the first time we have crossed the INR20,000 mark for the year. Total deposits at INR25,538 crores, up 40% year -on-year and 10% quarter -on-quarter. And again, anot her landmark or another milestone crossing the INR25,000 mark.

New benchmarks on profitability side. Our quarterly profits crossed the INR300 crores mark at INR310 crores for the fourth quarter and INR1,100 crores mark for the full year at INR1,100 crores. This makes us the second most profitable small finance bank, as well as the second most profitable player in the MFI business. We launched our visual voice vernacular -based mobile banking app, which aims to increase digital penetration among semi -tech sav vy customers.

I'll take some time here. The app is a result of a futuristic thought process and makes it very convenient for our -- for this category of customers to access mobile banking and transact without much assistance. Currently, the transactions in clude like EMI payment, balance check, money transfer, etcetera. However, we are working towards transactions like loan application as well on this app.

It is the first application of its kind and will go a long way. We have already received a lot of accol ades here, including the Aegis Graham Bell Award for 2022 for innovation in customer tech. Total downloads of this app have crossed 1,30,000 within a few months of launch, and we are already seeing customers using the app to repay.

Another first thing that we have this year is the payment of equity dividends. Given the strong performance, the Board has suggested to share a portion of -- with our shareholders. We have

already paid INR0.75 as interim dividend and the Board has recommended an additional final dividend of INR0.50. I would mention here that this is one of a kind high payment because of the special case as well as the bank crossing so many milestones in fiscal '23.

During the quarter, we picked up branch expansion with 31 new branches, taking the total to 629 for the financial year ending March '23. Total number of branches during FY '23 was 54. We marked our presence with 5 new branches -- or 5 branches into the state of Telangana this year. These branches have already garnered a good number of de posits in excess of INR175 crores. And now we expect to open 100 branches in financ

ial year '24. And that includes entering the state of Andhra, which will be our 26th state.

An update on the merger with our promoted, UFSL, Ujjivan Financial Services Limit ed. We have submitted our application to the Bengaluru NCLT after receiving all requisite approvals, and now await the NCLT guidance on dates to hold meetings to get the various regulatory clearances like shareholder approval. As you are aware, my tenure a s MD and CEO has been approved until January '25. The Board has been working on identifying my successor. Among other aspects, the candidate should be having a strong business orientation, connect with ground, and dedication towards building a mass market bank. The Board will identify the potential candidates, internal or external, much before the due date to ensure a smooth transition.

On the disbursement side, not only did the bank cross milestones this quarter, but also individual businesses made their o wn milestones. The housing disbursements were INR439 crores, up 44%

year-on-year and 27% for the quarter, crossing the 400 quarterly disbursement Similarly, FIG disbursed INR318 crores, up 165% year -on-year and 23% quarter -on-quarter, crossing the INR300 c rore quarterly disbursement.

Our micro loan disbursements, group and individual, were also at the highest ever with INR4,929 crores, up 25% year -on-year and 30% quarter -on-quarter. Our group loan gross customer acquisition during FY '23 stands at 9.1 lakh, constituting more than half of the growth during the year.

Our gross loan book grew 10% quarter -on-quarter to INR24,085 crores after a total write -off of INR67 crores, of which INR55 crores is technical write -off.

We are quite pleased to share our perform ance on the deposit side as well. Total deposits grew 10% quarter -on-quarter. CASA grew 11% versus December. This is despite the industry trend of flattening CASA trend. Our collections and asset quality continued to improve, putting us among the industry best on this regard. Our N DA collections are back to pre -COVID days with overall collection efficiency continuing to track the 100% mark. Our GNPA is down to 2.6% from 7.1% at the beginning of the year, while NNPA are at remarkably low levels, currently in the range of 0.04% to 0.05% for the last 3 consecutive quarters.

Restructured book continues to show healthy collections. The book now constitutes less than 1% of our total gross loan book with a very high provision cover. We had slippages of fresh

GNPA o f around INR19 crores this quarter, while upgrades and recoveries were INR59 crores for the fiscal. Slippages were INR335 crores with upgrades and recoveries of INR506 crores.

The collection and asset quality improvement during FY '23 highlights the succes s of a dynamic collection strategy, which encompasses balanced usage of on -road and off -road collection team, along with multiple agencies and data analytics. While slippages have started to normalize towards the end of FY '23, we believe bad debt recoveri es would continue during FY '24.

On the financials, our NIM for the year stands at 9.5%, in line with our previous guidance. This is a blend of rising cost of funds, which is partly -- which has been partially set off by yield expansion. The cost of fund r ise is being driven by rising repo rates and aggressive pricing in the wholesale deposits. While we believe rate curve may start to plateau, the rise in cost of funds may take time to flatten as our old funding slowly gets replaced at current rates. The yi eld expansion is due to reducing NPA driving higher income generating loan book and some rate hikes taken in the asset businesses. Last change in micro banking rates was on 1st of March '23 when we had a 50 basis point hike.

The pre -provision operating pro fit for fiscal year was INR1,485 crores. With a negligible credit provisioning, PAT stands a

t INR1,100 crores. For the quarter, the provision operating profit and PAT stands at INR411 crores and INR310 crores, respectively.

Now I'd like to just give you a brief outlook of -- for the financial year '24. Fiscal '23 has made a strong foundation for the next financial year '24 and we are committed to build on this base further, while we would like to continue to invest in technology and digital platform to incr ease productivity and also improve customer experience. And as business grows, we also plan to increase our investments towards branding and marketing in order to enhance brand visibility and consolidate on the good work that has been done during the past 6 quarters post -COVID.

Our gross loan book growth to be 25% or more during FY '24. Our focus remains on driving sustainable growth through customer acquisition in micro banking and growth in our secured book. While housing has been growing strong, our MSME and vehicle portfolio will see a pickup during the current fiscal year. The MSME book has not seen a growth in FY '23 as there has been some strategy transition towards a more balanced portfolio mix.

Here, I'd like to also say that in line with the Reserv e Bank of India guidelines with fintechs, we have had to move out of one of the relationships, and that has reduced our exposure in the MSME business. But we are working on 2 or 3 new partnerships, which would get going in the second half of this year.

Deposit growth for this year is going to be 30% or more with further focus on CASA and granular book growth. Also, we are focusing on digital deposits, which will see a commercial launch early during the current fiscal year. We have been focusing on making al ternate service channels like phone banking, video banking, and we have been more relevant and productive. These investments would start bearing fruit in the current financial year.

We expect to keep credit costs sub 100 basis points and an ROE around 22% for financial year '24. Other details are now available with our investor release.
Fiscal 2023 was an extraordinary year in terms of business performance and profitability and has laid down a strong foundation for our coming years. We are on track to creat e a leading mass market bank serving fast -growing aspiring middle class of the Indian society.
I'd like to stop here and request the Moderator: to begin the Q&A. Thank you.
Moderator: We have our first question from the line of Lavanya Sisodia from ICIC Se curities. She kept the call on hold. We'll go on to the next question from the line of Manoj Oberoi from Yes Securities.
Rajiv : This is Rajiv here. Congratulations on a very strong set of numbers. So sir, I've got a few questions. Sir, firstly, what is the implied view on NIM -- when you give a 22% ROE guidance for FY '24, what is the implied view on NIM? Because in the last quarter, we saw the NIM declined despite the fact that spreads had actually improved on the portfolio, and that was because of increas ing balance sheet liquidity and coming off of LDR. So how do you see these 2 things play out? And how -- then eventually how would you see the NIM behave in the coming quarters?
Deepak Khetan: Manoj, we expect that the NIM in the coming year will be 9% or plus. In the current quarter, given it was the last quarter of the year, the liquidity inflow on our deposit side was quite high, which increased the proportion of our treasury book also, where generally the yield s are on a lower side, which is why there w as an impact on the yield. That is something that can be corrected in the first quarter itself. And we should see for the full year next year NIM should be 9% or more.
Rajiv : Got that. Got that. And see, on the collection efficiency, while you've given the collection efficiency on the restructured portfolio in the month of March was 111%, can you also give u

s
the collection efficiency on the NPL portfolio for Q4? How much was it?
Deepak Khetan: On the NPL portfolio?
Rajiv : Yes.
Deepak Khetan: NPL has been tracking around 40% or more for us.
Rajiv : Okay. Okay. So I mean, just broadly, if you're collecting 40%, 50% of the NPLs on a regular basis, the restructured asset collection efficiency is also pretty high. Then what is the thought about provisions going ahead because we're carrying about 98% provisions on NPLs? So when you give this 1% trade cost guidance, are we taking in some benefit of rollbacks and write -backs of the current provisions that we are holding?
Deepak Khetan: Some bit of rollback might hap pen, because, like you mentioned, that the restructured book, where we have a very high provision, the collection efficiency is very high. Even on the NPA

book, there is a collection efficiency which is 40% plus. So some bit of that might happen. So all bl ended in, we are giving a guidance of sub -100 basis points.
Moderator: We have our next question from the line of Renish from ICICI.
Renish : Congrats on a good set of numbers. So just 2 questions from my side. One, again, on the NIM side. So this quarter, we have seen asset yield expanding by 50 basis points with this cost of fund increasing by only 30 basis points. And despite that, NIM contracted. So if you can just help us through the reconciliation. I mean, is there a bit of this IBPC securitization ang le?
Deepak Khetan: No, no. So like I mentioned in my earlier remarks also, the treasury book size increased because there was a good amount of inflow on the liability side. So there was so much -- too much of deposits that came in, and our LCR were very hi gh. So there was almost 500 basis point higher treasury book size that we had this quarter compared to last quarter. So that impacted the overall NIM rather than anything else.
Renish : So margin expansion was basically driven by the investment yield rather than the asset yield, which was -- you are talking...
Deepak Khetan: You're talking about the yield expansion?
Renish : Yes, yes, yes.
Deepak Khetan: So yield expansion was driven by, one, we took a rate hike in our MFI portfolio in September, so a full qu arter impact of that. Then another rate hike we took in March, another 50 basis point rate hike was taken. So put together these 2 things, plus the NPAs are continuously coming down. So that is why the yields are expanding, and the same thing will continue in the coming year as well.
Renish : So September '22, how much rate hike we have done in MFI?
Deepak Khetan: 50 basis points. Both were hiked for 50 each.
Renish : 1-5?
Deepak Khetan: 5-0.
Renish : Okay. And another 50 basis points in March?

Deepak Khetan: Yes.
Renish : So what is the blend -- I mean, the lending rate now in MFI?
Deepak Khetan: 23 and 25. 23 for GL, 25 for IL.
Renish : Okay, 23...

Deepak Khetan: And also one more thing is that the IL is going faster and IL has a higher rate. So that also is helping on the yield side.
Renish : Got it. Got it. And secondly, just to repeat the question, I missed that part. So if you can just give us the slippage recovery number for this quarter?
Deepak Khetan: So this quarter slippage is INR19 crores, fresh -- the gross NPA addition was INR19 crores. And upgrade and recoveries were around INR59 crores.
Renish : Okay. So okay. So slippages were only INR19 crores?
Deepak Khetan: Yes.
Moderator: We have our next question from the line of Gautam C Jain from GCJ Financi al Advisors LLP.
Gautam Jain: Many congratulations. It was a very good set of numbers. My question pertains to your cost -to-income ratio. This year, we are closing around 55%. So what we want to guide for the next 1 year or 2 years. How much our absolute c ost wil

l go up considering we are opening 100 branches next year?
Deepak Khetan: Gautam, we are not giving a guidance right now on cost -to-income ratio or any other aspect. Overall, profit side we have given a guidance that ROE will maintain 22% or more. S o cost -to-income ratio, specifically, we can say that there is going to be a lot of investment which is coming in on the branch side, on the IT side, on the human resource side. So it would not be something -- the kind of drop that you saw this year, that kind of a drop would not rise, because this year you saw significant drop from 64%in Q4 last year to 55% this quarter. So that kind number drop would not coming.
Gautam Jain: Okay. And any comment on cost of fund? Has it stabilized or it's going down? Can you comment on it?
Deepak Khetan: Cost of funds, we do not expect to come down while -- even if the interest rates in the system plateau out, the full year impact of the TVs and all the funds that were raised last year during the course of the year, that will impact the overall cost of funds. So cost of funds at least for the time being we'll see keep moving up until maybe towards the second half of the year when the fresh rate -- or fresh funding is coming at a lower rate if the interest rates start comin g down.
Ittira Davis: Broadly, interest rates, I want to just mention that our strategy on the deposit mobilization such is that once the interest rates start showing a decline, we'll be able to take advantage of that.
Moderator: We have our next question from the line of Shreepal Doshi from Equirus.
Shreepal Doshi: Congrats on a good quarter. So I wanted to understand -- wanted to understand what is your branch expansion strategy for the next couple of years? And in which geographies will we be targeting?

Ittira Davis: Yes, I think -- we had the 54 branches which we added during the financial year '23. We plan to add about 100 more branches during FY '24. These will be spread across the country, and different types of branches. Some of them will be purely branch banking . Some of them will be composite. Some of them will be micro banking branches. But rest assured that we are looking not just at branch banking to grow the business, we are also looking at digital business to be able to grow our way forward.
So that is the dual strategy which we have. And in terms of new states, we are entering Andhra during this financial year. Last year, the new state we added, 25th state, was Telangana. And our 26th state this time will be Andhra. So that's the way we are loo king at this year. But going forward, the digital strategy will begin to play a greater role as we are looking to manage the costs and also look at other ways to expand our business. So a lot of technology on the ground, video calls, video banking, phone b anking, all of those will play a bigger role as we go forward.
Shreepal Doshi: Sorry, sir. Sir, just a second question within -- on the same lines. So do we expect any material improvement in the opex upon asset metrics going ahead in FY '24 and in FY '25?
Deepak Khetan: We might see some improvement, but we'll not be able to quantify anything right now.
Shreepal Doshi: Okay. Okay. And sir, last question is on -- you had given guidance for deposit growth. So sir, if you could please repeat it. I wasn't...
Ittira Davis: The deposit growth we are looking at 30% for this year. 30% plus.

Moderator: We have our next question from the line of Yash Dantewadia from Dante Equity Research.
Yash Dantewadia: So my first question is regarding the write -offs. During the l ast 3 financial years, your write -offs has been close to INR1,345 crores, out of which, we've recovered approximately 12% of the write -offs. Your peer company with a similar sized loan book has written off close to INR600 crores to INR650 crores. So what I would like t

o understand is the reasoning behind this? And ideally what percentage of the write -off should we look to recover back?
Deepak Khetan: Yash, I can say that more than INR1,000 crore of active technical write -off book is there with us right now from which we can expect recoveries in this year or coming years.
Yash Dantewadia: So you basically are telling me that you'll recover close to 60%, 65% of the...
Deepak Khetan: I'm not giving a percentage. All I'm saying is from whatever we have written o ff last year and during this year, around INR1,000 -plus crores is pending or it is still in the active technical write - off book. And from that, we are continuing the recovery effort. And whatever recovery will come this year will come from that.
Yash Dante wadia: Also, 2 concalls -- I think in the last concall you said that the recovery should slow down from here, but we still haven't seen that happening. The recoveries are still at previous pace. So what do you think about that now?

Deepak Khetan: Well, las t quarter, yes, we did caution that the recoveries may slow down, and we are happy that it hasn't slowed down yet.
Yash Dantewadia: So you're expecting the momentum to continue?
Deepak Khetan: We expect that the momentum will continue, but definitely next year's recoveries will be lower than this year.
Yash Dantewadia: Okay. My second question is regarding the floating provision. What's the latest update, since your net NPA is the lowest in the industry? When will you reverse this?
Deepak Khetan: We are not looking to reverse it. It's there on the book as a cushion to the balance sheet. And in case of any emergency or extraordinary circumstances, with prior approval to RBI -- at only such circumstances we'll look to add it as a specific NPA provision. Out of that 250, right now 120 is in NPA provision, 100 is in other provision and 30 is being used as -- towards Tier 2 capital.
Yash Dantewadia: Also regarding gold loan, what's the latest update? Have you seen any traction in this space here?
Carol Furtado: Gold loans is something that we hope to do much better this year. We've already started the process. We've got people on board, and we have identified the branches in which we will be doing our gold loans. It is mostly in the South region. And this year, we should see better growth in the gold loan portfolio.
Yash Dantewadia: So how will it affect your NIMs, ma'am, the gold loan portfolio, growing the gold loan portfolio?
Deepak Khetan: Gold loan that we are looking at is slightly lower than the overall bank level yield as of now. So definitely on the NIM side, they are on a lower side. But given there are shorter tenure and renewals are quite frequent and it is in line with whatever 9% guidance that -- it's already baked into the 9% guidance that we have give n.
Yash Dantewadia: Okay. Ideally, would you like to give any guidance for the gold loan portfolio at what pace would you like to grow it?
Deepak Khetan: No, we are not giving any specific guidance.
Moderator: We have our next question from the line of Har sh Shah from Dimensional Securities.
Harsh Shah: Congratulations on great numbers. My first question is on the growth. So last year, FY '23, we saw much quicker growth in the MFI, both group and individual MFI segment. And a couple of years back, we had gu ided that we will be looking to grow the non -MFI book at a much faster rate. So when we guide 25% kind of growth, what is the growth that you are expecting in MFI and non -MFI segment going ahead?
Ittira Davis: See, one of the things that you have to keep i n mind is that coming out of a COVID situation, our micro banking book was much better positioned since that is a business that we know very

well to recover. So that is why between FY '22 a

nd FY '23, we have seen an increase in the unsecured book in propor tion to the rest of the book. But going forward, we are also -- we have also brought our housing portfolio and our housing business in line in terms of being able to now grow at a much faster pace. So that will happen during the current year. And slowly, o ur other

businesses will also be put in similar position to grow at a faster pace because we are getting some of the technology and other things sorted out.
So eventually, we'll see a more balanced portfolio. But for the next financial year, we are looking at about 68% unsecured/micro banking and the rest of it will be secured with a multiple number of products.
Harsh Shah: All right. And over next 3 to 5 years where do you expect to take this MFI book at?
Ittira Davis: No, we are moving slowly towards the 50% mark. Whether that comes in 3 or 5 years, we'll have to wait and see. But that is the trend and that is the direction that we are moving towards.
Harsh Shah: Okay. And on the disbursement side, if I look at the segment -wise annual disbursement number which you have given, and when I juxtapose it against the closing AUM, I believe that the rundown has increased a bit in the individual MFI and affordable housing MFI. So is it because the tenure has decreased? Or how has it impacted? What led to this highe r rundown in both these books?
Deepak Khetan: In affordable housing, actually, there was a subsidy repayment of around INR160 crores that came in this year, which impacted the book.
Harsh Shah: Okay. And in case of individual MFI, I believe that it has com e down from 19 to 13 months. It's a rough calculation for individual MFI. But what led to this sharp increase in rundown?
Deepak Khetan: Actually, the repayment period or the month that we call repayment month, internally how we call, has increased in indi vidual loan. It has not come down.
Harsh Shah: So you mean to say that the monthly EMI has gone up?
Deepak Khetan: If you are looking at only, for example, the OS P or the gross loan book, it would also be a factor of what was written off during the year and not just the disbursement movement and the OSP movement.
Harsh Shah: Okay. And on a macro basis, in micro finance side, the EMI remains same? Or has it gone down or gone up? Just trying to elicit whether the tenure has remained same or has increased.
Deepak Khetan: And one more thing, the percentage has actually gone up Y -o-Y.
Harsh Shah: Sorry, I didn't catch that.
Deepak Khetan: The individual loan percentage ha s gone up Y -o-Y, and that is the trend that we believe and it will continue as the industry is slowly moving towards more of individual loan from group loans.

Harsh Shah: And post -COVID, how has the EMI repayment and tenure behaved for MFI book?
Vibhas Cha ndra : Yes. As far as tenure is concerned, in micro finance in both GL and IL, we witnessed that the average tenure has increased a bit as -- we have also started offering IL more to the graduate tech customer who have shown good repayment history in the pa st. So as your loan amount increases, some also tend to take loans with higher tenure. And that is what we have seen. Our average tenure has increased by, say, close to 10% to 15% in the last financial year.
Moderator: We have our next question from the li ne of Darpin Shah from Haitong India.
Darpin Shah: Congratulations for a good set of numbers. So I just have one question. We are seeing that loan loss provisions will reach up 100 basis points for the next financial year. But if you look at the number in terms of PAR , SM A or GNPA, even the additional provisions which we have on the restructured book. So why seen as 100 basis point kind of a number? Are we thinking of creating additional standard asset provisions here?
Deepak Khetan: No, Darpin, we are not looking at any c

hange in provisioning policy as of now. That is the guidance that we can give right now. And we'll see how we perform during the year.
Darpin Shah: So just purely on the book basis, where we might see some surprise in -- or some deterioration in asset quality after what's a full benign number in '23. Is it still a priority in...
Deepak Khetan: No, no, we are not expecting any negative surprise in the asset quality. It's just the guidance or blended guidance that we are giving righ t now. And hopefully, we'll keep performing well on the guidance.
Moderator: We have our next question from the line of Rashmik Oza from 9 Rays Equity Research.
Rashmik Oza: Yes. I had 2 questions, sir. The first is, do you have any targets of CASA set for end of FY '24 because right now we are at 26%? So does there -- is there any internal benchmark at what rate you want to reach in the next 1 year? And second is, you shared some inputs on the reverse merger. If you can give us some time lines by when do y ou expect this entire process to get over and when we can expect the holding company to get merged into the SFB?
Ittira Davis: Yes. On the CASA, we are targeting to end FY '24 at around 30%. On the reverse merger, right now, the reverse merger is with the NCLT. We are waiting for them to come back to us with whatever requirements they have. We are -- at the best, we are looking at September as the conclusion. It may extend a little further depending upon what workload the NCLT has because that tends to cons train the time. But our best effort -- or best number that we are looking at or best date we're looking at is September.

Moderator: We have our next question from the line of Ca Kanwaljit Singh from Balaji Finvestment.
Kanwaljit Singh: Congratulations for the good set of numbers. Most of the questions were already answered, on CASA, on merger. So what will be the next step forward to becoming a full -fledged bank?

Ittira Davis: You're talking about a universal bank?
Kanwaljit Singh: Yes, sir.
Ittira Davis: Yes, we -- I mean, some of the conditions which are there for a universal ban k, we have met, the 5 years, et cetera. So now what we are doing is we are waiting for the reverse merger to be completed and then the Board will take a decision on whether to appl y for a universal bank or not.
But that is eventually the direction we are going. And balancing of the portfolio between secured, unsecured is all in that direction.
Kanwaljit Singh: As an investor, we are very happy with the services that you have provide d to this organization. And you have stated that you will be moving on in January '25. Is there any chance that you may continue?
Ittira Davis: No -- I mean, as you know, the RBI has a rule that CEOs cannot stay beyond the age of 70. And you have seen that in other banks as well. So that will apply to Ujjivan. To that extent, the outer limit for me is January '25. But rest assured that we are in the process of finding a successor. And well before that date, we will have the successor in place. So we are ver y focused on that.
But the other thing that you have to keep in mind is the depth of the management and the depth of the talent that we have in Ujjivan, which has been very much responsible for the swift turnaround that we have achieved. I mean, in 1 year we have gone from a loss -making situation to the most profitable year. And that shows you the depth of the institution. And that is something all investors should keep in mind. And that makes a difference between one institution and another.
Kanwaljit Sing h: So looking at your capital adequacy, we didn't find that you will be requiring capital lines...
Deepak Khetan: Sorry? Come again?
Kanwaljit Singh: Looking at your capital adequacy ratio of -- will there any requirement for any fund raise?
Ittira Davis: At this stage, we are we

ll capitalized. We are at about 25%. And I don't see -- 25.8% to be precise. We don't expect a need in the next couple of years. Based on the profitability that we have and the target -- we always look at a target of not going below 20%, which is why we replenished the capital when we reached that last year. But for the next 2 years, I don't see any need for additional capital.
Deepak Khetan: A couple of things that you need to keep in mind there is, one, with the reverse merger, cap ital adequacy would be having a little up given that the additional network that will be added to the book. And also that this year, as we are guiding for a high ROE, the consumption of capital would not be very high.
Moderator: We have our next question f rom the line of Priyesh Jain from HSBC.

Priyesh Jain: Sir, I wanted to know what is the movement of GNPA for FY '24. If you could give me the expected number of slippages, recoveries and upgrades for the same?
Deepak Khetan: We have not given a GNPA guidan ce for the next year, but we believe the slippages have more or less normalized. And given the collection trend that we have seen, we do not envisage any major negative surprise there. And all that is baked into the 100 bps -- or some sub -100 bps credit co st that we have given, the guidance that we have given there.
Priyesh Jain: Okay. Sir, also I missed this earlier. What are the slippage numbers for FY '23?
Deepak Khetan: So for the FY -- for the fiscal '23, the total gross NPA addition was INR335 crores and upgrades and recovery were INR506 crores.
Moderator: We have our next question from the line of Prit Nagersheth from Wealth Finvisor.
Prit Nagersheth : One of the questions I wanted to understand is that on the profitability side, you've given a guidance of 22% on the ROE. So should we expect on the -- overall profitable number to degrow from the current year, for the last financial year that is?
Deepak Khetan: No, we are not looking profit degrowth.
Prit Nagersheth : So what kind of growth should we pencil in?
Deepak Khetan: You can do your math. There will be growth on the PAT number. The PPoP growth would be much higher. But even at the PAT number, we'll have a decent growth there.
Prit Nagersheth : Okay. The other question I wanted to understand is that do you have a sense of how much

additional book value would increase because of the merger, the reverse merger?
Deepak Khetan: Right now, I don't have a final number because we have -- Board has today announced a final dividend of around INR0.50, w hich will also go to the UFSL book. And depending upon how the time lines work out and all, we get to know how much of final cash would be there. As of now, if I exclude this INR0.50, I think roughly around 1.8 -- or plus/minus INR0.10 there should be adde d to our book.
Moderator: We have our next question from the line of Vivek Gautam from GS Investments.
Vivek Gautam: Congratulations on consistently giving good numbers. Sir, one question is about the risk of our -- political risk of investing with MFI. One fine day we see very shocking development, for example, in Assam, which has led to the leader still suffering. So what are we doing to negate the political risk of MFI investing in India? This being an election year, any impact on us, sir? That's the f irst one. And second one was, what is our plans of moving towards secured lending, sir?
Vibhas Chandra : So answering your first question. You're right that political risk is something which is -- very, very prominently we have seen in the past also in the last 10, 12 years, starting with Andhra

crisis. And you are right that in Assam also the industry is at this point of time facing a lot of issues. But at the same time, in Ujjivan microfinance, we have always believed i

n diversifying
your risk and -- as far as geographies are concerned. And we are present in the majority of states in the country.
At the same time, we also have ensured that we are not beyond 15% of the Ujjivan portfolio in any of the states. So that we can -- we negate this risk. At the same time, we have very strong EWS in place, where we are able to understand things in advance and take corrective steps. But at the same time when you have portfolio -- a limited portfolio in a particular state, to a large extent, you already negate the polit ical and the risk related to the particular state.
Vivek Gautam: The Telangana High Court judgment was also there, which was helpful for the MFI sector or companies in this regard?
Vibhas Chandra : Which judgment?
Vivek Gautam: Telangana High Court recent j udgment was also there which allowed the microfinance lending operations in Andhra and Telangana, which after that SKS microfinance problem was sort of banned. And the sort of political interference and the risk have been reduced post this judgment, sir? I s my impression correct, sir?
Vibhas Chandra : I would say that we have come a long way from the instance of Andhra crisis. If you take example of Assam crisis also, even Assam government and central government has given a lot of support to microfinance com panies and borrowers in the state, and that has led to a lot of politics in the state. So things are changing. Things are improving also. Though there will be some risk related to political or geography. But at the same time, even the entire ecosystem is also slowly maturing. So with time, you will see these instances going down or a little improvement in the scenario.
Ittira Davis: Yes, I think the Telangana High Court decision is very good because it puts an end to -- that state governments cannot get inv olved in an institution which is governed by RBI. So I think that is a good decision. So I think in the long run, that will be beneficial as well, because it provides clarity and it allows people to operate in a more secure environment.
Vivek Gautam: And s ir, the second question was about the foray into the secured lending. What portion do we -- at present is secured lending? And what is the future plan, sir?
Carol Furtado: So at present, our secured lending book is -- I mean, our unsecured lending book is around 73%. But however, we are on our way to reduce the percentage in the unsecured lending. As I said, microfinance has done really well for us and it is growing well, and our position is very strong in the market compared to the industry and the peers. But on the secured side, housing has done really well for us. We have crossed INR400 crores disbursement milestone in the last quarter, and it is a very profitable business for us.
Even the asset quality has shown a remarkable improvement. And also in the last quarter, our 0 to 12 -month MOB is 100% collection and we have seen a very improved asset quality there.

Also, if we have to segregate it region -wise, West is well on its way to increase the secured portion and it is close to around 45%. And the strate gy that we have put in place for housing has been executed well. We did a lot of changes and we made it very granular local, geography,

segment -wise. So all this has yielded results for us.
In fact, we have classified our business lines into stable, emergi ng and new legs of growth. The other businesses that would contribute this year to the secured portion would be the MSME, where we have done -- put in a lot of efforts to revise the strategy. Gold loans, vehicle finance, the secured agribusiness and also o ur MSE -- I mean, the FIG business, which is into NBFC funding, that has started well. And if I have to say, the NBFC funding business did its highest - ever quarterly disbursement for this quarter.
So as what Mr. Davis said in hi

s initial speech, we should be able to arrive at around 68% of the unsecured book from the 73%, which we are at now. So the journey has already begun.
Vivek Gautam: And the last question is about the -- our presence in the northern st ates, UP, Bihar and Haryana, etcetera, wherein the collections at time becomes difficult for other NBFCs due to the sort of law and order problem at times. So how has been our experience and how are we performing?
Vibhas Chandra : Yes, yes. So you're right, UP, Bihar and -- it's election time also for this financial year. And I earlier mentioned that our portfolio in a particular state is limited, and that we have ensured from day one as we started the microfinance company. And so in these states, our portfolio is less than 15 definitely. And UP, Bihar you' re talking about, there it is much lesser than that.
At the same time, one thing that emerged very, very strongly in microfinance at Ujjivan is that we have opened various channels for business generation as well as collection as far as cash collection is concerned. Cash collection is something which is -- with time, we have seen that a lot of improvement as far as customer initiated digital repayment is concerned. About close to 20%, 21% customers have started paying digitally in the last financial year it self, and this number is improving.
At the same time, we have also ensured that we have various infrastructure in place where the cash movement can be swifter as well as very, very safe. Today, about -- I would say that close to 70%, 75% cash which is collected in microfinance especially in these states don't go back to the branches, it is done somewhere else, and which reduces your risk. So we are -- I would say that especially looking at the risks that we have in these states, we have got every infras tructure in place which helps you and keeps yourself safe and your employees also safe as far as collection is really concerned.
Moderator: We have our next question from the line of Himanshu Taluja from Aditya Birla Sun Life AMC.
Himanshu Taluja: Congrats for a good set of numbers. Most of the questions have been answered. Just a couple of questions at my end, small. Firstly, when you mentioned that you wanted to -- deposit growth of around 30%. So what sort of -- you believe that the large proport ion of this growth will be contributed by the retail deposits? And secondly, if you can just tell us what sort of new

initiatives have you taken -- in order to build the retail deposit franchise, what are some of the initiatives you have taken? So that's m y first question.
Ittira Davis: Yes. Firstly, deposits are concerned, we did say 30% is what our deposit target growth is. And there, again, the focus is on CASA. The CASA which is 26% now, we'd like to take it up to towards 30% by the end of the financial year '24. And we have put in place different ways of trying to raise the deposits. Of course, our branch network. We are also looking at the digital franchise for the deposit growth. And we have divided our customer base into different segments. So all of these will be contributing towards the increase in deposit base.
And our marketing teams are also working both digitally as well as through other channels to be able to improve the brand and focus people on what we are able to offer. So I think we have something good going and we will continue with that -- in that mode. And what is your second question?
Himanshu Taluja: Yes. Sir, last question is on the -- since you're still awaiting the NCLT approval, any update which you can share, any communications? An d secondly, once you receive the final NCLT approval, I believe the final set of approval will be the shareholders' approval. And do we expect after this NCLT approval once achieved, probably the reverse merger process will get completed within 30 to 60 da y

s?
Ittira Davis: No, the NCLT right now has gone on vacations. So we'll have to wait till they return in early June. But yes, they will have a set of things that we have to do. The shareholders have to meet when there is the majority of the minority share holders. All of those things have to be done. And once all of those have been submitted to the NCLT, they will deliberate and give us the go ahead. Once the go ahead is given, whatever is the shortest timeline, which is available, we'll put that in place. But right now, I can't give you any specifics, but we'll work on it and try to close it in the fastest possible time.

Himanshu Taluja: Yes. Sure, sir. Sir, just one final data point. What is your average lending yield on the housing portfolio?
Deepak Kheta n: The blended yield on the portfolio is around 12.8% or 12.9%. On the disbursement side, the disbursement, the blended yield would be around 13.2%, 13.3%, housing.
Moderator: We'll take our last question from the line of Shailesh Kanani from Centrum Broki ng.
Shailesh Kanani: Just one question from my side. In the MFI book, if you can just give the breakup of client profile between formal, informal, salaried, business, if you can just share that breakup?
Management: So in microfinance largely we lend to cus tomers who are self -employed. But at the same time, we have a specific product for customers who are salaried as well. But largely it is self -employed. I would say that about close to 10% customers who are into salaries category. Rest all are self -employed .

Shailesh Kanani: Self-employed. And does -- just a follow up on that. The El Nino pattern, has there been experienced in the past where the asset quality or the collection has deteriorated during that phase, if you can share with respect to MFI book?
Vibhas Chandra : Yes. Can you please repeat your question?
Shailesh Kanani: Yes. So I was asking -- I was trying to ask does the El Nino impact in past has impacted the quality of the book from our customer side given the profile of the customers? Does that ha ve an impact on the collection of that book?
Vibhas Chandra : Yes, yes. So in the past also we hav e seen that our prepayments, et cetera, is not that affected by -- and one of the reasons why for Ujjivan also because we are not that -- we are -- we have star ted as an urban microfinance company. We are now present in rural as well. But large part of our portfolio still is in urban, metro and semi -urban locations. At the same time, in rural location also we have seen that our customers are not into one kind of occupation. They have multiple occupations in their household. It is agriculture with some kind of other occupation also happening in the same fami ly, like livestock or shops, et cetera, that kind of customer recover faster.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Ittira Davis for closing comments. Over to you, sir.
Ittira Davis: Well, thank you very much to the IIFL team for conducting this session. We appreciate your support. A nd I'm sure that we have taken care of answering as many questions as we can. And we look forward to hearing from you in the near future, either one -on-one or in the next quarterly session. Thank you.
Moderator: Thank you, sir. On behalf of IIFL Securities , that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2023

USFB/CS/SE/2023-24/51
Date: August 01, 2023
To,
National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C-1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051
Symbol: UJJIVANSFBBSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 542904
Dear Sir/Madam,
Sub: Transcript of the Quarterly Earnings Call held on July 27, 2023
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnings/quarterly conference call held on July 27, 2023 for the quarter ended June 30, 2023 is enclosed herewith.
The same shall be available on the Bank's website at www.ujjivansfb.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED
Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework
Encl: as mentioned above
"Ujjivan Small Finance Bank Limited
Q1 FY '24 Earnings Conference Call"
July 27, 2023
MANAGEMENT : M R.ITTIRA DAVIS –MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER –UJJIVAN SMALL
FINANCE BANK LIMITED
MS.CAROL FURTADO –CHIEF BUSINESS OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR.MARTIN PS–CHIEF OPERATING OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR.ASHISH GOEL,CHIEF CREDIT OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR.M.D. RAMESH MURTHY ,CHIEF FINANCIAL
OFFICER –UJJIVAN SMALL FINANCE BANK LIMITED
MR.VIBHAS CHANDRA –HEAD OF MICRO BANKING –
UJJIVAN SMALL FINANCE BANK LIMITED
MR.DEEPAK KHETAN –HEAD FINANCIAL PLANNING ,
STRATEGY &INVESTOR RELATIONS –UJJIVAN SMALL
FINANCE BANK LIMITED
MODERATOR : M R.RIKIN SHAH –IIFL SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Ujjivan Small Finance Bank Limited Q1 FY24 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rikin Shah from IIFL Securities Limited. Thank you and over to you, sir.
Rikin Shah: Thank you, Salil. Good evening, everyone, and thanks for joining the call. We have with us the management team of Ujjivan Small Finance Bank to discuss the business strategy and Outlook Post, the Q1 results. The management team is represented by Mr. Ittira Davis, MD and CEO, Ms. Carol Furtado, Chief Business Officer, Mr. Martin P S, Chief Operating Officer, Mr. Ashish Goel, Chief Credit Officer, Mr. M.D. Ramesh Murthy, Chief Financial Officer, Mr. Vibhas Chandra, Head of Microbanking and Mr. Deepak Khetan, Head of Financial Planning

and Strategy, IR.
With this, I will pass on the call to Mr. Ittira Davis. Over to you, sir.
Ittira Davis: Thank you, Mr. Shah. Good evening and welcome to our first quarter earnings call. I am delighted to share with you our first quarter performance. Despite Q1 generally being a slow quarter, our performance has been robust, building on the strong base of financial year '23.
Our Pre-Provision Operating Profit and PAT have reached new highs of INR458 crores and INR324 crores respectively, which is 52% and 60% higher than Q1 of the last year respectively. Even against Q4 FY '23 it is 12% and 5% higher respectively.
Our return on assets at 3.8% is again something that puts us ahead of our peers and that has been the trend for the last few quarters. Some of it is due to lower credit costs, but even our PPOP ROA at 5.4% is quite remarkable. We posted a return on equity of 30%, which also means that the business is self-funding itself, leading to an improvement in CRAR from 25.8% to 26.7%.
Now starting with the business numbers, we dispersed INR5,284 crores up 22% year-on-year, while the demand continues to be there, disbursement for microbanking was sequentially low due to Q1 being historically a weak quarter. We expect the disbursement to pick up again by the second half of the fiscal year. We acquired about 2.6 lakh new customers this quarter in microbanking. As our new branches move towards maturity, we will see more traction in micro-banking especially in the new customer acquisition.
Among the secured products, affordable housing which is now more than INR3650 crores, continue to show strong disbursements, with INR418 crores in the first quarter as against INR288 crores in the first quarter of the last year. The business is slowly moving to a hub an spoke model to improve operating efficiency. We have already opened four hubs in Ahmedabad, Coimbatore, Mysore and Jaipur. More will be commissioned over the next few quarters. As these hubs gain business momentum, it will further progress forward.

Moderator: I'm really sorry to interrupt. Well, sir, there is a lot of disturbance from your end right now, due to which you are not audible. If you could just readjust the microphone where it is placed, that would be great.
Ittira Davis: Yes, I'll just go through the business numbers again in dispersed INR5,284 crores, up 22% year on year. While the demand continues to be there, disbursement for micro-banking was sequentially low due to Q1 being a historically weak quarter. We expect the disbursements to pick up again by the second half of the fiscal year. We acquired 2.6 lakh new customers this quarter in micro banking

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Our new branches move towards maturity. We will see more traction in micro banking business, especially in new customer acquisition. Amongst these new products, affordable housing is now more than INR3,650 crores. We continue to show strong disbursements with INR418 crores in the first quarter against just INR288 crores in the first quarter of the previous year, that is FY '23.
Business is slowly moving to a hub-and-spoke model to improve operating efficiency. We have already opened four hubs, one in Ahmedabad, the other in Coimbatore , the other in Mysore and Jaipur. More will be commissioned over the next few quarters. As these hubs gain business momentum, it will further propel our growth.
The FIG dispersed INR 320 crores, up 113% year on year. MSME continues to be in transition. We have a few more technology related changes to be introduced before we ramp up the business. This will be much like what we went through during the housing transformation. So once that is ready, we are ready to launch. So we also launched the semi-formal lap product in Q1 and more products are in the pipeline. The business should start to develop towards the end of this fiscal year.
Vehicle finance and gold loans should also start to contribute in the second half of the year.
Our grass loan book now crossed INR25,000 crores and as on June 30th was INR25,326 crores, up 30% year on year and 5% quarter-on-quarter. Talking about liabilities, our deposit grew 45% year-on-year and 4% quarter-on-quarter to INR26,660 crores.
We continue to see movement of current deposits towards term deposits this quarter, which is in line with the industry trend. Our retail term deposits grew 71% year-on-year to INR10,970 crores, while CASA grew 27% year-on-year to INR6,556 crores. Our cost of funds has continued to rise this quarter in line with the industry.
Despite pressure from cost of funds side, we were able to expand our NIMs this quarter. This was a result of consciously reducing excess liquidity which was driving a negative carry and pulling down NIMs and benefiting from the yield expansion of an effect of book repricing which we took last year. Last year we took, they had two repricings on the microfinance book, one in September and the other in March this year. All of those...
Moderator: Sorry to interrupt you, Apologies. Sir, there is a lot of disturbance from your line. Just let me

quickly get you reconnected. Ladies and gentlemen, the management line is now connected.

Ittira Davis: I'll just go back a few sentences to our gross loan book. Gross Loan Book has now crossed INR25,000 crores and on June 30th it was INR25,326 crores, which is a growth of 30% year-on-year and 5% quarter-on-quarter. Talking about our liabilities, our deposit grew 45% year-on-year and 4% quarter-on-quarter to INR26,660 crores. We continue to see some movement of CASA deposits towards term deposits this quarter, which is in line with the industry trend. Our retail term deposits grew 71% year-on-year to INR10,970 crores, while CASA grew 71% year-on-year to INR10,970 crores, while CASA grew 27% year-on-year to INR6,556 crores. Our cost of funds has continued to rise this quarter in line with the industry. Despite pressure from the cost of funds side, we were able to expand our NIMs this quarter. fund side, we were able to expand our NIMS this quarter.
This was a result of consciously reducing the excess liquidity which was driving negative carry and pulling down our NIMS and benefiting also from the yield expansion as an effect of our book repricing post the hike we took last year. Last year we took two hikes on the microfinance front, one in September and one in March this year. The full effect of that is being felt in this quarter and beyond. So our net interest income was up 32% year-on-year and 7% quarter-on-quarter, driven by gross loan book growth and yield expansion.

Coming to credit and collections, our asset quality remains sturdy with a GNPA of 2.4% versus 2.6% sequentially, while our NNPA continues to remain negligible at 0.06%. Slippages remain under control, with Q1 slippages at INR103 crores and upgrade and recoveries at INR77 crores. Restructured book now is at INR182 crores, with June ‘23 collection efficiency at 102%. While the NPA collection has started to move down towards normalization, bad debt recovery remained strong this quarter. We recovered INR35 crores. As we have already mentioned, our bad debt recoveries should be significant even in financial year ‘24, although it would be lower than what we recovered in financial year ‘23.
During the quarter, our branch expansion continued with 32 new branches added. 14 of these were in the east, 8 in the north, 6 in the south and 4 in the west. This quarter, and that takes a total to 661 as of the 30th of June. We will now be adding 70-odd branches for the rest of this year. We are in the final stages of testing our digital fixed deposit offering, which will provide seamless experience to our customers and help us to serve beyond brick-and-mortar.
Now an update on the merger with our promoter, Ujjivan Financial Services. The hearing of our application with the NCLT was completed on June 28, and we expect to receive the order soon and telling directions for scheduling the meetings of stakeholders and other directions as the NCLT may be in fit. On my succession plan, as I've been mentioning, the Board is working on identifying the right candidates. The Board is committed to identify the potential candidates with strong business orientation and a connect with the ground and dedication towards building a mass market bank. Both internal and external candidates are being considered. And much before the due date, the transition will be completed.
As many of you would have noticed, we have launched our nationwide brand campaign a few days ago, earlier this week. This campaign is a prominent step towards establishing Ujjivan as

a mass market bank. Previously, we had not invested much on ATL brand campaigns, but moving ahead, we will continue to invest in brand building. This will provide our branches more awareness and help us build trust across our customer base. This in return will push our retail liabilities further.
To conclude, I would add that business momentum remains strong, reassuring our confidence towards the guidance that we shared at the beginning of this financial year. Thank you.
Moderator: Thank you. We will now begin the question-and-answer session. The first question comes on the line of Nidhesh from Investec. Please go ahead.
Nidhesh: Thanks for the opportunity sir. Two, three questions. Firstly, in the MSME segment we have seen some deterioration in asset quality and growth slowing down. We are reorienting that business. Can you speak about the strategy in which segment we will be operating in, what will be the targeted yields and profitability in that MSE book going forward?
Ashish Goel: Could you please repeat that question?
Nidhesh: So I'm asking about the strategy in the MSE book, given that we have seen growth slowing down, where we have been cautious and we are reorienting that business. So what is the strategy going forward? What segment, customer segment, yields, ticket size, we will be focusing on?
Carol Furtado: Hi, this is Carol Furtado. As we have been talking about the transition that has been taking place in our MSME segment, we have been talking about our customers under various

categories. One is a semi-formal LAP, the other one is a formal LAP. We are also getting into the working capital facilities, supply chain, and digital MSME lending.

Semi-formal LAP, the target is semi-formal micro and small enterprises who are transitioning from the unorganized and the informal business models to the organi

zed and formal business setup. Here, the offering would range from INR15 lakhs to INR1.5 crores, and the tenure or up to 12 years. We have already launched this product since May, and this product seems to be on a growth path.

The formal lab is where we would be focusing on formal, micro, and small and medium enterprises who are operational as an organized formal business setup. Here we are proposing to offer a loan size of around INR25 lakhs to around INR5 crores with a tenure up to 15 years. This would be set up in select locations to grow the lap portfolio.

The third line would be the working capital facilities, again, where the target is formal, micro, small and medium enterprises. This is to fulfill their business banking needs. And we would be offering a variety of products here, fund-based and non-fund-based facilities. Here again, the ticket size would be around INR15 lakhs to around INR10 crores.

Supply chain is again there, which is being worked on to meet the cash flow-based short-term funding requirements of our customers. And we also would be having digital MSME lending,

which we will grow through our FinTech partnerships. You know, yes, we have been operational since May in the semi-formal lab segment. And we are investing heavily to build infrastructure and internal capabilities to strongly address the other four business lines in the MSME vertical.

And that is the reason why the transition is taking some time to operationalize. And we have made significant process in designing the strategy and we will be showing the progressive outcomes in the coming quarters. And the full extent of the investment would be visible in the span of the next two, three financial years.

Nidhesh: Sure. And is it reasonable to expect that the yields in this portfolio will be less than sub 12% given that we are largely operating in formal segment and higher ticket size?

Carol Furtado: Yes, the blended rate would be around 12%, 13%.

Nidhesh: Sure, and data keeping question on the customer acquisition in the microfinance group and individual loan side. What is the count of customers that we have acquired in this quarter? And what is the active customer base on both microfinance group and individual as of June ’23?

Vibhas Chandra: Yes, hello, as far as you know, customer acquisition is concerned, we have acquired 2.6 lakh new customers this quarter. And what was your second question?

Nidhesh: I wanted the break up in group and individual, if that is possible?

Vibhas Chandra: Okay. For the quarter or the entire micro banking customer base?

Nidhesh: As of June 23, what is the active customer base in micro finance group?

Vibhas Chandra: In micro banking we have 40 lakh borrower base. Out of 40 lakh, 36.5 lakh customers are Group Loans and 3.5 lakh customers are Individual Loans.

Nidhesh: Sure. Thank you so much, sir. Thank you.

Management: Thank you very much.

Moderator: Thank you. The next question comes on the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Congratulations, sir, on excellent performance during the quarter and thanks for the opportunity. Sir, my first question is with respect to our individual lending book. We are seeing very good traction on that front. Can you share some qualitative aspect with respect to the book and the customer profile, given that it's a high ticket size loan. What traction we are seeing and what kind of customer we are seeing out there?

Vibhas Chandra: Yes, Agri loan is something which is a old business in Ujjivan. We started this business in 2008, long back, as we realized, there is a huge potential of customers upgradation from GL to IL. Our current average ticket size is close to 1.3 lakhs in IL, where the customer graduates

after 2-3 cycles. And we see a huge potential here because a large numbe

r of customers actually try to graduate after 2-3 cycles. And there is a gap.

There are microfinance players and then there are other players also, who are into formal financing. But these customers don't get financed from anybody. We have started this, we have close to 3.5 lakh customers at this point of time, and we want to grow this business as we see huge potential going forward. Largely, customers are divided into three categories.

We have business loans, we also have agri- and allied business in IL, and a good amount of

customers also take home improvement loans. These are the basic three categories of loans that we offer.
Shailesh Kanani: Okay, that is good. So, second question is with respect to yields on affordable housing segment, they seem to be little on the lower side. So can you just highlight about that and if there is any scope of improvement in that segment?
Deepak Khetan: Yes, the yield for the affordable housing segment is around 13%, which is excluding the MLAP business and it has been in this line only around 12.9%, 13% odd. And I do not understand what you mean that, it is on the lower side.
Shailesh Kanani: Just considering that it would be semi-informal segment, I was assuming that the yields might improve on that front. Just wanted to know your view on that?
Deepak Khetan: As we move more towards the Tier 2 and 3 towns and beyond that, yes, there would be a little improvement that might happen. Our yield on disbursement is around 13.2%. So for salaried, the yield is around 11% to 12% and for semi-informal, self-employed and all is around 14%.
Shailesh Kanani: Okay. That's all from my side. Thanks a lot.
Deepak Khetan: Thank you, Shailesh.
Moderator: Thank you. The next question comes from the line of Manish Ostwal from Nirmal Bang Securities Pvt. Ltd. Please go ahead.
Manish Ostwal: Yes sir. I have a question on your comments in the press release, where you mentioned that, we remain confident of our sub-100 basis point credit cost for FY ‘24. given your collection trends in the business and so this guidance need to, don't you think you need to revise downward or still you think there is a risk which may play out?
Ashish Goel: So thank you. This is Ashish. So in the first quarter, we have actually had much lower than the low credit cost. You could say about 10 bps on the overall book. We have given a guidance of about 1%, but our book is maturing and will be maturing. We will continue to mature during the course of the year. So there could be slightly higher credit cost in the third and fourth quarter, which we are factoring in, when we give a guidance of about 1% but we've always maintained that it will be lower than 1%. So that is, we maintain that. We will continue to see a lower credit cost during this quarter, quarter on quarter this year and it should sum up to less than 1% for the year.

Manish Ostwal: Yes, and secondly in our one of the slide, where you have mentioned the collection efficiency in segment wise, so I was seeing MSME the collection efficiency is quite stagnant, and the second is other segment. So what are the efforts, we are making to improve the collection trend in these two categories?
Ashish Goel: So in MSME, what you see here on the slide is built in the month and collected in the month. But there is also a good amount of additional collection, which we do, which is collected in the next month. So overall if you see the collection efficiency including the overdues, it has been maintained at 98.5% throughout the quarter. What you see here in this slide is 88, 87, 88, which is the collection for the month but there is also overdue collection which we do month on month. So this is also a result of stabilized cases in bucket 1 and 2.
Deepak Khetan: And Manish, if you see the additional collection that also is quite a hefty amount. That's what Ashish is referring to. Also on

e more thing the collection efficiency 88%- 87% is including the GNPA PAR portfolio that we have and given that MSME current GNPA numbers are high. This number seems to be a little lower. However as he mentioned, the NDA bucket collection is quite good and even from the par SMA 0, SMA 1, SMA 2 and your NPA collections are quite good, which are happening. So if you add up the total collection that will seem to be a very good collection, that is coming in.
Manish Ostwal: Thank you Deepak and thank you management team for answering my question. Thank you.
Deepak Khetan: Thank you very much, Manish.
Moderator: Thank you. The next question comes from the line of Renish from ICICI. Please go ahead.
Renish: Yes, hi sir and congrats on a good set of numbers. Sir, just two questions. So, one is on the liability side. So, if we refer to the new customer acquisition in the quarter, actually that has gone up from 3,35,000 to 3,41,000. And when we look at the average SA balance, it is that also remained sort of flattish sequentially. And despite that, our SA balance is has sort of contracted by 4%. So what explain this, sir?
Deepak Khetan: Renish, SA balances, if you see, it's an industry phenomena that the SA balances, CASA is going down for almost all the banks, who have reported their results so far. If you see for Ujjivan, a little longish period, you will actually see that the Casa has grown quite handsomely. So we would say that, this is more or less in line with the industry, a little better off with the industry and with the new facilities that we are providing, new products that we are coming up with and the retail, the brand campaign that we have launched, these balances will improve going forward in the coming quarters.
Renish: Got it. And secondly, on the ROA side, so you know, so last four quarters, five quarters, given

the very low provisioning requirement, plus the strong AUM growth. So now on a steady state basis, once the credit cost normalize, as you know, you guys are highlighting that second half, we'll see a slightly higher credit cost. So on a steady state basis, what kind of a ROA this business can generate?

Deepak Khetan: Renish, on the ROA side, we have mentioned that for this year, we'll definitely see a 3% plus ROA. We maintain that guidance on that. We have mentioned that the ROE for this year will be 22% plus. We maintain that guidance. There might be a little upswing to that depending upon the market condition, but right now, we do not want to change any guidance.

Renish: Not for this year, I'm saying on a steady state basis, once you know some of the operating parameters normalize, especially credit cost. So in that scenario, does the, let's say, the current business mix should generate a 2.5% ROA on sustainable basis, or how one should look at it?

Deepak Khetan: Definitely, we can do that and maybe more than that, we can definitely do that.

Renish: Okay. That's it from side, Deepak. Thank you.

Moderator: Thank you. The next question comes from the line of Sukriti Jiwarajka from Lamburnum Capital. Please go ahead.

Sukriti Jiwarajka: I just want to follow up a little bit on the asset quality of the MSME book. Like you just mentioned, both the GNP and the PAR numbers are quite high. And the thing is that, they have been quite sticky and quite high for a few quarters now. What is causing the stress, which pockets, which sectors, maybe some light on why these numbers continue to be so high, even the pie numbers, and what is the path to bringing this down?

Ashish Goel: So there are two, three reasons that I would want to list down. One, our book has not grown, so therefore the percentages are looking high. But if you look at the absolute numbers, the absolute numbers have been stable and moved a little up or down quarter-on-quarter. But the denominator effect has impacted the percentages. In terms of sl

ippages, these slippages have been under control. The NPA number and absolute number has been under control. And our bucket X efficiency has been. leading indicators.

In terms of geography, you mentioned that which geographies are causing this. There is a little bit of NPA in West Bengal, which is slightly elevated as compared to the rest of the regions.

Sukriti Jiwarajka: Got it. And a similar question for MFI, if you are seeing any early pockets of you know, early warning signals or any early pockets of stress, because the thing is every MFI is guiding to 30% growth over a very high base and a lot of banks are looking to aggressively get into this space. So as a conservative lender, are there any signals of customer over leverage or something that is coming up in our radar?

Ashish Goel: One of the advantages we carry is our book is spread across 25 states. So that makes us less vulnerable to geographic stresses. So and we also have a state wide cap. Most of our five bigger states are also capped in the range of 15% and there are three states, which are above 10%, every other state is between 5% to 10%.

In terms of high growth states, our market share is in the range of 3% to 4% all across every state. So there is no specific area, where we have any high concentration of the book. In terms of growth, we've been maintaining 0.6% 30 plus MOB. Sorry, 30 plus and 18 MOB book,

which we've been monitoring for the last 24 months consistently post-COVID. And this has remained steady for us.

One more thing that gives us confidence is our non-delinquent book, which is, bucket zero. That has been consistent above 99.8% for the last 18 months. So we've not seen any specific areas in which there are any stresses building up.

Sukriti Jiwarajka: Got it. No geographies. I understand that, you have very well diversified your book and that is not even the question. It is really on a macro level if anything is coming up, whether it affects you or not in pockets, in areas, in geographies?

Ashish Goel: If there is a change in, there are certain areas, at certain times, which are very topical in nature like the floods or if there is any other natural calamity. Those are the kind of things which do affect us. So, we had a marginal dip for example in certain regions in north. But, those get recovered over the next month or so because these are again 15 day to 20 day phenomena.

Sukriti Jiwarajka: Got it. Okay. Thank you so much for answering my question.

Management: Thank you, Sukritiji.

Moderator: Thank you. The next question comes from the line of Pritesh Bum from DAM Capital. Please go ahead.

Pritesh Bum: Hi, good evening. Just two questions. One is a clarity needed. As a percentage of loans, 43% comes from new loans acquired. Is this a phenomenon that the existing loans are migrating to IL or we are actually, have a rise in terms of new fresh loans?

Ashish Goel: So both things are happening. Our GL customers are also migrating to IL as well as new customers are also getting added. So we for example said that, we added about 2.6 lakh new customers in this quarter. This is in addition to about 9.6 lakh new customers, we had added in the last full year. The net addition last year was about 6.5 lakh. So yes, new customer acquisition which we opened last year was a strategy and we are also opening new branches. So that also gives a slight increase in our NCA numbers. So it's a combination of all these factors.
Pritesh Bum: And that is the reason, our ticket size also has gone down, is it?
Ashish Goel: Yes, last year you may remember about five quarters back, our ticket size had gone up six quarters back because we were doing largely repeat loans and we were very conscious about doing new customer acquisition because we didn't know, what was the impact of COVID and how long it would last. But last year when we started our NCA strategy agai

n, we started seeing as the new customer percentage has gone up, the average ticket size has gone down.
Pritesh Bum: Sure, and which geography these new customers are coming from? You can give some more colour on that?

Ashish Goel: All geographies, these are across branches. We have added team members across branches and therefore there is no skew in any state.
Pritesh Bum: Got it. Second question was the off-role employees of collections are going down steadily. At what level will we steady that number and is that the reason, why the other opex quarter-on-quarter was down?
Ashish Goel: So the way we are looking at it is our cost of collections remains in the range of about 20% with our off-role staff. There are two factors here. One is the entire book, which was affected by COVID is now 700 DPD and above. So obviously then collections will slow down over a period of time and therefore as the collections have slowed down, we have proportionately brought down our team size. The metric that we have followed is about 20% cost of collections. As the numbers keep going down, the team can be suitably downsized.
And the second reason is also that our NPA book has not grown. In fact, there has been a steady reduction of accounts in the NPA and the written-off pool. Last year, we reduced more than 1 lakh accounts from NPA plus write-off. So that has also contributed to a reduction in the off-roll team strength.
Pritesh Bum: And your query on whether that has led to the opex reduction versus Q4?
Deepak Khetan: No, that is not really the primary reason for reduction versus Q4. Q4 business numbers disbursements were much higher versus Q1. That is the reason why the numbers are lower.
Pritesh Bum: Sure, that means it was a BAU basically, Business As Usual?
Deepak Khetan: Yes. It's a business as usual.
Pritesh Bum: Thank you.
Moderator: Thank you. The next question comes from the line of Himanshu Taluja from Aditya Birla Mutual Funds. Please go ahead.
Himanshu Taluja: Hi sir, congratulations for a good quarter. Just one question has been from my end, most of the questions have been answered. Sir, last year you have made a, you have strengthened your collection team and as a result, we have seen a very strong bad debt recovery as well. And given you have said, the momentum to continue FY 24, sir, last year, you have made a good good collections bad debt recovery from the early delinquency period.
Now given the current NPA pool would be in a more harder buckets, so what sort of recoveries that you think that you can probably achieve in FY ‘24? Anything? And do you need the similar collection workforce in this year as well, which you have probably, which you have added the last year?
Deepak Khetan: Himanshu, this is something that Mr. Davis touched in his opening remark also that FY ‘24 also bad debt recovery would continue to be very handsome. However, maybe a little lower than what we did in FY ‘23. FY ‘23 we did around INR135 crores odd. This year it would be a

little lower than that that. Whether it will be INR100 crores, INR120 crores or INR90 crores. I cannot comment on that number right now but it should be in that range at least that is what we believe. In terms of collection team size as Ashish has already mentioned in the last query the pool the hard bucket pool where collection, difficult collection is there, that pool size is shrinking as we move forward. So which is why the collection team size slowly you will see the off-role will shrink as we move along, but the on-role team will stay that is a strategy that will happen and off-role will continue to shrink.
Himanshu Taluja: Sure, sir. Sure. The second is just a few, two more data keeping questions. What sort of the PSL income that you have made last year and what you are and what you have recognized in

this quarter and generally which quarters generally you use your higher PSL income?
Deepak Khetan: This quarter is 26 crores roughly. Last quarter PSL income, last year PSL income let me check was around what 40 crores? I'll just give you the exact number what was last year full year PSL income. We generally PSL income you'll see coming in the first quarter and the fourth quarter. However, I will also, Yes, full year was 28 crores. Last year full year was 28 crores. I will also mention that when you look at PSL income, you also look at the kind of IBPC that we are doing, because that also gives a similar benefit to the book in terms of lower cost of funds. So last year on an average we were having around say 1500 crores of IBPC. This year already I think the IBPC number is a little higher than that and we will continue at this number, this rate for the full year around 2000 odd crores so that additional benefit is also there this year.
Himanshu Taluja: Sure sir sure and just last question sir within the MFI any sort of the target that you have between the individual and the group do you have or how one should look at the growth between the two?
Vibhas Chandra: Oh Yes obviously we want to grow much faster than GL because we have a captive customer base of over 40 lakhs. In GL, we have a lot of customers who want to graduate to IL. So we will see IL growing much faster than GL in this financial year also. And we'll continue to trend from the last financial year. And for that, we have also extended our IL team and we have increased the number of feet on the street for IL in branches.
Himanshu Taluja: Sure, sir. Thanks a lot and congratulations for a good quarter. Thank you.
Vibhas Chandra: Thank you very much.
Moderator: Thank you. The next question comes from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.
Ashlesh Sonje: Hi team, congratulations on a good quarter. I have just one question on the opex for us. If I look at the cost to assets ratio that has been steadily coming down over the past few years and given that we are in a period where we are reporting very strong return ratios, how do we look at the cost ratio going ahead in terms of the investments that we if we plan to make in the franchise?

Deepak Khetan: Ashlesh, we have mentioned both for the cost to income ratio and cost to operating cost to average asset ratio. For this year they will be more or less stagnant. So right now we do not change the guidance. We may see a positive swing there but right now we will maintain the guidance number. We will see if we want to change the guidance when we come next time to meet the street. But right now we do not want to make any changes there.
Ashlesh Sonje: Okay and if I go ahead a few years, 25, 26, any...
Deepak Khetan: Over the next three years, yes, definitely these numbers will come down slowly, maybe around cost to income ratio, maybe around by 300, 350 basis point every year it may come down.
Ashlesh Sonje: Okay, perfect. Thank you.
Deepak Khetan: Thank you.
Moderator: Thank you. The next question comes on the line of Manan Tijoriwala from ICICI Prudential Asset Management. Please go ahead.
Manan Tijoriwala: Hi, good evening. I had a couple of questions. So first on the group loans concept, so what is the average ticket size that we have now in the first, second, third cycles?
Vibhas Chandra: The question is what is your average ticket size in group loan in first, second and third cycle? So average ticket size in the first loan is close to between 40 to 42, 42000 and in repeat loans in the second cycle it is close to 50 and third cycle onwards the average ticket size is close to 60.
Manan Tijoriwala: Okay, okay and how soon can we refinance the customer to a second or a subsequent cycle and what is the tenor of the loans generally?
Vibhas Chandra: So you know I have the maximum tenor that we

allow to our customers in group loan is three years and our average tenor is close to 22 to 23 months and we allow our customers to take loan, repeat loan only after completion of 70% of their EMI.
Manan Tijoriwala: 70% of the EMI, okay, okay understood and how much of the loan book is now under three years? I'm sorry, over three years.
Vibhas Chandra: Yes. Yes. You know, the three years stay in our loan is close to 20% to 22% of our entire portfolio at this point of time.
Manan Tijoriwala: Okay, okay. And so on the individual loans, are these all our MFI customers or are we sourcing from the market as well?
Vibhas Chandra: So, Yes, we have open market acquisition strategy as well. And we have kind of restarted our open market acquisition as we have stabilized after the effect of pandemic. And before that also we were requiring open market minded customers but these customers are largely referred by our internal customers microfinance customers only. At this point of time our open market

customer acquisition is close to 5%-6% of whatever we acquire in your lending but this number will also slightly go up in the financial year as we go ahead
Moderator: Mr. Manan, may we request you that you return to the question queue for follow-up questions as there are several participants waiting for their turn. The next question comes on the line of Manuj Oberoi from YES Securities. Please go ahead.
Rajiv: Yes, sir. Hi. Congratulations on strong numbers. This is Rajiv here. So just, I'm left with just one question, and that is, when I look at your OnePlus and GNPL affordable housing portfolio.
Yes, can you hear me?
Management: Sorry, we're not able to hear you.
Rajiv: Now, now, is it better?
Moderator: Mr. Manuj, could you please fall back to the queue? We shall move to the next questioner. The next question comes from the line of Amit Jain from Axis Capital. Could we reconnect the call? Ladies and gentlemen, the management line has been connected back again. Mr. Amit Jain, you shall proceed with your question. Thank you.
Amit Jain: Thank you for taking my question. So I had a question on margin. So given that now that the rates have stabilized, and do we see that the cost of funds could increase further from current levels? And similarly, on loan repricing, is it largely done or do we have some bandwidth to further increase loan prices?
Deepak Khetan: First on your cost of fund query, so cost of fund may go up from here as well because repricing of the old FDs may happen. So to some extent we believe cost of fund has not yet peaked.
Maybe we are around few quarters, maybe two quarters at least away when we see the interest rate cycles also peaking out or starting to see sliding down. So to that extent we'll keep that as an open-ended answer. On the repricing side, there is a lot of room left.
We took two rate hikes last year. One was in September, 50 basis point on our MB book and one was in March, 50 basis point again on 1st of March. Of the existing book, 30% book is on the March pricing, 30% book is on the September pricing and 40% book is before that. So on that 40% book 100 basis point repricing is to happen on that 30% book 50 basis point repricing is yet to happen. So there's a lot of room left on the MB book repricing to happen.
Amit Jain: So in that case, we still maintain a guidance of around 9% NIMS for this year. Is that a fair assumption?
Deepak Khetan: Yes, we remain very confident that we'll be able to hold on to the NIMS.
Amit Jain: And the second question is on the employee base. So around, we have added around 2,500 employees over the last six months. So mostly I assume these would be in feet on street, is that right?
Deepak Khetan: That's right.

Amit Jain: And any particular geographies where we are adding employees or is it all across?
Deepak K

hetan: See, employee addition to a large extent is happening because of the new branches that are coming. This quarter we had opened around 32 branches in Q1 and in Q4 also there was a lot of branches that opened. Last year we did around 52 and most of the branch openings were back-ended. So these branches were opened and the employees were hired for the new branches. Going ahead 9 months we will be opening around 70 branches. To that extent, some employee hiring will be happening.
Whatever branches we are opening this second quarter, to some extent, some hiring has already happened. Apart from this, the hiring is happening, maybe we have introduced RM modules for our branch banking, so there's some bit of hiring happening. Some bit of hiring is happening on our secure books where we are growing the business. For example, housing is going very well there. Some ground level team is being added. MSC as the new products come there will be a little bit of hiring happening. So those will be additional hiring apart from the branches. 85% of whatever is hiring happening is in the front level staff that is happening.
Amit Jain: Sure sir, that is very helpful.
Moderator: Thank you. The next question comes from the line of Manuj Oberoi from YES Securities. Please go ahead.
Rajiv: Hi, this is Rajiv here. Thank you for taking my question and congratulations on very strong performance. So my question is on affordable housing book. So as I see your OnePlus and your GNPLs in this affordable housing book look slightly as I see your OnePlus and your GNP is in this affordable housing book looks slightly higher than peers when I compare them with you know peers operating with similar ticket size and each any specific reason for that?
Ashish Goel: The PAR and the GNP for us has been you know consistently coming down. If you compare the pre-COVID book and the post-COVID book, then Rajiv, our post-COVID book performance is significantly better than the peers. And the 30 plus numbers, if you can look at, we are better than all the affordable housing players there. Our NPA, in fact, for the last 22

months, source book is in the range of 0.1%, and 30 plus is in the range of 0.5%. So the new book has done very well. The old book, and the new book is about 65% of the overall book. Old book is where the NPAs are, and that is about 2.4% if we look at the overall book and you know almost 30% to 35% of that is in the stage of sale of asset or repossession of asset. So that gives us confidence that this number will further go down because the efforts on legal that we had started almost 18 months back have given us a lot of results. So a good percentage of that has been taken, you know, the bank has taken the properties, now in the process of auctioning. A good number of cases are in the process of getting, you know, the enforcement of security is happening there. This old book is also, you know, getting cured at a very fast pace. Last year, same time, I think we were in the range of four and a half. And now we are in the range of 2.4%. And the absolute amount also has gone down by about 60 crores.

Rajiv: Yes, got it. So there is some, you know, remark that there is a micro lap also in this book. So what percentage of this affordable housing book as we see is micro lap and is it a focus product and what is the yield?

Deepak Khetan: Rajiv, the micro lap product is a very focused product for us. The idea is that wherever the large ticket size individual loan is there in micro banking and we see that the family is able to support that bigger ticket size, we'll migrate them to micro lap. However, in the current book, the amount of micro lap is just around 40 crores.

Rajiv: Okay. And this will be scale significantly. And in yield?

Deepak Khetan: Yield is around 19, 19 and a half percent in that book.

Rajiv: Okay. Thanks so much. And best of luck. Thank you

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Moderator: Thank you. The next question comes from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Yes, thank you very much for the opportunity. Sir, just I wanted to understand, I mean, in terms of brand, I think you mentioned we will be continuing the brand investment in first quarter, right? So, so, so what was the quantum that we did in, in this first quarter? And how do we see that going ahead?

Deepak Khetan: Deepak, we won't be able to share exact expenses of the brand campaign. The brand campaign went live on 24th of July. So to that extent, whatever the production cost and all was there, that was taken in the first quarter. The overall cost will come in first quarter and second quarter. It is a five week plus brand campaign, eight week plus eight week brand campaign is there. And the overall cost will come in both the quarters. First quarter is loaded with that and to some extent it will be there in the second quarter as well.

Deepak Poddar: Okay, okay. So ideally in the first half only this cost will come right? Not in the second half?

Deepak Khetan: Yes, what a lot of it has already come in the first quarter and the balance will come in the second quarter.

Deepak Poddar: Okay, okay, fair enough. I understood. And so just a clarification in terms of I think this reverse merger, I think we had a last update as on 28 June, right, as you mentioned in your press release. So how soon we are expecting it to get through?

Deepak Khetan: Deepak, it's a legal matter. We won't be able to give timeline on when do we hear from the court. Right now what we can say is within this year we believe that the matter would be wrapped up.

Deepak Poddar: Within this calendar year?

Deepak Khetan: Yes.

Deepak Poddar: Okay, understood. And in terms of reverse merger, our share outstanding will decline by about 1.5% to 2% right post the merger?

Deepak Khetan: Would be 0% there will be no promoter.

Deepak Poddar: No so 1925 million shares would be our revised share outstanding post the reverse merger?

Deepak Khetan: Yes post the reverse merger roughly around INR3 crores odd shares will be cancelled net cancellation.

Moderator: Thank you. The next question comes from the line of Prabal from Ambit Capital.

Prabal: My first question is on deposits. So, congrats on the performance here. So, as we are growing our deposit base, how are we ensuring that we also bring in customer engagement so that some portion of this new deposit accretion over a period of time becomes sticky with us and also less rate sensitive with us?

Carol Furtado: Hi, so on the deposit base, a lot of work is being done to increase the visibility and the awareness of our brand. And, Deepak also mentioned and Mr. Davis in his speech also mentioned about the brand campaign that we are doing. So we hope to garner a lot of retail deposits to this campaign. We have also put in a lot of specific customer segment wise

programs, which will help us in growing our deposit base. We are also categorizing our customers into, we've categorized our branches into various categories and we have also introduced the relationship management piece in place.
So we have a strategy for new customer acquisition as well as for the existing customer acquisition. Like I mentioned, the segment-wise programs for high net worth customers, for senior citizens, for retailers, for TASC, for women, for youth. This is the way in which we will be growing our deposit base with a specific attention to each customer segment and also designing products that are required for that particular segment. So you know the strategy is new and existing deepening our relationship and of course through the brand channel.
We have also introduced the digital channel, the digital fixed deposit has been recently launched and that is an area too that we will be looking at. Our service quality

is another area
for our customers. The customer service area is another aspect that we are strongly working on. We have the phone banking team to attend to customers for any of their requests. That's a channel that has been significantly upgraded and we are able to do a lot of service requests through this channel. So customer...
Prabal: Sorry to interrupt. Actually, my question was not on accruing new deposits, but more on how do we make sure that these new deposits become more sticky and stays with us even when we reduce the interest rate?
Carol Furtado: Yes, so through all this, you know, the customer service programs that we have, the multi-channel approach, the relationship management piece, this is going to help us in, and you know, segmenting our customers with programs like the, with various programs and using

analytics, we will be able to define our requirement for each of these customer segments and grow the, and a lot of cross-sell is going to come into the picture. So with all this, we will be able to deepen our relationship with the customer.
Prabal: Okay, I'll take this offline. My next question is on, so sir, can you tell us how is microfinance individual underwriting different from a group underwriting in terms of, you know, what are the different processes in both the systems?
Vibhas Chandra: So, group loan, individual loan underwriting is very, very different from how we do group loan. Group loan is classical grammhin model and it happens the way it happens for the industry. But as far as when customers try to graduate from group loan to individual loan, we have a separate feet on the street from business side who is supposed to acquire customers and on-book customers.
And then we have independent credit team right from feet on the street to the chief credit officer. We have independent credit team who analyzes customers based on their family level income. And this practice we are following for the last, say 13, 14 years, which is now mandated by RBI. And this is something which is done by credit officer individually and loan is under written by the credit officer. Apart from that, we use a lot of data analytics to understand which customer can graduate.
We have a lot of data, internal data as well as external data available for the customers. We use this data to underwrite customers better so that we can graduate all eligible customers on VL to IL. So IL is a separate vertical where separate people are there both in business and credit and apart from that we use data to analyze customer better.
Prabal: And just a last question, so what are the top three states since we have a diversified portfolio across geography, what are the top three states where you are seeing better than expected traction and maybe if you can also highlight the bottom three states where you are still watchful in terms of growth?
Vibhas Chandra: You are talking about IL or overall microfinance?
Prabal: Overall microfinance.
Vibhas Chandra: So our top three states is Tamil Nadu, Karnataka and West Bengal. Obviously, we have more number of branches. We started from here in regions. And as far as the bottom three, as such we don't have bottom three in terms of growth we have a number of branches which are different in different states, but at this point in time, I would say that Assam is something where the industry is facing issues and we are also very cautious and we are doing, we have changed our strategy in the state of Assam. Apart from that, we don't see any state where we see growth which is very low at this point in time. Overall growth is at par with the average growth of Ujjivan Microfinance Business.
Moderator: Thank you. Last question comes from the line of Prit Nagersheth from Wealth Finvisor. Please go ahead.

Prit Nagersheth: Thank you. So I wanted to b

etter understand the upgrades, the recoveries and the return of
numbers that you posted on in the presentation. I thought you mentioned that the write back was -- the bad debt recovery was what about INR35 crores for this quarter?
Deepak Khetan: Yes, 35 crores.
Prit Nagersheth: So how is this 77 and 60 coming? Could you just explain that?
Deepak Khetan: Prit that 77 is the NPA recovery and upgrade that is in addition to the INR35 crores of bad debt recovery. That INR35 crores in bad debt recovery is something that has been written off the book. This 77 is upgrades and recoveries from the NPA book, which is still there on the book. And this INR60 crores is fresh write-off during this quarter. INR52 crores is technical write-off and around INR7 odd crores is other write-off.
Prit Nagersheth: Is it a write-off or is it a write-back?
Deepak Khetan: Write-off.
Prit Nagersheth: Okay, because if you see the math then because you are starting NPA, then you have your slippages and then you are adding back the recoveries.
Deepak Khetan: No, so the math says you have a starting NPA of 631 and there is a slippage of 103. Then you have upgrade, so you reduce that 77. Then you have write off, so you reduce that 60 and the ending or the closing NPA is 597.
Prit Nagersheth: Got you. So how much of this can we expect to continue for the next quarter? Could it be in a similar range?
Deepak Khetan: Are you asking for NPA guidance?
Prit Nagersheth: That's correct.
Deepak Khetan: So we are at around 2.4% and we would be ending the year by around say 2% on number.
Prit Nagersheth: Okay, so exit quota should be around 2%. The other thing I wanted to understand was that should we expect a dip in disbursement for the second quarter given the flood situation that's ongoing in various parts of the country?
Deepak Khetan: The flood situation has not really impacted so much on the business. It's a temporary phenomenon and few days at few districts. So right now we do not want to say that it will impact the overall performance of the quarters. Neither on the collection side nor on the business side, disbursement side.
Prit Nagersheth: Got you. And the last question is, can you shed some light on the Ujjivan Hello app and how is that helping you win business on the ground or give you a right to win vis-a-vis all the other competitors out there?

Deepak Khetan: I didn't get your query. Can you repeat?
Prit Nagersheth: Basically the Hello Ujjivan app that you have out there, right?
Vibhas Chandra: So the question is around Hello Ujjivan and how it will help us and customers.
Prit Nagersheth: That's correct. And how is it helping you with any competition, right? Because one of the lines.
Vibhas Chandra: Yes. So Yes. So Hello Ujjivan, we mentioned in the last call also that this is something which we have developed for especially for microfinance and rural customers. As we realize that our original application, our customers are not able to use because they can't read and this application is where the customer can talk to the application and do their banking transactions. At the same time, we see this as an opportunity where this channel can be used by our customers in various activities including onboarding repeat loans for our customers on this application.
Today we have about over 3 lakh customers who have already downloaded and that is exciting news that customers are liking this application. Soon we'll also have repayment is already there and customers, a lot of customers are repaying through this application, which also reduces your cost because your cost of transaction becomes zero. But at the same time, as we onboard repeat loans on this application, once the customer is onboarded Ujjivan for loans, the repeat loans, top-up loans, and other services which customers want their own loan can be serviced through mobile applications.
This can be

a game-changer and we are working very hard on building this application to ensure that all services, future services when customers onboard it, can be offered through this application, including repeat, top-up, TDs, reliability, relationship we are trying to on board through this application. So yes this is something which customers are liking at this point of time a lot of customers have installed but at the same time we are seeing a lot of new features being added in Hello Ujjivan going forward in this financial year.
Moderator: Thank you. The next question comes from the line of Sanjay Pandit from 1729 Capital. Please go ahead.
Sanjay Pandit: Okay, so my question is, for those holding Ujjivan Financial Services, the holding company going into the reverse merger, does the ratio pretty much stand as is? And if so, would there be some kind of cash distribution prior to the reverse merger? And regardless of that, what kind of sort of per share book value accretion can even small Can Ujjivan Small Finance Bank expect to have concurrent with the reverse merger by virtue of I guess some cash coming into the

bank?
Deepak Khetan: Sanjay, book value accretion would be INR2 or maybe a little more. There is roughly around INR180 crores of cash that UFSL currently has. So that will come to the bank plus a INR200 crores of preference shares are there which will get cancelled. So that will also come to the bank. So total of INR380 crores as is which is there and plus whatever the bank has proposed as a dividend if that gets approved tomorrow that will also come to UFSL.

So that amount will come to UFSL and depending upon if or whether UFSL distributes that money in form of dividend or not or whatever is the amount, basis that we still believe at least INR380 odd crores is there which will come to the bank which means roughly INR2 book value accretion would be there for banks. There would be no cash distribution to UFSL shareholder as part of the reverse merger process.
Moderator: Thank you. Due to time constraints, that was the final question. I now hand the conference over to the management for closing comments.
Ittira Davis: Well, I thank you all for joining us in this session. It's been wonderful to take your questions and answer them. If there are any questions that remain unanswered, please contact Deepak or Madhusudan at our offices here in Bangalore and we'll be happy to respond to you. I'd like to take this opportunity to thank Mr. Shah, IIFL, for their coordination and hosting of this call and to Chorus for their logistics. Thank you very much.
Moderator: On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2023

USFB/CS/SE/202 3-24/80
Date: October 30, 202 3

To,

National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

Symbol: UJJIVANSFB BSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 542904

Dear Sir/Madam,
Sub: Transcript of the Quarterly Earnings Call held on October 27, 2023
Pursuant to Regulation 30 o f SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnin gs/quarterly conference c all held on October 27, 2023 for the quarter ended September 30, 202 3 is enclosed herewith.
The same shall be available on the Bank's website at www.ujjivansfb.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED

Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework

Encl: as mentioned above

"Ujjivan Small Finance Bank Limited
Q2 FY '2 4 Earnings Conference Call "
October 27, 202 3

MANAGEMENT : MR. ITTIRA DAVIS – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – UJJIVAN SMALL
FINANCE BANK LIMITED
MS. CAROL FURTADO – CHIEF BUSINESS OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR. MARTIN P S – CHIEF OPERATING OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR. ASHISH GOEL – CHIEF CREDIT OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR. M.D RAMESH MURTHY – CHIEF FINANCIAL
OFFICER – UJJIVAN SMALL FINANCE BANK LIMITED
MR. VIBHAS CHANDRA – HEAD OF MICRO BANKING –
UJJIVAN SMALL FINANCE BANK LIMITED
MR. DEEPAK KHETAN – HEAD, FINANCIAL PLANNING ,
STRATEGY & INVESTOR RELATIONS – UJJIVAN SMALL
FINANCE BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Ujjivan Small Finance Bank Q2 FY '24 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participants lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ittira Davis, MD and CEO, Ujjivan Small Finance Bank. Thank you, and over to you, sir.

Ittira Davis : Thank you. Good evening, and welcome to our Q2 financial year '24 and first h alf financial year '24 Earnings Call . I'm happy to share that our business performance continued to display a healthy growth for the eighth quarter in a row. Disbursements at INR 5,749 crores continued its strong trend and were up 18% year -on-year, aiding i n gross loan book of 27% year -on-year and 5% quarter -on-quarter.

We continue to expand our customer reach through physical and digital network, enhancing our product and services suite. This, coupled with our enhanced marketing efforts and further strengt hened the bank's liabilities franchise. Despite elevated competition in the market, our total deposits grew 43% year -on-year and 9% quarter -on-quarter to INR29,139 crores. We added 39 new branches in the last quarter, taking our branch count to 700. Anothe r 45 branches are expected to be added in the second half of the year.

These include splitting of some Micro Banking branches due to the higher customer base that they have. Asset growth was driven by micro banking as well as affordable housing and FIG. While group loans in micro banking is driven by new customer acquisition, individual loan is growing faster as apart from new customer acquisition, our existing group loan borrowers are also a track record of grad uating to the individual loans.

This trend, we believe, will sustain going ahead. In fact, we expect mature individual loan borrowers to actually graduate to the secured loan portfolios like micro LAP and affordable housing. In line with this trend, we are investing in our micro LAP business, which is now active in eight states as against two states in the last financial year.

We expect this business to pick up scale in the coming quarters. Our newer offerings like gold loan and 2 -wheeler loans are also catering to growing need of this customer base apart from new to bank customers. We are investing in our analytics division to accelerate this graduation to a secured book apart from exploring opportunities to cross -sell and up -sell additional products services like insurance, 3 -in-1 account throu gh our strategic partnerships.

Our affortable housing continues to outperform and is now 15% of our total gr oss loan book. We disbursed INR 541 crores this quarter, taking our book to INR4,036 crores. As I mentioned during our last call, the business is mo ving towards a hub -and-spoke model. We have added 10 new hubs this quarter, taking the total count of hubs to 13, while operational efficiency is setting in along with streamlining of processes, loans disbursed through these hubs have a much lower TAT comp ared to loans disbursed from other channels. This has resulted in improved productivity.

Also, our focus is more towards non -metro and smaller towns. Contribution of disbursements outside metro is slowly in ching up. The FIG disbursed INR 293 crores, up 39% year-on-year. Being a strategic business, we continue to garner good quality NBFCs with over 95% FIG customers carrying a credit rating of A - and above with collections stable at 100%.

The revamp of the MSME vertical has taken a l

ittle longer than anticipated. Currently, we are operating in select geographies, rebuilding the team, while we are simultaneously expanding our product suite. We have launched semiformal LAP in Q1, which is now scaling up.

We have tied up with two fintech partners and are in process to commence disbursements. Expect this business to contribute significantly towards the second half of the year. We continue to evaluate more such fintech partnerships going forward . During the quarter, we launched our first nationwide brand campaign to establish Ujjivan Small Finance Bank as a leading mass market bank.

The campaign has helped increasing trust among our customers, and increase our visibility. We launched premium curr ent account and savings account products during the quarter, and the same has seen good success in terms of customer acquisition and deposit buildup.

Our digital fixed deposits went live this quarter, which provides smooth onboarding of our digitally savvy and new to bank customers. Jointly, these efforts yielded strong results. Our

strategy to build a healthy retail liability base was displayed by CASA crossing INR7,000 crores and growing 28% year -on-year and 7% quarter -on-quarter.
Further, our retail term deposits grew 56% year -on-year to INR11,806 crores. Our recently launched app Hello Ujjivan is gaining acceptance among customers with total downloads reaching 4.3 lakhs and total repayments of more than INR40 crores in the quarter as against INR29 crores last quarter.
We have also activated loan acknowledgment on the Hello Ujjivan app, which saves the customer time of visiting branches for signing disbursement documents. This also reduces the pressure on our branches. Going ahead, we plan to introduce rep eat loan facility on the app that is bringing a significant cost saving, as more than 60% of disbursements are actually repeat loans. As the application gains usage and acceptance, it will provide field staff greater bandwidth to cross -sell to existing cus tomers and also acquire new customers.
Now moving on to our financials. Our total income growth for the quarter was 39% year -on-year, driven by a 40% year -on-year interest income growth. Yields continue to inch up as the book gets repriced. Currently, 47% of GL, IL book in March '23 onwards, 28% dispersed between September '22 and Feb '23 and the balance prior to September '22.
Just to remind you, we have taken 50 basis points hike in September '22 and another 50 basis points in March '23. Our cost of funds continue to rise as term deposits get repriced. Going forward, the cost of funds graph should start to flatten, as the TD pricing is mostly complete, repricing is mostly complete. This is subject to a status quo in the market interest rates.

Our NIMs have contracted to 8.8% for the quarter as against 9.2% in the first quarter. This is partially due to the rising cost of funds and partially due to increased investment book. As the cost of funds start to flatten, we expect some improvement in NIMs in the sec ond half more towards Q4. Our asset quality continues to improve with GNPA at 2.2% as against 2.4% in June. NNPA remains negligible at 0.09%. Collections remained strong with up to 1 EMI collection efficiency of 98.3%. Slippages for Q2 were at INR113 crore s, was at INR103 crores in the first quarter. For first half '24, slippages are at INR216 crores with upgrades and recoveries of INR145 crores. Bad debt recovery continues to remain strong with INR73 crores in the first half of the year.
Now an update on t he reverse merger. Based on the order received from the honorable NCLT, the shareholders have been invited to an AGM that is being convened on the 3rd of November by the bank as well as a separate one by the Ujjivan Financial Services.
One of the , once the merger is approved by the shareholders of both co

mpanies, we will proceed
with the remaining procedural and regulatory aspects. We expect the merger to be completed during the fourth quarter of this financial year. Here, I'd like to highlight tha t the merger would bring benefit to both sets of shareholders.
Our outlook, we remain , we maintain our immediate and long -term guidance given earlier. The business is on strong footing to deliver a 25% growth with a sustained ROE of 20% plus. To conclude, I would add that business momentum remains strong and we are confident of establishing Ujjivan as a leading mass market bank. Thank you.
Moderator: Sir, shall we open the floor for questions?
Ittira Davis: Yes, you can.
Moderator: We will now begin the qu estion -and-answer questions. The first question is from the line of Suraj Das as from Sundaram Mutual Fund. Please go ahead.
Suraj Das: Congratulations, sir, on a good set of numbers. Just two questions from my side. First is that if I see the segment -wise yield that you published on your Investor Day, so there , if I see the MSME and affordable housing segmental yield, so that has come down versus FY '23 versus first half of FY '24.
So sir, any rationale behind that? I mean while we are in a rising rate tha t yield coming down, is it more to do with the competition to spark growth? Or is it because of, let us say, slippages coming in? Or what could be the rationale here? And that is my first question.
Deepak Khetan : Suraj, MSME, actually the business is under going transition. So there's hardly much disbursement, which is going on. So we would say that take this more as an aberration. However, going forward, also what we'll suggest is that once we are getting more into formal and semi - formal kind of a business, so there, the yield will be more or less in the current range what you are seeing 12.5.

Also last year second quarter, there was a good amount of fintech partnership, which was there, where the yields are very high compared to the normal 12.5 kind of yiel d. So the blended yield was a little higher. And as Mr. Davis mentioned in his opening remarks, we have already entered into two such fintech partnerships. So once the disbursement starts in Q3, you will see those yields coming in.
Suraj Das: Sure. Underst ood. And on the affordable housing side, I mean, same story, more or less has been...
Deepak Khetan : Affordable housing is more or less flat. There is not much of a reduction going on there.
Suraj Das: Okay. Sure. Now if I see the quarterly yield so last year, on average, it was something like 12.8 that has come down to, let's say, 12.2 in first quarter and 12.5 in second quarter, so roughly 30 basis point type reduction more or less -- 30 to 40 basis points, but okay, I understood.
Deepak Khetan : Not much of a change in affordable housing. It's more or less flat.
Suraj Das: Sure, sir. Understood. And sir, while you have given guidance on the FY '24 in your Investor Day, if you can just reiterate your medium -term guidance in terms of what kind of cre dit cos t you are building in FY, going into FY '25 and '26. And what kind of ROE you are targeting. Yes, that would be my second and last question. Thank you so much and all the best.
Deepak Khetan : So Suraj, we have not given ROA guidance. We've given an ROE gui dance, which is 20% plus for FY '25, '26. For this year, we have given our ROE guidance of 22%. And this year's credit cost, we have given less than 100 bps and a normalized credit cost, we have given something around 125, 150 bps.
Moderator: Next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.
Shailesh Kanani: Yes. So my question is with respect to yield, last time in the con call, we had guided that there is a good amount of repricing pending on the asset side? And sequ entially, the yield seems to be on the flattis

h side. So can we expect the repricing happening in the second half?
Deepak Khetan : So Shailesh, we mentioned in our opening remarks, Mr. Davis mentioned that 47% of the book is which is at March '23 and post March '23 disbursed book. So the balance 53% of the micro banking book is still to be repriced. 28% will see a 50 basis point repricing and the balance will be 100 basis point repricing. This will happen over a period of nex t 3 to 4 quarters.
Shailesh Kanani: Okay. Sir, the second question is with respect to our A TS on the individual lending segment. There is some sequential decline of around nearly 11%. So how we should we read into that?
Ashish Goel : Average ticket size of individual loans is INR131,000. It was...
Moderator: Sir, sorry to interrupt you. You are sounding a little distant.

Ashish Goel : Sorry, our average ticket size in individual loan in Q1 was INR130,000, and it is now INR131,000. So it remains more or less f lat.
Shailesh Kanani: Individual lending, I thought it come down from INR130,000 , my bad. Okay. Fair enough. And on. just last question on reverse merger. We have extend in the time line by 3 months. Is that understanding right?
Ittira Davis: The time line was, best estimate was the third quarter. Now the NCLT has asked EGM to be held. EGM is being held on 3rd of November. So depending on the outcome, it may even close during third quarter. We are waiting for the NCLT to tell us whether anything further nee ds to be done or they are happy with the results of the EGM, which will be announced soon after the 3rd of November. So once we know that, we'll know the exact date. We are hopeful of third quarter, but if it is for whatever reason, something else is requi red, we are hoping it will conclude in the fourth qua rter. But yes, still the target, we still have two months to go.
Shailesh Kanani: Yes. So is it safe to assume that first attr ition of half of fourth quarter. the reverse merger to be done?
Ittira Davis: Yes. I mean there are some formalities to be completed. We assume that, that will be done in the fourth quarter.
Moderator: Thank you. Next question is from the line of Gautam from GCJ Financial. Please go ahead.
Gautam: Good evening, everyone. Yes. I hav e seen your presentation that you mentioned your cashless collection is around 37%, which was like 20 -odd percent last year. And you also mentioned that since your NPA and restructured book is going down, so your collection team will get reduced. So how mu ch savings do you see, employee cost going forward? And with that also, I'm seeing that your employee has gone up significantly from March to now around 3,000, yes, 3,000 -plus employee has gone up. So I want to know your comment on how that will impact our employee cost. And since our collection team is getting reduced, why our hiring is so significant? This is the first question.
Ashish Goel : Last year, we had a sizable off -roll team. That is where our reduction happened, and we have reduced about 300 peop le from the off -roll team. However, as we are building our secured book,

we have strengthened our on -roll team to handle the secured portfolio. So you would see a marginal increase in the number of on -roll employees to handle the secured collections.
Ittira Davis: Also, I think we have got new branches, which we have opened. So all of those branches have to be staffed. We have -- by the end of this financial year, we will be adding, from last financial year, about 150 -odd branches. So those 150 branches have to be staffed. We have crossed 700 now in overall number. So that is also adding to the number of staff, which we are hiring.
In terms of cost, we are aware that these costs have to be managed, but it is in line with all our projections. The new branc hes will, of course, bring in new business with a small lag. And that wi

ll compensate for the higher costs.

Gautam: Okay. And your comments, sir, on the cashless collection increased to 37%. So looking at Digital India and everybody got the mobile and a lo t of multiple vendors to make the cashless payment. Can we be just 100% by next two years? What is your comment on that?
Deepak Khetan : We would say Amen.
Deepak Khetan : We haven't reached 100% cashless disbursement. Also, there are few customers who still take cash disbursement. So cashless collection 100% is a very far -fetched aspiration right now. But yes, we are pushing that as much as we can increase the 37%, we'll do that. We are any which ways far ahead of the industry and our peers in terms of pure digital and customer induced cashless collection. And this is actually bringing in a lot of efficiency on our , for our field staff.
Gautam: Okay. My second question is related to new customer acquisition. The run rate is still 2.6 lakhs, 2.7 lakhs per qua rter, which is just not going up even with the opening of new branches. So can you just make your remarks on it? Because last year, we were adding more than 3 lakh every quarter. But this last two quarters, we are adding less than 3 lakh per quarter. So yo ur comment on that why we are not able to increase that numbers even with the new opening branches?
Deepak Khetan : Gautam, we have added 5.3 lakh customers in the first half, which is marginally below 3 lakh. So it's not that significant change that has happened. Also, last year, the benefit was that we were in a far better situation compared to our peers to add customers, as there were changes on the regulatory front. And we were far better prepared on that front. And this we mentioned last year also tha t we are far ahead of the peers because the policy changes that came in, Ujjivan has been following that since a very long time. And thus, we are having that benefit.
Vibhas Chandra : And I would just like to add that you also talked about new branches. And as Ittira sir was mentioning that there is a small lag when you open a branch and the branch becomes mature and start generating good business is something which is , but most of the branches are relatively newer three months, four months old. And you will see these branches also generating business in quarter 3 and quarter 4 of this year.
Moderator: Gautam, sorry to interrupt you. I'll request you to come back in the question queue for more follow -up question. Next question is from the line of Manish Ostwa l from Nirmal Bang. Please go ahead.
Manish Ostwal: I have one question on the balance sheet. So in this quarter, we have seen the sharp rise in the investment book along with the borrowings. So can you comment on the , what we have done in this quarter?
Deepak Khetan : So what we have seen is that there is a high deposit growth this quarter. And second half for us is generally a little hectic and far higher disbursement. So it's just that build up for the second half, nothing much to read on that.
Manish Ost wal: Okay. And secondly in terms of margins, net interest margins, we have seen some dip in the margin because of the cost of fund repricing. So how do you see the margin in the second half given the stable market rates?

Deepak Khetan : So Mr. Davis also me ntioned in his opening remarks that the cost of fund curve should start to flatten out and thus, that kind of a pressure on margin should not be there. And also I use this extra money that we have raised for disbursement, that pressure also from the margin should go down. So we expect margins to improve in the second half versus Q2.
Moderator: Thank you. Next question is from the line of Yash from Dante Equity. Please go ahead.
Yash: Congratulations on the great set of numbers. I just want to understand

the NIM guidance from here onwards. Do you still stick to your 9% NIM guidance? And if yes, is the repricing of that

percentage of book that you said is going to get repriced. Is that enough for you to kind of reach
the 9% blended NIM guidance for H2?
Deepak Khetan : Yash, hi. We are not changing any guidance right now. So yes, to that extent, we stick to the
NIM guidance. We already mentioned to the previous query also that second half, we expect
that NIM should be better than the Q2 NIMs. First half, we are a lready at 9%. So achieving 9%
for the full year, we do not really see that as a major challenge. And as far as the repricing, that
repricing is what we are building into our NIM improvement.
Yash: Also, do you see yourself increasing the gold loan portfoli o in, from H2 onwards? Or is that
going to begin from the next financial year? Because I really, a lot of banks of your size are
doing a lot of work at gold finance, so where do we stand with gold financing?
Carol Furtado : So we are doing a lot of work on the gold loans. There is a huge demand there. But this financial
year, you will not see too much of a growth happening in the gold loan segment. We will first
start product by offering it to our existing customers, and then we will take on the new customer .
But this financial year will have very good growth.
Moderator: Thank you. Next question is from the line of Rajiv Mehta from Yes Securities. Please go ahead.
Rajiv Mehta: Congratulations for a very strong consistent performance. So just two questions fro m my side.
Firstly is on the insurance income, we see a bump in insurance income. So how much of the
bump is structural and will sustain in the coming quarters? And whether is there any one -off in
this number?
Deepak Khetan : Rajiv, a little bit of a bump u p is there in insurance income to, because of the change in the
IRDA guidelines. Some of it is because of the Q1 arrears that we have received in Q2, but
balance is something which is a structural improvement and should sustain. You should see that
kind o f a number in second half.
Rajiv Mehta: Okay. And when you say that kind of a number, can you normalize the number of Q2, I mean,
excluding the arrears?
Deepak Khetan : I'll get back to you on that number.
Rajiv Mehta: Sure. And Deepak, just 1 more thing on group micro banking portfolio because the disbursement
growth has been pretty tepid. The absolute disbursement number has been very flattish, while

getting new clients. I can see the ticket sizes have been stable for many, many quarters. So what
is happen ing in the group micro banking portfolio? And when do we see a pick up , a meaningful
pickup in disbursement and loan growth in the JLD portfolio?
Vibhas Chandra : Yes. So if you see general trend also generally first and second quarter is something where we
have decent demand in loans, but you see the demand increasing in the quarter 3 and quarter 4
as far as micro finance typical group loan is concerned. So that is one region and second in
quarter 2, you might have also seen that different parts of the coun try also faced natural
calamities, including flood in various parts of the West and East that also slowed down to a little
bit, but things are normal now in terms of business and collection. And you would see better
pickup in quarter 3 and quarter 4, as it is a natural. We will see it every year that business will
pick up and we'll have higher disbursement happening in quarter 3 and quarter 4.
Moderator: Thank you. Next question is from the line of Pritesh from DAM Capital Advisors. Please go
ahead.
Pritesh : One question was on, that you have entered Andhra Pradesh this quarter. So what are the plans
there, a lot of entities also want to enter that geography. How will it be different this time around?
Carol Furt ado: So we have, yes, entered Andhra Pr

adesh with a soft la unch and we've just started our, so it's
mainly going to be liability -led, and based on the potential, we will also see if we can do other
retail asset businesses. Micro banking is not in the picture at the moment.
Pritesh: Great. Okay. Secon d was on the margin side. So the 9% guidance was quite clear, but as we
move along in next year, and we expect MSME and affordable housing share to increase
meaningfully. How do you see NIMs panning out next year after the second half increase which
you ex pect?
Ittira Davis: The NIMs, I think, while the lending rates or the yield on the portfolio maybe slightly lower
because that's a secured portfolio. But we see other sources like CASA and I mean CA especially
coming into play as far as the MSME portfolio is concerned. So that should offset some of the
decline that we are seeing in the overall things. To keep NIM, we expect, as the interest rates
start coming down, that will also help as we go forward. So we expect NIM to continue to be at
a healthy level, next year as well.
Deepak Khetan : Yes, Pritesh, we are not giving any number -specific guidance for next two years, apart from
what we have already given.
Pritesh: Got it. Thank you so much.
Moderator: Thank you. Next question is from the line of Ashlesh fr om Kotak Securities. Please go ahead.

Ashlesh Sonje: Hi, team. Good evening. Firstly, on West Bengal, if I look at the AUM growth that we have had there, it's been around 28% odd over the last year. However, at the same time, if I look at the micro banking portfolio for the entire industry in that state, in West Bengal, that has been

shrinking. So it looks like, we are gaining some market share in the state. Can you shed some light on who is losing market share over there?
Vibhas Chandra : So I would not like to take name, but, yes, we know that industry has been facing issues specific to certain organizations, both in West Bengal and Assam. And if you see at , look at our growth, our growth has been constant over the last few quarters. So w e are -- it's a result of some of the players not being very active because of issue that is happening . Two, which is very internal to the organization. But we are gaining market share pan -India in all the , whichever state we are working in the last four q uarters to five quarters after the pandemic. And that is something which happen ing as we are growing much better than the average industry.
Ashlesh Sonje: And just 1 follow -up on that one. So all these new customers, which we are acquiring in West Bengal, would you say that they are all customers who have never been NPA?
Ashish Goel : Yes. So we do filtering out of all the customers who have had track records. It's all based on bureau. So all customers who've had NPA track records are naturally phased out.
Ashlesh Sonje: Okay. Perfect. Thank you, sir.
Moderator: Thank you. Next question is from the line of Anand from Soar Wealth Managers. Please go ahead.
Anand Mundra: Yes, hi. Thanks for the opportunity. Sir, I wanted to check about the bad debt recovery. Ho w much more debt recovery we expect from the write -off book?
Ashish Goel : So the bad debt recovery, you would see in the first half has a small part of money, which came in from Assam also. That was a one -off you would , that we got, that was about INR3 cro res odd. Apart from that, we've said in the beginning of the year that we will try and do about INR100 crores of bad debt recovery. We seem to be on course to do that for the remaining part of the year.
Anand Mundra: Okay. So sir, the question was post thi s INR100 crores, do you expect this to continue also in the next year?
Ashish Goel : There will be bad debt recovery, not to the extent that we currently see because obviously, the book would have age d by a year more than what we currently have. So

the n, let's say, if you are looking at what percentage, so if it's, let's say, x percentage today, it would be something lower than that next year. So the rate of recovery will not be the same. So therefore, there will be a reduction in absolute numbers as well.
Anand Mundra: Sir, second question is with respect to slippage. The gross and net slippage, are they coming from the same pool or they are coming from a different pool. One is the product segment? And second is the portfolio, whether it is old portfolio, wh ich is getting recovered and the new portfolio is getting into the gross NPA?

Ashish Goel : So our -- the book as it ages. So today, the post -COVID book has very, very low slippages and the rate of slippaging is also going down. So you would see that on a p ercentage basis. We've been at about 50 bps consistently for the last five quarters. So this is a natural thing to happen as the book starts to age. So there will be some amount of slippages, but I would say that it'll be in the same range as what we have currently.
Anand Mundra: So the current INR216 crores slippage for the six months, it has come from the current book itself, obviously, but the recovery is coming from which book? Old book, pre -COVID book or restructured book, sir?
Ashish Goel : So if you look at it this way, then the micro banking book starts slippages only after 15 MOB. In the first 12 MOB to 15 MOB, there is hardly any slippages. It starts only after 15 MOB. In housing and MSME, it typically starts at 18 MOB to 24 MOB. So you could say t hat the slippages that you see are largely representative of the 15 and 18, 24 for unsecured and secured assets.
Anand Mundra: Okay, thanks. Thanks for the clarification.
Moderator: Thank you. Next question is from the line of Darpin Shah from Haitong Secu rities. Please go ahead.
Darpin Shah: Yes. Hi, thanks for the opportunity. Congratulations on good set of numbers. Just one question. A few days back, there was a media article saying that the regulator is unhappy regarding the

pricing offered by MFI lende rs, including banks and nonbanks. Any comment would you like to make on this or you have heard anything from the regulator about this?

Ittira Davis: No, we don't want to comment on observations of the regulator. All what I can say that, ever since the inte rest rate hike cycle started, we have seen 2.5% increase in the repo rate. But our rate increase for our micro banking customers has been only 1% or 100 basis points. So net -net, there's been some benefit, which has been passed or not hike has not fully be en passed on. We have absorbed a lot of the hike, which is why you are seeing the cost of funds going up slightly and net interest margin being squeezed. So all in all, it is something that we have understood as part of financial inclusion, and we have bui lt it into our financial model.

Darpin Shah: Okay. Thanks. And just 1 last question related to this only. For our MFI customers, do we have a policy of graded pricing?

Vibhas Chandra : Yes. We have risk based pricing for both group loan as well as individua l loan in micro finance, where based on the customer's score and end use , we have differential interest rates.

Darpin Shah: Okay. Great. Thanks a lot for this. Thank you.

Moderator: Thank you. Next question is from the line of Sarvesh Gupta from Maximal Ca pital. Please go ahead.

Sarvesh Gupta: Yes. Good evening, sir, and c ongratulations on a good set of numbers. So the first question is on the credit cost in this quarter, given that our NPAs have come back down and the floating provisions haven't gone up as well. So is it possible to give a breakup of how this INR47 crores was caused?

Ashish Goel : Sarvesh, you're talking about product -wise breakup?

Sarvesh Gu

pta: Yes, product -wise breakup or the reason behind it. Is it because of the movement in the buckets? Or how have you accounted for this?

Ashish Goel : So INR47 crores is about 17 bps, 18 bps or I would say about 20 bps, less than that. So that's a standard credit cost that we will see because our guidance was less than 100 bps. So currently, for this quarter, the number would be in the range of 17 bps, 18 bps.

Sarvesh Gupta: And do you expect th is to be the normalized sort of range going forward also?

Ashish Goel : So we would, we've said that we will maintain credit cost for the year within 100 bps. So what you see in Q2 is about 17 bps, 18 bps, which is largely in line with the estimates and the way we have sequentially put the provision , the way we had planned for the provisions. So this is largely in line with the plan.

Sarvesh Gupta: Understood. And on the impact of the past collections, so is it possible to give the impact on the P&L because of the past or the legacy collection that we are doing from the write -off books for H1 and this quarter?

Ashish Goel : So write -off book, we have done about INR71 crores in H1. This includes about INR3 crores, which we got from Assam as part of the relief p ackage. Excluding that, it was INR68 crores for the first half.

Sarvesh Gupta: Is this the collection or the impact on the P&L? I'm asking about the P&L impact specifically.

Ashish Goel : So since these are write -back accounts, every amount which is collect ed is actually part of the P&L.

Sarvesh Gupta: Okay, understood. And on the ROE guidance, so given that you have already done 29% for the H1 so why you would set at 22% plus, I mean, given that even if you do 25% for the remaining half, you should end with 27% for the full year.

Deepak Khetan : Leave some upside for us as well.

Sarvesh Gupta: Understood. Understood. Then finally, one question on the deposit strategy. So I mean we are seeing across all SFBs and almost all banks so Q -o-Q CASA has been relative ly bad only. But in your case, I think we have seen healthy accretion. So is it mostly because of the higher interest rates that we are offering? Or is it because you are seeing more customers getting added to your CASA pool. So how is that getting driven and that trend is somewhat different from the industry?

Carol Furtado : We have done well on the CASA side and we have a quarter -on-quarter growth of around 7%. This is also because of our attention to granular retail customers and also strategy of, so we'v e also introduced new products, the Maxima in the CA and SA category. Also, our brand campaign has helped us a lot in, I mean it has created customer awareness and visibility.

We've also made some people additions in the branches like introduced relation ship managers. And we've also been able to deepen our relationship with our customers and also acquire new

customers. So all these put together, and we have a branch -wise strategy. So this is helping us in getting deeper into the areas that we are working in. And it's helping us build the CASA book.
Moderator: Thank you. Next question is from the line of Kanwaljit Singh from Balaji Finvestment. Please go ahead.
Kanwaljit Singh: Congratulations on good set of numbers. My first question is regarding the 3 -in-1 account that you have started opening with SMC Global and which is a broking firm. So what is the traction you have received on that? Second, you are already doing banca insurance. Are there any other measures that company is taking to enhance the other income?
Carol Furtado : So the SMC Global relationship was very recent. So we have not started acting on it. We are doing a lot of back -end activities. And once that is stable, then we will start getting deposits from there and 3 -in-1 accounts will start ac tivating from that. But at the mom

ent, this relationship, there's a lot of work that is being done at the back -end. We have not started seeing the results of it yet.
Kanwaljit Singh: So the bank is acting as an authorized partner for SMC? Or it is just an account that is getting linked? So as a authorized partner, you get a higher portion of income?
Carol Furtado : Yes. It's for our customers that we are opening these accounts.
Kanwaljit Singh: Okay. So you were acting as an authorized partner for SMC, means a type of a sub -broker?
Carol Furtado : No. I mean these are our customers, we are giving them an opportunity to get it down through the SMC Global relationship.
Kanwaljit Singh: So there is a sharing of Fee with SMC?
Carol Furtado : Yes.
Kanwaljit Singh: The brokerage? Okay. The second question is regarding the advertisement expenditure that the company might have incurred in last quarter. Are we going to see a similar run rate on advertisement?
Deepak Khetan : The brand campaign cost is largely taken in. So to that extent, the marketing cost should reduce.
Moderator: Thank you. Next question is from the line of Gautam from GCJ Financial Advisers. Please go ahead.

Gautam: This question is in regards to your reverse merger, when it happens, what was the impact on the book value in terms of net worth, overall net worth, will it be diluted or accretive and versus book value also? Can you guide us?
Deepak Khetan : There will be around 400 and a little more than INR400 crores of addition to the equity network. And a round 2.82 crores of shares will get reduced from the total base. On the book value side, that should add to the book by around INR2.4 or a little more than that.
Moderator: Thank you. Next question is from the line of Ayush Agarwal, Individual Investor. P lease go ahead.
Ayush Agarwal: So I had two questions. One was regarding your current and saving accounts numbers. I've noticed that current accounts make up less than 10% of your total CASA. And I was wondering if this is because you're not being able to attract a lot of businesses to open accounts with you? Or is there another reason?
Carol Furtado : This is an industry wide problem, and it is not just contained to Ujjivan. But we -- this -- in the last quarter, we've been able to introduce a lot of produc t variants , mainly Maxima and the Privilege accounts. And we are seeing good deposits coming through that. The CA actually is increasing there. This quarter, we should see some good results on the CA side and also on the SA side. We also have introduced a separate channel in place to help us fast track the CA acquisition.
Ayush Agarwal: My second question is regarding what happens after the merger. I have read the news report where I believe the MD was saying that you are planning to start to get a full banking license from the small finance license that you have right now. Is that still in the cards?
Ittira Davis: Yes. I think to clarify that, I said that the Board would consider the application for the universal bank license, and that stands. So in the next financial year, assuming that the reverse merger is completed in this financial year, the Board would deliberate on what are the next steps and the Universal Bank license is one of the options.
Moderator: Thank you very much. As there are no further q uestions, I now hand the conference over to Mr. Davis for closing comments.
Ittira Davis: Well, I'd like to thank all the participants who have been on the call for all the good questions that you have asked and made us think and respond, but it's been ver y good for these questions to come through. I'd like to thank IIFL for organizing this call and look forward to hearing and seeing you in the next call, which is three months away from here. Thank you.
Moderator: Thank you very much. On behalf of IIFL Secu rities Limited, that

concludes this conference.
Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Jan 2024

USFB/CS/SE/2023-24/105
Date: January 29, 2024
To,
National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C-1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051
Symbol: UJJIVANSFBBSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 542904
Dear Sir/Madam,
Sub: Transcript of the Quarterly Earnings Call held on January 24, 2024
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnings/quarterly conference call held on January 24, 2024 for the quarter and nine months ended December 31, 2023 is enclosed herewith.
The same shall be available on the Bank's website at www.ujjivansfb.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED
Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework
Encl: as mentioned above
Page 1 of 18"Ujjivan Small Finance Bank Limited
Q3 FY'24 Earnings Conference Call"
January 24, 2024
MANAGEMENT : M R.ITTIRA DAVIS –MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER –UJJIVAN SMALL
FINANCE BANK LIMITED
MS.CAROL FURTADO –CHIEF BUSINESS OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR.ASHISH GOEL --CHIEF CREDIT OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR.MARTIN PS–CHIEF OPERATING OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR.M.D. RAMESH MURTHY –CHIEF FINANCIAL
OFFICER --UJJIVAN SMALL FINANCE BANK LIMITED
MR.VIBHAS CHANDRA –HEAD OF MICRO BANKING –
UJJIVAN SMALL FINANCE BANK LIMITED
MR.DEEPAK KHETAN –HEAD FINANCIAL PLANNING ,
STRATEGY &INVESTOR RELATIONS –UJJIVAN SMALL
FINANCE BANK LIMITED
MODERATOR : M R.RIKIN SHAH --IIFL SECURITIES LIMITED

Ujjivan Small Finance Bank Limited
January 24, 2024
Page 2 of 18
Moderator: Ladies and gentlemen, good day, and welcome to the Ujjivan Small Finance Bank Q3 FY '24 Earnings Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rikin Shah from IIFL Securities Limited. Thank you, and over to you, sir.
Rikin Shah: Thank you, Dorwin. Welcome, everyone. We have with us today the entire senior management team of Ujjivan Small Finance Bank to discuss 3Q FY '24 earnings performance and the business outlook going ahead.
The management team is represented by Mr. Ittira Davis, MD and CEO; Carol Furtado, Chief Business Officer; Ashish Goel, Chief Credit Officer; M.D., Ramesh Murthy, Chief Financial Officer; Martin P S, Chief Operating Officer; Vibhas Chandra, Head Micro Banking; and

Deepak Khetan, Head Financial Planning and IR.
With this, I'll pass on the call to Mr. Ittira Davis to share the remarks and walk through the 3Q performance. Over to you, sir.
Ittira Davis: Thank you, Rikin, and good evening, and welcome to our Q3 financial year '24 earnings call.
FY'24, Q3 has been yet another healthy quarter with the bank moving in the right direction.
During the quarter, our loan disbursements stood at INR5,675 crores, up 17% Y-o-Y leading to a gross loan book growth of 27% Y-o-Y and 4% Q-o-Q.
Microfinance business continues to witness strong ground level trends being an underpenetrated segment still. We believe the business in this industry has more room to grow, mainly due to increasing number of customers coming in the purview of lending along with growing appetite for credit among existing customers.
We acquired around 2.5 lakh new customers, taking the total count of newly acquired customers to 7.8 lakh in the 9-month period as of April '23 to December '23. During the quarter, disbursement of our group loan and individual loan business were at INR3,294 crores and INR1,029 crores, respectively, up by 7% or 45% year-on-year, but stagnant when compared to the last quarter. This was due to higher number of holidays during the period resulting in some loss of business. However, we have seen momentum picking up very well during the month of December and expect this strong trend to continue in the fourth quarter, which is usually our best quarter.
One of our key focus areas is increasing our secured loan book contribution to our total portfolio. Our concentrated efforts have helped improve our secured loan book percentage to 28.3%, up 83 basis points versus the last quarter. Affordable housing, including micro mortgages, which is

our second largest and profitable business continues its strong upward quarter-on-quarter. We disbursed INR595 crores for the quarter, up 73% Y-o-Y and 10% Q-o-Q.
As I had mentioned earlier, we are focusing on a hub and spoke model for the housing and MSME businesses. This has been beneficial in improving our business efficiencies and reducing TAT. Along with this, we have introduced state-wise collection policy for our micro mortgages as we progress to enter into new states and have also started offering new product variants for our customers in this segment.
MSME business has started to pick up. Apart from offering secured products, we have onboarded 2 new fintech partners this quarter and started dispersing towards supply chain finance. Going ahead, we plan to expand our reach in this segment with our own supply chain finance distribution channels.
The FIG business continues to expand its customer base and disbursed INR379 crores in the quar

ter. New products gold loan and vehicle finance are ready to scale up in the next fiscal year onwards.
We continue to expand our physical distribution network. During the quarter, we have added 29 new branches, taking the total branch count to 729, spread over 26 states and union territories. We aim to add 23 more branches in the current quarter. Also, we added 5 new hubs to enhance our retail secured business distribution.
Coming to the liabilities. Q3 has been a very healthy quarter. Targeted initiatives like nationwide brand campaign, value-added liability products have started to yield benefits. Quality of new acquisition has improved by the fact that our average savings account balance for retail branch banking customers has started to rise currently at 35,000, which was stagnant about -- around 30,000 for the last 6 quarters.
We garnered more than INR500 crores of CASA this quarter, taking our CASA book up 8% quarter-on-quarter to INR7,556 crores. Our CASA ratio also improved to 25.5% against 24.1% last quarter. This itself underlines the fact that we are focused to add granularity to the book as we continue to moderate excess liquidity, total term deposits remained stagnant this quarter, but the ratio has inclined favorably towards retail TDs, which is up 9% sequentially.
Further, I'm happy to announce that our long-term borrowing has received an upgrading rating of AA- stable from A+ positive. This will be very beneficial to access lower cost borrowings and reducing our cost of borrowings in the future.
Our recently launched application, Hello Ujjivan is gaining acceptance among the customers with total downloads reaching 5.9 lakhs and total repayments of more than INR100 crores, since its launch. The loan acknowledgement of our group loans has also started to pick up, a total of 80,000 loans were acknowledged this quarter.

This serves a dual benefit. Firstly, saves the customer visit time to the branches and secondly, reduces the pressure on our branches. Additionally, repeat loan facility will also be offered

through the Hello Ujjivan facility in the future.
Digital TDs has started its course, and we are exploring partnerships with aggregators to increase the business volumes. In line with our digital strategy, we have started offering digital savings account from this quarter. This will further aid us in onboarding customers digitally and build savings account relationships in areas not falling in branch catchments.
The financials and margins. Another focus area during the quarter was to bring down excess liquidity in the system. This provided some breathing room for our margins, which was under pressure due to rising cost of funds and excess liquidity. The rising cost of fund has also started to slow down, rising only 8 basis points against 23 basis points last quarter, indicating that our cost of funds have started to peak out.
Our yields also improved sequentially as repricing of the book continues. As a result of three factors: Lower liquidity, lower rise in cost of funds and improving yields, we are able to sustain our quarterly NIMs. We will continue to reap some more benefit from asset book repricing as currently around 65% of the book in the high bracket, while around 20% of the book sourced between September '22 and February '23 and 17% of the book sourced in September '23 is yet to be fully repriced. Having said that, our PPoP remained healthy at INR457 crores, growing by 18% year-on-year.
Coming to the credit cost and provisioning. We have been receiving many queries from the Street on this topic. To answer this question, the aberration in terms of credit costs you had witnessed in the last 2 years, largely due to unprecedented event in 1 year and a very good recovery from the event in the subsequent year has now all but settled.
Going ahead, our credit cost will continue to move towards the nor

mal levels. We continue to
improve our business processes, credit and collection policies. We are confidently -- we can confidently assure this will draw more comfort for quality of the book we have built over the period, supported by our strong collection team.
Credit cost for the quarter is INR63 crores as against INR47 crores in Q2. PAT for the quarter was INR300 crores. Ujjivan has been displaying strength in business and financial performance over a period of the last 8 consecutive quarters. This is highlighted by our RoA and RoE at 3.1% and 24.2%, respectively, for Q3 financial year '24 among the best in the industry. Our asset quality remains robust with the GNPA at 2.1% against 2.2% in the last quarter. NNPA remains negligible at 0.16%. Collections remained strong.
This quarter saw some minor incidents like flash floods in Tamil Nadu and false loan waiver campaigns propagated in certain pockets of North India. But these were largely campaigned in limited districts, and did not have any major impact at pan-India level.

Slippages for Q3 were at INR140 crores as against INR113 crores in Q2. For the 9-month period, slippages are at INR347 crores with upgrade and recoveries of INR198 crores. Bad debt recovery remained strong at INR105 crores for the 9 months. We have written off INR93 crores during the quarter, a substantial sum from the nonperforming MSME book.
Now an update on the succession. As I mentioned in our last earnings call, the bank's Board is working on identifying candidates and submitting recommendations to RBI. The process is moving ahead as per the set timetable, and I can assure you that a smooth transition will be made over the next financial year.
Update on the reverse merger. Based on the order received from the Honorable NCLT, our hearing has been scheduled next week on 30th of January. We are confident that this will be the final year in. Once the merger is approved by NCLT, we will proceed with the remaining procedure and regulatory assets, expecting the merger to be completed by March 2024, by the end of this financial year.
The outlook. We maintain our short-term and medium-term guidance given earlier this year. I would like to again add that the fourth quarter historically has been our best quarter for the year and should follow this trend during this year as well. Thank you.
Moderator: The first question is from the line of Renish from ICICI.
Renish: And congrats on a good set of numbers. Sir, just two questions from my side. One on the AUM growth side. So what is our internal assessment for FY '25 growth, given we have been hearing that regulatory is asking SFBs to sort of maintain the CD ratio is 85% odd though you are very close to that. But do you see any downward risk to our guidance getting into FY '25 because of the regulatory pressures?
Deepak Khetan: We do not see any downward push to our guidance. We, in fact, maintained -- mentioned that our guidance remains the same. Our CD ratio as per RBI guidelines is more or less in line around 85% only. I think 88% for this quarter. We will grow in line with what we mentioned in June.
Renish: Got it. Got it. And secondly, on the NIM side, okay, actually, I didn't hear it on the -- let's say, 1% percentage of the book is still yet to raise at the higher rate?
Deepak Khetan: So for the microfinance book, the GLI book, 20% is yet to have a 50 basis points improvement

and 17% of the book is yet to have 100 basis point improvement.
Renish: Okay. Which will be in Q4 or -- Q4, Q1?
Deepak Khetan: This will happen over the next couple of months, few months. Q4 and maybe even Q -- a little bit in Q1.
Renish: Got it. Got it. So fair to assume that NIM will sustain at current level, at least for a couple of quarters?

Deepak Khetan: We will continue to be strong, and we are working o

n cost of funds. If cost of fund, given they are flat, the way they are behaving now, there should be improvement in NIMs.
Renish: Got it. And just last question from my side on the MFI book. So we have been hearing from one of the industry peers at Punjab and Haryana is facing some problem because of this Karz Mukti Andolan and all. And we have some, I think, 8%, 10% of our AUM in both the state, put together. So are we facing any issue? Or those issues has been now resolved and the collection is back to normal in those states?
Vibhas Chandra: So, yes you're right that at Punjab, Haryana and some other part of the country also Karza Mukti Abhiyan is going on, which is completely pretty illegal -- to affect to us is a little limited because we are mostly present in urban and metro pockets. So other Ujjivan is little limited at the time. We are working very closely with MFIN which is self-regulatory body and also RBI also some of its various documents around this, which we are working with various lawyers also for that customer understand that this is something that's illegal in nature. So far, the impact of this is very, very limited.
Renish: No. Okay. And at industry level, I mean, let's say, the collection trend, which you might have seen in September, October, the situation is better in December, Jan? Or it is still the same?
Vibhas Chandra: Our Indian sales is almost on the same line we don't have -- we do not see any substantial impact on our book. As far as industry is concerned, we have heard that there is some impact in some certain markets, especially in rural probably has happened. But at industry level also, it is not -- at this point of time, it doesn’t seem to be a very big challenge at this point of time, especially as the corrective measures had been taken and RBI also coming. And as the RBI is coming to we guess and the executive body is also helping to reduce the impacts of this Morcha.
Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.
Rajiv Mehta: So firstly, a couple of clarifications. So there is a sharp jump in employee cost. Is there any one-off? And second is on the insurance and distribution income. It is yet again higher at INR30 crores plus in this quarter. So has the run rate structurally changed after the commission changes?
Deepak Khetan: Rajiv, on the employee cost, three things impacted it. One, there has been hiring this quarter. Second, there were some med year corrections given for certain employees. And third, cost of ESOP is included in Q3 numbers. So these three has impacted cost of ESOP should be more or less 1x. rest is ongoing costs, that hiring also includes the new branch expansion that we did, 29 branches were opened.
Your second question was on TPP income. There's no change in the structure. Last quarter, we have mentioned that some earlier were there because in Q1, the ruling came in August and the earlier of Q1 were there in Q2 numbers.
Rajiv Mehta: Okay. So the reported run rate should hold up, right, in that case?
Deepak Khetan: The reported run rate should hold up.

Rajiv Mehta: Yes, I understand. And sir, broadly, on the loan disbursement. Yes, on the loan disbursements -- okay. Okay. Got it. And on the group loan disbursements, which has been modest, I think sir, also alluded to things will improve in Q4 because -- so that should come back very strongly in Q4. And that's the expectation we have?
Deepak Khetan: Yes, that's correct. So apart from the holidays, there were a couple of other technical challenges also, which impacted this quarter, early quarter, in the month of October, November. And the same so -- which impacted the overall disbursement, which have been rectified. And we are seeing good -- at least January, so far, we have seeing as a good month.
Rajiv Mehta: Got it. And any reassessment of our long-term cost-to-income outlook

? I know you're maintaining a long-term guidance RoA, RoE. But given that you have done some med year corrections, so that employee to the ESOPs can be given out slightly frequently and hiring is going up. So would you want to kind of reassess or maybe reiterate what is the cost-to-income outlook for the next couple of years?
Deepak Khetan: There's nothing that has changed course from our internal strategy. So when we met you around 8, 9 months back in Mumbai, the analyst and the Street, all these things were there on our plate.

So we would not want to make any significant changes from that.
Ittira Davis: I just want to add to what Deepak said. When we grow our branch network and everything there's leading and lagging. So when we invest in the new branches, lagging effect is that we get inputs and returns the year or 18 months later. We have invested this year in about 100 branches, and that has increased the network. The benefits of that will come in the coming years.
Moderator: The next question is from the line of Manish Ostwal from Nirmal Bang Securities.
Manish Ostwal: Sir, my question on your capital adequacy side. So risk weighted assets has increased almost INR2,085 crores whereas our balance sheet increased on quarter-to-quarter basis, INR850 crores. So can you explain what is leading to this kind of jump in the risk weighted assets quarter-to-quarter basis, sir?
Deepak Khetan: Manish, we have taken adjustment basis the recent RWA guidelines that RBI has announced. So that has also impacted a little bit on the risk weighted asset number.
Manish Ostwal: Okay. So can you quantify the impact?
Deepak Khetan: The impact on CRAR, I remember would be somewhere around 80 bps.
Manish Ostwal: Okay.
Deepak Khetan: Which has been already incorporated.
Manish Ostwal: Okay. The second question on your comment in the press release, which says that we have reduced our excess liquidity during the quarter and still, our NIM is -- that is compared to the last quarter. So I know our full year guidance is 9%, we are maintaining. So -- and quarter 4

seasonally strong quarter, but logically, ex-liquidity should have some positive impact on the NIM, so where the disconnect here?
Deepak Khetan: So for the 9 months, the NIM is already maintained at 8.9%. And we maintain that we will be around 9% NIM. So Q4, Mr. Davis mentioned that generally the best quarter for the bank. And we believe whatever the next 2.5 months will be there for us will be good. And we maintain our guidance there.
Manish Ostwal: Last one small data point. Can you quantify the ESOP cost one-off in the employee cost in the quarter?
Deepak Khetan: I'll have to check that and come back. We'll take it offline.
Moderator: The next question is from the line of Pritesh Bumb from DAM Capital Advisors.
Pritesh Bumb: Just a couple of questions. First of all, the par book seems to be a little plateauing when compared to GNPA. Is there any rise in early buckets as well?
Ashish Goel: Yes, Pritesh, there has been 15 bps rise in the SMA book as compared to the past. This is largely due to -- seasonality plays an important role in the month of October and November other than they are being a little bit of extra holidays. So I think that is what the numbers are showing. There is nothing other than these seasonality and holiday factors.
Pritesh Bumb: Okay. So nothing to worry. So this will, of course, come back basically in our books basically. Yes. Second question was on this bad debt recovery, which we still are having our almost like INR31 crores. Is this from the earlier write off pool only? And how much from that now we have recovered and how much is left? I think we had a INR1,200 crores pool earlier. So how much is left to recover? And how much has been recovered? And is there any potential recovery which can come ahead as well?
Ashish Goel: So Pritesh, on the bad-debt rec

overy normally, the trend has been a recovery of between 25% to 30% over a 24 months period. And this has been consistent over the last 6 to 8 quarters. We currently have a book of about INR800-odd crores. And the recovery in the first 9 months has been 102 -- I'm sorry, INR105 crores. We expect that by the end of this, we will maintain a similar run rate for this Q4.
Next year, again, I would say that whatever fresh write-off we have done, as you see the fresh write-off has been coming down. Last year, it was in the range...
Pritesh Bumb: Sure. Last question was the new customer mix in the IL the individual lending -- yes. So sorry, one last question was on the new customer mix in the IL -- sorry, can you hear me?
Management: Yes.
Pritesh Bumb: Yes, sorry. So I was mentioning the new customer mix in the individual lending. It's been consistently moving up. It's now 18%. Generally, we thought that this generally is a step-up from

the NGL to IL. So what will be the upper cap of that mix you want to generate from new customers? And how do you look at it as a portfolio perspective?
Deepak Khetan: Pritesh, we would not want to prefer upper cap individuals -- right now. The industry trend is that IL is growing faster, and it even is one of the pioneers in the individual loan business. And we have been saying that this will pick up faster, and this will be growing faster than [inaudible 0:27:49] for a very long time, which is just the industry when the industry wants to catch up with

what we have been saying.
So as of now, we'll leave it there, that group loan growth will be from a new customer acquisition.
IL will be growing basis, the movement of existing GL customers to IL and also new customer acquisition from market -- open market. So we'll leave it there, right?
Vibhas Chandra: Also to add to what Deepak said. You are right that historically IL was GL to IL phenomenon, there were some customers from GL to IL but as industry is now old and we have credit bureau information for about 10, 11 years around the customers. The customers who are coming in open market also have experience in microfinance. maybe not Ujjivan, but some other organization.
And if you see practically, they have experienced and then they are are graduating to IL. In that way you can acquire the best customer, the team of microfinance customers and that's how we are trying to grow. And we'll keep growing in open market as we go ahead.
Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital.
Deepak Poddar: So you mentioned employee costs are higher 2, 3 reasons. So one of the one-off was the cost of ESOP. So what was the -- can you quantify that cost?
Deepak Khetan: I do not recall the number, but we can -- before we can talk offline and I'll get the number by that time.
Deepak Poddar: Fair enough. I mean this will not reoccur, right? I mean this is onetime cost?
Deepak Khetan: We have a ESOP policy that we issue ESOPs every year. So based on the performance of the employees. And basis the pool available.
Deepak Poddar: Okay.
Deepak Khetan: Issuance is done once a year.
Deepak Poddar: Okay. Okay. Understood. So -- I mean in terms of your total opex cost, I think this quarter, our opex cost is close to about INR587 crores, right? Which was a start jump from INR529 crores that we have done last quarter. So quarter-on-quarter, we have seen a big jump in opex cost. So is there any rationalization in this cost that can happen in coming quarters? Or this is the base that one can look forward to?

Deepak Khetan: One thing that I could mention is the EPOS cost. Other than that, it's mostly -- quarter only or nothing major that is one-off or anything of that sort. But yes, in terms of rationalizing that you are mentioning, as Mr. Davis also mentioned, there's a lead

in the last -- as a business itself.
Again, the cost-to-income ratio, if you are looking at the ratio, they will start to fall behind.
Deepak Poddar: Okay, okay. And 2 years -- in next 2 years, what sort of cost income target we have?
Deepak Khetan: We have given our guidance in the month of June 2023. We maintain our guidances. The business stays due course.
Deepak Poddar: It was sub 50%, right? That's what we had targeted, I think 2 years, right? If I can recall, right?
Deepak Khetan: We have mentioned around 50%.
Deepak Poddar: Come again.
Deepak Khetan: We had mentioned around 50%.
Deepak Poddar: Around 50%.
Deepak Khetan: We had mentioned around 50%, 50% to whatever, 51%, 52%, we have mentioned that only -- actually, there was a lot of query that why we are mentioning that.
Deepak Poddar: Okay. I think -- I mean just one last thing on the deposit side. I think in terms of growth, we have seen a lower growth in this quarter, right? I mean because of the challenge that I think most of the financial player has faced in terms of garnering deposit side, I mean, liability side. So how do we see that going forward?
Deepak Khetan: Our deposit growth being lower quarter-on-quarter. Is that the question you are asking?
Deepak Poddar: Yes.
Deepak Khetan: Yes. So it's 2%. That is because we have reduced our bulk deposits. If you see the retail deposits and the CASA shown very strong growth. The CASA is up 8% Q-on-Q, and that is the focus of the bank. And it will be like that. And also, we mentioned that we are moderating the excess liquidity. So that continues, and that is why we did not want to grow deposits too much.
Moderator: The next question is from the line of Ashlesh Sonje from Kotak Securities.
Ashlesh Sonje: The first question is on asset quality. Can you just give a breakup of your slippages for the quarter across segments?
Deepak Khetan: Ashlesh, we don't give segment wise slippages.
Ashlesh Sonje: Okay. Okay. Then coming to deposits, we have seen the term deposit rate being fairly constant over almost a year now for Ujjivan. Do you see a need to hike term deposit rates from here?

Deepak Khetan: It's more of a market-driven phenomena. Right now, we do not see any kind of pressure. Basis the requirement that we have we are seeing deposits coming in.
Ashlesh Sonje: Okay. And on the outstanding term deposits, you would see that the repricing is largely

completed?
Deepak Khetan: To a large extent, it is. There will be some bit of bunch of coming up next two fiscal. By that time, we'll need to see how the rate cycle is there and what behavior we'll see in the market. We can't comment on that now. But I can say that the cost of fund has been stagnant for the past couple of quarters. It has been absolutely no movement.
Ashlesh Sonje: Okay. And just lastly on the microfinance business. How good is the demand on the ground from the borrower? And in that context, do you also see a possibility to take a further increase on the lending rate in the microfinance business?
Vibhas Chandra: As far as demand is concerned, this is a cyclic thing that happens every year. That's why there's a little demand on the lower side because of the holidays. And also, the demand because of the holidays actually comes in the month of July, June, July only because of the least time required. But last quarter is generally very good for the industry and for ourselves also. And so far, this quarter has been very, very good for us. And we hope to continue in the next quarter for the financial year.
Vibhas Chandra: As far as lending?
Deepak Khetan: As far the lending rate is there, we do not see any hike in lending rates.
Moderator: The next question is from the line of Tushar Sarda from Athena Investments.
Tushar Sarda: I wanted to check in terms of net profit growth with the credit cost coming back, how should one look at it? Would we have f

lat profits that's what most of the brokerage reports are projecting.
Deepak Khetan So Tushar, I can say that last year, when we gave guidance for this year, we said that we will have beaten net profit growth for this year, and we maintain that guidance. Given when we mentioned about FY '25, '26. These are RoA, RoE guidance and we maintain those guidance.
Moderator: We have the next question from the line of Saumil Shah from Paras Investments.
Saumil Shah: Sir, as per our guidance for FY '24, we were to grow our loan book by 25% and deposits by 30%. So which means for next quarter, we have to grow our loan book by, say, 9% and deposits by 12%. So is this doable?
Deepak Khetan: Deposits depending upon how much we require will be there. On the Q4, in terms of disbursements, are good. So basis here and there I would not be able to comment, but overall, Q4 will be good.

Saumil Shah: So we can see a higher single-digit growth in our loan books?
Deepak Khetan: Sorry?
Saumil Shah: We can see a higher single-digit growth in our loan book for Q4?
Deepak Khetan: We can see a good growth in the next quarter. I would not want to say high single or low single, but Q4 is a good quarter for us.
Saumil Shah: Okay, okay. And sir, any guidance on the NPA front, where we would like to close FY '24?
Ashish Goel: In the beginning of the year, we said we would be in the range of 2%. Currently, we are at about.
Saumil Shah: I'm sorry, I cannot hear you.
Moderator: Sir, sorry to interrupt your line is muffled in between sir.
Saumil Shah: We are not able to hear you.
Ashish Goel: Okay. So in the beginning of the year, we had said that we will be in the range of 2%. Currently, we are at 2.1%. And we expect we will be in the same range in the range of 2%.
Saumil Shah: Okay. Okay. And sir, finally, any update on our floating provisions? I mean we still have about INR250 crores of floating provisions, which is still unutilized. So what would be the update on the same?
Ashish Goel: We continue to have floating provisions of INR250 crores. This is about 0.9% of our overall book. This will be used in terms of whenever we have any contingency in the future. This floating provision is to cushion our balance sheet from any future one-off or events, any unforeseen one. So, this will carry for about 1% of the book. Actually 0.9% of the book.
Moderator: The next question is from the line of Vivek Ramakrishnan from DSP Mutual Fund.
Vivek Ramakrishnan: I have two questions. Picking up on the earlier question individual loan. How much would be new to credit and -- or new to Ujjivan and given that -- I mean, I understand you're not placing a cap on that. In terms of credit bureau score for guidance you can give? That's question number one.
And question number two is you also mentioned some write-offs of the MSME book. So can you describe in terms of how the MSME book is looking at? What particular part of the portfolio you're concentrating on? And is the write-off more guaranteed in the retail portfolio? That's it from my side.
Deepak Khetan: First question, cost question, we could not...
Management: We have to -- the first question.

Vivek Ramakrishnan: Okay. So on the individual loan, it was a pickup from the previous question. Are you seeing how many of the customers are new to credit and how many are new to Ujjivan if you have some color or is there new to credit, is it like higher bureau scores? Or is there any difference in customers compared to the past? That was the first question, sir.
Ashish Goel: On the individual loans, right, we have new to Ujjivan is about 17%. And new to credit would be, I would say, I don't have the exact numbers, but in the range of 10%, not more than that.
Vivek Ramakrishnan: Okay. So...
Ashish Goel: On the individual loan.
Vivek Ramakrishnan: Okay. And

the profile of the customer remains the same pretty much in the sense there's no difference since you are migrating to a bit higher credit quality customers or something?
Ashish Goel: So as far as our acquisition practice is concerned we continue to have – bureau score above a particular threshold. These are very hard cut off. So we do not take any low bureau scores as far as new customer acquisition is concerned.
Vivek Ramakrishnan: Perfect, sir. Sir, my second question was on the MSME book. In terms of -- you had mentioned some write-offs. So how is that book behaving? And where do we expect to see growth in that book coming?
Ashish Goel: Our MSME book has the mini book that we have done in the last 24 months is behaving quite well. In fact, which has been completely in line with the industry. We still hold a book of about 4% to 5%, which is a pre-COVID book. As you know, the NPA on that is 4% to 5%. That is the book on which we have initiated a lot of legal initiatives including SARFAESI and other legal measures.
That book has taken some time for us to recover. Most of that book now is in advanced legal stages. in this case, I would say 90% of the advances legal stages. We expect that in the next 2 to 4 quarters, we should see some significant deposits coming from there. So that's a sticky pool we have pre COVID, which we continue to have on the book.
Otherwise, on the new acquisition, it has been very good.
Deepak Khetan: And in terms of the growth of the book -- that the book of MSME business has started to see pickup, product launches have been done and hirings has been done -- technology upgrades in process and statewide they will also get capitalized and the launch. And in terms of fintech partners, we have already started working with 2 fintech partners. One more added this quarter. And we are looking to add more. So this business will see a good pickup in the coming quarters.
Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: All my questions have been answered. Only one question, sir. Just wanted to understand post the NCLT verdict. Assuming that the verdict goes in our favor. So what is the next steps from Jan to March, if you can highlight those steps?
Deepak Khetan: We'll receive the NCLT order -- and basis that we'll move for other -- we'll notify the other regulatory bodies and we will set up for a record date. The shares will be issued, and there will be a small window where the trading will be suspended for the existing shares and the new shares will be invested. All in all, as Mr. Davis mentioned, we should be able to finish it by March of this year.
Shailesh Kanani: Just to clarify, there will be no further approval needed, right? After this approval? I just wanted to clarify that.
Management: Sorry, Shailesh, we couldn't hear you.
Shailesh Kanani: So I was asking there will be no further approvals needed, right, after this order -- be more of administrative work or...
Deepak Khetan: Yes, yes, yes. It's more of procedural in nature.
Shailesh Kanani: Fair enough. And also one question, our book value stands to be increasing by the same percentage around 2% to 3% post this reverse merger. Is that understanding right?
Deepak Khetan: Yes. So the book value you are asking, right, post reverse merger?
Shailesh Kanani: Yes, yes, yes.
Deepak Khetan: The book value should go up by 2.4% to 2.5%, one-time increase should be there.
Moderator: The next question is from the line of Himanshu Taluja from Aditya Birla Sun Life AMC.
Himanshu Taluja: Just one question at my end. Sir, since it is the start of the year, you have given the credit cost guidance of 1% for FY '24 and most of you are going to fold within that. Based on the current trends, is the credit cost is also normalizing, how do you -- any guidance if you want to give for FY '25, how one should s

ee the credit cost for the next year?
Ashish Goel: Himanshu, it's a little early for us to give you guidance for next year, but anything in the range of 1.25% -- is what we can say…
Himanshu Taluja: Deepak, can you speak a little bit louder? Sorry, I can't hear you.

Ashish Goel: Impacts have been very minimal in the last few years. The upgrades in the next financial would be lower than what we have seen in the last 6 quarters. So to that extent, the credit cost could be move up marginally. This year, let's say, 1%. Next year, it will be higher than 1%, maybe in the range of 1.25% or something. But it's a little early for us to give you an exact number. We can talk about the range of 1.25%, 1.3%.

Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: Sir, most of the questions have been answered. Just one thing on the bad debt recovery. So this year, we have done around INR105 crores, and you mentioned that you have a pool of INR800-odd crores left. So what could be the sort of a recovery that we are pencilling in for the next couple of financial years from now?

Ashish Goel: So bad debt recovery typically in the range of 25% to 30% within 48 -- sorry, 24 months is what we have experienced. Now a lot of the pool that we have written off is more than 24 months. So we believe that it will be lower in that time.

Our incremental bad debt write-off has been very low this year. It's in the range of 0.6%. So our budget recovery for next year is going to be lower than what we were going to make this year.

Sarvesh Gupta: And that should continue for a couple of more years from there, right?

Ashish Goel: It will be lower than what we got last year…

Moderator: Sorry to interrupt, but you are not audible at this moment.

Ashish Goel: Last year, we talked about bad debt write-off recovery of about INR130 crores. This year it will be marginally lower than that was in the same range. But next year, the bad debt recovery would be lower than this and -- because our write-offs have been going down. So the recoveries in terms of absolute numbers, will have to come down.

Sarvesh Gupta: Understood, sir. And one thing on the cost to income. So it has gone up in this quarter. Is there any change in the mix also which is causing this higher sort of cost to income? Or this is more to do with the higher number of branches and personnel that you have hired, which has caused this?

Deepak Khetan: The couple of things that you need to see when we talk about cost-to-income ratio. One, the income -- on the other income this quarter was flat, given the insurance income was high last quarter. So there is no one-off in this quarter on the income side.

Cost of fund continued to move up, so which is why there was a decent jump in finance cost. And on the opex side, there was ESOP cost, which was there. So netting all these three the movement in cost-to-income ratio was not as steep as it looks like. It's like 275, 280 bps, this is the reported number, but netting off the numbers that 3 reasons that I mentioned, it would not be as high.

So it is in line with what we have guided earlier that we will be in this range for the full year. And Q4 should see improvement.

Sarvesh Gupta: And what could be the rough range of the ESOP cost that you're talking about? Very rough number.

Deepak Khetan: I have mentioned that price on the call, I need to check that and come back.

Moderator: Ladies and gentlemen, we will now take three more questions. The first from the line of Amey Ashok Kulkarni, an individual investor.

Amey Ashok Kulkarni: One of competitors from Karnataka. See, one of our competitors from Karnataka has reduced interest rates. Are we seeing any significant increase in competitive intensity would you expect to reduce the interest rates for the group?

Deepak Khetan: Yes, one of the large competitor has recently announced the rate cut in the microfinance business. We do not expect too much of a change on the ground in terms of competition exhibit.

Amey Ashok Kulkarni: Okay. And see, we have been guiding for credit cost of approximately 1% or less than 1%. That comes to approximately INR250 crores. So do you mind when we have done a credit cost of about INR160 crores. So any guidance on what could be the tentative credit cost for Q4?

Deepak Khetan: We'll maintain the guidance that we have given rather than giving any absolute number.

Ashish Goel: It will be -- we will continue to be below 1% is what we have said and we will -- yes, we will be -- below 1% only for Q4.

Moderator: The next question is from the line of Aravind R from Sundaram Alternates.

Aravind R: I would just like to understand what are the new product launches that are coming up, obviously, outside MFI, we are growing our affordable housing loans very fast. And as you said, we will be launching gold loans and vehicle finance loans, I'd just like to understand what other products are in the pipeline?

And I would also like to understand what would be the yields in those cases because there is a significant difference in yields on MFI loans and affordable housing finance notes. I'm just trying

to understand if these products would be somewhere in between is my first question.
Ashish Goel: Okay. So we've been into this business, catering to the needs of the aspiring middle class. So our new products are also designed for the same segment. Therefore, a logical extension to that is we do gold loans, which we have tested and we'll be scaling up in the next financial year. Two-wheeler loans is something that we are already doing well, and we will scale up again that product in the next financial year.
In the same segment, we also launched a micro mortgage product, which we have already started to scale in this year, and we have started to see very good response to the product. This is, again, a product which is going to scale in the next financial year.
Other than that, on the MSME business, we will be launching the working capital product for manufacturers and traders. That is expected to be launched in the beginning of the next financial year.

Other than that, we've been doing secure agri products, which is in the form of KPC. This is something that we've been testing. So we believe that we are ready for a scale of this products also.
Aravind R: And what would be the typical yields in these products because we have like two completely different levels of yield? I understand the nature of the product. I'm just trying to understand where would the yields be in this new set of products. What kind of range it will be?
Ashish Goel: Voice was a little... Could you please repeat the question?
Management: Relates to the market competitor.
Deepak Khetan: Is it question on the interest rate, yields and all that?
Aravind R: Yes, yields on these kind of these new products that you're going to launch or -- which is in the industry -- up? I'm just trying to understand what would be the typical yield on these products -
- yield or interest rate on this product?
Deepak Khetan: The interest rates would be industry competitive interest rates. Typically, 2-wheeler and micro mortgage are on a higher yield businesses. Gold is a medium kind of a yield business. MSME, as you are aware, would be very competitive and on a -- and within our product basket on the lower yield.
Aravind R: Okay, okay. And any guidance on like mix of MFI and non-MFI by FY '24, FY '25, FY '26.
Deepak Khetan: We had in the March '26 secured, unsecured guidance of 40:60.
Aravind R: Okay. And just one last question. Any long-term guidance, any change in long-term guidance on cost-to-income, like since we are industry in the franchise, do we see an

y upward revision to
cost-to-income ratio in the test?
Deepak Khetan: Our long-term guidance for FY '25 and '26 was given in our analyst meeting done on -- in June 2023, and we'll stick to that. We had given an RoE guidance of 22% plus and we stick to that.
Moderator: The next question is from the line of Manish Ostwal from Nirmal Bang Securities Private Limited.
Manish Ostwal: All my questions are answered.
Moderator: Ladies and gentlemen, I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Ittira Davis: Thank you very much, Dorwin, and I'd like to thank IIFL and Rikin Shah for organizing and sponsoring this. And thank you to all the participants for joining and appreciate all the questions.
And we look forward to seeing you in the next quarter. Thank you.

Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jun 2024

USFB/CS/SE/202 4-25/31
Date: May 27, 2024

To,

National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

Symbol: UJJIVANSFB BSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 542904

Dear Sir/Madam,
Sub: Transcript of the Quarterly Earnings Call held on May 21 , 2024
Pursuant to Regulation 30 o f SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnin gs/quarterly conference c all held on May 21, 2024 for the quarter and year ended March 31, 202 4 is enclosed herewith.
The same shall be available on the Bank's website at www.ujjivansfb.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED

Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework

Encl: as mentioned above

"Ujjivan Small Finance Bank Limited
Q4 FY'24 Earnings Conference Call"
May 21, 2024

MANAGEMENT : MR. ITTIRA DAVIS – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – UJJIVAN SMALL
FINANCE BANK LIMITED
MS. CAROL FURTADO – EXECUTIVE DIRECTOR –
UJJIVAN SMALL FINANCE BANK LIMITED
MR. ASHISH GOEL -- CHIEF CREDIT OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR. MARTIN P S – CHIEF OPERATING OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR. M.D. RAMESH MURTHY – CHIEF FINANCIAL
OFFICER -- UJJIVAN SMALL FINANCE BANK LIMITED
MR. VIBHAS CHANDRA – HEAD OF MICRO BANKING –
UJJIVAN SMALL FINANCE BANK LIMITED
MR. SANJEEV BARNWAL -- COMPANY SECRETARY AND
HEAD OF REGULATORY FRAMEWORK – UJJIVAN
SMALL FINANCE BANK LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Ujjivan Small Finance Bank Q4 FY24 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Rikin Shah from IIFL Securities Ltd. Thank you and over to you, sir.

Rikin Shah: Thank you, Muskan. Good morning everyone and welcome to Ujjivan Small Finance Bank's Q4 Earnings Call. I am delighted to welcome the entire management team of Ujjivan Small Finance Bank who will discuss the earnings and the business performance followed by our interactive Q&A.

The management team is represented by Mr. Ittira Davis, MD and CEO; Carol Furtado, Executive Director; Ashish Goel, Chief Credit Officer; M.D., Ramesh Murthy, Chief Financial Officer; Martin P S, Chief Operating Officer; Vibhas Chandra, Head Micro Banking and Sanjeev Banwal, Company Secretary and Head of Regulatory Framework. With this, le t me pass on the call to Mr. Ittira Davis. Over to you, sir.

Ittira Davis: Thank you, Rikin and good morning and welcome to our Q4 earnings call. I am pleased to announce that Q4 has been another strong quarter for the bank, closing the financial year on a strong note. The bank has raised the bar to improve benchmarks, which is evident through its healthy growth and strong profitability. There were several developments post the book closure. As you know, we have received RBI approval for the appointment of Mr. Sanjeev Nautiyal as the Managing Director and CEO of our bank, with effect from 1st July 2024. He will join us on the 1st of June as President and the interim. He is a seasoned banker with over three decades of extensive experience in retail, SME, fina ncial inclusion, operations, HR, international banking and treasury.

Previously, Mr. Nautiyal held the position of Deputy Managing Director in State Bank of India, handling financial inclusion and micro -markets, and also he was earlier Managing Director an d CEO of SBI Life Insurance. I will be stepping down from MD and CEO position with effect from June 30, 2024, but will continue to be associated with the bank as an Advisor.

With the approval of the RBI, Carol Furtado has taken over additional responsibil ity as Whole - Time Director. She is now an Executive Director of the bank, with effect from 1st of May, 2024.

We have successfully completed the merger process between the bank and the holding company. Their shares will be credited to the shareholders of UF SL and trading is expected to start this week.

Here, I would like to highlight that the merger has benefited all our shareholders. The book value per share has increased by INR2.6, resulting in a book value per share of INR29.06 as of March 31, 2024. Addit ionally, owing to the strong profitability of the bank for financial year 2024, the

board has recommended a final equity dividend of INR1.5 per equity share. This will be subject to shareholders' approval in the ensuing AGM.

Speaking about business, we con tinue to expand our presence geographically. We have added 123 branches during the financial year, taking the total branch count to 752, spread over 26 states. We aim to add around 50 more branches during FY24 -25. During Q4, our loan disbursement stood at INR6,681 crores , growing 11% over the last quarter. This resulted in full - year disbursements reaching INR23,389 crores, with a registered increase of 17% year -on-year. Our gross loan book grew by 24% year -on-year and 10% Q -on-Q. Cust

omer acquisition remain s
strong and we have acquired around 2.7 lakh new microfinance customers in the last quarter, taking the total count of newly acquired customers to 10.5 lakhs for FY2024. This is around 12% higher than what we acquired in the previous year. This increasing acquisition reflects the untapped potential of the customer segment.

We have graduated about 1.4 lakh customers from Group Loan to Individual Loans in FY23 -24 and the Individual Loan growth will continue to outpace Group Loan growth. More than 80% of the current IL customer base are from our existing GL customers, who continue to have good

records and thus have graduated to the Individual Loans. We see strong demand and believe this trend should continue in FY25 as well.
The growth in affordable housing, i ncluding micro mortgages, continues to be strong. We disbursed INR730 crores for the fourth quarter and INR2,284 crores for the full year, witnessing a growth of 45% on a year -on-year basis. And our book is now a INR5,000 crores book on the affordable hous ing. We had piloted a new LOS for the affordable housing vertical in Q4 -24, which was successfully launched across the country in April this year. This will help us improve efficiency, reducing manual interventions, enabling digital onboarding of customers , improve productivity and streamline the approval process.
We have added pre -qualified top -up loans to the product suite for our existing customers, and a number of our existing customers are already eligible for this loan. Similarly, our micro mortgages book has grown well. We see this momentum to continue in the next year as well.
With regard to the MSME business, the transition is nearly complete. We disbursed INR128 crores in the fourth quarter, which is a significant improvement from just INR24 crores in the first quarter.
Our new Pan India MSME book largely comprises of LAP products. The LOS for the same is planned to be launched in the first quarter. This will lead to significant improvement in critical metrics such as productivity, turnaround time, etcetera, helping us scale the product much faster.
Financial Year '25 will also witness countrywide launch of fund -based and non -fund-based working capital offerings.
To further augment the product offerings, we are closely working with four FinTech partn ers, of which two are already on -boarded in the fourth quarter. And as supply chain finance business from FinTech partners gains traction, it will add to the growth of the MSME vertical, as this is a high -yielding book.

Our FIG business continues to contri bute to our secured base with quarterly disbursements of INR546 crores in the fourth quarter. We continue to invest in our emerging businesses such as Gold Loans and Vehicle Finance business. Gold Loan will now be offered from 250 branches by the end of Fi nancial Year '25, up from 60 currently operating branches. And Vehicle Finance will deepen its presence in the existing eight states to more traction to grow their business.
We will continue to invest in technology and human resources to make products read ily to be scaled up, in line with our long -term objectives, we continue to grow our secured book, which increased to 30.2% as of March '24, up from 28.3% in the previous quarter. Q4 has been a strong quarter on the liabilities part as well.
Total deposits have grown strongly to INR31,462 crores, registering a 23% year -on-year growth and a 6% quarter -on-quarter growth, reaping benefits from our increasing branch presence, enhanced service levels and improved business productivity. Additionally, our focus tow ards retail deposits has helped us garner INR778 crores of CASA this quarter, registering a double - digit growth of 10% sequentially.
Our total CASA book now stands at INR8,335 crores. Our CASA ratio improved to 26.5 against 25.5 in the

last quarter. The be nefits of brand campaigns and introduction of value -added products during the year has also fueled this growth. Our retail term deposit growth continues to outpace bulk term deposits, growing by 7% and 36% for the quarter and the year, respectively.
We hav e recently increased our term deposit rates by 25 basis points for the 15 months deposit bucket, to offer a more competitive rate to our customers. We believe the key to expand our customer base and reaching a diverse set of customers lies in embracing mix of physical and digital journey. Two digital liability products, namely fixed deposits and savings accounts, were introduced during the second half of the financial year, mobilizing INR75 crores of deposits.
During the first quarter of this financial year , we will be introducing digital initiatives such as smart statements, video banking and WhatsApp banking.
Furthermore, we aim to offer end -to-end digital services experiences for our customers in select areas. In financial year '25, we will continue to in vest in targeted brand campaigns. The focus towards building retail and granular deposit base and leverage our digital channels will continue.
Additionally, our MSME business will also contribute towards building current accounts as the product suite is de signed towards meeting our customers' requirements. We will also offer Escrow accounts to our current account customers. Our, Hello Ujjivan application is gaining acceptance among our customers, with total downloads reaching around 7.8 lakhs.
The loan ackn owledgment from our repeat and top -up group loans has also started to pick up. A total of 1.28 lakh loans were acknowledged this quarter, which forms 33% of total repeat and top-up group loans. We are also exploring offering insurance products via Hello Uj jivan,

currently offering one insurance product, but we hope to add a few more in the future. I'll look at the financials and margins. This quarter, we were able to benefit from our past efforts, resulting in expanded margins.

The expansion was a result of three factors: improved cost of funds, optimal system liquidity and continued benefit from asset book re -pricing. The resultant NIMs for the quarter was 9.4%, against 8.8% in Q3 and 9.1% for the full year '24; and this is in line with our previou s guidance. While the asset book re -pricing will continue to benefit us, the cost of funds will stay elevated as a result of our recent hike in the 15 months deposit bucket. The cost of funds for the quarter was 7.2%, against 7.5% in the last quarter. Ther e is also a onetime benefit of 17 basis points in cost of funds due to interest reversal on the term deposit post the reverse merger.
Currently, around 75% of the book is in the highest bracket, while around 15% of the book sourced between September '22 an d February '23 and 10% of the book sourced between, sourced pre September '22 is yet to be fully re -priced. The cost -to-income ratio for Q4 '24 remained at 56%, slightly elevated, as investments in infra and technology continue. Going forward, we believe i t will remain at similar level as investments continue to form a strong base for the bank. Pre-provision operating profit remained strong at INR519 crores , growing by 26% year -on-year. Coming to asset quality. The collections continue to be strong around 9 9% levels. The credit cost continues to move towards normalized levels. Credit cost for the quarter is INR79 crores versus INR63 crores in the previous quarter. Our asset quality remains robust, with GNPA at 2.1% and NNPA at 0.3%. Slippages for the fourth quarter were at INR175 crores, against INR140 crores in the third quarter. For FY24, slippages are at INR480 crores, with upgrade and recoveries of INR224 crores. Bad debt recovery remained strong at INR141 crores in financial year '24.
We have written off

INR65 crores during the quarter. We have guided for a credit cost of sub -
100 basis points for the last financial year, and the bank remained well within the guidance. During the second half of financial year '24, we have seen credit costs normalizing. Thi s includes an external factor of loan waiver campaigns in some specific pockets of Northern India. Further, as the book vintage increases and with credit costs normalization continuing, we expect credit costs to be in the range of 1.4% to 1.5% for financia l year '25. During FY '24, bad debt recovery was INR141 crores on the back of strong collections, a strong collection team and intensified legal activities.
We will want to continue these initiatives during the current year as well and expect to recover around INR100 crores. PAT for the quarter was INR330 crores, resulting in a full year profit after-tax of INR1,281 crores, growing by 17% year -on-year. This has resulted in a healthy return on assets and return on equity of 3.3% and 24.8% for the fourth quar ter. For the full year, return on assets is a remarkable 3.5%, and a very good 26.1% for ROE, for the financial year '24. RBI has recently outlined the eligibility criteria for qualifying to apply for the universal bank license. We are pleased to confirm t hat the eligibility criteria will come out as planned, basis the Board's guidance.
Now a guidance for the current financial year. We estimate our gross loan book to be growing between 20% to 25% for financial year '25. While deposits will grow in line with our asset growth. And our CD ratios will maintain those of the financial year '24 levels. Later in the year,

a firmer number will be given on the exact growth, whether we are on the higher end or the lower end of the 20% to 25% growth. Financial year '24, '25 will be a year of sustained business performance and profitability. We expect NIMs to stay around the 9% and the ROE at around 22%. These are early indications, as I said, with firmer guidance to follow at the half year mark. Thank you. Over to you.
Moderator: The first question is from the line of Rajiv Mehta from Yes Securities. Please go ahead.
Rajiv Mehta: Yes. Hi, good morning. Congrats on good quarter. Sir, my first question is on the asset quality. So, while the slippages run rate was slightly h igher in the quarter, it could be because of Punjab, but the upgrades and recoveries quantum was quite lower in Q4. Any specific reason why upgrades and recoveries were lower? And second, associated question is we are continuously seeing reduction in on -roll and off -roll collection team in micro banking. Can it have any future

bearing on collection efficiency? Maybe OD collections or maybe in -field recoveries and upgrades?

Ashish Goel : I'll answer the first question, which is our slippages. So, if you have noticed, our slippages have consistently been in the range of 0.5%. There was a minor reduction, I would not say a reduction, in the fourth quarter. And there is no specific reason for that. It has been more or less flat. And as far as the team size i s concerned, we had actually increased the team size in Q3. And we brought it back to the normal level in Q4, so you will see a Q -on-Q reduction, but the team has been based on our assessment of the overall book to be recovered. So, we see that this number will continue, so this, the collection team's trend, is expected to continue during this financial year.

Rajiv Mehta: Okay, so you are implying that this credit cost guidance of 1.4%, 1.5% kind of captures a very usual steady -state slippages as well as up grades and recoveries run rate going forward, right?

Ashish Goel : In fact, we had even last year said that we will be seeing normalization of the credit cost, and we saw that the credit costs were normalizing quarter -on-quarter. And we expect that this wil l be a steady

state going forward into FY25.

Rajiv Mehta: And just on the average ticket size across products, when I look at affordable housing, excluding MLAP, when I look at MSME, excluding fintech channel. There has been some increase in ticket sizes w hen I look at Y -on-Y comparison. So anything specific which is driving here? That's number one. And second is this cost of deposit which fell in this quarter and you said there was a one -time benefit of interest reversal. So excluding this, how would have cost of fund moved in this quarter?

Ashish Goel : I'll take the ticket sizes first. The average ticket size in group loans has gone up marginally. New customers contribution reduced from 43% to 39%. And we saw an increase in the repeat loans from 32% to 39% . The increase in ticket sizes in group loans -- in individual loans, ticket sizes have increased across as we are graduating group loans to individual loans at higher ticket size. This increase was about 3%. So it's not a very significant increase in the ticket size of individual loans.

Rajiv Mehta: My question was on the ticket size of affordable housing, ex of MLAP and MSME, ex of fintech which we show in the presentation, so they have gone up.

Ashish Goel : So affordable housing, the ticket sizes in the last year was about 12.6 and we have seen a 14.2. So that's a marginal increase. INR14 lakhs is what we are normally underwriting these days. The range remains, however, between INR12 lakhs to INR15 lakhs. Most of our business is coming in that business se gment of INR12 lakhs to INR15 lakhs. Now it could be slightly on the INR14 lakh range or the INR13 lakh range, but that's not a significant movement. The band remains the same. The customer segment remains the same.

On MSME, yes, we have seen a slightly hi gher ticket size. We launched the MLAP product in Q1 and that has stabilized over the last four quarters. In the last quarter, we saw significant traction and we want to be in that range of INR40 lakhs to INR50 lakhs. So that's the segment in which we have started to see the scale -up happening. We see that we continue to operate in the range of INR40 lakhs to INR50 lakhs.

Rajiv Mehta: Sorry, I just missed it.

Ashish Goel : We see that we'll continue to operate in the range of INR40 lakhs to INR50 lakhs [0:23:00] for MLAP loans.

Rajiv Mehta: Okay. Thank you and best of luck.

Moderator: Thank you. The next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: Thanks for the opportunity. Firstly, on MSME loans, can you give som e details on the fintech partnership that we have? What is the book size that we have from that partnership? What are the average needs, etcetera? And what is the customer profile that we are targeting in the MSME fintech vertical?

Carol Furtado: MSME fint ech, we recently started this portfolio and we have already tied up with two partners and there are two in the pipeline. And the book size is very small. We are also hoping to grow this through the fintechs and also on our individual capacity.

Nidhesh Jain : Okay, sure. And in the MSME vertical, what is the business strategy? How are we originating these loans?

Carol Furtado: This is a combination. We are doing the semi -formal LAP. We restarted the portfolio sometime in May of last year. And our strategy is to get customers from the semi -formal, semi -urban areas and grow the portfolio there.

Nidhesh Jain: And how should we think about the cost of funds going forward? This quarter, there is a one -off. So adjusted for one -off, probably the cost of funds is 7.4%, roughly. How should we project

cost of funds in FY'25?
Ramesh Murthy : Cost of funds will see a marginal uptake because we have recently announced a rate hike. TD rates have increased by about 25 basis points in March '24. However, when compared to Q -on-

Q, we have seen a substantial reduction in cost of funds. We have earlier said that around 17 basis points reduction is due to interest rate reversal on the holding company deposits, and while the balance 8 basis points is due to improved CASA and retai l deposits. So our view is until the repo rates start coming down, we assume the cost of funds to remain elevated. We don't wish to predict, as several external factors come into force on the cost of funds.
Nidhesh Jain: But from a modelling perspective, w e should start with 7.4% as the starting number. There should be a marginal increase in cost of funds from that number in FY'25. Is that right?
Ramesh Murthy : We are closer to around 7.3% because of tighter treasury management.
Moderator: Thank you. The ne xt question is from the line of Pritesh from DAM Capital. Please go ahead.
Pritesh: Hi. Good morning. Just two questions. One is on this FIG lending which we have seen a very strong growth. So, if you can give some color, what comfort we are having there? Was it just a liquidity deployment? Is it short term, long term? If you can give some colour on that.
Carol Furtado: So, the FIG lending is doing well for us. We have grown substantially there. Our portfolio size is around INR1,730 crores. We will be takin g this up a little further to balance our secured asset book. And the customer segments would be the NBFCs that we are targeting and the AA rated companies and AA plus rated companies.
Pritesh: Sure. If you can just mention what kind of yields we will be getting there? Is it short term or is it sustainable? As you said, you will increase it. But the lending which has happened, is it short term in nature or a decent tenure?
Ashish Goel : On the FIG portfolio, we have exposure coming in from NBFCs lending to MSMEs, vehicle finance, education sector and gold loans. So these are the four. The tenors on all these four segments are different from each other. MSMEs are a slightly higher tenor and gold loans are much on the lower side. The yields again are risk cali brated because 95% of our portfolio remains in A and above. So therefore, the yields are slightly on the lower side. But it is a risk - based pricing. And we have not diluted the portfolio. It continues to be in the range of 93% to 95% A and above.
Pritesh: Got it. Second question was on other opex growth. We have seen this high growth this quarter. Any one -off there and will we see such run rate because suddenly this quarter we have seen a sharp uptick?
Ittira Davis: Yes, I think the other operating expenses there has been HR costs which have been slightly higher because we have made some adjustments. And also the premises costs because we opened quite a few branches in this part of the year, so it is something that is there and the opex costs for the branche s will continue primarily by way of rents and the salaries will remove. So it will continue also because that is part of the process.
We have also had some IT expenses which are project related. Some of the IT expenses will continue as we upgrade because, as you know, the regulator is now very, very keen to make sure

that the technology is in line with what you are offering and the customers benefit from that and not lose out. So we are ensuring that our technology is state of the art and will come up to t he regulator's expectations. So, yes, going forward these are things which I think all banks, the whole industry has to take note of and I think it is something that is very important. So, we will be investing in that.
Pritesh Bumb: Lastly, we mentioned ab out liquidity usage this quarter. How much going ahead we tend to use more? I mean the LCR. So, what will be the basic scenario we will keep or we will not breach that number?
Ittira Davis: Breachin

g LCR is not a question. We cannot afford to breach it.
Pritesh Bumb: We have about 130% something right now and will it be at the similar levels or will it go a little bit further down or we will increase the LCR? What is the stance on that?
Ittira Davis: Our average is to maintain it around 140 -150. So, 134 is good, 140 is good. That's the level. Not

too much liquidity but at the same time something which is reasonable and good and safe.
Pritesh Bumb: Got it. Thank you so much. All the best.
Moderator: Thank you. The next question is from the line of Ashlesh Son je from K otak Securities. Please go ahead.
Ashlesh Sonje: Hi team. Good morning and congratulations. Two questions from my side. One is just a data keeping one. Can you share what is the outstanding or technically written -off book as on March '24 and also on March '23 if you have the number handy?
Ashish Goel : Sorry.
Ashlesh Sonje: If you have the technically written -off book available as on March '24 and March '23?
Ashish Goel : In March '24, it is in the range of about INR1100 crores. That's the total book . Written -off book. But this consists of what we have done in the last two years plus what we have done during COVID time.
Ashlesh Sonje: Understood. Would you have the number available for March '23 as well?
Ashish Goel : I'll just come back to you.
Ashles h Sonje: Okay. Sure. And secondly, the secured book is now at roughly 30% of the overall advances. How do you expect this to trend over FY '25 and '26?
Carol Furtado: The guidance given for the two years is around 60 -40. 60 would be in the unsecured and 40 in the secured. We will be meeting that guidance in the next two years. We have already reached 0.2 and we are seeing an increasing trend there. We have also introduced two secured as verticals like Gold, Vehicle Finance, MSME, and Advise Strategy. It's doing well for us.

Ashlesh Sonje: Understood. And if I can just squeeze in one last question. How are you accounting for the income from the off -balance sheet book, the IBPC and securitized loans?
Ramesh Murthy : On securitization, we take it into income. IBPC helps us in containing our cost of funds.
Ashlesh Sonje: Okay, but the interest spread from the off -balance sheet book, would that be booked upfront or will there be a...
Ramesh Murthy : It's on a cash basis. We don't pay any rate.
Ashles h Sonje: Okay, but you book the interest spread or the entire interest income and interest expense separately?
Ittira Davis: We're paying for this. IBPC is a source of funds for us.
Moderator: Thank you. The next question is from the line of Renish from ICICI Securities. Please go ahead.
Renish: Yes, hi sir. Just two questions from my side. One on the individual loan side. We've been going this piece at pretty accelerated pace from last five, six quarters. So can you just throw some light on, let's s ay, the part of the portfolio or maybe some sort of asset quality indicators in this book?
Ashish Goel : For individual loan, you know, these are customers who have mostly graduated from group loans. We do about 10% to 12% of open market acquisition on the individual loan side. Most of these customers have a two -to-three -year track with the bank. So the asset quality for individual loans is better than the group loan asset quality. And that has also given us the confidence of growing this at a rate of 40%.
Renish: Okay.
Ashish Goel : In terms of par, it is lower than the group loan par. Our average remains to be in the range of 1.3- 1.4.
Renish: And what are the yields we charge under this loan?
Ashish Goel : Yield. It is again risk -based pricing that we do. Th e yields would be somewhere in the range of the group loan rates.
Renish: Okay.
Ashish Goel : Marginally higher footprint but probably in the same band.
Renish: Got it, got it. And my

next question is on the NIM guidance which we have given of 9%. Now given we intend to grow our secured book at a faster clip over the next two years. So how do you see this NIM behaving over the next let's say six or seven quarters? I mean, naturally your yields under secured book will be lower. So how one should look at the N IM's trajectory going ahead?

Ittira Davis: Yes, as the secured book increases NIM's will come under a little pressure. But recently we have got an upgrade on the asset on the rating from the rating agencies. So we will be using that to

manage our cost of f und and also using treasury to manage the fund process. So, hopefully it
will not be much lower but it depends on how fast the secured asset book is building. So we will
keep the market advised as to if we see any changes coming up. But for now go with the guidance
of 9%.
Renish: Okay. And lastly on the deposit growth run rate. So in PPT we did mention about deposit growth
rate will probably track the loan growth. But when we look at the CD ratio which is still at 95% -
96%, doesn't it calls for an accelerate d deposit growth than loan growth in near term?
Ittira Davis: Yes, in the 4th quarter our deposit growth was quite good. And we see that continuing into the
1st quarter. So yes, I mean our intention is to make sure that our CASA ratio, etc. moves up. Our
target internally is towards the magic number of 30. But yes, in terms of the CD ratio actually
based on the thing it is 87%. Of course if you adjust it for the IBPC then it's slightly higher. But
for all practical purposes IBPCs are used to manage CD ratio s. So I think you should look at the
87 rather than the 94 because that's how the regulator looks at it.
Renish: Okay. Thank you, sir.
Ittira Davis: Thank you.
Moderator: Thank you. The next question is from the line of Sukriti Jivarajkia from L aburnum Capital.
Please go ahead.
Sukri ti Jivarajkia : Hi, good morning. I just wondered your overall view on the M FI cycle. Are there any early
warning signals you're seeing in any geography? And even the lone wavier that you spoke about,
was it continuing in particular geographies in Northern India or you saw it spreading out more
than what you'd initially expected?
Ashish Goel : Can you finally repeat the question? The voice was not very clear.
Sukri ti Jivarajkia : I wanted to know your view on the MSI cycle. I f you're seeing any early warning signals in any
geographies and even the lone waiver that you spoke about in Northern India. Was it contained
in particular geographies or did you see it spread more than what you had initially expected?
Vibhas Chandra : In some pockets, we have seen, especially in Punjab, Haryana, as we mentioned, that the
portfolio to some extent is impacted due to K arza Mukti Abhiyan in the second half of financial
year '24. We expect this to subside by Q2 onwards. Our portfolio overall is performing well as
we are mostly into urban and semi -urban but seems to be a temporary thing.
Sukri ti Jivarajkia : And apart from these lone waivers , you don't see any signs of any early warning signals in other
geographies or for some other reason?
Vibhas Chandra : Apart from there, our portfolio in Ker ala has a little underperformed.

Sukri ti Jivarajkia : And apart from these loan waivers you don't see any signs of any early warning signals in other
geographies or for some other reason?
Vibhas Chandra : Apart from there our portfolio in Kerala has a little underperformed and it is at industry level as
well and to an extent in Tamil Nadu as well and we have slowly where we have little slowed
down as well or our MCA strategy here to contain our repeat loan s and repeat customers, but it
is something which again I would say that it is kind of temporary in nature, b

ut we need to take
cautious steps to ensure that our portfolio is safe.
Sukri ti Jivarajkia : Can you pinpoint a reason for Kerala and Tamil Nadu und erperforming an industry level reason
maybe?
Vibhas Chandra : There is no specific pocket it's Kerala that is we have limited number of branches, limited
presence in Kerala and at industry level also we see a little stress and kind of little over borrowing
and as a cautious step we have a little slowdown in Kerala, but as far as a specific pocket where
concerns are easing out there is no specific pocket.
Sukri ti Jivarajkia : My next question is on other income. We have done really well on other inco me. There has been
sort of a catch up with more focus on cross sell treasury has done well. Going forward do we
expect this line item to continue outperforming in the next year do we now think it will grow in
line with the disbursement for NII?
Carol Furta do: The other income will mostly be in line with our business growth and we see insurance as an
area where we could do well including the PSLC and maybe a few more third party products
would come into the picture. This is a line item that would continue do ing well for us.
Ittira Davis: I think there was in terms of the full year there was a onetime effect in the insurance income.
That will not be there in the current year that's about INR30 crores.
Sukri ti Jivarajkia : Can I just ask one more question? If yo u expect any operating leverage to play out in the next
financial year because I think you have upped sorry what is the number you have given for the
number of branches that you want to open in FY25 and then related question on operating
leverage if it's g oing to play out this year?
Ittira Davis: Number of branches next year FY25 is 50 additional branches.

Sukri ti Jivarajkia : Got it. And overall operating leverage at the company level do we expect in FY25?
Ittira Davis: What is your definition of operating leverage?
Sukri ti Jivarajkia : If cost to income will fall below 55%.
Ittira Davis: Cost to income may pick up a little bit as I said we have got additional cost which we have put in place because of the manpower requirement and the competition in the marke t and the market is a bit heated. So that will have some impact and also the premises costs which will be slightly elevated compared to the previous year.

However, you can be rest assured that we are currently among the best in terms of cost to income in the small finance bank industry and we hope to remain in that position or near the one or two in terms of the best, in terms of that ratio.
Sukri ti Jivarajkia : Got it. Thank you so much.
Moderator: Thank you. The next question is from the line of Shailesh L Kanani from Centrum Broking Limited. Please go ahead.
Shailesh L Kanani: Good morning everyone and thanks for the opportunity. So all my questions are answer only one question. Sir, on the recovery front from written off accounts we had guided during th e start of the year that the number would be lower than last year, but this year we have done well. So any guidance from that front? How would be the recovery from the written off accounts?
Ashish Goel : Last year we said that we will probably try to achiev e about INR120 crores -- INR110 crores to INR120 crores. But during the year we found that we had a very favourable environment in terms of the intensified legal activities that we had planned during the year. So on the micro -banking side we had Lok Adalat . So there was a very supportive environment there and most of the recoveries that we have got from the written off pool has been from either micro -banking or from the affordable housing segment.
So it is because of the traction on Lok Adalat and the sale of possessed assets on the housing side that we were able to get a slightly higher number than what we had in

itially thought. This
year again we are saying – this year we are talking about anything between INR100 crores, INR110 crores. The earlier pool whi ch we had written off during COVID is now quite aged. So we expect much lower much lower recoveries from there.
But from the return of pool which is immediately in the last 2 years we will probably get much higher recoveries. So something in the range of I NR100 crores to INR110 crores is what we will target this year.
Shailesh L Kanani: Thanks a lot. That's useful. So just last question from my side. Since our individual lending book has grown very smartly this year and some of our peers have taken CGFMU. So is the management contemplating anything on that side and any views if you can share with us?
Ashish Goel : We have had meetings to understand the entire CGFMU, the product, the entire offering. We are continuing our discussion with them, but we d on't see that happening in at least the first 6 months. If at all we decide to take the CGFMU cover it will be in the second half, but nothing decided as of now.
Shailesh L Kanani: Okay sir. Thanks a lot and best of luck.
Moderator: Thank you. The next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: Thank you sir. Sir the question was related to the refinance that we are availing number has slightly come down. So if you can elaborate on that what is the plan that we have on the refinance settlement?
Ittira Davis: The refinance that we are taking from the various agencies we are in discussion with the National Housing Bank and a few others. So we expect during this year there will be an increase, but our loan b ook is also growing. So if you look at it as a proportion of the loan book you might think that it might be coming down, but absolute numbers will be increasing. And wherever it is advantageous for us and wherever it makes sense we will be looking at the r efinance, but the refinance doesn't come cheap it's quite expensive. So we have to manage the cost as well, but it's a good source to have as a backup.
Rakesh Kumar: So just to get a differentiated view that what is the cost of borrowing that we have exclu ding refinance and for the refinance itself if you can provide us the figure the borrowing cost for both

these things?
Ittira Davis: We'll take that offline and my colleagues will get back to you.
Rakesh Kumar: Just a related question sir other than big le nding we have almost all the loans against which you know we can get a refinance. So is there any issue that we are not going ahead on this front or if you can tell us because I'm not able to understand that why we are not going ahead with this refinance t hing so much.
So if I add your IBPC I don't know like because the number is clubbed IBPC and securitization numbers is clubbed. So if I take the IBPC number and your refinance number as a percentage to your assets basically your loans against which you can take this refinance that number looks quite low as compared to other banks or the peer set. So just to understand that that's slightly better sir?
Ittira Davis: Yes IBPC we have around INR2500 crores so INR2360 to be precise and from other sources it's not very much, but as I said it's the cost which we have to consider. You see the thing is that we are very highly capitalized. So the thing is that with a 24% CRAR and all that we don't really need this refinancing as a source because net -net it's a bit exp ensive. As I said we have to look at the cost of funds. We cannot just do refinancing for refinancing sake.
It has to make sense and also when there is an asset liability mismatch yes some of these refinancing's are useful and we will do so. As we grow ou r MSME book and our housing loan book yes we will revert we will be looking at these refinancing to take care of the

maturity
mismatch. So, yes going forward you will see more utilization of those sources but for now you know with our present level we are quite well funded.
Rakesh Kumar: Just another point here sir, just sorry to extend this further. So, it can also help you in the LDR number basically like so the more refinance that you take it will help you at that front also I think.
Ittira Davis: Which number sorry?

Rakesh Kumar: So the higher refinance number can also help at the LDR level right LDR calculations. So actual LDR which I think regulator will consider as considered to what you report in general. So higher LDR it will get like to that extent your LDR will also look lower.
Ittira Davis: Okay now we will take your point we will have an internal discussion with the treasury and others and see whether it really will help us. But yes good point.
Rakesh Kumar: Thanks a lot sir.
Moderator: Thank you . The next question is from the line of Mahesh Kabra from BSK Group. Please go ahead. Yes please Mr. Mahesh go with the question. Hello.
Mahesh Kabra: Hello.
Moderator: Yes please go with the question.
Mahesh Kabra: Yes, good morning sir. My question is ab out dividend. We are distributing almost this quarter's profit as dividend with the growth that we are projecting soon we would need probably more capital to raise. My question was about what is the idea there?
Ittira Davis: Our profitability has been good in fact if you see the level of profitability the CRAR has been able to keep up with the profitability levels and take care of the asset growth. Now in recently the RBI had asked for additional capital to be put aside against some of the consumer lending which is why there has been a slight adjustment in the CRAR.
But we have enough profit generation to take care of the growth in the balance sheet and we don't anticipate based on our current growth expectations to be coming to the market for any additional capital in the near term. Regulatory requirement is 15%. Int ernally we have kept a guideline at the board level of 20%. We are at 24% so I think there is adequate cover there and during the year 24, 25 we don't need any additional capital which is required for building the balance.
Mahesh Kabra: Yes, I get that pro bably we won't need capital even in the year 25, 26 but 25% growth in loan book and approximately 15% growth in net worth with 20% ROE and dividend distribution probably two and half years, three years down the line we will again have to raise capital right? Am I right here?
Ittira Davis: Three year s down the road yes that is on our target so from time -to-time we will have to raise capital so are you suggesting that we don't declare any dividend?
Mahesh Kabra: I mean banking company growing at 25% I thought conserving capital would be better but you are expert I am not I am just asking, understanding your thought process here?
Ittira Davis: No, but the industry is giving a reasonable level of dividends we have to also, our profitability is good we are not giving exorbitant dividends we are giving some thing reasonable maybe on the higher end people do it between 12% and 15% we are on the 15% but that is an annual feature

which the board has to decide from an annual basis for this year it's the highest profit so 15% was decided
Mahesh Kabra: Yes, thank y ou sir, and congrats on the good set of numbers
Ittira Davis: Thank you.
Moderator: The next question is from the line of Yash Dalvi from Systematix Group, please go ahead
Yash Dalvi: Yes, good morning sir, and thank you for giving me this opportunity, so I had two questions since we have recently added two fintech partners for MSMEs and two in pipeline assuming both of them are added how do you expect the MSME group to grow and s

econd would be that
any expected date by which we can expect the shares to be credited you could guide on that?
Carol Furtado: So MSME through the fintech, through our revised strategy, we will be growing as expected and the last year we did a lot of strategy relook at it also on our customer segments and all that and we opened up a lot of product lines, we should be able to see a good growth happening in this financial year and this would also be a good enhancement to the growth of our current account book, so all in all we are seeing a good uptake in the MSME book this financial ye ar
Ittira Davis: Share trading, just one moment
Sanjeev Barnwal : On the commencement of the trading, we are in receipt of the in principle listing approval from the exchanges, last Friday we received it, during as we speak we are initiating our corporate action documents with CDSL and NSDL we are very positive by tomorrow you will get the shares credited into your account and the trading approval will be received in a day so possibly by Thursday or Friday we are very positive that the shares will be availab le for trading
Yash Dalvi: okay sir, thanks a lot and congratulations all the best
Moderator: Thank you. The last question is from the line of Sandeep Pangal from Psion Capital, please go ahead
Sandeep Pangal: So, I think first great result and thank you M r. Davis for leading this bank through very turbulent times, but couple of things now that the merger is done if you look at page 37 of your presentation the post, merger shareholding has a lot of retail investors I just like to understand what is the strategy of the bank and the management with respect to sort of making this more institutional over time I know there will be, board shows etc. But some flavour on that could be helpful?
Ittira Davis: No, some of the shareholders of the holding company are ins titutional shareholders we have people like IFC etc. Who are there and those will continue to hold the shares in the bank but having said that yes you are right we would like to increase the number of institutional shareholders we have talked to a few peop le and we hope that some of those discussions will fructify right now we have about 33% who are institutional shareholders, we would like to see that grow up to a better number but yes, that is the objective of the management to make sure that we get long term institutional investors to take a reasonable share of the shareholding.

Sandeep Pangal: Ok great. Thank you so much
Moderator: As it was the last question I now hand the conference over to the management for closing comments over to you sir
Ittira Dav is: Thank you Muskan, from Corus for your support on this call and also more importantly Rikin Shah, who has been from IIFL, who has been supporting us as this is my final session with you guys in the last 8 quarters thank you for all your interesting ques tions and also being part of the journey and wish you all the best.
Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference thank you for joining us. And you may now disconnect your lines thank you.

Call: Jul 2024

USFB/CS/SE/2024-25/62
Date: July 30, 2024
To,
National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C-1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051
Symbol: UJJIVANSFBBSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 542904
Dear Sir/Madam,
Sub: Transcript of the Quarterly Earnings Call held on July 25, 2024
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnings/quarterly conference call held on July 25, 2024 for the quarter ended June 30, 2024 is enclosed herewith.
The same shall be available on the Bank's website at www.ujjivansfb.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED
Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework
Encl: as mentioned above
“Ujjivan Small Finance Bank Limited
Q1 FY'25 Earnings Conference Call”
July 25, 2024
MANAGEMENT : M R.SANJEEV NAUTIYAL –MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER –UJJIVAN SMALL
FINANCE BANK LIMITED
MS.CAROL FURTADO –EXECUTIVE DIRECTOR –
UJJIVAN SMALL FINANCE BANK LIMITED
MR.ASHISH GOEL --CHIEF CREDIT OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR.MARTIN PS–CHIEF OPERATING OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR.M.D. RAMESH MURTHY –CHIEF FINANCIAL
OFFICER --UJJIVAN SMALL FINANCE BANK LIMITED
MR.VIBHAS CHANDRA –HEAD OF MICRO BANKING –
UJJIVAN SMALL FINANCE BANK LIMITED
MODERATOR : M R.RIKIN SHAH --IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Ujjivan SFB Q1 FY '25 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rikin Shah from IIFL Securities Limited. Thank you, and over to you, sir.
Rikin Shah: Thank you, Sejal. Good evening, and welcome, everyone, to Ujjivan Small Finance Bank Q1 Earnings Call. We have with us today the entire senior management team of Ujjivan Small Finance Bank to discuss 1Q FY '25 earnings and the business performance.
The management team is represented by Mr. Sanjeev Nautiyal, MD and CEO; Ms. Carol Furtado, Executive Director; Ashish Goel, Chief Credit Officer; M.D. Ramesh Murthy, Chief Financial Officer; Martin P.S., Chief Operating Officer; and Vibhas Chandra, Head of Micro Banking. I will pass on the call to Sanjeev sir for you to kind of discuss the Q1 earnings. Over to you, sir.
Sanjeev Nautiyal: Thank you, Rikin. Good evening and welcome to our Q1 FY '25 earnings call. I'm happy to

present to you an update on our Q1 FY '25 business and financial performance. On business, our Q1 disbursements have grown to INR5,286 crores at par with Q1 last year. This resulted in gross loan book of INR30,069 crores as on June '24, up 19% Y-o-Y and 1% Q-o-Q. This is despite our cautious approach in acquiring new to credit customers and amid slowdown in business inquiries in micro finance over the last few months.
We acquired around 2.08 lakh group loan and individual loan customers during the quarter, ensuring onboarding of good quality customers with healthy trend behavior. With an endeavor to serve good quality repeat customers, we have also graduated 32,623 customers from group loans to individual lending during the quarter.
While qualifying such customers, we have ensured that these customers had good repayment track record with us, their loan utilization checks were successful and their income and coheir criteria duly met. With introduction of the new guardrails by MFin, we foresee slight reduction in business generation due to rising bureau rejection and lower ticket sizes.
We aim to overcome this by serving our repeat customers, managing customer attrition and lend in areas which are demonstrating good credit behavior. We believe our diversified presence of 752 branches standing across 326 districts in 26 states will help achieve this objective. We do believe normalcy will be restored by end of H1 FY '25 and higher volume generation will be achievable from Q3 onwards.
The micro finance business environment has been evolving over the last few months. We have seen some positive developments from micro finance institutions network and we appreciate their proactiveness in addressing the issue with the newly introduced guardrails for the micro

finance sector. These will be beneficial to the industry as a whole in terms of incorporating healthy credit behavior and discipline.
We are also closely tracking our secured and unsecured book mix, which improved to 31.3 percentages as on June '24 from 30.2 percentage as on March '24. Affordable housing, including micro mortgages, which contribute over 50% to the secured book for the bank continues to do well, disbursing INR445 crores in Q1 FY '25, achieving a book size of INR5,199 crores, registering a growth of 42% Y-o-Y and 6% Q-o-Q. We currently have 3 product lines under micro mortgages with introduction of micro home improvement loans and micro business loans, along with previously intr

oduced micro lab.
Prequalified top-up loans launched for affordable housing segment in March '24 has seen a healthy traction with INR6.5 crores business till end of June '24. In Q1 FY '25, the MSME vertical has scaled up on its renewed business strategy. We disbursed INR130 crores during the quarter. Our LAP business scaled up with the newly launched formal segment LAP variant in addition to the semi formal segment LAP offering.
As mentioned, when we last met during our analyst meet, our future-ready loan origination system was launched in Q1 FY '25. This will boost the working capital business scale up and have a positive impact on various critical metrics like productivity, turnaround time and first time right. Our increased focus in enhancing product offering and investments in new age LOS and LMS will be augmented by key API integrations, ensuring improved business volumes.
As of June '24, our FIG business was INR1,800 crores book, growing by 48% Y-o-Y and 4% Q-o-Q. The strategic business formed 6% of the overall asset book. Disbursements have been healthy at INR400 crores during the quarter, lower than Q4 FY '24, but 25% higher than Q1 FY '24. Gold loan and vehicle finance business continues its traction with rising business volumes month-on-month. As we speak, gold loan is being offered in 100-plus branches. Similarly, vehicle finance loans are being offered to customers on risk-based pricing and scorecard-based distribution. These processes have made us market competitive and brought efficiencies to business process. Utilizing our captive base vehicle finance products are cross sold to our customers to meet their vehicle acquisition needs at attractive interest rates.
During Q1 FY '25, 1,779 loans amounting to INR15.20 crores have been disbursed. We have also enhanced our product offering in addition to the commuter segment and plan to cater to mid-premium and Green Funding segment. Our deposits accretion has grown at a similar pace. To better manage liquidity and to reduce the negative carry, we have targeted maintaining our CD ratio at 85% inclusive of IBPC securitization.
Total deposits grew to INR32,514 crores, up 22% Y-o-Y and 3% Q-o-Q. Our focus from a retail liability perspective is to be the primary bank catering and fulfilling the banking needs of the aspiring middle-class segment by offering quality banking services and at the same time, attract and retain individual customers by maintaining and building a long-term relationship with them. The objective is to achieve granular retail deposits at a lower cost. With this objective, retail deposits improved to 74% as on June '24 versus 70% as on March '24. This also includes an

upward impact of 200 basis points due to the change in definition of retail deposits recently issued by RBI.

Our CASA ratio at INR8,334 crores saw a healthy growth of 27% on an annual basis, while remaining same sequentially contributed to 25.6% of total deposits for June '24. Our priority is acquisition and retention of low-cost CASA deposits for the bank through segment-focused approach, customer-centric products, partnerships and alliances, relationship management and customer service excellence.

Our value-add product offerings are also showing green shoots of success. Our Maxima CASA product was launched in second half of last financial year, has crossed over INR1,000 crores in the month of June '24. Additionally, through our digital initiatives to enhance the banking services for our customers, we have been able to mobilize over the INR100 crores of business through digital term deposits and savings accounts. We're also in the process of launching digital current accounts beneficial for MSME segment and other enhancements in digital platform, which helps the customers in receiving seamless experience and ease of doing business with us. These digital measures are not just about k

eeping pace with the industry, but also for setting new standards in our objective of building a scalable and granular liability base.

During the quarter, INR10,000 crores of fixed deposits were rated AA- stable by CARE. This will be beneficial for us to empanel or engage with PSU-led large corporate businesses for our future funding needs. Continually improving our customer experience and enlarging some of customer interaction, our multiple channel offering is now playing a pivotal role in building business and serving our customers.

Hello Ujjivan app, India's first voice visual vernacular app launched for micro finance customers, is available in 11 languages, including English with chatbot facility. Few notable achievements for the app are the downloads for the app have crossed over 10 lakh plus downloads in the month of June '24, 26% repeat and top-up group loans are getting acknowledged through Hello Ujjivan. 17% loans acknowledging customers have opted Hospi Care by Hello Ujjivan.

Other channels like Internet, mobile banking are now loaded with 125 plus features serving various financial and nonfinancial transactions. Additionally, our payment systems are equipped with UPI Lite for low-value UPI transactions below INR500. Our payment systems are also enabled with AePS facility promoting financial inclusion.

Asset quality due to a few isolated pockets of stress visible in some states, our PAR has increased to 4.2% in June '24 versus 3.5% in March '24. Rising credit cost, which we have we've indicating from last few quarters, came in at INR110 crores for Q1 FY '25 versus INR79 crores in Q4 financial year '24. However, we are confident of meeting our FY '25 credit cost guidance.

Portfolio quality remains healthy with GNPA at 2.3% and NNPA at 0.4 percentages. Slippages for Q1 FY '25 were at INR192 crores versus INR175 crores in Q4 financial year '24. We have written off INR59 crores during the quarter with our enhanced focus on maintaining healthy

collections currently at 98% for June '24. We have strengthened our collection team this quarter, and we'll continue to add headcount as necessary.

Bad debt recovery remained strong at INR27 crores in Q1 FY '25. Our target is to collect over INR100 crores this year. On financials and margins, NIMs for the quarter is 9.3 percentages.

COF, cost of funds for Q1 financial year '25 is at 7.5%, marginally elevated from last quarter as Q4 FY '24 had a onetime benefit of reversal of interest expense. But when compared to Q3 FY '24, cost of funds for the bank remained at par.

The stability in our cost of funds was due to our focus on growing retail deposits. To benefit the margins, some repricing of micro finance book is pending to be factored in as the new disbursements take place. This, along with our risk-based pricing will help sustain NIMs at healthy levels despite our secured books accelerated growth. Operating costs for the bank is a key monitorable cost-to-income ratio for the quarter ended at 55 percentages. Our objective is to keep this in control in the upcoming quarters. PAT for the quarter was INR301 crores, resulting into a healthy ROA and ROE of 2.9 percentages and 20.9 percentages.

Our focus is towards maintaining the guidance given on our previous communication of 20% asset book growth and the full year ROE at 20%. Lastly, on Universal Bank license, we are considering to make an application for Universal Bank license. The Board shall decide the timing of the application in this financial year. I will end here and hand over to the moderator, Ms. Sejal. Thank you. Over to you, Sejal, please.

Moderator: First question is from the line of Rajiv Mehta from Yes Securities.

Rajiv Mehta: So my first question is on the asset quality of micro banking. Is the fresh PAR addition stabilizing in July? And whether -- what will be your outlook on rolling back the par, which is alread

y
sitting in the early buckets 1 to 30 and 31 to 60 DPD in the coming months? And what is the
assessment on slippages in the current quarter?
Ashish Goel: Rajiv, so on your first question on where the PAR is stabilizing. For the month of July, we are looking at a 99.5% collection efficiency in our non-delinquent NDA pool. So that would mean a marginal increase in par. But what we have also done is we have strengthened our collections in the 1 to 90 bucket. A lot of our collection team has moved towards the 1 to 90 bucket. We have also identified our branches where we need to reduce our par, and we are on that path, and we'll continue to do that throughout quarter 2.
In terms of reducing the par, which you were talking about in 1 to 90 bucket, as I said, we have strengthened our collections team. Our efficiencies have gone above 40% in the last quarter -- in the last 2 months of the last quarter, and we expect that these kind of efficiencies can be maintained in Q2. And therefore, we will hopefully see steady slippages during this quarter. I would also like to add that our slippages in the last 4 quarters have been steady between 0.6% to 0.7%. And therefore, that gives us confidence that in Q2 also, we will maintain the same rate of slippages.

Rajiv Mehta: Yes, that is clear. And on affordable housing, I see the disbursement declining by 40% Q-on-Q. Were there any specific reasons? And one more question is on the opex decline. So it is basically, the nonemployee opex, which has come off pretty significantly. So is there anything one-off here why it has come off so significantly?
Carol Furtado: On the housing, the disbursements have been quite steady. It is just that since the introduction of the circular, wherein we have to look at the DD disbursement a little differently, the bookings have taken place, but we will be disbursing the loans to the customers once the DD has been handed over to the customer. That is the only reason why we have seen a dip in the disbursement, which over the months will get corrected. So the amount, I think, is around INR80 crores.
Rajiv Mehta: Sorry, is it INR80 crores?
Carol Furtado: So the difference between the bookings and disbursement for the quarter is not INR80 crores, it's INR110 crores.
Rajiv Mehta: Okay. Understood. But does it disturb our higher run rate of disbursement now in, say, June -- in July, August? Or can we revert back to our pre, say, March or maybe last year's run rate of growth back?
Carol Furtado: Of course, it will come back to normalcy. This is a new thing that has happened across the industry. So this will get corrected. Our disbursements otherwise, our bookings are on a steady mode.
Rajiv Mehta: Got it. And on the opex side, the nonemployee opex being lower in this quarter?
Ramesh Murthy: Our opex is related to our business and the volume. So depending on that, the opex will vary, that's number one. Number two, we are keeping a strict focus on opex to keep our cost ratio around 56%, 57%. So there is a very tight control being exercised on the opex.
Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital.
Deepak Poddar: Sir, just wanted to understand, I think you mentioned about the credit cost to be normalized for FY '25, right, in spite of this issue that you are facing in terms of whatever you have guided. So can you just reiterate what is our guidance now of credit cost?
Ashish Goel: So last year, we had spoken about the second half credit cost starting to normalize. And the second half of last year was in the range of 0.9% to 1%. And for the -- in the beginning of the year, we had guided that our credit cost would be in the range of 1.7%. In Q1, the annualized cost is about 1.42%. So it is in line with our full year plan.
Deepak Poddar: Okay. Okay. So in the full year, we are still kind of giving an outlook of 1.7% or 1.4% credit

cost or in that range?
Ashish Goel: See, there was a little bit of disturbance in the market, which started in Q3, Q4 of last year. And those -- that credit cost will continue for about -- until those accounts are fully provided. And

therefore, there will be marginal increase, but we still believe that our credit cost will remain as we have guided.
Deepak Poddar: Okay. So there will be a marginal increase. For example, this quarter, we had about 1.4%. So marginal increase, we can say 1.4% to 1.7% range. That is the range one can see, I mean, in the second quarter or third quarter or fourth quarter?
Ashish Goel: Yes, we should be able to do that range. And we will continue to guide you for the second half. The first half, we are seeing the same range as 1.4% to 1.6%.
Deepak Poddar: First half, we are looking at that same range?
Ashish Goel: As we have guided, we will stay within 1.7%.
Deepak Poddar: Yes, yes. So for the entire year as well as for the first half, right? And what about the credit cost

for FY '26 next year?
Ashish Goel: We will come back to you on that as the year progresses.
Deepak Poddar: Okay. Understood. And what sort of ROA we are looking at for this year FY '25?
Ashish Goel: So we currently have an ROA of 2.9%, which is significantly better than the peers. But ROA is a function of how much secured, unsecured book we have.
Deepak Poddar: Correct. Yes. So considering...
Ashish Goel: But our ROE is what we have guided for, that should remain in the range of 20%.
Deepak Poddar: 20% ROE. And now given that we are focusing more on secured book, right? And we have a target to reach 40% by year-end as well. So now -- so what would be the normalized ROA once you reach at 40% secured book. I mean, what is the, I mean, sustainable ROA for higher and secured book for us? So what would be aspirational range that we might look at?
Carol Furtado: This, as Ashish said, is a factor of our secured and unsecured percentages. The unsecured percentage is gradually coming down, and we are able to increase our secured book percentage. And over the year, we will be meeting the guidance that we have given over the next 2 years, which is 60-40, 40 in the secured percentage. And this year, we should touch 35% of secured asset portfolio. So I mean, we will have back calculate that, I guess.
Moderator: The next question is from the line of Abhishek Murarka from HSBC.
Abhishek Murarka: So my first question is regarding the micro individual loan book. And so the question is what is giving you confidence to grow this book? Overall, the commentary about low unsecured personal loans remains given that segment is showing a lot of stress, how is your book behaving? And can you share some trends in terms of bounce rates or asset quality, the delinquency? Who's giving you confidence to grow this book going forward?

Vibhas Chandra: So the individual loans, they are given to our group loan customers after typically, they have crossed about 3.5 cycles of repayment with us in the group loan -- with the group loan product. So customers already have a significant tenure with the bank before they are offered an individual loan product. That's point #1.
Number two, each loan is assessed through a PD and through a credit process by credit officers who go to the field and do every launch due diligence. So for us, the behavior of individual loan portfolio has been better than the group loan portfolio since we started this business. And this is a very tightly controlled business. The customer base is met month-on-month. So that gives us confidence that this portfolio will continue to be good with us.
Abhishek Murarka: So the collection efficiency number...
Vibhas Chandra: Sorry, we are 16 years into this business. So our processes have matured, our people have understood this business

well.
Abhishek Murarka: No, I don't doubt that. At the point of underwriting, your loan would be pretty good, that's why you've given the loan. But currently, what are the trends? So because if you look at the collection efficiency that you report, MGL plus IL, that's 98. So what you're saying is IL is actually higher than 98. Is that how do we guess this?
Ashish Goel: Yes. And when you look at the non-delinquent portfolio, where we say that our collection efficiency is in the range of 99.5, the individual loan collection efficiency for the non-delinquent bucket is higher than group loan as well.
Abhishek Murarka: Understood. So at the moment, you're not seeing any kind of increase in stress here?
Ashish Goel: No.
Abhishek Murarka: Got it. Second question is on the ability to increase disbursement yields. Now your bank just reported that they saw an increase in disbursement yield in housing, business loans, yields. Of course, you don't have yields. But in housing or business loans, are you seeing any opportunity to increase disbursement yields? Or do you think the market is too competitive and for you, it is not possible?
Sanjeev Nautiyal: We are in the tier 3 kind of markets. For yields, today are comparable to the yields that -- to the companies who are disbursing in tier 3 markets are offering. We are very competitive there. But any change in yield could only happen if we change our market or our customer segment, we don't see that happening in the immediate term.
Carol Furtado: Also in the micro mortgages section we have, the segment that we have introduced recently, that has a higher yield. So that sort of compensates for the higher yield overall.
Moderator: The next question is from the line of Saumil Shah from Paras Investments.

Saumil Shah: Last 3, 4 quarters, NPA numbers are gradually increasing. So I do understand these numbers are lowest among the industry, but still since it is increasing, can we know what would be your normalized NPA number going forward or maybe by the end of the financial year?
Ashish Goel: See, we have seen -- you look at it this way, we have almost 60% of the portfolio in markets

which are mature, which is West Bengal, Tamil Nadu, Karnataka, Bihar and Uttar Pradesh, and the sixth being Maharashtra. And this contributes to almost 60%. These markets are mature. We don't see an increase in NPA in these markets. The increase in NPA has happened from Punjab, Haryana, Gujarat, Kerala, Odisha and Rajasthan.

And we also see some 5 to 6 districts of TN, Southern districts where there has been an increase in NPA. So when you look at it from the overall portfolio perspective, we are currently at about 2.3%, 2.4%. We expect that this will peak out to about 2.7%, 2.8% by the end of this financial year and then starts showing the reducing trend.

Saumil Shah: Okay. At the max, it can go to 2.7%, 2.8% by the end of this year. Okay. And sir, my second question is on your guidance of 20% ROE for this year. So does that mean that it will be a flat year in terms of profit? Or do we expect some improvement in numbers?

Carol Furtado: So towards the latter half of the year, we will see some improvements in the numbers, and that's how we have also pegged our growth guidance.

Saumil Shah: Okay. Because last year, if I'm not wrong, we were on 27% ROE. And this year, you have guided for 20%.

Carol Furtado: Yes.

Ashish Goel: 27% was because we had come out of COVID, and there was a lot of recovery happening, there was a lot of disbursement happening. There was a filling up of the gap happening during that time. And therefore, increased disbursements and increased collections have given us a very high ROE of 27%. But this 27% is obviously not a sustainable number. So therefore, we are talking about a normalized number in the range of...

Moderator: The next question is from the line of Shreepal Doshi from Equirus

Securities.

Shreepal Doshi: My question was pertaining to PAR increase in the MSME segment. So if you look at it in the last couple of years, you've done a lot of homework in terms of getting things right in terms of product processes, policies, yet the PAR continues to be elevated for this segment. So which states or which districts are creating issues here? Just if you could throw some light on that front.

Ashish Goel: So our LAP portfolio, our MSME portfolio is largely the LAP portfolio, it's about INR1,400 crores, of which INR700 crores is the old portfolio and INR700 crores is something that we've built over the last 2 years. Our old portfolio has degrown from INR1,000 crores to INR700 crores in the last 2 years, and the new portfolio is showing an NPA of less than 1%. The PAR number, which you are referring to, was a slight increase for the month of April only. But in the month of May and June, we have been able to normalize those cases from bucket 1 and 3. So increase

in NPA is not happening for the old portfolio. It's stabilized now. The new portfolio is showing a much better asset quality. So the portfolio, we can say, is stable with no increase in NPA over the last 2 quarters, I would say.

Shreepal Doshi: Okay. Okay. The other bit was on micro individual loans, I think one of the earlier participant also touched upon that. So my question is, again, what is it that is giving us comfort? I understand that your underwriting process and so forth. But majority of these customers are transitioned from group loan to a micro individual, right?

And even when you acquire it from the outer market, these customers typically fall in the same category from the income perspective. So in that case, like since GL itself is showing such a high level of PAR across industry, is the thought process clear to be a little aggressive on this front? Or would we be a little prudent and cautious incrementally for the segment as well?

Vibhas Chandra: So yes. We covered this, but I would again reiterate that you are right. This is the way we used to think when we started IL long back, about 15 years back. But it's a high ticket sized product and it would be more risky compared to typical group loan, where there is a growth dynamic as well.

But what we have seen in our experience in the last 5 to 6 years, especially during demonetization and after that and during pandemic that IL behaved much better than GL and reason being if you have a base of 40 lakhs to 50 lakhs customer base in GL and you filter out cream of micro finance customers from there and give them IL loan, the chances of these customers behaving better is something which you also expect.

Second, you see in the group loan, the average number of loans per customer at industry level is close to 2.1 at this point of time. That means a customer takes 2 loans. And we have seen through our data that the customers who take higher loan, the affinity towards taking further loans from somewhere else goes down. And that also helps you in collecting -- have a better portfolio quality.

These customers, as I earlier mentioned that our IL process is just not an extension from GL to IL from the same team, but we have an independent business team and independent credit team who assesses these loans. And in these loans, even family members are involved. We also take co-borrowers, so husbands also get involved. And these all together ensure that our IL portfolio is robust and actually behaves a little bit as NGL.

We have a strong plan for IL to grow as we see a lot of upsell opportunity from GL customer to IL customer, and this is something which we'll continue to do. We have been able to grow over 40% for the last 2, 3 financial years. And this trend, you will see will continue in the coming years as well.
Shreepal Doshi: Got it. Got it. Just last question on the strategy front. So if you look

at in the -- like we had coined
this idea to get into the secured business 3, 4 years back, wherein at that time, we had thought that we have 50%, 50% secured and unsecured. But then during that time, there was a very strong momentum in the micro finance segment. Therefore, we didn't really aggressively bring

up the share of secured products. However, lately, we are seeing the micro finance segment issue, and therefore, the tilt towards secured product has seen decent traction. So will we continue to stick to that strategy of 40-60 now? Or if the micro finance landscape sees revival, then we will sort of moderate our aspiration to have the 60-40 ratio getting achieved in the said timeline?
Carol Furtado: We have initially said our guidance are up 60-40, 40 being the secured asset portfolio, and we continue to do it because we are seeing a good momentum happening even in the secured asset side. Our new business lines like the vehicle finance, the gold loans, micro mortgages are all seeing good growth potential, and it is growing. This is also including the affordable housing, the MSME now, which has got into a lot more segments, LAP, working capital, fintech partnerships, various things. So we will continue to grow this and also grow our micro finance portfolio.
This is a year where we have taken a cautious approach because of the industry situation. This will also continue to grow at a healthy pace. And even earlier, we had said that FY '26, we would have a 60-40 composition, and we will continue to stick to that.
Moderator: The next question is from the line of Pritesh Bumb from DAM Capital.
Pritesh Bumb: Just a couple of questions. First is on upgrades. So this quarter, the upgrades have been slightly better. Just wanted to check, do we first do slippages and then upgrade or the slippages will have upgrades during quarter?
Ashish Goel: We do slippages and upgrade separately. So any account which has slipped during the quarter is counted as slippages and subsequently, if it gets upgraded, it is counted as upgrade.
Pritesh Bumb: Sure. So this upgrade, which is slightly better, does this have anything to do from this quarter? Or these upgrades are bit older ones which have come in?
Ashish Goel: So these -- most of it is slippages on the previous quarters. If I were to take a break up, it's almost 85% to 90% is from previous quarter slippages.
Pritesh Bumb: Got it. Second question was on the FIG lending, we have been a little bit gango there. We've been growing that book quite decent. Given the situation in the MFI book is slightly cautious, how is the lending there happening? Is it to NBFC, which are in MFI? Or is it -- and how is the book performing there?
Ashish Goel: We have 95% of our book is A- and above rated corporates. And we see that this trend will probably continue for some time. And we had set ourselves -- 5% to 7% of BBB and below. So we've seen that growth happening in A- and above rated corporates. And that gives us confidence that since there is demand on that side, this growth will continue. Most of our growth is coming from vehicle finance and MSME NBFCs. Some of it has also come from gold loans. In micro finance, I think our exposure is about 12% to 13%.
Carol Furtado: 12%. So we have various segments, and we continue to do well in that portfolio.

Pritesh Bumb: Got it. Last question was on the ticket sizes of the micro finance and indivdual loans. Generally, they fall when you have a slightly higher -- new customer acquisition. And from the graph of new customer acquisition, it's generally down. So what has led to the ticket size being lower from a quarterly perspective?
Ashish Goel: So yes, you are right, that if you do more and in first cycle your ticket sizes are lower. So your average ticket size will go down. At this point of time,

as you know, that for the last 3 or, say,
from December onwards, we have been cautious in locations where we are seeing some stress, not necessarily within Ujjivan customer segment, but at industry level. And we have fine-tuned our credit policies so that our book is protected. And for that reason, we have also ensured that ticket size, wherever it requires to be trimmed down, we have trimmed down also, we will include slightly lower ticket size at this point of time.
Pritesh Bumb: Just to clarify, the existing customers have been given a lower ticket size than the earlier cycle, that's how we'll have to look at it?

Ashish Goel: No, no. You -- when you repeat cycle loans, you give cycle loans to customers from previous cycle, if you're giving higher ticket size loans also our same level as well. But there are a lot of customers who go from first cycle to second cycle also. So these customers, if you are -- if you start giving in certain locations slightly lower ticket size, you are moving from first to second. But average will go down. So that will even do little lower average ticket size, which is showing here.
It's not the question of giving lower or highest processing ticket size per cycle, a ticket size is based on customer family income and their coheir. So it can't go up, go low or can remain constant based on customer family level income.
Moderator: The next question is from the line of Ayush Wimal from Clearview Capital. Due to no response from the current participant, we will move on to the next participant.
The next question is from the line of Shreyans Jain from Electrum PMS.
Shreyans Jain: I just have 2 questions. We have seen the growth slowdown in Bihar and UP after the RBI comments. So like what is the impact of that? Would you see them communicating from them? Or is it just broad observations? And like what are we doing about it?
Ashish Goel: So in Bihar, we have a growth of 0.5% over March '24. We have about INR1,800 crores of portfolio and 9% concentration in the state. Our portfolio is doing quite well there. PAR has remained in the range of 1.5% to 2%. Nondelinquent collection efficiency has been in the range of 99.7.
The state has tremendous potential, it has now the larger for micro finance for all lenders put together. We continue to grow at a healthy pace, not at a very fast pace. And we expect that this year, we will end up in the range of about 10% kind of a growth. The second you mentioned was UP. UP, we have had a flat 7% kind of concentration of our portfolio in that state. In UP, as we had told earlier, there are areas in which we found delinquencies going up. We have Agra,

Firozabad, Aligarh belts and after. So there are some 4 or 5 districts where we have slowed down. In other districts, we have not seen an increase in the PAR or NPA. So we'll continue to be doing business as usual in other states in 5 -- sorry, on other districts, in 5 districts, we have slowed down.
Shreyans Jain: Okay. Got it. And you mentioned something about like 60% in mature markets. Like can you just repeat those states in which you have mature book? And the other states wherein that is mature, like Punjab, Haryana. Can you just repeat those?
Ashish Goel: So we talk about Tamil Nadu, Karnataka in South; Bihar and UP in North; West Bengal in East and Maharashtra in West as states which have matured and have shown consistent portfolio quality over many years now. So this is where we said earlier, we have seen very small pockets of stress. And the emerging markets have seen deterioration in asset quality.
Moderator: The next question is from the line of Yash Dantewadia from Dante Equity.
Yash Dantewadia: So if we assume that Ujjivan applies for the universal banking license and that does go through, what is the kind of ROE improvement you're kind of factoring in?
Ashish Goel: No, I think this issue is not is not ge

rmane at this point in time because we'll be applying -- say, in this financial year, we'll have to take stock of how we design our process. We are in discussions as to what our portfolio mix would be, which segment we would like to give a thrust more. So those are all matters of internal discussions. And therefore, once we decide the proportions of different businesses in different years that we will do, we'll actually -- then will be the outcome of ROE and other factors coming into play. So at this point in time, we're not in a position to communicate this.
Yash Dantewadia: Could you comment more on Kerala, specifically Kerala and Tamil Nadu? Because these are like the most matured micro finance markets in India, I believe. Could you comment on how they're doing right now? You know the first half of quarter 2, how has the collections been?
Ashish Goel: So w\we have about INR400 crores of portfolio in Kerala. That's about 2% concentration for the State of Kerala in our portfolio. As a strategy, we had started reducing our exposure there. And therefore, quarter-on-quarter, we have seen a degrowth of [inaudible 46:36]. Our PAR is upwards of 5% there. So therefore, we continue to be a little cautious in the state. We are present in about 9 districts, and we hope to see improvement in the second half of the year. As of now, the portfolio has not shown much improvement over the last 2 quarters.
Yash Dantewadia: Could you give some guidance on the branch -- sorry, you were saying something?
Ashish Goel: So we are present in 9 district, 14 branches. That is what I was saying.
Yash Dantewadia: Yes. And what about Tamil Nadu?
Ashish Goel: In Tamil Nadu, we have about INR2,800 crores, that's about 14% of the portfolio in the State of Tamil Nadu. Our collection efficiency in the nondelinquent buckets has been 99.4% consistently

in the last 3 months. And we're present -- our spread is very good. We are present in 33 districts. MP is in the range of 2% to 2.4%.

And while we have seen some slowdown in disbursements, but this is attributed to about 6 districts, which is Virudhunagar, Madurai, Coimbatore, Tirunelveli to Tenkasi. So 5 or 6 districts in the Southern part of the TN is where we have seen some slowdown in disbursements. As the market conditions start to improve, we will start to grow our portfolio again. But at this point in time, we are really cautious in the 5, 6 districts.

Moderator: The next question is from the line of Ayush Vimal from Clearview Capital.

Ayush Vimal: I just have 2 questions. You alluded to certain disturbances occurring in quarter 3 and quarter 4 of last year in the micro finance segment. Can you elaborate a little on the right reasons for these differences? Were this general overrating of the market or some state-specific issues that arose?

Ashish Goel: So in the states of Punjab and Haryana, there were some -- there was some Karj Mukti Abhiyan which was running. And that led to a lot of people believing that they will not pay the loans, and a lot of people have actually enrolled in that Abhiyan. That spoiled the credit culture and the industry as a whole suffered. We have seen the numbers of the industry also, they seem to be in double-digit PAR.

So consequently, we also had similar experience in the states of Punjab and Haryana. In Gujarat, which is the other state that we mentioned, there was an increase in the number of lenders in the last 2 years. And there, we would say that there was some kind of overlending. And so therefore, we became cautious in the third and fourth quarter of last financial year. Our portfolio is now stable. We have about 6% concentration in the State of Gujarat. And PAR is now stable. We don't see the PAR and NPA growing. It was 20 basis points over March '24.

Ayush Vimal: Got it. Got it. And what about Kerala, UP, Bihar, some of these states?

Ashish Goel: So Kerala as I was saying, we have about 2% of portfolio. We have degrown about 6% quarter-on-quarter in Kerala because we have been a little cautious in disbursements in the State of Kerala. We are present in about 9 districts. Our experience is similar to the industry's experience, where the NPAs have grown in the last 2 or 3 quarters consistently. So we continue to be cautious there, we kind of slowed down disbursements.

Ayush Vimal: Got it. And just one question. Sorry, you were saying something?

Ashish Goel: We have in Bihar just 2 districts where we have seen higher PAR, and we will be about 5 or 6 districts. But otherwise, it is business as usual in both the districts -- in both the states, I'm sorry.

Ayush Vimal: Got it. So besides Punjab and Haryana where there was this Abhiyan that was running, most of the other states are suffering from a normal overlending issue that keeps on happening once in a while, right?

Ashish Goel: Gujarat, I would say, yes, and Kerala, yes. But other states have not seen those overlending issues. Kerala, we would say, yes. In Gujarat, there were some -- too many players, and therefore,

that led to oversupply. So if you -- there are 2 issues. One is that the local political level issue in pharma within [Mukti Morcha] and all. But Punjab, Haryana and some part of Rajasthan was affected. But there also we are seeing -- especially after election, things are improving. And Punjab and Haryana, both of the states are doing much better than previous quarter.

At the same time, if you see how one of the things that has helped us during this crisis and previous crisis also your branching strategy and our customer selection process. If you compare our Ujjivan PAR versus industry PAR, as of March number, which is available, our PAR is close to 6.5% versus the industry PAR which is at 20%. A similar story you will see in Gujarat and Kerala as well. So that has helped us. The banking strategy has definitely helped us.

Kerala, we were aware that this is a state where we don't want to expand 3, 4 years back only, and we have restricted our number of branches in the state. But you're right, there is issues related to not to overlending but something else, which is temporary in nature. As far as overlending is concerned, it is not something which will get solved in one month. Good news is that it has come up with the guidelines, which will help us curb overlending. And as 87% of the industry is registered with Mfin, we are hopeful that in coming 3 to 6 months, the issue that is pertaining in the state will truly go away.

And also, we are paying state, this is not entire state. For example, there are certain locations where we are facing issues, the industry also facing issues. Similarly, other states also, there are particular districts where we are facing issue. And that will also fade away as we move it in the financial year, especially after the advent of new guardrails from [inaudible 0:53:29].

Ayush Vimal: Got it. Got it. Also one more thing, you expressed confidence in the fact that your asset quality will be much better than some of your peers. What gives you the source of the -- I mean, what is the source of this confidence? I mean, are systems or incentives very different for our loan officers versus other peers? Or what makes you -- or what gives you the edge to maintain asset quality better over some of your peers?

Ashish Goel: Actually, the state that we were referring -- having a discussion on same topic during analyst call also. Actually, everything starts from branch selection. How do you select your working area, where do you want to open a branch and work because if you see, most of the overrated locations not only now, but in the previous crisis also, it happened because most of the players went to the same location and started micro finance. And as a result, you overcrowd the location. So there are

a lot of white spaces available where you can go have branches there and serve customers who are unserved or underserved. So banking strategy is very important, and that's what I was saying in Punjab, Haryana, Kerala, et cetera, it has helped us.

Second, after that, I think independent credit team is something which is very, very unique with us, which we had from day 1 when we started micro finance in Ujjivan. And that helps you because your decisioning becomes much more logical because we're a very independent team who is also assessing loans.

Third, what we have learned, especially after demonetizing ahead is something how to build a collection team, which is specially catered, specially designed for micro finance customer segment, which is very, very sensitive. So these 3 combined help us and so far has helped us, and we have confidence that this will also help us. Yes. And at the same time, as we are -- right now, as we are talking about the states, we have also categorized our branch into different categories.

For example, as you talked about the customer -- loan officer case load and their work efficiency, in these 3 categories, red, orange and green, we have different productivity expectations so that our team members can unlock their time so that our collection and our book remains intact and then we slowly build on business. So we have a strategy around it. We have tested it during the pandemic and demonetization and we have been very, very successful. We were one of the first who came out successfully after the crisis. And this time also, we are seeing that this thing is working for us, and we have started seeing some green shoots as well.

Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Sanjeev Nautiyal for closing comments.

Sanjeev Nautiyal: Thank you, Sejal, and thank you for all the participants on the con call for a very meaningful and quite expressive interaction that we had. I would just like to conclude by saying and reiterating that we are looking for this financial year to grow our outstandings by 20%, to maintain a 20% return on equity, 9% NIM, credit costs within 1.70 percentages, exercising due control on the costs, increasing our secured book to around 35% by the end of this financial year, and looking to actively go for a Universal Bank license within this financial year.

So in brief, I would say that these are the points that we would be focusing on to build outcomes which are good for the bank and good for all the stakeholders. Thank you so much.

Moderator: On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

USFB/CS/SE/202 4-25/88
Date: October 28, 2024

To,

National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

Symbol: UJJIVANSFB BSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 542904

Dear Sir/Madam,
Sub: Transcript of the Quarterly Earnings Call held on October 24, 2024
Pursuant to Regulation 30 o f SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnin gs/quarterly conference c all held on October 24, 2024 for the quarter ended September 30, 202 4 is enclosed herewith.
The same shall be available on the Bank's website at www.ujjivansfb.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED

Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework

Encl: as mentioned above

Page 1 of 19

"Ujjivan Small Finance Bank Q2 FY25 Earnings
Conference Call "

October 24, 2024

MANAGEMENT : MR. SANJEEV NAUTIYAL - MD & CEO, UJJIVAN
SMALL FINANCE BANK
MS. CAROL FURTADO - EXECUTIVE DIRECTOR ,
UJJIVAN SMALL FINANCE BANK
MR. MARTIN P.S. - CHIEF OPERATING OFFICER ,
UJJIVAN SMALL FINANCE BANK
MR. ASHISH GOEL - CHIEF CREDIT OFFICER , UJJIVAN
SMALL FINANCE BANK
MR. VIBHAS CHANDRA - HEAD OF MICRO BANKING ,

UJJIVAN SMALL FINANCE BANK
MR. BARUN AGARWAL - DEPUTY CFO, UJJIVAN
SMALL FINANCE BANK
MODERATORS : MR. RIKIN SHAH - IIFL SECURITIES LIMITED

Moderator : Ladies and gentlemen, g ood day and welcome to Ujjivan Small Finance Bank Q2 FY25 earnings conference call hosted by IIFL Securities Limited.
As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Riki n Shah from IIFL Securities Limited. Thank you, and over to you, sir.
Rikin Shah: Thank you, Neha. Good evening and a very warm welcome to Ujjivan Small Finance Bank 2Q FY25 Results Call.
To discuss the business strategy and outlook post the results, we have the entire management team of Ujjivan Small Finance Bank .
The Management Team is represented by Mr. Sanjeev Nautiyal – MD and CEO ; Ms. Carol Furtado – Executive Director ; Mr. Martin P.S. – Chief Operating Officer ; Mr. Ashish Go el – Chief Credit Officer ; Mr. Vibhas Chandra – Head (Micro Banking) and Mr. Barun Agarwal – Deputy CFO.
With that, over to you Mr. Nautiyal for your opening remarks.
Sanjeev Nautiyal: Thank you so much. Good evening and welcome to our Q2 FY25 Earnings Call.
Total disbursements dur ing the quarter were at Rs. 5,376 crores, slightly better than Q1 FY25, up 2% Q oQ, but lower with respect to Q2 FY24, that is down 6% Y oY. This resulted into loan book growth of 14% Y oY and marginal 1% Q oQ at Rs. 30,344 crore s as of September ‘24. Q2 FY25 has been a relatively slow quarter compared to previous ones. This was an outcome of expected reduction in business volumes due to implementation of MFin guardrails and our heightened caution around the microfinance segment. W hile growth might be visibly slow on the overall book, performance remained robust in the secured portfolio.
Affordable housing business, our second largest asset vertical disbursed Rs.758 crore s during the quarter, higher by 40% Y oY and 70% Q oQ. This made the affordable housing and micro - mortgages book grow to Rs. 5,784 crore s as of September 24, adding a book of Rs. 585 crore s versus June 24 and registering a book growth of 43% Y oY. Systematic group marketing activities across regions, penetrating deeper in select markets with better per capita income, stronger ground team, better connect with customers, and diligent customer retention plan have added to improve business. Micro -mortgages portfolio, a part of housing portfolio, continues to grow stronger wi th each quarter. This is approximately Rs. 400 crore s book now as we speak from Rs. 76 crores in September ‘23 . Customer , branch, and staff referrals added an edge to the

business growth. Around 60% plus of the overall disbursements in micro mortgages happ ened via referrals.
MSME business has now stabilized with all its products, policies, and systems in place. Disbursements have picked up and will continue to see an uptrend Q oQ.During Q2 FY25. MSME vertical dis burse d Rs. 216 crores versus Rs. 130 crore s in Q1 FY25. This resulted in achievement of a book of Rs. 1,514 crore s up 5% Y oY/7% Q oQ, adding Rs. 100 crore s of incremental book in H1 FY25. To further strengthen the product suite, we have introduced Elite LAP product in addition to the base LAP offering, and this is helping in increased business volumes. In Q2, we also launched Bank guarantees and the working capital term loan variant, making our working capital offerings comprehensive and full stack. Apart from growing the book, our focus is als o in managing asset quality of this portfolio. Our revised MSME strategy has resulted in a better quality, growth, mix and health of the portfolio.
Our FIG book as on September 24 wa

s Rs. 2,042 crore s contributing 7% to the total asset book.
This book gre w by 57% Y oY and 13% Q oQ and continues to scale as per the strategy of increasing the secured book of the bank.
Vehicle Finance streamlined its business process and strengthened infrastructure in the last quarter and made full use of the upgraded capabili ties during Q2 FY25, disbursing Rs. 82 crores leading to a book of Rs. 262 crores up 105% Y oY and 20% Q oQ. The team is poised well to

drive higher business in the upcoming festive months by capitalizing on upgraded technological enablements , dealer tie ups, partnerships, offering competitive rates and better utilizing cross - sell avenues. Similarly, Gold loan business has expanded well, currently being offered from 162 branches across the country and targeting to cover over 200 branches by end of next quarter. Disbursements have been rising incrementally month -on-month and over 40% of the monthly businesses coming from referrals. This has led to a book of Rs. 62 crore s growing over 100% QoQ. Going ahead, special focus will be on process enhancements an d introducing products and features to better serve our customers.

Our secured portfolio as at September 24 is 34.9% of the total book. The strong growth in the secured book has led to a faster progression towards 60 %-40% unsecured -secured book mix. We ant icipate that secured book will reach around 40% by end of this financial year. Bank has always followed a risk -calibrated approach. In order to de -risk the portfolio, we had diversified our product suite and continued to make steady progress by offering re levant products to our customer segment. In the last 18 months, we have introduced products like micro -mortgages, gold loans, two-wheeler loans, agri and working capital SME Loans. And it's good to see that these five products alone now contribute 6% of th e quarterly disbursements in Q2 FY 25 v s 4% in Q1 FY 25. With this portfolio growing 29% Q oQ and 3X YoY.

Let me now come to microfinance :

As mentioned in our Q1 Earnings Call, the microfinance segment has seen some challenges, and the situation continues to evolve for the FY ‘2 5. This is our current understanding. We believe

that business revival on a reasonable estimate will only be visible from Q4 FY25 onwards at the earliest. To steer through this, we have devised a prudent a pproach and restricted disbursements to New to Credit (NTC), and stop new customer acquisition in problematic clusters of some states.

We have cautiously acquired only 1.5 lakh new group loans and individual loan customers during the quarter, who had demonstrated better credit behavior. Our approach during this quarter was serving good quality repeat customers.

Additionally, we have also introduced stringent norms for

- New-to-bank customers with 3 existing MFI lenders, 1.5 lakh MFI exposure for all new-to-bank sourcing.
- Pinco de/center wise decisioning for repeat loan and top -up loan is in place.
- We continue focusing on the graduation of good customers from group loans to individual loans. (Around 90% of the overall individual loan book is from this migration).

Due to these factors, we will continue to see a degrowth in our group loan portfolio for this year, which will weigh down our overall portfolio growth. We have enhanced our focus on building the individual loan portfolio which continues to show much better health and prospects. We will strive to achieve the lost ground to some extent from our individual loan segment and other businesses.

Coming to liability business :

The total deposits grew on a strong retail footing to Rs. 34,070 crores, up 17% Y oY and 5% QoQ. Retail deposits at Rs. 24,746 crore s now constitute 73% of the total deposits having grown 32% over September ‘23 .

Our deposit strategy emphasizes on increasing the wallet share of existing cu

stomers, along with quality acquisition of new customers thro ugh a mix of physical and digital reach. Focus on providing solution -based approach continues, and accordingly, we have created the products and features which are relevant for the segment, like introducing non -resident Maxima in Q2 FY25, a variant of Maxi ma account launched last year. We also introduced Navratna family program focused towards H NI customers and their families. We are targeting relationship management to ensure that at least three to four products /services are added to each customer. This ha s also added to improvement in ticket sizes and stickiness of the customers.

CASA Book at Rs. 8,832 crore s now forms 25.9% of total deposit book , is up 26% Y oY and 6% QOQ. Value -add products are showing healthy traction. Maxima SB book stands at Rs. 1,323 crore s with 21,000 plus accounts as on Sep ’24 with average ticket size of Rs. 6.17 lakhs. Our strategy is to keep enhancing our offerings. In line with this, we had applied for AD -1 license and I am happy to share that we received the RBI approval and secure the license earlier during the month. This will enable us to offer full -fledged bouquet of products and services, like engaging in retail foreign currency deposits, remittances, currency exchange . We shall also engage in foreign currency transactions, borrowings, and in trade finance offerings. This will

lead to an incremental avenue of other income, aiding our P&L and also widening of our MSME product offerings.
On asset quality, as mentioned ear lier, we are observ ing stress in the microfinance segment, due to which our PAR has increased to 5.1% in September 24 v s 4.2% in June 24. PAR 0 for our group loan portfolio has increased to 5.5% in September 24 versus 4.1% in June 24. In Q2 FY25, we have s een credit cost of Rs. 1 51 crore s vs 110 crore s in Q1 FY25. Due to this, we anticipate full year credit cost may now be around 2.3% to 2.5%. We are strongly monitoring our portfolio quality . GNPA /NNPA as on September 24 stands at 2.5% /0.6%. Slippages for Q2 FY25 were at Rs. 243 crores v s Rs. 192 crores in Q1 FY25.
During Q2, s lippages in the microfinance book are at 0.99 %, while in secured book, the slippages remain steady at 0.4 0% for the quarter, same as in Q1 FY25. We have written off Rs. 140 crore s during the quarter. We continue to focus on collections and have ramped up the collection team by adding over 300 personnel during the quarter, taking the count to 2,200 +. Bad debt recovery continues. Rs. 25 crore s was recovered in Q2 FY25. Our target is to collect over Rs. 100 crore s this year.
On financials and margins, the NIM for the quarter is 9. 2%. Yields on the overall portfolio have declined marginally due to the growing mix of secured portfolio. We are likely to see further compression as secured book will continue to grow at a faster pace. Cost of funds for Q2 FY25 at 7.5 % remains at similar levels v s last quarter, going to focused approach on growing retail deposits. Operating cost for the bank is a key monitorable. Cost to in come ratio for the quarter ended at 60%. Our objective is to keep this in control in the upcoming quarters. PAT for the quarter was Rs. 233 crores and subsequently ROA and ROE for Q2 FY25 is 2.2% and 15.7 % respectively. Similar softness and return ratios w ill be visible for the full year, FY '25. However, we are very confident that once the microfinance business springs back into a growth trajectory, ROE of 18 % to 20% is achievable for next year FY '25-26.
Last but not the least, I will want to highlight my key areas of focus for the coming quarters. Microfinance is the largest portfolio for the bank. We shall continue to do well in this segment once situation normalizes. Profitably expand the non -microfinance secure d portfolio.
A) we are giving heightened foc

us to growing the MSME book. Green shoots are visible in our portfolio, and we are confident that MSME book will do very well.
B) scale up vehicle finance, gold loan, and agribusinesses.
C) continue to expand our housing loan and micro mortgages portfolio.
D) our objective is to make the bank a retail deposit franchise with continued focus on growing CASA, Ujjivan will see stronger growth in this business ahead.
E) Lastly , on the other income, we will garner avenues to enhance our other income. Special focus w ill be on product services. Just as we added AD -1 license, we also will be adding mutual fund distribution and ASBA facility during this financial year in addition to other insurance product offerings.
I end here and handover to the Moderator , Mr. Shah. Th ank you. Over to you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Raj iv Mehta from YES Securities. Please go ahead.
Rajiv Mehta: Sir, your credit cost guidance of 2.3 % to 2.5 % implies maybe further worsening of trends in Q3 and then even elevated provisioning continuing in Q4. So, have we seen absolutely no improvement in October in terms of collection efficiencies in the NDA account? And if you can also give more color on the microfinance portfolio in terms of what percentage of portfolio would be borrowers having, 4 plus loans and indebtedness of more than 2 lakhs. And then what percentage of this pool is already in SMA and NPA ?
Ashish Goel : In Q2, our non-delinquent portfolio, which is the regular portfolio, saw a collection efficiency of 99.23 %. And in October, the first few days, there were holidays. But we are seeing a much better NPA collection efficiency in the month of October compared to the mont h of September. Of course, there are about seven days for the month to end. But the initial trends of the first three weeks are much better than the month of September. So, we are seeing improving collection efficiency. And we hope that in this quarter, ou r collection efficiency in the non -delinquent portfolio will reach back to Q1 levels. Your second questions, so we have about 7% of our borrowers in 4 plus lenders. And the slippages on that was higher than the borrowers with one, two, or three lenders. Th e overall slippages from there is about 4% or 5% higher than the regular ones. I will just give you the right numbers on that.
Rajiv Mehta: And the second question is on, has there been any change in the write -off policy which led to

higher write -offs? And what is the reason behind reduction in tier one capital in this quarter?
Ashish Goel : There has been no change in the write -off policy. However, we have written off about Rs. 50 crores of our Assam portfolio, which was NPA since 2019 , that is about Rs. 50 odd crores and that is, you know, we were carrying that as a NPA portfolio not written off. That is one additional write -off that we have done during this quarter.
Barun Agarwal : We have paid dividend during the quarter that has resulted into a dip in the capital adequacy ratio of Rs. 290 crores .
Ashish Goel: The question on slippages, about 10% of our slippages comes from 4 plus lenders. So, the contribution is 7%, and the slippages are about 10%.
Moderator: Thank you. The next question is from the line of Renish from ICICI Securities Limi ted. Please go ahead .
Renish: Just two questions from my side. So, let's say on the individual loan side, we have been g rowing this book a quite aggressively since past many quarters. And as you rightly said, 90% of these customers are actually migrated cu stomers from the JLG book. So, what are the current trends

in debt book, and do you foresee asset quality sort of worsening in debt book also

in the second
half?
Ashish Goel : When we were taking precautionary measures during the first and second quarters of this financial year, we also slowed down the growth of our individual loan portfolio. The group loan to individual loan migration is about 90%, as rightly mentioned. So, the slippages and the NPA of individual loan is much better than the group loan portfolio. So, the impact has been largely on the group loan portfolio. If we look at the September numbers, IL GNPA is below 2%. And that gives us a lot of comfort that the IL por tfolio can be grown much more comforta bly. And therefore, we continue to focus on that portfolio.
Renish: And would it be possible to share a similar data point for IL book customers as well, like customers with more than 3-4 lenders ?
Ashish Goel : In IL , these customers have mostly relationships with Ujjivan. However, we can come back to you whether our customers also have loans outside, if that is what you're referring to.
Renish: Yes.
Ashish Goel : Okay, we can come back to you on that.
Renish: And secondly, on this credit cost guidance, we have been saying that for the full year our credit cost will remain 2.3 % to 2.5 %. And when we look at the first half trend, it is broadly 1.7 %-1.8% type. So, which naturally means that second half will be more elevated, maybe 2.7%-2.8% type. And when we look at the collection numbers, or even in your opening remarks, you are highlighting that our collections are better. So, actually I am not able to connect the dots. At one end, we are saying things are improving. And on the other hand, we are increasing the credit cost guidance .
Ashish Goel : Credit cost typically comes with a 90 to 180 day s lag from the date when a customer has gone into delinquency. So, what we were referring to is an improved collection in the non -delinquent portfolio. However, we have seen 99.23% of non -delinquent collection efficiency in Q2. When these customers get into 60, 90, 180 DPD , that is where the credit c ost will start to pick up for this set of customers. So, for Q2, whatever has moved into delinquency, the credit cost would be an outcome of that number .
Renish: Then this collection efficiency has no meaning, right? Because it is ex-bucket collection. So, why can't we start giving ex-arrear collection as well?
Ashish Goel : Ex plus arrear collection is 106% .
Renish: No, I am saying collection excluding arrears .
Ashish Goel : You are talking about non -delinquent plus the delinquen t fee?

Renish: Correct.
Ashish Goel : That is 97 %.
Renish: But that includes overdue collection as well, right?
Ashish Goel : That includes overdue collection, that is right.
Renish: Yes, so I am saying excluding overdue collection.
Ashish Goel : The way we measure our collection efficiency, and this is what we have been putting up on our deck as well, is we have non -delinquent portfolio collection efficiency, which we mentioned in 99.23 %. And overall collection, which is due v s collection, at 97%. The additional collection, which could be prepayments or others, that's a separate number . Including that the number goes up to 106 %.

Moderator: Thank you. The next question is from the line of Ashlesh Sonje from Kotak Securities Limited. Please go ahead.
Ashl esh Sonje : Firstly, on the MFI book, just wanted to get a sense what proportion of the overall MFI portfolio of Rs.193 billion which you have, what proportion would be outside the scope of the MF in guardrails ?
Ashish Goel : So, we have about 7% of borrowers who have 4 plus relationships. So, this translates to 93% which have 3 and below.
Ashlesh Sonje: But would you need to abide by those guardrails for the full 100% of your portfolio? Because some of these borrowers might have incomes, let's say above Rs. 3 lakh s. So, technically they won't qualify as microfinan

ce from a technical definition perspective, and you might not have to abide by the M Fin guardrails for that set of customers ?
Vibhas Chandra : We have customers with family level income is more than 30,000. And yes, you are right, technically we don't need to abide by the M Fin guardrails, but we decided that we will go ahead with that. Earlier also we were using it, and after implementing the guardrail, and our own guardrail is actually stricter than M Fin's guardrail, which is implemented for both customers having less than 25,000 income and more than 25,000 income as well.
Ashlesh Sonje: Secondly, you mentioned the slippage number for the quarter at roug hly, I think Rs. 190 crores if I back calculate based on the number you have given. Firstly, is that correct? And also, can you give a corresponding number for the previous quarter? The MFI slippage number ?
Ashish Goel : So, it was Rs.192 crores for the previous quarter and Rs.243 crores for this quarter.
Ashlesh Sonje: Just one clarification. You mentioned a number of 7% borrowers who are 4 plus. So, that is 5 or above, right? 5 or more lenders, right?

Ashish Goel : 4 and above.
Ashlesh Sonje: That includes 4 as well?
Ashish Goel : Yes, it includes 4.
Ashlesh Sonje: Okay but the MFin guardrail still allows 4 lenders right?
Vibhas Chandra : Yes.
Ashlesh Sonje: Would you have a number for borrowers ?
Vibhas Chandra : It's around 7% number that we're seeing , it is 4 and above. This includes 4 also.
Ashlesh Sonje: Would you have a proportion of borrowers who are associated with 5 or more lenders because that actually would be the ineligible set of borrowers, right?
Carol Furtado: We are a little a ggressive on that and that's the reason why we count 4 and above.
Ashish Goel : So, we don't have 5 and above as of now. We have been only working with 4 and above because that is something that is the reason for us to worry. Five and above is anyway out of the consideration set.
Moderator: Thank you. The next question is from the line of Shailesh Ka nani from Centrum Broking Limited . Please go ahead.
Shailesh Kanani: Just one question on the miscellaneous income side, there seems to be a Q oQ a sharp jump . So, wanted to understand and get some color , what is the reason for this jump up and because in the comments say and in the PPT it's foreclosure, late payment and other charges. So, how sustainable it is, just wanted to understand that ?
Barun Agarwal : Yes, we have introduced new MAB charges for customers in quarter one that has resulted to the spike by Rs. 12 crores in the miscellaneous income. There's a quarter -on-quarter spike is Rs. 12 crores.
Shailesh Kanani: Sir, I didn't understood. Which charges, you said?
Barun Agarwal : MAB, minimum account balance charges. Non-maintenance of MAB charges.
Shailesh Kanani: So, it is quite sustainable, that is what you're saying?
Carol Furtado: Yes, we will continue charging customers who do not maintain their minimum balance in their accounts.

Vibhas Chandra : Obviously, because this maintena nce charges were not there , and we introduced some time in last year and we gave some time and after that we introduced, and charges came in. But with time it will little go down because starts maintaining balance. So, the numbers will slowly decline but it will still be there in ev ery quarter.
Shailesh Kanani: Second question would be on micro mortgage s. We have a decent exposure over there and that book is also ramping up. So, any overlap between two products, MFI and micro mortgages what we have in our portfolio ? And any issues in terms of asset quality over there ?
Ashish Goel : We built a book of Rs. 300 crores over the last 18 months. About 50% of this book comes from

individual loan customers who graduate to mi

cro mortgages. In this book, we have not allowed new to credit. In fact, new to credit is only 1%. Everybody else has a history, a bureau history. And the bureau cutoffs are quite high. As of today, we see on -time repayment of 99.5% and full month repayment of almost 100%. In fact, only 9 or 10 customers out of 8,000 cust omers are in delinquency. So, we are maintaining this very tight monitoring on this portfolio.

Shailesh Kanani: Just last question from my side. So, can you just reiterate the revised guidance if you can? Because last time we have given guidance of growth of around 20% , similar growth for deposits and we have already revised the credit growth guidance. How about ROE, if you can share those three numbers ?

Sanjeev Nautiyal : So, actually, on the business side, we are saying that our secured portfolio will grow by 40 % plus. Our individual loan in the microfinance book would grow by 17% for the full year. We are not penciling on the microfinance group loan growth or degrowth, because we feel that it is still ambiguous , clarity is still not there. So, we refrain f rom you know giving you guidance on that and therefore the return on equity is going to soften as you would have seen in the results that we have shown for the half year and again this will be subject to how bounce back we see in the group loan business th at will actually decide where we actually zero in. So, on the business side, this is what we say, the credit cost we have already set 2.3 % to 2.5%. Secured book would be around 40 % to 42 %.

Moderator: Thank you. The next question is from the line of Somil Shah from Paras Investment. Please go ahead.

Somil Shah: Is there any update on the Universal Banking License?

Sanjeev Nautiyal : This matter is under active consideration and once we do that, we would announce it and let you know about it.

Somil Shah : Can we expect it in this quarter ?

Sanjeev Nautiyal : It's work in progress. This financial year seems likely.

Somil Shah: And sir, we do have a floating provision of Rs. 250 crores. So, why are we not utilizing it to reduce our NPA?

Ashish Goel : The floating provision can be utilized only in extraordinary circumstances with prior approval of RBI. And therefore , when we took the floating provision, we have taken it for an event which is unforeseen, something like a pandemic or something which disturbs the portfolio quality. We don't use it on a normal basis. Currently, we have utilized it only for PCR computation and NNPA computation. And we still have Rs. 100 crores of unutilized floating provision. We will keep it at this level and as and when require d we will use it.

Somil Shah: Last q uestion from my side. So, in the first half, our loan book has grown by a mere 2%. So, now what can we expect to close this loan book by the end of this year?

Sanjeev Nautiyal : I think I just now highlighted how the book is going to pan out. Secured book overall, which is gold loan, vehicle loan, housing loan, micro mortgages, MSME, and agriculture, that will grow by 40 plus percentages, more than 40% for the full year. Individual loan in the microfinance book will grow b y 17% for the full year. We are not announcing anything on the group loan side in the microfinance book, because we find that the situation is still very fluid and evolving. And therefore, that number we frame from zeroing in, and the other parts is as I just now suggested to you.

Moderator: Thank you. The next question is from the line of Jay Prakash from L&T India. Please go ahead.

Jay Prakash: I have two questions. Like you said that you have stopped business in most of the cluster s where the business has impacted and which strategy you are following there for collection ?

Ashish Goel : We have some branches which we call stressed branches. And in those branches, we have put restrictions

on growth. And these restrictions on growth are not acquiring new customers, not acquiring new to bank , new to credit customers. As and when we find that customers are showing some signs of delinquency, not giving them repeat loans , no top ups etc. So, these are the kind of restrictions we have put for branches which are showing higher signs of stress.

Vibhas Chandra : If I heard you right, we have not stopped business anywhere. Repeat customers, we have over 40 lakhs borrowers. And at this point of time, in turbulent time als o, over 81 customers are paying on time, on date. And they have good eligibility in repeat loans. So, we are serving our existing customers to repeat loans and graduating them to IL .

Jay Prakash: May I know the clusters and which locations are majorly impa cted among the states ?

Ashish Goel : Okay, this is actually done at branch level. So, we have branches which we find, as I was referring , that these are stressed branches. And that is where we have put restrictions on new acquisitions as well as servicing customers with higher loan sizes or showing signs of stress. So, this is across all states. There could be some branches in Western UP, some in Kerala, some in

Gujarat, some in Tamil Nadu, and some in Punjab and Haryana, spread across 5 or 6 states .

Vibhas Chandra: So, just to clarify, once again, we have not stopped business anywhere. We have large number of customers in each branches. We are serving customers, existing customers with repeat load and other products.
Sanjeev Nautiyal : The restriction is only for the kind of customers that we do not want to onboard. Otherwise, the disbursements for the welcome kind of custom ers is still going on.
Jay Prakash: The second question is that you told that you have something done at pincode level to understanding the opportunity, right? So, whether there is any kind of call s like scorecard at pincode level you have been implemented?
Vibhas Chandra : This is something which is old practice. It is not something new that we have developed during this or trying to do during this turbulent time. This we are doing for years, I think starting from demonetization period, where we not only during the branch opening, we understand the pincode information to understand the credit behavior, but also we do it periodically for all branches we are operating and the pincodes we are operating. And based on the performance of the pincode, we fine tune our credit policy for each branch.
Jay Prakash: But have you done any hard calls on the suggestion basis of pincode or stop any pincode sourcing? Is it like that?
Vibhas Chandra : In pin codes you have a good number of borrowers . But in these pincodes we become cautious. We stop certain products which we feel that is not suitable for the pincode. Those actions we take, we don't stop business in a location because we are present there and we are serving customers there. But we take credit decisions there based on the performance of the pincode.
Moderator: Thank you. The next question is from the line of Shr eepal Doshi from Equi rus Capital. Please go ahead.
Shreepal Doshi: My first question was which are the states where we have seen the collection efficiency being relatively better and which are the states where we are seeing the collection efficiency being lower than your average collection efficiency of 97 %?
Ashish Goel : Hi, Shreepal. L ike we had spoken last time also, we have the top f ive states, which is Tamil Nadu, Karnataka, Bihar, West Bengal and UP. Of the five states, we find that our collection efficiency is not at PAR in Tamil Nadu. In other states, we find that the collection efficiencies are 99.4 % and above. In fact, in Karnat aka, the number is 99.7 %. Bihar and UP continuing to be in the range of 99.4 % to 99 .5%.
Shreepal Doshi: Sir, sorry your vo

ice was not clear. So, are you saying that in the top five states, our collection efficiency is above 97%?

Ashish Goel : I was talking about the collection efficiency for the regular customers, non -delinquent customers. There I was talking about Tamil Nadu being not at par, but all the other states have 99.4% to 99.7 % which is Bihar, UP, West Bengal and Karnataka.
Shreepal Doshi: Just one aspect that I wanted to understand on the customer identification side, related document side. So, how are we, on that end, what documents do we take and what is our process es?
Vibhas Chandra : So, we acquire 100% customers on the basis of eKYC. And that is something which is the most safest way to acquire customers and have full kYC .
Shreepal Doshi: We have that license already sorted.
Vibhas Chandra : Yes.
Shreepal Doshi: And the one last question was on the margin side. So, since the share of secure portfolio is inching up and the growth in the segment is in the second half also is like very, very strong, where do you see the margin stabilizing for the year?
Sanjeev Nautiy al: So, margin compression will happen because the secured business will grow at a faster pace and softness and return ratios would be visible for the full year, FY ‘25. So, the previous guidance will be missed and therefore in the medium term if you say 1 8%-20% ROE from next year onwards is very much under our radar. But for this year, we would not like to commit to any specific number because the microfinance book actually is a big book and therefore , we want to be more sure on how it is going to pan out.
Shreepal Doshi : Even on margin front because of the MFI book being larger book, we are not giving a specific number .
Shreepal Doshi: And on the NIM s.
Carol Furtado: Currently I think today we are at 9.2% for the quarter . But full year we will be a little below 9, hovering around 8.6 % to 8.8%.
Moderator: Thank you. The next question is from the line of Amit Mantri from 2 Point 2 Capital. Please go

ahead.
Amit Mantri: Can you talk about the OPEX increase that has happened in this quarter? Is this now the sustainable run rate on the OPEX side, or were there some one -offs in this quarter on the OPEX side?
Barun Agarwal : The OPEX increase mainly on front of personal expenses and the other OPEX . The p ersonal expenses in FY24 versus H1 FY25 has increased 31% from |Rs. 273 crore s to Rs. 358 crore s. Mainly because last year, based on industry benchmarking one of the activity which we did is the effective 1st October 23 , salary corrections was performed for all employees. Secondly there

is a volume increase in terms of number of employees. We added around from September to September around 2 700 people. These are mainly towards the business which we expect to do well, towar ds the secured business and towards the branches which we added, around 1 23 branches we added last year. So, this was the main reason why people were added. Our secured portfolio continued to do well. On a quarter -on-quarter basis, we have a 12 % growth in the secured portfolio, which is expected to show good result in the upcoming quarters as well. Lastly, w e have built up our collection team as well and has been reinforced with the additional manpower. So, that was the reason for the personal cost. On the other OPEX , the fixed cost has increased mainly because we have added again as I mentioned 123 branches last year. Our fixed cost in terms of occupancy expenses towards the rent , electricity , maintenance and IT and depreciation cost because of the capital investment the cost has increased. That's the main reason for the increase. We have been closely monitoring the control aspect, and that's the focus area for the upcoming quarters as well.
Sanjeev Nautiyal : So, as you would see

, these are all actually investments. Many initiatives were launched last year at different phases of time, but the full impact is being visible from April onwards this year. But these are all investments for growing our book, strengthening our collection or reaching out to the people in the nooks and corners of the country by opening up branches.
Amit Mantri: Even on a quarter -on-quarter basis, when you compared to Q1F Y25, OPEX has increased 10% on a quarter -on-quarter basis. So, what would explain that increase?
Barun Ag arwal : As I mentioned, the quarter -on-quarter increase because we have opened last year 123 new branches, the fixed cost has increased, the branches are open during the year over the period at various point in time in last year. This year we had a full year expense, o r this quarter is the full year expense that is resulting into the increase in OPEX . From our personal cost as well, there are additional hiring mainly for the secured portfolio which we are doing. And the collection team, we are beefing up the collection team that is adding up to the cost. In fact, on the quarte r-on-quarter, we have been having strict control on the cost. For the unsecured portfolio wherever there is attrition , we are l ooking into and there is a degrowth in the number of emp loyees.
Moderator: Thank you. The next question is from the line of Gautam Jain from GCJ Financial. Please go ahead.
Gautam Jain: Yes, can I get the credit cost separately for microfinance and other business, the secure d business?
Ashish Goel : So, as a pra ctice, not been looking at separate credit costs. It's been a blended cost for us. So, that's how we have been doing it. But if you want it, we could send it to you.
Gautam Jain: No, that's for the year we are expecting 2.3 % to 2.5 %. If it is 2.4 &. I just want to know how much is coming from secure business. Is that less than 1% or is it between 1 % to 2%?

Ashish Goel : Secured businesses typically it will be less than 1% or in the thereabout region. It is the unsecured business where the credit cost wou ld be high for the year. But yes, you can take a benchmark of about 1% for secured businesses.
Gautam Jain: And when you say you raise the credit cost guidance from 1.7 % to 2.3 % to 2.5 %, so that means you're still expecting a lot of slippage s to happen in second half . Is that correct way to understand?
Ashish Goel : Yes, so all cases, all the borrowers who have been, who have entered into delinquency in Q1 and Q2, the credit cost would only happen with a lag of 90 to 180 days. Because that is when they get i nto GNPA, and they get into the provisioning buckets. So, therefore, there will be a, in the second half, the impact of that would be felt. So, yes, there will be a higher credit cost because delinquencies and the PAR numbers have gone up in Q1 and Q2.
Gautam Jain: Can you give us a ballpark number? Suppose you have Rs. 430 crore s slippage in first half , what could be the slippage in second half? Around mid-number or it may be higher?
Ashish Goel : So, we were maintaining slippages in the range of 0.5% for many quarters. This quarter, the

slippages have been in the range of about 0.8%. So, you could expect that the slippages would be in that range for the remaining two quarters.

Gautam Jain: I just want to ask whethe r our secure business has br oken even in terms of profitability or still not making money?

Sanjeev Nautiyal : There are different variants. It depends on, how mature that business h as been in the books. So, yes, Housing is in profit. Gold loan and Agri and Vehicle we have just started to do those businesses. And MSME is likely to break even by this year end. And the other three have just taken off and they are a very small portion of the business. And therefore, I would say they would still need a 12 -month period

to actually show that profit is coming in.

Sanjeev Nautiyal : And FIGs, of course.

Moderator: Thank you. The next question is from the line of Nidhesh Jain from Invest ec India . Please go ahead.

Nidhesh Jain: Thanks for the opportunity. The first question is on slippages for first half . So, in first half 430 crores of slippages, how much is from secured and how much is from unsecured?

Ashish Goel : About 80% of the overall slippages are from microfinance .

Nidhesh Jain: And secondly, in the microfinance group loan segment, your PAR zero is 5.5%, which is a quite decent number if you compare with some other peers. How do you see this number trending over Q3 and Q4? And when do you see that this number will peak out?

Ashish Goel : So, the way we look at it, PAR basically is NDA collection efficiency. So, yes, we did see the NDA collection efficiency, which is the non -delinquent portfolio collection efficiency dip from 99.46 % to 99.23 % as I said. But this time, in Q3 and onwards, we feel more optimistic because the guardrails have been implemented, the changes in policies and other things, customers wo uld get adjusted to it. And therefore , the collection efficiency is likely to improve from here on. PAR would be just a derivative of that.

Nidhesh Jain: And are you seeing any trends because of the guardrails being implemented and a couple of players have been asked to stop disbursement from immediate effect? Do you see any spillover of that in terms of collection behavior and collection behavior from the customers?

Ashish Goel : There is very little overlap in the customer base of the players that you are referring to, and our customer base. In fact, it is in the range of 1% to 1.5%. You just need a rough understanding of that. So, there is not too much of an overlap there. So, we don't expect our customers to have major impact due to this slowing down closure of disbursements in other players.

Nidhesh Jain: And lastly on the vehicle finance segment, which segment of vehicles we will be focusing on?

Ashish Goel : So, we have about 80, 90 good dealership tie -ups where we are getting very good v olumes and there are about 300 more where we are expecting good business to come in as the months progress. The manufacturers are all the, you know, all the large manufacturers.

Carol Furtado: It’s m ainly the two -wheeler segment that we are focusing on.

Ashish Goel : In two -wheeler we have tie -ups across manufacturers.

Moderator: Thank you. The next question is from the line of Arvind from Sundaram Alternat ives. Please go ahead.

Arvind: One thing I understand, like we are a growing bank, we need to invest in the franchise, either in deposits or in technology and everything. But do we see any slowdown in expenses, either in terms of branch addition or in terms of IT expenses or like in the product ? What I am trying to get is , can we expect any moderation and cost to income ratio in any ways for the next few quarters?

Carol Furtado: Current year we are not foreseeing any additional branches. We are not opening any branches. So, to that extent, whatever the expenses are, we will continue. We conti nue to have investments in technology. That will continue because as we upgrade, we need to, I mean, as we get into newer and newer lines of business, we need to keep upgrading our technology systems. So, that will also continue.

Sanjeev Nautiyal : On the I T side, there are investments or expenses, as you may call it, will necessarily have to be done on an annual basis or the renewals of the service agreements, etc. All that will continue. So, we are not withholding or stopping these investment activities. C ost optimization from a

general sense is what every enterprise would look at. And the cost optimization we would certai

nly look into. But as we said, we are hiring because we feel collection needs to be strengthened. We are hiring for the secured book, whi ch we are now trying to grow. So, all essential expenses and investments continue to happen. And that's the way we would like to end the year with .

Arvind: But like we were talking about 100 branches, more than 100 branches in the recent time. What I understand is like obviously as you said, you need personnel for security work and other services. I was trying to understand like would the employee edition or the branch edition would slow down at least for some time , or will it continue at the similar p ace? But as you said, the branch edition, you are not having any plans. Is it the same case with employee addition?

Sanjeev Naut iyal: I would like to clarify is , the branches have already been opened. They have been invested with people, process, technolog y and everything that a branch requires. So, those expenses have started kicking in. What we will have to do is to ensure that business happens, and they are all becoming a profitable venture for us and that we continue to invest in , right ?

Arvind: I under stand that we are a growing bank, and we need to consistently show our deposit franchise, especially in retail deposits. Would we be open to use of, let's say, if there is a rate cut or something like that, to use wholesale deposits to manage margins or im prove margins in a short - term manner or will we continue to focus on retail deposits even if it comes under a slightly higher cost?

Carol Furtado: We will continue our focus on retail deposits. We are growing our deposit base through granular retail deposi ts, and that will continue. And our interest, I mean the rate of interest out there, we are closely watching the situation. Wherever required, we are reducing our interest rates. But this is something that will keep evolving and w e are focused on that to k eep our cost of funds also constant.

Arvind: And just one last question, I see the MSME loans have started growing recently well. But MSME loan, when I look at the collection efficiency, is actually below even something like MFI, it is close to 90% only. I 'd like to understand what are the efforts being taken here to improve that collection efficiency, and why is that collection efficiency actually lower there?

Ashish Goel : In MSME , we have two books. One is what we had during the pandemic and immediately after that. We recalibrated all our products and policies last year. So , for the last 18 months we have been working with the recalibrated product and policy. This has worked very w ell for us. In fact, this is almost now 40% of the overall MSME book and this continues to have zero delinquency , not a single case in one DPD and above. It is the old book which had got seasons, some of it got into delinquency during COVID. That is what w e are now wanting to, it's a de -growing portfolio, it's now about Rs. 600 odd crores. And this is something that is leading to this delinquency. So, the new book is completely pristine. We are not worried about what we are, the new product and policy, how it's respondin g with very, very clean portfolio now. The old book shall continue to have lower collection efficiency because most of it is in SMA and in PAR .

Moderator: Thank you. The next question is from the line of Pritesh Bumb from D AM Capital. Please go ahead.

Pritesh Bumb: Just a couple of questions. One is this guidance of credit cost. This includes a desire of PCR to be above 70%, right? So, will that improve our PCR to (+70%).

Ashish Goel : Yes, Pritesh, so our PCR currently is at about 78% . At the end of Q2, if you look at the unutilized floating provision, we are almost fully covered. It would put together this would be about 97% PCR. So, even if we see an increase in NPA, the PCR will continu

e to be above 70 %.

Pritesh Bumb: The whole point was that we are not able to utilize the floating provisions until we ask RBI and RBI gives permission. But the incremental book is the slippages are coming in, and that's where I think the PCR is jumping . But the credit cost, which we are guiding at, just wan ted to check that. That includes PCR because there will be write -offs certainly because of the policy right. So, in terms of that PCR will remain above 7 0%.

Ashish Goel : Yes, PCR will remain above 70 %. In fact, when we compare ourselves having 97 %-98% PCR for the last eight quarters, 90 % and above PCR for the last eight quarters, 78 % looks a little low. But 78 % by itself, as a number, is a very decent PCR that we are maintaining.

Pritesh Bumb: The second question was just wanted to get the thoughts on t icket size perspective. We have seen this quarter ticket size move up, and which is natural that we are limiting growth in certain pockets and new to credit customers are not being roped in. But then generally thinking that we are one of the highest in terms of ticket size, and basicall y we have not seen ticket size coming down for a long, long time. So, what are the thoughts here? Basically, how do we see that we get more conservative in terms of ticket size, especially in the JLG side?

Ashish Goel : So, on the JLG side, you know, the reason for the ticket size looking a little high is because the blending of new to new-to-bank customers is not happening. In this quarter, we did almost 50% of our loans as repeat loans on the group loan side. And we did not see a siz able number of new customer acquisitions, which is why our ticket size looks a little high. But if you compare ourselves with Q1, the ticket size has been in more or less the same.

Pritesh Bumb: My perspective was that we are at a very high-ticket size and let's say for example some of our peers will be in a range of 28,000 to 40,000 maybe below that. But we are at about 58 ,000 and of course that maths which we are talking about is absolutely right. But when we were growing the new ticket or the new-to-bank customers , the ticket sizes had not fallen and now we are seeing a ticket size getting a little bit higher. So, any thought s on that? How do we bring down the ticket size overall?

Ashish Goel : This is a repeat of what happened around two years back , when we were doing a lot of customer retention plans, and we were servicing our existing customers, and we were very immediately after COVID that how should we go about doing new customer acquisition? The environment was not certain. We saw that at that time the ticket size had gone up. But as we opened our new-

to-bank customer acquisition, the ticket size came down. Remember it was about 58 ,500-59,000 during that time when we used to be focused on repeat. It's the same thing that we're seeing today also. As the NCA has come down, the ticket size s have started to go up a little. But once we start opening NCA , the blending of new customers would happen, and the average ticket size would come down. So, it's a repeat of what we saw immediately post COVID .

Moderator: Thank you . Ladies and gentlemen , we will take this as a last question. I now hand the conference over to the management for closing comments.

Sanjeev Nautiyal|: Thank you, friends, for a patient hearing and for your way enterprising questions which made us think about our responses. Hope we are adequately satisfied your queries. As I close this session, this very engaging session , the key highlights that I would like to conclude with is that we would continue to invest growing in our secured books. We would continue to do the individual microfinance lending where we see opportunities growing. We will stably also grow our group loan microfinance book. On the liability side, we would focus on

CASA and try
reducing the cost of funds. And digital and analytics is an area where we would like to invest more and focus more. And cost to income is another where we would like to focus. So, with these, I would like to conclude and thank you for joining us for a very engaging session with our team.

Moderator: Thank you. On behalf of I IFL Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jan 2025

USFB/CS/SE/202 4-25/114
Date: January 27, 2025

To,

National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

Symbol: UJJIVANSFB BSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 542904

Dear Sir/Madam,
Sub: Transcript of the Quarterly Earnings Call held on January 23 , 202 5
Pursuant to Regulation 30 o f SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnin gs/quarterly conference c all held on January 23, 202 5 for the quarter ended December 31, 202 4 is enclosed herewith.
The same shall be available on the Bank’s website at www.ujjivansfb.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED

Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework

Encl: as mentioned above

“Ujjivan Small Finance Bank Q3 FY25 Earnings
Conference Call ”
January 23, 202 5

MANAGEMENT : MR. SANJEEV NAUTIYAL – MD & CEO, UJJIVAN
SMALL FINANCE BANK
MS. CAROL FURTADO – EXECUTIVE DIRECTOR ,
UJJIVAN SMALL FINANCE BANK
MR. MARTIN P.S. – CHIEF OPERATING OFFICER ,
UJJIVAN SMALL FINANCE BANK
MR. ASHISH GOEL – CHIEF CREDIT OFFICER , UJJIVAN
SMALL FINANCE BANK
MR. VIBHAS CHANDRA – HEAD, MICROBANKING ,
UJJIVAN SMALL FINANCE BANK

MR. SADANANDA KAMATH – CHIEF FINANCIAL
OFFICER , UJJIVAN SMALL FINANCE BANK

MODERATORS : MR. RIKIN SHAH – IIFL SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9-month FY25 Earnings Conference Call of Ujji van Small Finance Bank hosted by I IFL Securities.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now ha nd the conference over to Mr. Ri kin Shah from I IFL Securities. Thank you a nd over to you, sir.

Rikin Shah : Thank you . Good evening, everyone, and a very warm welcome to Uj jivan Small Finance 3Q FY25 Result Call to discuss the 3Q Results and the Outlook post the Results .

We have with us the Management T eam represented by Mr. Sanjeev Nau tiyal – MD & CEO ; Ms. Carol Furtado - Executive Director ; Mr. Martin P .S. - Chief Operating Officer ; Mr. Ashish Goel - Chief Credit Officer ; Mr. Vi bhas Chandra – Head, Microbanking and Mr. Sadana nda Kamat h - Chief Financial Officer .

With this , we will pass the line to CEO. Over to you, Mr. Nautiyal, for your remarks.

Sanjeev Nautiyal : Thank you, Rikin . Good evening and welcome to our Q3 Financial Year '2 5 Earnings Call. Please note all references made during this address on Q2, Q3 and Q4 pertains to Financial Year '24-25.

Our strategy to diversify th e portfolio towards a more Secured Book has seen accelerated results , now contributing 39% to the total loan book by end of Q3, led by Affordable Housing , MSME and F IG. Our overall Secured book grew by 13 % Q-o-Q, 33% YT D and 52% Y-o-Y.

In Microfinance, we saw consistent improvement in collection efficiency month -on-month during the quarter. States like W est Bengal, Uttar Pradesh, Bihar, and Rajasthan that earlier showed signs of stress are now witnessing improvement in collection efficiency. We expect a better performance in Q4 w ith higher disbursements seen in the first three weeks of January compared to similar period in any month since July 2024. Bank took a call to reduce interest rates in group loans and individual loans by approximately 115 bps and 75 bps respectively, with effect from 1st January 2025. This will not have a major impact on profitability for a couple of factors, namely stable cost of funds with expected margin improvements due to rate cuts , strong growth expected in high yielding prod ucts like micro mortgages, vehicle loans and Secured agri offsetting t he yield impact to some extent. With our interest rates, one of the lowest in microfinance, along with the lender cap due to guardrails , this will ensure the acquisition of quality borro wers .

Micro Group loans witnessed disbursement of Rs. 2,029 crore s in Q3 m arking a 16% Q-o-Q decline . As of December, '24, these loans constitute 45% of the total loan portfolio. Contribution

of repeat customers to overall disbursement has risen from 61% -73% Q-on-Q. To capitalize on growth opportunities, we have enhanced our pre -qualified group loan offerings in states with higher potential and robust collection performance. The individual loans portfolio comprises 15% of our loan book and is focused on gra duating group loan customers with good repayment track record. I t is expected to grow at a faster pace compared to group loans , having grown by 21% Y-o-Y.

For IL repeat customers, we have implemented a simplified self -service digital journey. This allows us to offer pre -qualified loans to existing customers , a key strategy for improving customer retention . Affordable Housing and micro mortgages comprising 21% of loan book demonstrates sustained growth. In December, d isbursement exceeded Rs. 300 cror es, marking a significant milestone. Th

is book has reached Rs. 6,393 crore s as of December '24 , exhibiting a strong 11% Q-o-Q and 45% Y-o-Y growth expecting to close at Rs. 7,000 crore s as of March 31, 2025.

Talking separately on Affordable Housing books , our highest volume contributing Secured business has grown to a book size of Rs. 5,867 crores, up 9% Q-o-Q and 37% Y-o-Y. M icro-mortgages , a high yielding Secured segment has shown promising performance growing at 34 % Q-o-Q. This has a good mix of customers who graduated from individual loans and also from the open market. Our revamped approach to MSME business is contributing to the momentum growing by 12% Q-o-Q and 21% Y-o-Y to reach Rs. 1,694 crore s. Growth has come from all products with LAP, working capital and supply chain finance. Disbursements cross ed Rs. 150 crores in December '24 . The new MSME book has nil NPA. FIG books continue to scale and reach Rs. 2,257 crore s as of December '24 , contributing 7% to the total loan book . This book grew b y 11% Q-o-Q and 57% Y-o-Y.

The Vehicle Finance business witness ed impressive growth, reaching a book size of Rs. 375 crore s and now contributes over 1% of our asset book growing by 43% Q-o-Q and 155% Y-o-Y. The Gold Loan business has experienced significant expansion with its availability increasing from 63 branches in March 24 to 198 branches in December '24 . This book stands at Rs. 115 crores i n December '24 . Secured -Agri, which includes Livestock and KPC, has shown significant Q-o-Q growth of 27%, reaching a book of Rs. 459 crore s. Overall , investments that were made last financial year onwards towards our product diversification strategy is yielding results. Secured book is showing promising growth of around 40% over M arch 24. In Q3, 46% of disbursement resulted from Secured products compared to 30% in the same quarter last financial year.

On a sset quality, we saw encouraging signs of improving bucket X collections in the group and individual loans. We increased our col lection headcount by adding 3 45 staff, taking the count to 2260 as of December 202 4 end. That helped us in improving resolutions in SMA / harder buckets . West Bengal, Uttar Pradesh and Bihar are showing good improvements month -on-month along with other states such as Punjab, Haryana, and Maharashtra. This is reflecting in our bucket X collections at 99.2% for qu arter 3. Slippages from GL and IL book came in at Rs. 298 crores in Q3 versus Rs. 197 crores in Q2. Additionally, the Bank affected an ARC

transaction of Rs. 270 crores in Q3, Rs. 207 crore s from NPA book and Rs. 63 crores from a written -off portfolio. We hold 100% provision in the subscribed security rec eipts . Asset quality in the Secured book has bee n significantly better. The MSME new b ook which forms 48% of the MSME book has nil NPA s, housing and micro -mortgage portfolio continues to remain strong with 1.1% GNPA . At overall book, our GNP As and NNPA s as on December '24 stand at 2.7% and 0.6 % respectively, despite challenges specific to microfinance. We maintain our credit cost guidance at 2.3% -2.5% for th e year . Bad debt recovery continued to be strong, collecting over Rs. 29 crores in the quarter.

Bank's total deposits reached Rs. 34,494 crores, marking a 16% Y-o-Y growth. Notably, CASA deposit saw 15% Y-o-Y increase reaching Rs. 8,662 crores which is 25% of overall book . Retail deposits stood at Rs. 25,274 crores accounting for 73% of total deposits and demonstrating a 24% growth over December 23. Retail d eposits continued to stay about 70% consistently in the last 8 months. The Bank has relied upon strat egies to enhance ease and convenience for our customers to accelerate granular deposit base, especially CASA. Among booking of digital banking products , the Bank has introduced digital current account in addition to digital savings and dig

ital fixed deposits. Bank is effecting structural changes to have increased focus in onboarding and servicing larger share of customers under affluent , non-resident , corporate salary, and trader categories , enhancing customer acquisition through improved lead management services and customer management tools , strengthening relationship management via CRM and other tools to better manage existing customer base. We are confident of improving the CASA ratio and also reducing the cost of funds going forward.

Ujjivan is driving transformative change, powered by analytics to accelerate business growth , faster credit assessment, enhancing productivity , identifying new geographies for expa nsion and relevant product offerings. On digital banking, our digital current account launched in Q3 has a simplified journey in which account opening can be completed under 60 minutes. Digital fixed deposits and digital savings accounts have access from a round 250 locations where we do not have branches. The Bank 's own UPI app , Ujjivan Pay is undergoing testing and will be launched in Q4.

On financials and margins , the NIM for the quarter is 8.6%. The compression and yields on the overall portfolio is down to 18.2% in Q3 v ersus 18.9% in Q2 due to growing contribution from Secured assets. The cost of funds moved up marginally by 6 basis points to 7.57% in Q3 versus 7.51% in Q2 largely attributed to the retirement of IB PC book. Operating costs increased only 1% during the quarter versus 10% increase seen in Q2 over Q1. Other income was impacted due to lower processing fee, reduced insurance income and provisions on security receipts arising due to ARC transaction. Credit cost for the Bank was at Rs. 223 crore in Q3, higher than Rs. 151 crore recorded in Q2. In addition to this, we have taken an accelerated provision of Rs. 30 crores. PAT for the quarter was Rs. 109 crore s and subsequently adjusted ROA and adjusted ROE f or Q3 are 1. 1% and 15.2%, respectively.

I am also delighted to announce that the Board has accorded approval to move the application for voluntary transition to universal banking in its meeting held today . We will be submitting the application to RBI shortly.
Lastly, I would like to summarize the Bank 's key focus areas for the last quarter :
• Loan book growth will be led by Secured business which is poised to grow by around 50% during Financial Year ‘2 5 and contribute around 40 %-42% by financial year end .
• Group loan and individual loan book to see better disbursements during Q4.
• Credit cost to remain range bound within 2.3 %-2.5% as per our earlier guidance .
• Focused efforts towards improvement in CASA ratio with reduced cost of funds.
Before I conclude, I wo uld like to introduce Mr. Balakrishn a Kamath w ho has joined as CFO. He holds a varied experience over 30 years in corporate finance and corporate governance in various listed entities including the Tata Group. His profound experience will add strength to our organization . In a similar way , I would also like to introduce Mr. Hitendra Jha as Head of Retail Liabilities & TASC . He wins over 23 years of banking experience with him . For the last 17 years , he was with Kotak Mahindra Bank and his last role with Kotak was National Head Branch Banking emerging markets. Prior to Kotak, he has also worked with ICICI Bank and IDBI Bank and I wish both these incumbents huge success in Ujjivan S mall Finance Bank.
Thank you.
Now, I hand over the mi c to you Rikin. Thank you. Please.
Rikin Shah : Operator, we can open the call for Q&A.
Moderator : Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Rajiv Mehta from Yes Securities. Please g o ahead.
Rajiv Mehta : Sir, my first question is on the N DA collection efficiency, which is improved in December. So, h

ave you seen the trend continuing January and the sites adding people for collection , are we also seeing any improvement in center meeting attendance or the loan officer at region ? And just a follow up on this , have we also started seeing any improvement in resolutions and rollbacks in the SMA buckets in recent months?
Management : So, our NDA collections have see n month -on-month improvement. July, August and September, we did see a reduction in bucket X collection efficiency . October, November, and December we have seen a month -on-month improvement. We are expecting that the same trend will continue January onwards . In terms of center meeting attendance, we see the same trend as what we had in the earlier quarter about 60% of attendance in the center meeting.
Rajiv Mehta : And the loan of accretion and the resolutions in the soft buckets , are they also improvi ng?

Management : Yes, our SMA 0 resolution is in the range of about 30%. It has improved from about 25% , SMA - 1 and 2, which were at 25% and 21% . SMA -1 has improved from 25 %-35% and SMA -2 has improved from 21% -25%. So, across the SMA buckets we have seen improvement . And this is also, as we have mentioned, we have increased the collection team. So, that is also leading to a lot of efficiencies on the SMA collections.
Rajiv Mehta : Sir, my second question is on the credit cost. So, when you are maintaining credit cost guidance at 2.3% -2.5%, it implies a good decline in the 4th Quarter . So, then we are trying to rule out the possibility of taking any additional provision or accelerating the current provision ing policy. Would that be correct and wh at levels of PCR will be comfortable with maintaining because I can see that in this quarter PCR has improved, but we have also shifted floating provisions from standard to the NP A bucket. So, if you can also comment on what level of PCR you are comfortabl e in maintaining and whether the credit cost will go down in Q4 versus Q3?
Management : So, in terms of PC R, the mandate is at 70% and we ha ve been consistently maintaining PCR above 70% for a number of quarters now. So, we will continue to maintain a PCR between 70 % and 75% going forward also. In terms of credit cost , since the NPA s had gone up in Q2 and Q3, there will be slightly higher credit cost in Q3 and Q4. But I think th at will start to get normalized as we go forward. To counter this, we have also taken some additional provisions in Q3, accelerated provisions in Q3 to the extent of about Rs. 30 crores. So, these accelerated provisions help us clean out the expected incre ase that we were expecting in Q4. So, largely you now get neutralized.
Moderator : Thank you. The next question is from the line of Renish from ICICI. Please go ahead.
Renish : Just two things from my side, one on the PAR zero bucket , so if we look at the group loans, it is at 6.6, IL it is at 4.5. Since you are also mentioning that collection is improving month -on-month , it is right to assume that the PAR level current numbers have picked out and going ahead, from

Q4 onwards we would star t seeing PAR portfolio coming down, even we will have write -off as well?
Management : So, this is the function of how the industry would show the numbers. We have seen a good improvement and we are hoping that there is going to be no disruption. Renish, so PAR numbers , there will be some stability of PAR during this quarter. So, we don't expect the increase in PAR numbers, but the speed at which the PAR was increasing will stabilize during this quarter.
Renish : So, in other words, stress, let us say the incremental stress formation has picked out, is that the fair assumption?
Manage ment : Yes, so see the incremental stress post July, August, September that is when the stress had started to actually build up. October, Novem

ber , and December was months where the PAR numbers continue to grow. We e xpect that this PAR numbers will stabiliz e here on and start to show a declining trend in the next maybe two or three months .

Renish : And sir, would you like to share January collection data?
Management : It is a little early for the January collection data because we have numbers only till maybe a couple of days back. If you look at bucket X collections on micro -banking, they are better than the same date December numbers.
Renish : Just a re confirmation, if I heard you correctly in your opening remarks, you did mention that January collection is the best in entire fiscal year, is that the comment you made in opening remarks?
Management : Mr. Nautiyal was referring to the disbursement numbers . We have started to see a good demand in the market in the month of January. In fact, we started to see that towards the end of December. We have seen that after a gap of funding in the market, there is a bounce back which happens and we see this bounce back happening for the last four weeks. So, our January disbursement numbers that we have seen so far are better than what we have seen during t his year so far. That is what you should note what I said.
Renish : And this is last thing , in terms of the account of guardrails, are w e following 4 lender guardrail or we have already implemented 3 lender guardrails?
Management : So, we are following 4 lender guardrails . The 3 lender guard rails would come into effect on 1st of April. However , the other guardrails of 2,00,000 indebtedness and funding to S MA customers , these were already following . What we have additionally done is for the new -to-Bank customers , we have implemented the 3 lender guardrails .
Renish : So, for repeat loans, we are following 4, but for ne w-to-company customers, we are following 3?
Management : Yes, new-to-Bank customers, we have implemented the 3 lender guardrails in the beginning of January.
Moderator : Thank you. Next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.
Sarvesh Gupta : Just as a feedback, sir, it would have been great had we stick to the regular time because we hardly got any time to see this lengthy presentation of yours. So, most of the questions that I decide to ask I have to ask it out looking at the presentation itself. So, I would appreciate it if you can stick to timelines from the next quarters. Secondly, sir, on the overall collection efficiency for the book, on the Secured side, did you see any stress in this and includi ng January are you seeing any spillovers of the some of the stress in the microfinance on your Secured book?
Management : No. In fact, our collection effi ciency for the Affordable Housing and for MSME as well as Vehicle Finance has been consistently above bucket X collection for Affordable Housing is in the range of 99.4 %-99.5%; for MSME, i t is above 99 %; Vehicle Finance is above 99 % and we

have not seen any decline. In fact, we have seen a marginal improvement in Q3 over Q2. So, these Secured products , the bucket X collection ha d been consistent and improv ed.
Sarvesh Gupta : And overall collections have also Q-o-Q, sir?
Management : When you look at the overall collection efficiency, you will see a dip because the PAR numbers have gone up. So, when the PAR numbers go up, the collection efficiency on the SMA and NPA buckets is lower, which weighs down on the overall collection efficienc y.
Sarvesh Gupta : And similar trend for January?
Management : January, I would say it is early, but on 20th of January, the efficiency in microfinance is better than 20th of December is what I could say.
Sarvesh Gupta : No, I was asking about Secured product , sir?
Management : Secur

ed products , we maintain very consistent bucket X efficiency, so it continues to be in the range of 99 %-99.5%.
Sarvesh Gupta : And sir, this guidance on the credit cost , 2.3%-2.5% , now I did not get the chance to sort of calculate, but how much have you done till 9 months ? Again, this number that you are referring to and is it adjusted for all ARC sale etc., o r how should we read this number? If you can give us absolute number, that would be great. How m uch have we done till now and what we are guiding for ?
Management : So, we have 9-month credit cost is 1.55% for 9 months YTD December . And in terms of value is the first 9 months was Rs. 483 crores.
Sarvesh Gupta : And sir, this is including accelerated provision and ARC sale the l oss that we have incurred there ?
Management : Yes, it includes both , ARC sale as well as accelerated pro visio n.
Sarvesh Gupta : So, then in the last quarter, basically you are guiding for 0.8%-1% cre dit cost ?
Management : Yes, 0.8%-0.9% that is right .
Sarvesh Gupta : And any guidance that you would want to give of how things can be for FY26?
Management : It will be a little premature to give a guidance for FY26. We can come back to you during the first quarter for the guidance of the full year, but as of now it would be a little premature.
Moderator : Thank you. The next question is from the line of Suraj Das from Sundar am Mutual Fund. Please go ahead.

Suraj Das : Sir, one clarification first , on Slide #23, the collection efficiency that you have reported , this is for the overall book right, including delinquent customers ?
Management : You are referring to the group loans lender wise trend, the Slide #23?
Suraj Das : Yes, sir.
Management : Go ahead , please.
Suraj Das : No, I am asking, this is including the delinquent book, right? This is total collection efficiency ?
Management : Yes, it includes. This is total collection efficiency. That is right.
Suraj Das : And Slide # 21, the collection efficiency table that you have reported , on the normal collection also, t here is some OD collection , what i s that sir for group loan and individual loan?
Management : Additional collection includes overdue collection. The additional collection is what you are referring to?
Suraj Das : No, sir, second column , after due there is collection where there is asteri sk mark and then there is addition collection separately. So, what is this OD collection , sir?
Management : Overdue collections . We were referring to overdue collections, s o collections which are due for the month and collections which are arrear from previous months , overdue collections . Overdue refers to arrears.
Suraj Das : The last question is sir, in terms of if I see the yield on the Affordable Housing side that has come down significantly, 40 basis point s on a Q-o-Q basis , where do you see this yield settling in 0.1 and the 0.2 is overall margin , what would be your guidance on margin going ahead now given that probably your Secured book is grow ing faster than the overall MFI book? So, how d o you see the margin trajectory p robably for next 6-8 quarters ?
Management : The housing yield has come down during the quarter due to 2-3 factors. The main one being it is a floating rate and the EBLR have come down during this quarter, due to which all the roles have been repriced and that has impacted this. And the second is you also have to derecognize the interest for the slippages during the quarter that also has been given effect. And the re is one more factor.
Suraj Das : What EBLR has come down?
Management : No, there are base rate b ased on which it is a floating rate. So, the floating rate, the base has come down by 50 bps, so that has affected the entire book and that is why the rate has come down. That i s one point. Second one is penal interest no longer ca

n be charged as per the new RBI regulation, so it has been reclassified as penal charges, so it is not coming under this head

anymore. And finally there is Rs. 9 crores adjustment for interest which has been derecognized due to slippages during the quarter. These are the three factors.
Suraj Das : And sir, overall margin trajectory how do you see that?
Management : It will be going steady at whatever rate it is now, it will be consistent going forward.
Suraj Das : And sir, on this micro mortgages PAR number, I think that is also going up from 20 basis point s to something like 60 basis point s over the last two quarters. So, do you see this trend continuing in January also? And are there overlap between your MM customer and your MF I customer?
Management : So, the micro -mortgage PAR is actually a very low number. 0.4 , 0.5, 0 .6 are actually very low

numbers . We see that the qualit y of the book has been e xceptionally good. So, these kind of
numbers are quite competitive and very reasonable. In terms of overlap, we have about 40 %-
45% of our customers who get graduated from individual loans to micro -mortgages a nd about
55%-60% are open market customers. And the individual loan customers who move to micro
mortgages have at least 4-5 years of experience relationship with Ujjivan . So, that is giving us a
very good comfort in terms of underwriting those customers.
Moderator : Thank you. The next question is from the line of Nidh esh Jain from Investec. Please g o ahead.
Nidhesh Jain : First question is on the Secured segment. What is the medium -term strategy with respect to
Secured ? Do you see share of Secured going up in FY26 and to what level you expect share of
Secured going up?
Carol Furtado : So, currently , our Secured book stands at around 39% and this will see year-on-year growth . Our
Secured portfolio in housing , MSME and the newer business lines like th e Gold , Vehicle
Finance , Secured Agri, Micro Mortgages has started contributing well. We were supposed to hit
the 60 -40 mark in FY26, but with the phase at which we are going with the Secured asset
portfolio, we should be hitting that much earlier.
Nidhesh Jain : Secured will be 60% by F Y26?
Carol Furtado : It is 40% which was supposed to be done in FY26, but we are hitting that much earlier. Secured
is 40% and un secured is 60%.
Nidhesh Jain : And do you expect it to further increase in FY26 or at 60 -40 you will stop?
Carol Furtado : Yes, we will be increasing the Secured portion and our newer business lines are contributing
very well to this book.
Nidhesh Jain : And can you share the profitability of the Secured book in terms of ROA because a s the share
of Secured goes up whether the RO A of the Bank will see a compression over next 2-3 years, so

if you can share the RO A of Secured book that will help, ROA Secured book or ROA of housing
and SMA , whichever is conve nient ?
Carol Furtado : Yes, we will get back on this a little later.
Nidhesh Jain : And i f you can just receive the ROA of the Secured book on whatever transfer pricing that we
use internally, that would be useful.
Carol Furtado : We will do that.
Moderator : Thank you. The next question is on the line of Deepak Po ddar from Sapphire Capital. Please g o
ahead.
Deepak Poddar : Sir, first I wan t to understand, this 9 months we have grown by about 10%, right , and you
mentioned that 4 Q you are seeing some demand coming back and some traction on your
disbursement. So, overall, for this year, what sort of growth range you are looking at?
Management : Overall growth all considered, we should be growing by around 9% or so. But individual side ,
the individual loans we would be going somewhere around 12% or so . On group loan, w e are
not actually giving any guidanc

e because it still has been vol atile and a little hard to understand,
but we are seeing good traction going forward. So, Q4 is going to be better than t he earlier
quarters as far as the group loan businesses is concerned and on higher side we will be doing
much better.
Deepak Poddar : And at the company level, you said 9% growth is what we are looking at ?
Management : On a rough and ready basis , 8%-9% would be the overall book growth for the entire financial
year for all the segments.
Deepak Poddar : So, this quarter -on-quarter , we are expecting some decline, your base would be higher right of
4th Quarter , so t hat way ?
Management : Yes. Microfinance in the last quarter , this year obviously would have done much better, right,
bringing in the volumes.
Deepak Podda r: And what sort of cost to income, we saw some increase in the cost to income ratio, right? So,
how do we see that going forward?
Management : There are two factors here. One is the operating cost as a percentage o n the average assets ha ve
actually come do wn during thi s quarter. If you look at the Page # 29, for Q3, it is 6.2% whereas
the earlier quarter was 6.4 %. So, due to the tough position in the microfinance industry, the
company has put in place a good cost control plan and it is reflecting in that whereas the total
cost income ratio has gone up only due to the reason that we invested some money for growing
some of our good businesses which are the Secured business and the manpower and the branches

which we had invested on for instance , we had around 2,500 odd employees during the year, so
that has reflected on the manpower cost. But that is all for the Secured business side where we

have shown a 50% growth and that has paid off . There are 2 -3 other factors. We are working on universal banking license, so we hired some consultant s. So, we have spent around Rs. 6 crores on that. We have also done some branding during this quarter which is around Rs. 10 crores. That is also to be recorded. Most of these costs ar e relating to the compan y's future plans whereas all other routine costs and operating costs are well under control. And finally, if you note the income also has come down into the percentage is a lways denominator and numerator, so denominator also is litt le down, which has also impacted the cost income ratio.

Deepak Poddar : But then at absolute level, how do we see that? I think if you take your operating expenses, it was close to about Rs. 700 crores this quarter, right?

Management : Yes.

Deepak Poddar : So, how do we see at the absolute level? Is that the going forward rate one can see or we can see some decline in this?

Management : Yes, it will be steady for some time to come. I t may slowly come down also this quarter because there could be , we have to wait and see, but it will be more or less steady. That is w hat we see .

Deepak Poddar : And we have done around Rs. 270 crores of sale, right , in this quarter, stressed loan assets ?

Manage ment : Yes.

Deepak Poddar : So, was there any loss book in it in this quarter on that same?

Management : So, when we do AR C sale, we do full provisioning on SR. So, there was a loss of about Rs. 26 crores .

Deepak Poddar : So, that is included in your provision already, right?

Management : That has come in the other income.

Moderator : Thank you. The next question is from the line of Ritika Dua from Bandhan. Please go ahead.

Ritika Dua : Sir, two questions, just trying to understand the industry trends better. Hopefully , when you say that the demand or revival happened in January, could you just share some trends around that , what exactly because the perception is that i t is actually not so much a demand issue, but more so like the fact that every body had to meet the first regulatory guideline and that would have also meant some bit of

growth coming off. So, when you say demand coming back, what do you mean by that? That is the first question and the second is a little longer question, but obviousl y because to the previous caller you said that obviously we are not giving the guidance for '26, which is fair, but still is it fair to say that maybe because you have still not moved on to the three

norms , which obviously some of the other banks at least have . So, when you actually move in 26, this would not be obviously a normal year and credit cost again and secondly, sorry to draw parallels because I know it is not exactly the same book which one Bank versus the other , but still the kind of commentary which we hear from two prominent banks is that the slippages of third quarter could be the similar which could be there i n the 4th Quarter ? And some say that obviously the same could be even there in the first quarter as well a lso. You had obvio usly one among the first one to fall out the pain, so maybe that is something we obviously acknowledge, but still just maybe if you want to still draw some numbers to say that how it is 4th Quarter shipping coul d be well over third quarter?

Management : On your question number one, how we are seeing increased demand , in the month of January, as we said that we started witnessing from the month of mid-December only and it is something which has to do with the locations you are present and the states you are p resent . As we are seeing that overall the turbulence in the micr ofinance industry is fading, but it is not fading equally in all the state. The time period is different. And this ha s also hit different organizations and different customer segment very differently . For us , the earlier states which were creating issues like Punj ab, Haryana , Rajasthan, Uttar Pradesh, Bihar, Jharkhand, W est Bengal, these states are doing much better in the last 3 months . We have seen improve d collections and we see increased demand in these states. At the same time , we would also like to mention th at the state like some pocket of Tamil Nadu , some pocket in Karnataka, Kerala, and some pockets in Od isha for us are still to see the bottom and we are careful there. But as we are seeing increased demand in majority of states we are present, we see improv ed basement i n the month of January so far. That is something which will also see happening in the coming three months that is something which we are able to see in the quarter. What was your second question?

Ritika Dua : Sir, you partially answered it, I was trying to understand that I acknowledge that your book is different from the other Bank , but another Bank had given a very guidance kind of thing that even a 4th Quarter slippage could be as high as third quarter , so that is one point. And t he second point is that I was saying that if you could just maybe draw some parallels as to why you think 4th Quarter is coming out to be much better than third for you and the second additional point to this was that b ecause you are still to move to the three lender rule , do you think th at may be by FY26 can actually still see higher slippages because of maybe you are moving to the more and more 3 lender norm ?

Management : So, in terms of slippages, slippages come with a lag of about 90 days, 90 to 120 days, 120 to 150 days, from the t ime that an account gets into 1 DPD PAR . So, slippages will happen because our PAR started to increase in Q2 and Q3, s o that there is a lag effect of that. So, slippages as we see are g oing to be steady. We may come down marginally , but not significantly. In terms of growth Mr. Nautiyal in his speech had said that we want to be among the preferred lenders , so we have actually reduced our interest rates to be more competitive in the marke t. We want to be more competitive and w

e want to be a preferred lender and this is in preparation to the three lender norm, which would happen starting April. So, in anticipation of that and we want to work with our customers, give them better offerings so that we can continue with our set of customers even after the three lender norm kick s in.

Moderator : Thank you. The next question is from the line of Pritesh B umb from D AM Capital Advisors. Please g o ahead.

Pritesh Bumb : Sir, just the slide 23, you have given group loans lender wise trends, ju st wanted to understand the slide. Basically when we look at PAR, lender wise PAR, for Ujjivan 4+ and above at 26, so that 26 basically is off from June or September, right? So, basically , 7.6% would have called 26% PAR is how that is to be read, right?

Management : The first table lender wise borrower tr end refers to what is the percentage of borrowers . Let us say, November end we have 45 % borrowers who are unique to Ujjivan and then uniqu e to Ujjivan plus 1, 2, 3 and 4. So, 6.6% of our borrowers are Ujjivan +4 and above . The delinquency of this set of borrowers is 26.6%. And the delinquency of the part number of unique to Ujjivan is 3.9%. So, you would see that there is a wide variance between customers who are unique to Ujjivan and customers who have taken loans from multiple lenders.

Pritesh Bumb : What I am seeing is the 7.6 % which you had in June as Ujjivan 4+ and above would have slipped overtime and that would have become PAR, right. So, what I am saying is that 7.6 has come down to 6.6, but then lot of that has s lipped to PAR in that way, which has also the NPAs , right? So, that is how we have to look at it or is it very independent like 6.6% of that 26 % is PAR ?

Management : No, 6.6% of our customers , out of every 100 customers, 6.6 are multiple lenders and 26% of those 6.6 have moved to PAR .

Pritesh Bumb : So, part of that also the reduction which shows also would have repaid the loans, right? So, that is how also it would have dropped, right?

Management : Yes, we would have neither repaid the loans , so t his number of Ujjivan +4 would continue to come down because Ujjivan +4 is no longer part of the lending policy.

Pritesh Bumb : Sir, second question was on the similar slide only. Basically , when you put in the numbers here if somebody in the lender side or the other lender side would have been got repaid on the loan, so just hypothet ically, if somebody has repaid loan at some lender, how will this come in as a percentag e, will it be a cut off or is it like every time you do bureau check and then come out to a number ?

Management : So, we do a bureau check every time we get bureau wash o n a monthly basis. And all the numbe rs that we follow are basis the bureau scrub that we do on a monthly basis. So, these numbers are updated refresh every month.

Moderator : Thank you. The next question is from the line of Ar avind R from Sundaram Alternative. Please go ahead.

Aravind R : Sir, when I see the slide, I can see the collection efficiency coming down, but when I look it along with the expected collection efficiency , so it means that in the non -overdue accounts , the

collection efficiency is being stable, whereas in the overdue accounts is where like we are seeing for the slippages, is that the right way to understand this ?

Management : The value of the PAR has gone up. So, you look at the SMA book and the NPA book , since the value has gone up, they are weighing down on the overall collection efficiency . So, even if the bucket X collection efficiency has gone up since the SMA PAR has gone up in parallel that is bringing down the overall collection efficiency.

Aravin d R: Like MFI PAR is 6%, so that is where the issue is there like you talk about, right?

Manag

ement : Yes. So, the collection efficienc y is a weighted average of bucket X SMA and NPA . So, as the PAR goes up, the overall collection efficiency also comes down.

Aravind R : Sir. I can see like the portfolio yield of MSME itself has come down significantly in a quarter -on-quarter basis. And I understand like what you have mentioned in Affordable Housing , but like similar thing happened in MSME also?

Carol Furt ado: Yes, the similar thing happened even in the MSME. It is because of the change in the accounting treatment that we also saw a decline and also the decrease in the EBLR .

Aravind R : And this portfolio like 14 %-15% outside the guardrails, does it impact o ur growth in subsequent quarters as per number of borrowers outside the guardrails, I am taking into account the second set of guardrails also, I can see roughly 13 %-14% of the borrowers are outside the guardrails . So, does it mean like it will affect the subsequent quarters of growth a t least in the one year point of view.

Management : Yes, they are 6% and overall 14% customers who are peer mode a nd another way to look at it is that unlike even in past in microfinance, microfinance customer will also have to choose 3 lenders going forward and they will try to do the best one , in terms of interest , in terms of offering , in terms of product, i n terms of graduation processes, in terms of easy policies, etc., and that is something we have built over t he period of time. And we expect these customers to choose 3 and we will one of them . That is something we are looking forward to and something which we will be very strongly communicating to our customers as well. We have reduced our interest rates recent ly and our processes or product graduation programs, t hese are excellent, and that is something which gives us confidence that n ot only these customers will be with us and retain, but also customers , good customers from the industry will also come to us.

Aravind R : Since in MF I, you see like slightly better dis burse ment in January , like it means that the PAR ratios won't go any further , is that the right thing to take away from ?

Management : Yes, a s we said, the PAR numbers will stabilize from here on and the d enominator effect will start to come in. So, the PAR numbers , while there was an increase in PAR , it was also getting contributed by the decline in the overall. So, now the book decline will get handled because our

disbursements are increasing . So, the denominator e ffect will also start to show on the overall PAR .

Moderator : Thank you. The next question is from the line of Ashle sh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje : First question is on Slide # 26, where you have shown the PAR performance for Ujjivan versus industry and there is a very significant gap in those numbers between you and the industry across the large states. Just a qualitative question here , when you look at these borrowers, would you say that their performance with you is better than it is at the industry level or would you rather say that you have a borrow er base which is of a different quality altogether i f you were to understand the difference in perfor mance ?

Management : There are various things behind this. First of all, yes, this slide, I was also trying to refer that though we are talking about that we are doing well in some other states and we are still to see bottom in some of those states, but over all in all the states we operate, we are much better than the average industry. That is the point number one . Second, it is to do when you start operation in any district or any area , your branch selections , your customer selections plays a very important role in overall quality of your portfolio . That is what we also saw in previous cris es also, during pandemic , during demonetization , b

efore that in another crisis also and that is very visible now as well . As we see the state wise performance also , it is v ery different , almost 2.5 times down compared to industry , state by state. That is very visible. The reason behind this was as I mentioned, the quality of customer acquired , the branches you open , the w ider spaces you find and then your trade policies and policies around customer selection underwriting is very important . That is something which we have been able to build over the period of time. Also, the IL graduation program and even further graduations that is something which I would say that now, after years of experience, this graduation program and filtering of customers is doing very well. If you look at our GL performance and then look at IL performance, IL is doing better than GL. Our M-LAP program is doing better than IL and that proves that our graduation program and our filtering process or data analyti cs is working fine. These are some of the reasons why you see these numbers.

Ashlesh Sonje : Just one follow up on this. Would you have done any analysis to understand how the performance of your borrowers is with you versus how it is for the rest of the in dustry? Any color from there b ecause I understand the first point which you made , one is that customer selection itself is different, but are the same customers behaving better with you versus industry? Is there any way to prove that?

Management : Yes, we do, customer paying to us, not paying to others and customers paying to others and not paying to us and what I would say that overall, customer paying to us, not paying to others is little better, but at the same time geographies where it becomes little ki nd of community issue etc., where you don't have control and there you will see that the community don't pay to anybody. So, that is something , but overall level, we see our customers behaving better for us compared to others.

Ashlesh Sonje : And one last d ata keeping question. If I go to Slide # 23, the table on the top left where you have shown 8.0% and 6.6% for Ujjivan +3 and Ujjivan +4 and above in November , is there a rupee equivalent of this number?
Carol Furtado : We can get back to you on this.
Managem ent: We can do the math and send it to you.
Moderator : Thank you. The next question is from the line of Abhishek M from HSBC. Please go ahead.
Abhishek M: Sorry to come back to this slide 23. For this Ujjivan +3, the table on the left and Ujjivan +4 would it be a fair assumption that the portfolio mix would roughly be similar as the borrower mix? Or would there be a difference in ticket size for Ujjivan +3 and Ujjivan +4?
Management : No, you would see only a decimal point difference there, so borr ower and value would roughly be the same.
Abhishek M : So, given that you have not applied the 3 lender guardrail yet and because this Ujjivan +3 is more or less stable over the last 5 -6 months , so fair to assume that these customers are also gettin g repeat loans or renewal loans a s of now ?
Management : Yes, they are. Based on the credit policy that we have any customer who is eligible for a repeat loan gets a repeat loan. So, this is again based on the policy parameters , but they are all getting repeat loans as of now.
Management : And one more thing is that co-lender is one thing , then you have indebtedness limit. You also have a policy that if we don't lend to customers , so far we have no not lend to customers who are even 1 DPD with others. So, those policy also take into account when customers past behavior and that helps you choose customer better.
Abhishek M : But if that is the case, then the PAR trend that is going up and the moment you hit April and you probably stop lending or stop giving renewal loans to these customers , then that PAR trend can a

lso go up as sharply as what you see in Ujjivan +4 and above. And that means that could lead to more credit cost in 1Q and possibly even in 2Q. So, how do we read this?
Management : So, when you look at Ujjivan +3 for example, there is 8% contribution to book. These customers , good customers f rom here , it would be our job to retain those customers and continue the relationship and strengthen the relationship with them . Customers who are in PAR t hat could be a little bit of a disturbance because the relationship may not get renewed, but that effect, I would assume has already happened during the last one or two quarters. So, there could be a marginal impact, yes, but not a very significant impact.
Abhishek M : Because if I just think about it, the book size, let us say 8% and 6 .5%, similar book size, but that book size will have the same experience that these 6 .5% had from September or from July to

November. So, if you see the PAR movement, i t really shot up after June, right, then w ent to 19 and then further increased to 22 and 2 5. I am thinking this 13 will have that same experience from April and then that goes up with a similar trend. That is why I am coming from ?
Management : We don't know whether this will go up to what extent. What we see is we have already started to communicate to customers and this is what we have done proactively is April onward s, you will have only three lenders. So, if you continue your relationship with us, we will give you better interest rates and this is something that we communicated to customers. What we have also told them is if you have smaller loans with other lenders, kindly repay them , so that you can continue relationship with us. So, these are the st eps that we are taking on the field as of now. Some customers would be flip , there is a possibility that the PAR number may go up, but we will try our best. That would be the effort that we would make to continue with the asset quality. Is there a chance o f this number going up, y es, there is a chance, but to what extent is very difficult to say a s of now . From our side, what we would do is retain our best customers and giv e them the best service and reduced interest rates.
Moderator : Thank you. The next qu estion is from the line of Sagar Shah from Spark PW M. Please go ahead.
Sagar Shah : First of all, my question was related to the industry level. You have clearly highlighted that in the PPT as well as on the call that how you felt better than the industry as far as the macrofinance collection is concerned. But I wanted to have a little bit of a long -term view that going forward , how do you look at t he group loan structure, the group loan’s disbursements going ahead? How do you look at the business after this all stabilizes in the next 2 quarters ? Do you see some sort of visibility in the resumption of disbursement growth as far as this business is concerned for Ujjivan as well as the industry or how do you see?
Management : As we mentioned that we ha ve already seen green shoots in many of the large states where we

are operating . At industrial level als o, these states are large . At the same time, there are few other
states which will normalize, say in the next 2 -3 months . This is what we feel, but at t he same
time as you also asking about what will be the structure in microfinance going forward so what
to say that we have so far seen is that entire customer aspirations have changed a lot in the last
3-4 few years , especially after pandemic . At the same time, if you look at the kind of regulations
that has come in, I would say asset regulations in form of Guardrail 1.0 and then 2.0 customers
will be limited to three lenders . At the same time as aspirations are changing , many customers
are now trying to move from GL to individual lending, and that is something which

we would
say that we have advantage there b ecause we are very old and refined graduation program . We
have more than 5000 products of portfolio already in individual lending and we see a lot of
potential in GL to IL graduation . At the same time, the same customer segment we also see that
customer graduating to other products that we have within Bank and also the cross sell
opportunities that we have around as we are Bank we a re also offering oth er products to the
customer segment as well. At the same time, as we go forward, we have seen this i n past crisis
also that some kind of consolidation may also happen and we will see large players getting the
market.

Sagar Shah : My second, sir would be on the NIMs, as you are moving towards almost 40% of Secured , I
know you have highlighted that there will be no change in the NIMs, but logically when your
group loans is decreasing , when you are focusing totally on the Secured book which is yielding
you much lower, almost 500 bps lower than the unsecured book , so what is your color on the
NIM s? Will the NIMs fall below 9% at least in FY26 and FY27 when there will be balance 50 -
50 be tween the Secured and unsecured portfolio ?
Carol Furtado : Yes, the NIM s will fall below 9% , but what we have done is that our Secured assets book, we
also have products like the Vehicle Finance , Gold Loan s. All these are high yielding products.
So, this should help us in compensating the decline in the unsecured portfolio. And we have
micro mortgages , we have Vehicle Finance which are very high linked pro duct. So, we should
be able to maintain within around less than 9.
Sagar Shah : And my last question was related to which we categorize as other loans. Now , we are offering
good loans at almost you highlighted at around 128 branches. So, what is your outlook regarding
vehicle and Gold Loan s? Will the proportion for these two significantly increase and can you
specify a number?
Management : Gold Loan , it is not 128. We are live in 198 branches and both from Gold Loan as well as Vehicle
Finance , we see these two businesses are promising , business in coming up the next medium
term, next 3-5 years and we plan to have offered the Gold Loan as well as Vehicle Finance
expand this business to branches that we operate currently at this point of time in various states .
So, yes, these two businesses are very promising for us. We have already seen that our housing
business is one of the most prominent Secured business es that we have, MFI has started taking
in. At the same time, these two businesses pulling weight in the future gives us confidence that
going forward our Secured versus unsecured ratio will move forward.
Moderator : Thank you. The next question is from the l ine of Am ey Kulkarni from Candor A sset
Management. Please g o ahead.
Amey Kulkarni : My question is regarding the interest rates, is there any direct, indirect indication from RB I or
Ministry of Finance to reduce interest rates in the micro lending segment either to Ujjivan or to
the industry ?
Management : The pricing of the risk is the discretion of individual lender. RBI is very clear about it , but what
they would like to see is that the risk based pricing is based on appropriate inputs and that is all
what RBI l ooks at. So, all entities would have looked at their pricing mechanisms and their
competitive landscape and the business considerations and based on these factors, they would
either increase or reduce their rates of interest in different points in time. But RBI would not
question the rate of interest, b ut it can only look at how you have calculated.
Moderator : Thank you. The next question is from the line of Sonal Min has from P rescient Cap Investment
Advisors. Please g o ahead.

Sonal Minhas : I am on Slide # 21. Just a bookkeeping question that the chart on top which talks about collection
efficiency. If I see month -on-month, yo ur collection efficiency for group loans a nd for individual
loans is going down from October to December. Am I reading this data correctly?

Management : Yes. Overall collection efficiency for group loa n as well as individual loan is showing lower.
Sonal Minhas : Yes, month -on-month is going down , could you explain the reason for this number going down , if you could just explain this in detail?
Management : Some time back I had said that as the PAR goes up , collection efficiency is a weighted average of non-delinquent customers, customers in S MA buckets and NPA. So, as the PAR has gone , the average comes down because the SMA and the NP A collection efficiency numbers are normally much below, so therefore the overall collection efficiency gets impacted.
Sonal Minhas : And as you were saying to the last participant that your PAR is peaking this number is expected to improve from the December numbers as we speak, is that correct when you talk about January , February, March?
Management : Yes. So, as we said, w e are seeing stability in the PAR now. In the last 4 -5 months , there was an increase in PAR. That is starting to stabilize now.
Moderator : Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.
Shailesh Kanani : Sir, again on Slide # 23, I understand our individual lending are basically the group loan customers who are graduated , so when we see Ujjivan +3 and Ujjivan 4, have we done any working in terms of those customers who can be graduated towards individual lending? And they might be having an income level more than the threshold of 3,00,000 and so they can be tagged as non -MFI a nd those are good set of customers which can continue with Ujjivan?
Mana gement : Yes, and this is something which we do and which we have been doing f or long now where the customers, w e choose customers on the basis of their repayment capacity, their loan ticket size requirement, and their family level income . On the basis of t hat we graduate customer from GL to IL. You are right , in this category also where customers are looking for loans from three or four different institutions. We will try to consolidate their loans and give them I L loans . That is a good customer , so r epayment is good with us, with others every year.
Shailesh Kanani : So, my question was, have we done some kind of working on that already because we are kind of reaching th e threshold and April 1st is the date so any ballpark number , any idea on that , this percentage of out of this 14 % or would kind of qualify for individual lending, so they can still be customers of Ujjivan even after 1st April?
Management : So, I said it is a continuous process. If you look at even U jjivan 4 and above, the repayment is 79%, that means that majority of customers are paying , the customers who are paying on time ,

the customers who are paying on time to others also and customers having income . That is the process we follow and graduate these customers.
Shailesh Kanani : Just to clarify, so they would still remain customers of Ujjivan post 1st April, but they will be customers, right?
Management : Not necessarily. If they pass our filter process they can be given another loan in terms of IL. That is, they will still continue with Ujjivan.
Moderator : Thank you. Ladies and gentlemen, as this was the last question for today, I would now like to hand the conference over to the management for closing comments.
Sanjeev Nautiyal : Thank you for very energetic interactions. As guidance , as my concluding remarks, I would like to state that our Secured book by the

year end would be 40% plus , the Y -o-Y growth on the Secured book would be around 50% , the individual business growth should be around 12% for the entire year. Overall growth could be hovering between 8% and 9% on the overall book . Credit cost , we continue with our guidance of 2.3% -2.5%. Deposit growth will be in line with the requirements fo r the asset book in order to maintain a credit deposit ratio of around 89 % or so. The NIM for the full year should be between 8.6 % and 8.8%. And improving the CASA ratio would be one focus area for us , in this quarter, the last quarter as well as going for ward. Thank you.
Moderator : Thank you. On behalf of I IFL Securities, that concludes this conference. Thank you for joining us and you may now disconnect your line s.

Call: May 2025

USFB/CS/SE/202 5-26/14
Date: May 0 2, 2025

To,

National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

Symbol: UJJIVANSFB BSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 542904

Dear Sir/Madam,
Sub: Transcript of the Quarterly Earnings Call held on April 30 , 202 5
Pursuant to Regulation 30 o f SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnin gs/quarterly conference c all held on April 30 , 202 5 for the quarter and year ended March 31, 202 5 is enclosed herewith.
The same shall be available on the Bank's website at www.ujjivansfb.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED

Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework

Encl: as mentioned above

"Ujjivan Small Finance Bank Q4 FY '25 Earnings
Conference Call"

April 30 , 2025

MANAGEMENT : MR. SANJEEV NAUTIYAL – MD & CEO, UJJIVAN
SMALL FINANCE BANK
MS. CAROL FURTADO – EXECUTIVE DIRECTOR ,
UJJIVAN SMALL FINANCE BANK
MR. BALAKRISHNA KAMATH – CFO, UJJIVAN SMALL
FINANCE BANK
MR. ASHISH GOEL – CHIEF CREDIT OFFICER , UJJIVAN
SMALL FINANCE BANK
MR. MARTIN P S – CHIEF OPERATING OFFICER ,
UJJIVAN SMALL FINANCE BANK
MR. VIBHAS CHANDRA – HEAD (MICROBANKING),
UJJIVAN SMALL FINANCE BANK

MR. HITENDRA JHA – RETAIL LIABILITIES & TASC
HEAD, UJJIVAN SMALL FINANCE BANK
MR. GAURAV SHAH – LEAD, INVESTOR RELATIONS ,
UJJIVAN SMALL FINANCE BANK
MODERATOR : MR. RENISH BHUVA – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day and welcome to Ujjivan Small Finance Bank Q4 FY '25 Earnings Call hosted by ICICI Securities Limited.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questio ns after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone telephone. Please note that this conference is being recorded.
I now hand the conference over to Mr. R enish Bhuva from ICICI Securities. Thank you a nd over to you , sir.
Renish Bhuva : Yes. Hi. Thank you. Good eveni ng, everyone, and welcome to Ujjivan S mall Finance Bank Q4 FY '25 Earnings C all.
On behalf of ICICI Securities, I would like to thank Ujjivan SFB Management Team for giving us the opportunity to host this call .
Today , we have with us the entire top management team of Ujjivan SFB represented by Mr. Sanjeev Nautiyal - MD & CEO; Ms. Carol Furtado - Executive Director ; Balakrishna Kama th – CFO ; Ashish Goel - Chief Credit Officer ; Martin PS - Chief Operating Officer ; Mr. Vi bhas - Head, Microbanking ; Mr. Hitendra Jha – Retail Liabilities & TASC H ead and Mr. Gaurav Shah – Lead, Investor Relation .
I will now hand over the call to Mr. Sanjeev for his opening remarks and then we will open the floor for Q &A. Over to you, sir .
Sanjeev Nautiyal : Thank you, please . Good evening and welcome to our Q4 Earnings Call. Please be informed that references made during this address to Q3 and Q4 pertain to Financial Year '24-25.
Q4 concludes an eventful year at Ujjivan . The year saw new leadership assumed the positions of MD and CEO, Executive Director, Chief Financial O fficer and Head of Retail Liabilities infusing in Ujjivan vast management experience and exposure across banking and financial industry. Bank successfully navigated the challenging business environment in the microbanking segment, maintaining one of the be st in the industry portfolio quality . Strategic initiative to diversify and build higher share of secured loan book saw significant progress now contributing 44% of the loan portfolio, up from 30% last year.
While the banking system liquidity continued to see challenges, this was managed at optimal levels with the credit to deposit ratio improving to around 85% and LCR managed comfortably around 120%. Further in February 25, the bank took a major step forward by filing application with RBI to transition to Universal Bank. Disbursements for Q4 have been the highest ever in history of Ujjivan at Rs. 7,440 crore s, up 39% Q-on-Q and 11% Y-o-Y. The gross loan book reached Rs. 32,122 crore s, up 5% Q-on-Q and 8% Y-o-Y. The secured book crossed Rs. 13,988 crore, up 17% Q-on-Q and 56% Y-o-Y.

Following are the major highlights . Housing verticals are robust disbursement in Q4 of Rs. 1,130 crore s, up 39% Q-on-Q. The loan book reached Rs. 7,308 crore s, up 14% Q-o-Q and 48% Y-o-Y becoming a meaningfully significant player in the affordable housing space. MSME business witnessed an impressive growth during Q4, led by revamped and newer products of LAP working capital and supply chain. The disbursements at Rs. 533 crore, up 61% Q-o-Q is all time high resulting in loan book reaching Rs. 2,047 crore , growth of 21% Q-o-Q and 45% Y-o-Y. Current account balances from MSME customers grew 70% Y-o-Y showing traction in our strategy to build liability through MSME assets. FIG continued its growth journey reaching Rs. 2,785 crore, up 23% Q-o-Q.
Another significant highlight was the performance of newer product lines of the bank, the disbursements for which contributed 11% to the banks disbursements in Q4. Micro mortgages, higher yielding lower ticket size product within housing now contri

bute Rs. 723 crores growing
37% Q-o-Q and 258% Y-o-Y. W orking capital and supply chain finance, the business banking segment now contributes more than 20% to MSME book . Vehicle finance witnes sed impressive growth reaching a book size of Rs. 468 crore, up 25% Q-o-Q and 166% Y-o-Y. Agri Banking reached a loan book of Rs. 323 crores, up 66% Q-o-Q and 276% Y-o-Y. Gold loan gain

momentum with disbursements up 69% Q-o-Q taking the loan book to Rs. 196 crores as of March ‘25 , up by 70% Q-o-Q.

On the Microbanking segment as previously guided, there was robust growth in disbursement in Q4 up 38% Q-o-Q. Within Microbanking, individual loan book grew 5% Q-o-Q, reaching Rs. 5,182 crore, now constituting 28% of the overall Microbanking book as of March ‘25 . The GL book degrew by 4% for the quarter, in line with a cautious approach adopted for the year reaching Rs. 13,090 crores . Disbursements grew to Rs. 2,787 crore s, up 37% Q-o-Q primarily led by disbursement to good existing customers which contributed 84% in Q4 sourcing. The full implementation of M FIN guardrail 2 has been completed with effect from April 1st. The Micro banking bucket X collection efficiency in all states other than Karnataka showed consistent improvement reaching 99.6% in March ‘25 . The overall bucket X collection efficiency reached 99.5% in March despite Karnataka registering only 98.7 %. The branch and customer specific interventions were pivotal in managing t he portfolio, making it one of the best in the industry under the current situation . We are confident that improvements in this segment both from the business and collections perspective shall continue to ensue.

Coming to the Secure d Portfolio Quality :

Housing GNP A reduced Y-o-Y to 1.1% as of March ‘25 from 1.5% . MSME saw a drastic improvement with GNPA reducing to 5.5% as of March ‘25 from 8.4% as of March 24. The 24 MOB MSME book has only 0.1% GNPA . Bank level gross NPA stood at 2.2 % and net NPA at 0.5% . Bank affected an ARC transaction of Rs. 365 crore in Q4, of which Rs. 295 crore was from provision ed portfolio and Rs. 70 crores from written -off portfolio. In terms of RBI guidelines , the bank utilized Rs. 69 crores towards ARC transaction from floating provision pool. As previously guided, credit cost for Financial Year ‘25 stood at 2.45% of average gross

advances, including accelerated provision of Rs. 46 crores , while it was 2.12% net of bad debt recovery. Closing PCR for March ‘25 is at 78%.

On the liability front, the total deposit book closed at Rs. 37,630 crore s, up 9% Q-o-Q and 20% Y-o-Y. In Q4, i mpressive growth in CASA was witnessed up 11% Q-o-Q reaching Rs. 9,612 crore and now forming 25.5% of total deposits. Current acco unt crossed an important milestone of Rs. 1,000 crore for the first time, reaching Rs. 1,118 crore as on March ‘25 with impressive growth of 35% Q-on-Q and 46% Y-o-Y. Retail TD plus CASA stood at Rs. 26,676 crore, accounting for 71% of total deposits , expe riencing a 21% Y-o-Y growth . Cost of fund increased marginally by 1 basis point and is at 7.6% for q uarter 4.

On financials and margins :

The total income for FY '25 at Rs. 7,201 crore is up 11% Y-o-Y. For the quarter, total income stood at Rs. 1,843 crores, up 5% Q-o-Q. Other income grew by 57% Q-o-Q driven by processing fee, insurance income and treasury income . Interest expenses increased by only Rs. 5 crore Q-on-Q due to active liquidity management ; however, OPEX increased by 11% Q-o-Q mainly d ue to direct business expense on account of higher disbursement. Investments in a new alliance of businesses, full -year expenses impact of the branches opened in Financial Year ‘24 and technology investments have led to increase in operating cost. Credit c ost for Financial Year '25 at Rs. 748 crore includes the accelerated provision of Rs. 46 crores and is within the

limit

estimated before. Due to the change in asset mix towards secured , NIM for the Financial Year '25 came in at 8.8 % down 25 basis points fr om March 2024. Cost to income ratio for the Financial Year '25 at 62 %. With this , the full year PAT stands at Rs. 726 crore with ROA of 1.6% and ROE of 12.4 %.

Microbanking portfolio saw improvement in asset quality in Q4. Green shoots are visible and busin ess momentum also picked up in Q4. However, Microbanking business is still to completely navigate couple of geography specific issues and industry guard rail 2 mandates. Accordingly, to allow the evolving situation to stabilize and offer us a clearer perspective, we shall be giving our guidance for the year along with our Q1 Financial Year '26 results. Directionally, the diversification of loan book would continue at fast pace, led by housing and MSME, ably supported by higher yielding micro mortgage , vehicle , Agri and Gold loan businesses. Deposits will grow in line with asset growth keeping the CD ratio around 88%.

Thank you very much. Now , I hand over to the moderator, Mr. Avirat .

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ni dhesh Jain from Investec. Please go ahead.

Nidhesh Jain : Thanks for the opportunity. Is there an interest income reversal this quarter and can you quantify that?

Management : Yes, interest reversal for the quarter because of the slippages would be in the range of roughly Rs. 17-Rs. 18 crores for the quarter.

Nidhesh Jain : And how should we look at yields next year, given that there will still be a migration from unsecured to secured in FY '26. So let us say , how the trajectory of yields we should build in FY '26 versus what we have seen in Q4?
Management : Yes, hi Nidhesh. So see with the secured mix increasing and the shift towards the secured, the yields will directionally get moderated a bit. Having said that, we are also working on increasing the share of our higher yielding secured books of vehicle finance, which is givi ng us a yield of roughly 20% plus, micro mortgages within housing vertical, which is also giving us a yield of 19% plus and also gold loan which is also giving us a yield of roughly (+14%). And not only that within the Microbanking segment, we are also loo king at increasing the share of individual loans , which is roughly 100 basis points plus over group loan. So all these factors put together should be balancing out the yields also for next year.
Nidhesh Jain : But any range if you can give , should we build 100 basis point reduction over Q4 or less than 100 basis point reduction over Q4 next year in terms of yields ?
Management : So as part of the MD speech, w e mentioned that we will be giving the guidance for the year with the Q1 results. So we will li ke to refrain right now.
Nidhesh Jain : Sure. And with respect to the credit cost, since your SMA book has started to reduce in microfinance and it is now quite similar to let u s say , marginally higher than business as usual SMA book as your asset quality exp erience and secured business also doing quite well. So do you see that FY '2 6 we should see a business as usual credit cost or do you still see that Q1, Q2 will be elevated credit cost because S MA book in microfinance has come down quite sharply or is quit e under control now?
Management : Yes, we have seen a good reduction in our SMA book. So we should see this trend hopefully going forward and continue as we have seen in Q4, in fact the PAR s eems to have peaked in December. However, there are one or two are as which we are watching now. One is the impact of guardrail 2.0 and a couple of geography related things which are currently evolv ing. So yes, there will be a difference between H1 and H2 credit cost , H1 being slightly higher than H2.
H

owever, we can come up with a firmer number by the end of Q1.
Nidhesh Jain : That is it from my side. Thank you.
Management : Thank you, Nidhesh.
Moderator: Thank you. Next question is from the line of Raj iv Mehta from Y ES Securities. Please go ahead.
Rajiv Mehta : Yes. Hi. Thank you for taking my questions. Firstly, when I look at the reported yield for group loans and individual loan combined that has actually slightly increased in Q-on-Q basis. I know there has been a c hange in methodology in terms of calculation, but there is an increase, but we had actuall y taken a price reduction from 1st January between 75 basis point and 115 basis

points. So all the new disbursements which we did must have come at a much lower price or this much lower price , so how come the yields have gone up Q-on-Q?
Management : Yes. Hi, R ajiv. Yes, we have modified the methodology on the day -to-day basis. The yields have actually gone up because of the w ay calculation happens. We did an ARC transaction of amounting Rs. 365 crores , out of which roughly Rs. 300 crores was within the provision pool, which was still on balance sheet a nd the interest accrual does not happen . As we answered the previous question also , the interest reversal happen ed due to book moving into slippages. So due to the denominator effect , largely we are seeing the increase in yield happening .
Rajiv Mehta: And on the price reduction, there is no calibration, right? We have gone ahea d and implemented that much as we had pl anned ?
Management : Yes. Just to add, Raj iv also , the mix of individual loan, which is a higher yielding portion on Microbanking has also gone up by 3%. So that is also helping the overall yield of the Microbanking segment. And yes, we have taken the rate increase also effective from 1st April and we have implemented that.
Rajiv Mehta : No, so from 1st January , we had taken a rate reduction of that quantum and are you saying that from 1st April have you al so kind of again reinstated a part of that reduction?
Management : Yes, Raj iv, you are right. We have taken an entry from 1st of April for both GL and IL, which is a roll back of the small discount which we had given in the 4th quarter because it is a good business now and everything is going well. So we thought we should come back to our old pricing. So we had given a discount for Q4 only, which we have withdraw n.
Rajiv Mehta : Yes, sure. Sure. That clarifies, Sir , now, the outlook on NIM you can s hare becau se we are exiting NIM at 8.3 %, the average for the whole year is 8 .8% and we are fast moving our mix towards secured products . And I am sure even in the next year , the growth in secured products will be much higher versus MFI. I appreciate the fact that we have kind of rolled back the pricing

gain in MF I, which will help us, but from a mix perspective and as per what is your sense on how the cost of funds will move going ahead because the bulk pricing has actually come off and have you taken any rate actions on the term deposits or SA rate of late, if you can just kind of answer all of these points and maybe give us some conclusion about , some outlook about how the NIMs will play out ?
Management : Yes, Rajiv , we will give a broad sense on both the NIM side as well as the cost of fund side. NIM , yes, since the secured loan will be moving up in percentage, there will be some reduction, but not very material due to the fa ct that we have increased the rates again from 1st of April, that benefit will come plus we have high yielding products as I explained earlier, which is a vehicle loan. The individual loan also is doing well, so that will sustain that and now coming to the cost of funds side, yes, we have taken a reduction both on the SA side as well as on the TD side, bulk deposit rates also have come down . And already two repo rate reductio

ns have happened as per
the RBI's rate action and we estimate that our cost of fund will definitely come down by at least

25-30 bps over next year considering these two reductions . If any more happen then it will be subject to that. So the NIM side, yes, we will be more or less there. There will be only a small reduction as compared to t his year .
Rajiv Mehta : Got that. And just one last thing, sir, from a slightly longer -term point of view in the next 2 -3 years, where are we in terms of the profitability of the secured businesses, housing, finance , MSMEs, finance business? We ha ve been doing this business for a while now and there is good growth as well, so where do we achieve what level of RO A, is there some broader outlook on these secured products in terms of profitability road map?
Management : Yes, we are working on it. We have recentl y again re -launched the vehicle lo an, gold loan as a new product. So it will take around 18 -24 months for i t to come to a good profitability level. Yes, we should aim for 2% ROA for the new products also going forward. So we are working on that . Maybe over the next 2 -3 years , once it reaches a certain level which we are aspiring to maybe gol d loan around Rs. 1,000 crores , vehicle loan around Rs. 1,500 crore , at that time , it will start making good profits and will sustain going forward. So anything more you would like to know about that?
Rajiv Mehta : No, maybe I am sure once you come out with the guidance in maybe more questioning, I will have more questions I will have at that time. This helps right now. Thank you so much and best of luck .
Moderator : Thank you. The next question is from the line of Sagar Shah from Spark PW M. Please go ahead.
Sagar Shah : Good evening, sir, and thank you for the opportunity. My first question was regarding to our OPEX. In this quarter, our employee, we h ad some sort of serious off r oll collection team increase also, but our employee expenditure also increased by almost 18% Y-o-Y and also sequentially it increased by almost 13%. So what led to the increase or just is it some sort of one-off in these numbers or is it just temporary blip. Can you explain about this? This is my first question ?
Management : Yes, I will take that question. Yes, you rightly noted, the OPEX has gone up. That is because we have made certain investments towards improving our secured book and on the liability business. And for that we hired some em ployees and also on the collection side, you rightly observed, we increase the manpower due to the difficult market conditions. You might have noted our PAR and our credit cost is almost half of what is there in the market. So we hav e invested in that. Directionally , it will come down as our dis bursals grow because last year , our disbursal in the unsecured side was a little muted, though the secured was doing good, but next year both the segments should show growth and we wi ll come out with more details of that when you give the guidance and then the operating cost as a percentage will get tempered going forward.
Sagar Shah : Fine, sir. My second question, sir, was regarding our GL portfolio. Our GL portfolio obviously degrew also by sequentially, but I obser ved there was some sort of a disbursement growth even in IL and even in micro group loans actually. So first of all, can you give some color that in

which geographies are you getting confidence actually and will in the same geographies and FY '26, will we resume growth at least in this segment?
Management : Hi, Sagar. S o in microfinance , in both GI and IL, f irst of all, IL is something which is our growth driver in microfinance for a long time. This is something which we have built over a period of time and this is some product which we are doi

ng everywhere because you get good customers
everywhere. So it is a graduation product and which is well refined process where we are doing customer graduation and even in difficult market it works because you have good customers there as well. As far as GL is concerned, GL has degrown a little bit in this financial year, but at the same time when we look at geographies, we see that there are green shoots in various states apart from one or two states and within those states few districts are affected, but apart from that, we are seeing that in Eastern part of the country, Northern part of the country and even Western countr y is doing well for us and w e see growth coming from these geographies in the coming financial year and t his financial year also.
Sagar Shah : So is it safe to assume , sir or can you specify the geographies in which you have received green shoots and in FY '26, will we see a positive trajectory as far as group loans is concerned?
Management : So we are looking at the Eastern part. That means W est Bengal, Bihar, Jharkhand, even Uttar Pradesh and in North part Punjab issue is also over , so Punjab, Haryana, Rajasthan, Gujarat and Maharasht ra. The se are the states where our presence is good and our portfolio is doing well. As far as S outh is concerned, you know that Karnataka, it will take some time to completely recover and then we will see some good volume here also. But at the same time i n South , IL is something where we are looking at growth here as well.
Sagar Shah : Fine, sir. So my last question was regarding to our floating provisions , we utilized around Rs. 40 crores of worth of floating provision this quarter . We even did some Rs. 30 crores of accelerated provisions. Now , my question was that we still hold around Rs. 130 crores of contingency provisions also , collectively 181 , but around 130, we have easily had. So when we had such a huge credit cost in this q uarter, so why didn't we use some more provision section in this at least to contain our credit cost actually ?
Management : So in terms of floating provision, see we have used Rs. 69 crores against the ARC sale, which we had done during this quarter. So the number is 69. We still hold about Rs. 150 crores of floating provision which is earmarked towards GNPA a nd about Rs. 30 crores, which is earmarked towards Tier 2 capital, so already Rs. 150 crore. We are currently using Rs. 130 crore for GNP A and NNP A calculation and Rs. 20 crores is unutilized. So as far as utilization of floating provision is concerned, we cannot directly utilize floating provision. These are made for the purpose of contingencies and this can be done only after specific approval from RBI . So for the ARC transaction , the RBI guidelines allow the utilization of floating provisions, so this is what we have done in Q4.
Sagar Shah : Fine, sir. Now, just last bit, if I can squeeze in more that I know you are not giving guidance, I am not repeating that to give you any guidance for NIMs or yields , but as per my self-calculation,

our self calculated yields as per the earmarked yields that you have given in the presentation and the kind of disbursements that you are seeing in the secure front , the yields are coming approximately at around 18 %-19%. So is it safe to assume that at least we will remain in this range or still it is not sure based on because of the portfolio mix that you had alluded to before that we will stay at around 50 -50 between secured and unsecured? S o is it safe to assume that the yields will be in that range, which I just said?
Management : No, as already mentioned, we would like to give guidance along with the Q1 results. So at this stage, we would not be able to elab orate any further on this subject. We will give you the correct estimate along with the Q1 results.
Sagar Shah : Fine, sir. All the

best and thank you.
Management : Thank you, Sagar .
Moderator : Thank you so much. Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants in the conference, please limit your questions to 2 per participant. The next question is from the line of Shr eepal Doshi from Equirus . Please go ahead.
Shreepal Doshi : Hi, sir. Thank you for giving me the opportunity. S ir, my question was on collection trends in April as we have already sort of concluded the month, so how has it been for microfinance given that the 2.0 guardrails would have also got implemented with respect to the lender gap?
Management : So as we have mentioned that apart from a few states, especially in the South , we are seeing positive momentum both in business and collection across the country and our last quarter has been very good in terms of collections and we are continuing that momentum in the month of April also and we hope that this quarter will also be similar to or better than the last quarter.
Shreepal Doshi : Got it. The second question was on the loan book mix front. So we have launched newer products such as gold among others. How are we seeing that share inching up in the next, let us say , 12 month 's time period because these products are also like not only secure , but also decently positioned when it comes to ROA p rofile. So what is your thought process in terms of their contribution by FY '26 or by FY '27 and if you could give some color?
Management : So gold loan is a new product for us. We started with almost a ver y small book and we scaled it up to about Rs. 200 crores during this year. This has got enabled by rollout of this business in 4

quarters. So every quarter , we started opening branches and we now are currently present in about 200 branches. We will continu e to open branches for gold loan during this quarter, largely in H1 and then some branches in H2 also. So opening branches continuously putting people for gold loan acquis ition, this is the plan that we have in mind. By end of next year, FY '2 6, we expect that this book will be about 2 .5%-3% of the overall AUM.
Shreepal Doshi : So this is only gold and vehicle, which is another like , I think Rs. 470-Rs. 480 crore that we have built. So I am saying that new products as a category, how would that like be contributing in , let

us say , FY '26 and /or FY '2 7 because today, as we see that book is almost, I would say Rs. 1,000 crore portfolio?
Management : So these are very important new products that we have done in the last 18 months. Vehicle loan , for example , we now are touching Rs. 500 crore, but we have built a capacity to be able to disburse in the range of Rs. 70-Rs. 80 crores during season times. So we have tested ourselves last season and by season, I mean actually August, September, October, November whe n two-wheeler sales are at their peak during the year. We have tested ourselves. We have touched Rs. 75 crores in a month. So this year also , we will go with the same momentum. This of course is a dealer based business, not a branch based one unlike gold l oans. So we have done tie -ups across dealerships . This year also , the distribution footprint will increase again. So, the growth in vehicle loans, two -wheeler will continue with the same pace this year also.
Shreepal Doshi : Got it. And just one data keeping question, what is your write -off for this quarter and full year?
Moderator : Sorry to interrupt, Mr. Shr eepal.
Management : Just one second, we are checking the n umber.
Shreepal Doshi : That is my last question.
Management : It was Rs. 363 crore for the full year.
Shreepal Doshi : Alright. Thank you so much. Thank you and good luck for the next quarter , sir.
Moderator : Thank you. The next question is from the line of Shailesh Kanani from Centrum Brok ing. Pl

ease
go ahead.
Shailesh Kanani : Good evening and thanks for the opportunity. Sir, a couple of questions from my side. One on the MFI segment, as you have alluded to in the opening remarks as well, there has been a good jump in disbursement and overall also in the numbers also , it is getting reflected. So is it safe to assume or is it safe to un derstand that the burst in terms of credit cost in MFI cycle is over and FY '2 6 again , we would be seeing some growth, not maybe very high, but some growth for both GL and IL . IL, I know it is doing well, but even on the GL front, can you throw some light on that?
Management : So in Q4, the increase in disbursements has come largely on the back of repeat customers. So we saw demand coming back in the market. You must have noticed that in Q2 as well as Q3, the disbursement for the industry was low. Q2 Y-o-Y disbursement was low by about 28% below normal and in Q3 it was down by about 35% below normal. So repeat customer demand had to come back and that is what we saw happening during the quarter. Now , in terms of , I am sorry, what was the second question?
Shai lesh Kanani: In terms of the disbursement for the full year .

Management : For the full year, yes, see there has been muted disbursement for almost 9 months in the industry. So there is demand coming back. We will also see some new customer acquisition during the year that has been something that we have not done over the last 9 months . And we will also see as collection efficiency improves, branches will start to acquire more customers because in the last maybe couple of quarters , branches h ave been spending a lot more time in collecting from overdue customers. And that has slowed down our new customer acquisition speed also plus we were a little more cautious. We were only servicing repeat customers all this time. So on both sides, yes , in terms of customers getting added, we will see some addition this year. And in terms of branches doing higher disbursements, we have already started seeing the trend and we will see that this trend will continue.
Shailesh Kanani : Sorry to harp on this, but j ust to understand what we are doing different than say other players because our disbursement if I see year-on-year basis, GL and IL combined, it is nearly flattish , not a huge dip, right , whereas many of the players have kind of even on year-on-year basis depicted a huge decline. So any quantitative factor which you would like to throw out means why this performance is a little bit better than the peers ?
Management : There are two -three reasons to this, one of which is we have very good geographic diversifi cation and because of geography diversification, we have not got impacted in a big way in any of the

states whenever there has , so lower concentration has been one of the reasons. The second, of course, is IL now contributing to 28% of the book . The impact of guardrail 1 was largely on GL, so IL had a lesser impact compared to GL. So that also helped us in maintaining asset quality. The third one is as soon as we had started to see stress we had divided our branches into green, amber and red based on their collection efficiency. And the disbursements , the pace at which they would grow or degrow was largely dependent on the categorization of these branches. So in green branches , we were doing business as normal because collections were normal and in red branches , restrictions were put throughout the last 2 or 3 quarters. That also helped us in not taking additional risks in places which were not doing well and continuing with disbursements as normal in green branches. So this was one of the reasons wh y the disbursement trend did not show a very steep decline.

Shailesh Kanani : Sir, just last question, one question on the FI G front , I am seeing the jump in the disbursement in FIG as

well , considering I believe the yields would be one of the lowest while we are having growth over there, any views on that?

Carol Furtado : So FIG has always been a strategic book for us and we have been looking into disbursements a little differently. We have a good hold on the FI G book. So at the moment, yes, we see that the FIG book has grown and we will ensure that this book is not more than 8 %-10% of our total portfolio and we generally lend to NBFC's which are engaged in MSME, v ehicle finance, gold and also our focus area continues to be on the higher rated entities A+ and above. And w e also have a spread of around 1.25 %-2.75% for these loans. It is based on the credit profile of the borrowers and finally this book has largely been having around A and AA rated e ntities. We have some good NIMs also in this book and we did a total disbursement of around Rs. 1,064 crores in Q3. So this book has always been a strategic book for us.

Shailesh Kanani : That is helpful. Thanks a lot and best of luck.

Moderator : Thank you. The next question is from the line of Aravind R from Sundaram Alternates. Please go ahead.

Aravind R : Hello , sir. Thank you so much for the opportunity. Just a clarification question to the interest rate reduction which we offered during the 4th quarter in individual and group lending , is it only a temporary thing, now the interest rate is again reversed back to the normal rate?

Management : Yes, you are right. We had given some discount for the 4th quarter because we wanted to improve the busines s. And now it is more or less restored back to normal . The discount has been withdrawn .

Management : One thing is that even after an increase in interest rate, we are one of the best interest offering , organizing in terms of microfinance loan in the market.

Aravind R : Yes, definitely, sir. Also, do we see any repricing in any other part of the portfolio like either in terms of increase or reduction ?

Management : No, as of now , we don't envisage any change in our pricing. We will have to wait and see how it goes. But as of now, w e don't have any such plan. Yes.

Aravind R : Sure. Thank you, sir .

Moderator : Thank you. The next question is from the line of Ashle sh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje : Hi, team. Good evening. Our first question is data keeping one. Can you just break out the slippages by segment? I just need the MFI slippage number if you can share that ?

Management : One second, we will pull it up.

Ashlesh Sonje : Sir, in the meanwhile, if I can take the second one, the second one is on slide number 24 in the presentation where you have shared the PAR trend for leveraged customers, Ujjivan +1, +2 and +3 and so on . Over there, if you see the Ujjian +4 PAR number that has climbed up to 30 % odd as on February, whereas the Ujjivan +3 number is about 13%. Now that the three lender CAP has been implemented , do you think the 13% number which is for Ujjivan +3 that can cl imb up to a 30% kind of level ?

Management : Ashle sh, in terms of breakup of slippages , we had about 87% of the slippages coming in from Microbanking for the quarter. As you know, 87% of the bank slippages came in from Microbanking. In terms of Ujjivan + 3, Ujjivan +4, we have seen a decline happening in Ujjivan +3 in the last quarter . January , we have seen a higher number. It was climbing up . In Feb, it came down and in March it has come down further. So w e feel that this trend should continue .

Because of gua rdrail 2 implementation , there might be a month or two where we can find some disturbance. But overall , we don't see this number going up to 30%. It should be much lower

than that.
Ashlesh Sonje : Understood. Thank you . And sir, just lastly, what is the total pool of return of

loans where you
expect to make some recoveries?
Management : So see , this is divided into two parts , Ashlesh. One is the old ones which we had done immediately after COVID, and the second is the ones whi ch we have done in the last 2 years. The sum of what we have done in the last 2 years is approximately Rs. 750 crores.
Ashlesh Sonje : Understood, sir. Thank you.
Moderator : Thank you. The next question is from the line of Sonal Minhas from Persc ient Cap Investment Advisors LLP. Please go ahead.
Sonal Minhas : Hi, sir, this is Sonal Minhas. Am I audible?
Management : Yes, Sonal.
Sonal Minhas : Sir, my first question is with regard to the provisions which you are doing, I am on slide number 23. I just wanted to understand subjectively the provisions have actually come down. The provision coverage is basically has come down from 804 to 710. And there has been a credit cost, which is reasonable in this quarter. So wanted to understand that are you satisfied with whatever provisions we have as we speak right now? And this is actually going into what we should see the provisions for FY ' 26 because the number has reduced meaningfully, so in Q1, Q2 FY '26, do we expect more provisioning just to p ush the amount of provisioning if you could just help and direction me explain this?
Management : Sonal, we maintain our PCR above 70%, the PCR has come down from 80% to about 78% between Q3 and Q4. In addition to this, we also have Rs. 21 crores of unutilized floating provision which can add a further buffer if we utilize it. We have also done accelerated provision in March in addition to what we had done in December . This quarter, we have done about Rs. 42 crores. So in terms of PCR, I think we are fairly cov ered.
Sonal Minhas : So even after consulting the last one would have been kind of ? Yes, I understand, sir. My question was that our PCR is roughly , the absolute amount is roughly similar to where it was when this whole microfinance kind of stress started happening and hence in March 24, we were at Rs. 690 crores and right now , we are at Rs. 7 10 Cr. So that actually should we see this number go up sig nificantly next year is broadly, I wanted to understand given this has been a year of stress and we are roughly at the same point where we are in March 24?
Management : So in terms of absolute provisions, the provisions will follow the provisioning norms . As and when slippages happen , provisions will keep going up as well as and whenever interventions

happen, the provisions will keep coming down. One of the interventions that we have done in Q4 was the ARC transaction . But for us , as a m andate, we will continue to maintain PCR above 70%.
Sonal Minhas : So my second question that I wanted to ask , the majority of your MSME book and your affordable housing book, while the GNPA and the PAR numbers have come down Y -o-Y, any color there, any sub jective guidance there you can give in terms of how that book is behaving that will be helpful ?
Management : So in MSME, we relaunched the product in April 23 and post that we have built a book of almost Rs. 1,200 crores . In this Rs. 1,200 crores , on the 24 MOB book , we have not seen NPA's, we have seen a little PAR . NPA's are in the range of 0.1%. So the book is holding well for us and this has three components , one is LAP , the second is working capital , which is overdraft products, and the third one is supply chain finance. So in all the three products , we have seen the 24 MO B book hold . In terms of reduction in NPA, the old book has contributed to the NPA and that is what , we are seeing recoveries happening from there. And in the last year itself , we saw more than Rs. 35-Rs. 37 crores of recoveries happening from the old book . Currently , we have done SARFAESI in all the NPA accounts, almost 33% of those are in advanced stage

s ,
either waiting for auction or waiting for enforcement of security. So w e see that this trend of reduction of NP A should continue in the old book. And old book is now reducing at a very fast pace, so the residual book is likely to have a higher NPA, b ut the slippages have now come under control with the new book now contributi ng to the overall MSME book.
Sonal Minhas: So the newer book, as you said is behaving well , so is there a time in future, maybe next 12 months, 18 months where the old book has been reduced significantly in margin and this book basically starts, there is a maturity curve basically which it comes back to industry average? What would you see in MSME which is typically 3 %-5% kind of NPA specific ally?
Management: No, when we look at MSME book, the NP As are large ly guided by the segments in which we operate. Our old book was of Rs. 15 lakh ticket size and the moment COVID happened this ticket size was the one which got impacted the most , the lower end of the segment in the book

that we have re -launched . We now ope rate with an average ticket size of about Rs. 55-Rs. 60 lakhs o n the LAP side and on the working capital, which is overdraft the average ticket size is close to about Rs. 1 crore. So it is a complete new segment that we are working with. So therefore we fe el that the asset quality being dependent on the segment in which we are operating should be much better than what we see across the industry.
Sonal Minhas: And what is an average for them in that ticket size?
Management: Again, d epending on the segment , we are operating in the Rs. 50 lakh plus segment on LAP and Rs. 75-Rs. 1 crore in working capital , maybe about Rs. 1.5 crores. So these segments are relatively unaffected by any small downt rends t hat we see. So we should see this segment normally behaves very well in the industry.

Sonal Minhas: So industry average numbers there are also pretty low, less than 2%, less than 3% and that is the number , I just want to understand?
Management: Yes, the industry numbers are also very low in this. The delin quencies are low in these segments.
Sonal Minhas: Got it. That is it from my side. Thank you.
Management: Thank you.
Moderator: Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants in th e conference, please limit your questions to 2 per participant.
The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.
Sarvesh Gupta: Good evening, sir and congratulations on a good set of performance. Sir, most of my questions have been answered.
Management: Sorry, we are not able to hear clearly. Could you speak louder?
Sarvesh Gupta: Is it better? Are you able to hear now?
Management: Yes, you are.
Sarvesh Gupta: Sir, m y question was pertaining to Karnataka and Tamil Nadu, where these ordinances have been introduced or are in the place, s o how are you seeing the situation, sir? Is it like so we have seen a dip in asset quality in all the other states and that dip sort of bottomed out in the month of November and then steadily things have been improving as you said in 3 of the 4 regions of the country. So in these particular states, after , for example , in Karnataka, we saw a dip in Jan and then Feb and now is it just improving, just like every other region, but wit h a lag of one or two months? Or are we seeing some other issues which we think will persist over some time a nd same for Tamil Nadu , sir?
Management: Sarvesh, is this only for Karnataka? Yes, Karnataka , we saw a dip in collection efficiency in February and it did not come back to normal in the month of March . In March also, we had 98.7%. What we consider normal is in the range of 99.5 % bucket X collection efficiency. So there have been about 7 or 8 districts in Karn

ataka which have still not come back to nor malcy.
These may probably take another 2-3 months before they come back to normalcy . In most of the other districts in Karnataka, we started to see improvement. So the bucket X collection efficiency, which had actually gone down to below 97 % recover to 98. 6% only because most of the other districts started to respond well. But about 5 or 6 districts still did not respond in the month of March.
Sarvesh Gupta: And what is happening on the ground? Is it like the borrowers are refusing to pay or are you not able to send your collectors to collect the money? Or there is some confusion between registered

and unregistered entities? If you can throw some color on the ground situation in these districts that you are facing challenges ?
Management: So the risk around people going and meeting customers, that was a little elevated in the month of February, but we saw significant reduction in that in the month of March. People were going and meeting customers, there was no resistance in going and meeting. However, as I was saying in about 6 districts, 7 districts, there w ere lower repayment rates because people wanted some time to pay . Most of the narrative that we have been hearing is we will pay , but not now. There has been deferment of promises to pay , especially in the month of March.
Sarvesh Gupta: And now in Tamil Nadu, if you can?
Management: On ground, things are normal now.
Sarvesh Gupta: No, I was referring to Tamil Nadu. So Tamil Nadu, sir, what is happening and what you have seen in the month of April, if you can throw some light on that?
Management: Tamil Nadu is just about a week old. It has not even reached people as of now because the developments are not more than a week old. In Karnataka , it had taken about 2 or 3 months of attention by people and it had various colors happening in various districts . In Tamil Nadu, I

think this has been only a week . And the bill has already gone. It has already got passed. In Tamil Nadu , we should see a much lesser disruption if there is any because of no disturbance on the field . In Karnataka , it was escalating. Here, i t has been a very smooth situation.
Sarvesh Gupta: Understood. And sir, the other question is on the OPEX piece , so our OPEX was even trending higher before in the earlier quarters of this financial year. Then , I think we saw some moderation and then again it has spike d. So how do you see that trending out? Is it because we are running on a very low utilization for the secured business which is causing this OPEX to be on the higher side or there are some one -offs related to the collection because this even in the past post COVID crisis we had ramped up our collection till then that had resulted in some OPEX spike , so how much of this sort of an OPEX trend can be explained bec ause of?
Moderator: Sorry to interrupt, Mr. Sarvesh. May we request that you return to the question queue for follow up questions as there are several participants waiting for the turn ?
Sarvesh Gupta: Yes, okay.
Moderator: Thank you. The next question is f rom the line of Chinmay N ema from Pers cient Capital. Please go ahead.
Chinmay Nema: Good evening, sir. Sir, I just have one question? Could you share out of the total provision, how much are earmarked towards the microfinance book?
Management: Out of the total provisions ?

Chinmay Nema: Sir, out of the total provisions, just trying to understand the split of the provisions between our other retail assets and the microfinance book ?
Management: We will come back to you on that.
Chinmay Nema: Sure. Ye s, that is it from my side. Just one question.
Management: Sure Chinmay, we will come back to you on this one.
Moderator: Should I take up the next question, sir?
M

anagement: Yes, sure .
Moderator: The next question is from the line of Raj iv Mehta from Y ES Securities. Please go ahead.
Rajiv Mehta: Yes, just one thing. Firstly, just tell us, what is the overall Tamil Nadu exposure at the bank level in terms of loan assets? And the second is, while from a growth point of view, we are highlighting that individual loans in microfinance are not covered by the MFI and guardrail a nd hence you can grow them faster, but from a risk point of view, do we already have tight underwriting guardrails in individual loans which will keep the PAR always below the group loans? And if you c an elaborate on those guardrails that have b een in place ?
Management: Sure, Rajiv. So Tamil Nadu contributes to about 14% of the overall assets for the bank, the total loans and advances for the bank that includes microfinance and all the other retail assets. And in terms of individual loans, this b usiness for us has been almost 16 -17 years old. We have been continuously improving our processes, continuously improving our underwriting standards. Most of this book , above 90% of the book in individual loans has been graduated from group loans. We have a team of about 550 credit officers who independently assess every loan application on the ground when we have to sanction a loan. So there is a dual assessment of every customer and underwriting norms are again based on the industry, on the occupation of the customer. So this has worked well for us and the graduation of all the group loan c ustomers happens typically not before 36 months. So the bank already has experience of good credit behavior of customers before we graduate them to individual loans.
Rajiv Mehta: Yes. That is good. That is it from my end .
Moderator: Thank you. The last question for the day is from the line of He et Khimawat from I IFL Securities. Please go ahead.
Heet Khimawat: Hi, sir. Thank you for the opportunity. Just a couple of questions . One is that we ha ve seen some reclassification from the Agri book to some individual loans and other loans. Can I know the reason for that is first? And secondly , with the M FIN 2.0 now coming i n which you have implemented from April, while we have seen some of your peers do it even before that like maybe in the month of February or maybe even November ‘24 for some cases. So do you think

that the growth might get impacted in some way when the + 3, +4 borrowers come for the second loan or the repeat loan? So just those two questions if you can get perspective on ?
Management: Yes. Hi. So on the first question , we have just reclassified the loan , so that reflects the grouping. So earlier , our Agri and allied loans given for individual loan purpose was clubbed under Agri and allied. Now , we have included into individual loan and the Agri banking now reflects only about that Agri banking secured portfolio.

Management: As far as effect of guardrail 2.0 is concerned, first of all, we believe that the impact of guardrail 2.0 will be much lower than guard rail 1.0 because they may overlap with each other in terms of the different benchmark that we have to set or the way we ha ve to reject the customers. Second point is that if you look at our overlap, the three -lender and four -lender, we are one of the lowest and the loss there in terms of customer not being eligible for a repeat loan will be much lower than the average industr y. Among those customers also we have good customers, we have good graduation program, not only IL , we have LAP, w e have other products also where we have very smooth graduation program, and customers can move to other products if they are eligible, and their income supports . This also opens up opportunity . As far as we go into the month of April and this quarter going forward after implementation of guardrail 2.0 across the industry , I

mentioned this in the last quarter also that customer will also now cho ose the three best lender where they can continue with and that gives an opportunity if you have a basket or product to offer to your customers, your interest rate, your processes are faster, there are high chances that you can attract best customers in th e mark et. But yes, there will be some, we will lose some customers who will not be eligible as they already have loan from core a nd our loan is maturing first, but at the same time, we will also have opportunity to attract customers, best customers in the market as well. This is also from the point of view that with the kind of stress the industry has gone through there will be some market that will open up with some of the players not being able to dis burse because of the liquidity issue and that is someth ing we are looking at.

Heet Khimawat: Got it, sir. That is helpful. And just lastly, if I may ask on the Universal Banking License, any update on that side?

Management: As you may be aware, we have filed for the Universal Banking License in February and we wait to hear from the RB I on this matter.

Heet Khimawat: That is helpful, sir. Thank you.

Moderator: Thank you. This was the last question for the day . On behalf of ICI CI Securities Limited , that concludes this conference. Thank you for joi ning us and you may now disconnect your lines.

Call: Jul 2025

USFB/CS/SE/202 5-26/56
Date: July 28, 2025

To,

National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

Symbol: UJJIVANSFB BSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 542904

Dear Sir/Madam,
Sub: Transcript of the Quarterly Earnings Call held on July 24, 2025
Pursuant to Regulation 30 o f SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnin gs/quarterly conference c all held on July 24 , 202 5 for the quarter ended June 30, 202 5 is enclosed herewith.
The same shall be available on the Bank’s website at www.ujjivansfb.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED

Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework

Encl: as mentioned above

“Ujjivan Small Finance Bank Limited
Q1 FY'26 Earnings Conference Call ”
July 24, 202 5

MANAGEMENT : MR. SANJEEV NAUTIYAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – UJJIVAN SMALL
FINANCE BANK LIMITED
MS. CAROL FURTADO – EXECUTIVE DIRECTOR –
UJJIVAN SMALL FINANCE BANK LIMITED
MR. SADANANDA KAMATH – CHIEF FINANCIAL
OFFICER – UJJIVAN SMALL FINANCE BANK LIMITED
MR. ASHISH GOEL – CHIEF RISK OFFICER – UJJIVAN
SMALL FINANCE BANK LIMITED
MR. MARTIN P S – CHIEF OPERATING OFFICER –
UJJIVAN SMALL FINANCE BANK LIMITED
MR. VIBHAS CHANDRA – HEAD OF MICRO BUSINESS –
UJJIVAN SMALL FINANCE BANK LIMITED
HITENDRA JHA – HEAD, RETAIL LIABILITIES –
UJJIVAN SMALL FINANCE BANK LIMITED
MR. GAURAV SAH – LEAD FOR INVESTOR RELATIONS -
- UJJIVAN SMALL FINANCE BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Ujjivan Small Finance Bank Q1 FY '26 Conference Call hosted by Equirus S ecurities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you, and over to you, Mr. Shreepal.

Shreepal Doshi: Thank you, Viren. Good evening, everyone. I welcome you all to Q1 FY '26 Earnings Call of Ujjivan Small Finance Bank. Today, we have the senior management team of Ujjivan Small Finance Bank represented by Mr. Sanje ev Nautiyal, MD and CEO; Ms. Carol Furtado, Executive Director; Mr. Sadananda Kamath, CFO; Mr. Ashish Goel, Chief Risk Officer; Mr. Martin, Chief Operating Officer; Mr. Vibhas Chandra, Head, Micro Finance Business; Mr. Hitendra Jha, Head, Retail Liabilitie s TASC and TPP Branch Banking ; and Mr. Gaurav Sah, Lead for Investor Relations.

I would now like to hand over the call to Mr. Sanjeev for his opening remarks, post which we can open the forum for question and answers. Over to you, sir.

Sanjeev Nautiyal: Thank you, Shreepal. Good evening, and welcome to our Q1 FY '26 earnings call. I will walk you through the business and financial outcomes for the first quarter of financial year '26. Please be informed that references made during this address to Q4 pertain s to FY24-25, and Q1 and H2 relates to FY25-26.

About overall business. In Q1, our gross loan book delivered a growth of 11% Y -o-Y and 4% Q-o-Q, reaching INR33,287 crores. The disbursements in the quarter grew to INR6,539 crores, registering a strong grow th of 24% Y -o-Y. The rising share of our secured portfolio from 31% to 46% Y -o-Y underscores the calibrated strategy to diversify our product suite and enhance portfolio quality.

The MFIN guardrails 2.0, have been fully adopted by the bank effective 1st April 2025. While we had anticipated a slower disbursement, we observed that demand scenario improved and Q1 disbursement in group loan was 2% higher than Q4.

We stay aligned to this new operating framework and are focusing on deeper existing customer engagement and opportunities to acquire new customers. Our focus on graduation of good customers to individual loans is also gaining momentum as per our existing strategy.

We added approximately 1.1 lakh new customers in micro banking during Q1, while ensuring healthy borrower profiles. Reinforcing our focus on customer life cycle management, we also graduated approximately 34,000 group loan customers to individual lending and also migrated large number of customers to secure products of gold, ve hicle and micro mortgages, a testament to our efforts in nurturing creditworthy borrowers and driving sustainable growth.

Recent ly regulatory changes were introduced, reducing the Priority Sector Lending requirements for small finance banks from 75% to 60%. This move marks a significant positive shift and gives the bank enhanced flexibility to calibrate its portfolio mix. We believe this will aid in better capital allocation and improve the cost and risk profile of the bank's portfolio.

About macros and liquidity, the Reserve Bank of India took various steps starting February '25, including

reduction of policy repo rate and continuous liquidity infusion. We believe these measures will bring down the cost of funds and drive higher credit demand in rate -sensitive segments like Affordable Housing, MSME and vehicle loans. As part of our strategy to diversify the loan book towards more secured products, we expect the NIM to moderate for the bank. The impact of repricing of deposits undertaken by the bank in t he last few months is expected to benefit the cost of funds in coming quarters. Additionally, we carried higher liquidity buffer

to meet the large liability maturities in Q2, which is getting absorbed in this quarter leading to liquidity stabilization.
Assets update. In Q1, our group loans stood at INR12,961 crores, reflecting an 18% Y -o-Y degrowth. However, disbursements in Q1 were up 2% Q -o-Q to INR2,844 crores. Our focus during the quarter remained firmly on reviving disbursement, strengthening collecti ons and improving portfolio quality.
Individual loans grew 7% Y -o-Y to INR5,332 crores, backed by a strong 16% Y -o-Y growth in disbursements. This reflects the quality and credit behaviour of customers graduating from our group loan portfolio and remains a n important growth engine. The portfolio quality in IL continues to be better than GL.
X-Bucket collection efficiency of the micro banking book remains strong at 99.34% for June '25, reflecting repayment discipline. We are witnessing improvements in collec tions environment and expect to touch normalized levels of 99.5% plus by Q3 FY26.
Coming to the secured book. Disbursement growth of 86% Y -o-Y in Q1 was primarily led by a strong 100% Y -o-Y increase in our affordable housing and micro mortgages segments, a longside a 212% Y -o-Y growth in the MSME segment. Additionally, our FIG book continued to contribute meaningfully to overall disbursement momentum.
Others, including vehicle, gold and agri loans contributed about 11% of disbursements in Q1 and continue to grow at an accelerated pace. Our housing portfolio comprising affordable housing and micro mortgage loans has delivered impressive growth of 53% Y -o-Y in loan book, reaching approximately INR8,000 crores.

Micro mortgages, a higher yielding, lower ticket product continues to contributes roughly INR900 crores to the portfolio, registering a strong growth of 227% Y -o-Y and 24% Q -o-Q. As part of our strategy, micro mortgages has augmented the housing portfolio, effectively addressing the sub -10 lakh ticket si ze segment and complementing our current product offerings.
MSME business continued to witness an impressive loan book growth of 59% Y -o-Y, reaching INR2,253 crores. Working capital and supply chain finance now account for over 24% of our MSME book, reflec ting the growing traction in our business banking segment.
In the Other portfolio, vehicle finance continued its strong momentum with loan book growing to INR560 crores, a robust 156% increase Y -o-Y and 20% increase Q -o-Q. Agri banking loan book reached INR403 crores, growing 288% Y -o-Y and 25% Q -o-Q. Gold loans also gained traction during the quarter with disbursements rising around 550% Y -o-Y, taking the loan book to INR293 crores with presence in 280 branches.
Our focused efforts in newer product offerings comprising of micro mortgages, gold, vehicle and agri banking loans have started showing noticeable contribution towards the portfolio. Our Q1 disbursements were INR628 crores against Q1 FY25 disbursement of INR198 crores . These are our higher -yielding offerings in the secured lending portfolio.
Liabilities update. The bank's total deposits grew Y -o-Y at 19% to INR38,619 crores. Our CASA deposits grew by 13% Y -o-Y to INR9,381 crores. Retail TD plus CASA deposit s stood at INR27,884 crores, registering a 16% growth Y -o-Y and contributing 72% to total deposits. Notably, retail deposits

have remained consistently above 70%, emphasizing the stability and stickiness of customers towards our franchise. Our cost of fun ds remained at 7.6% in Q1 and shall reduce in upcoming quarters since we have lowered the peak FD rates by 65 basis points and SA rates have been recalibrated up to 100 basis points in some buckets.
In terms of asset quality, the green shoots are visible with PAR accretion in micro banking, showing a consistently decline over the last 2 quarters. Our slippages in micro banking had peaked in 9 out of 10 states in Q4, and we foresee Karnataka peaking in Q1. Slippages are expected to show an improving trend g oing forward.
As was the case in Q4 and Q3 of FY24-25, this improved scenario did not necessitate sale of NPAs to ARC in Q1. Bank continued the prudent approach of taking accelerated provisions of approximately INR23 crores in Q1 and additionally holds unu tilized floating provision of INR21 crores as of June '25.
Our financial performance. Interest income for the quarter went up by 3% Q -o-Q as the asset book continues on an upward trajectory. Other income increased 26% Y -o-Y. It was down by 8% Q -o-Q due to the PSLC income, retail insurance, bad debt recovery and disbursements being lower. This was offset by higher treasury income due to OMO , switch , buyback transactions carried out by the regulator during the quarter. Additionally, collections in the ARC po ol have contributed approximately INR7 crores by means of provision release towards discounted SRs.

Opex for the quarter reduced by 3% due to lower variable pay compared to the previous quarter and tight control over costs. Major savings came from IT. The cost to income for the quarter stood at 67%. Credit cost improved Q -o-Q to INR225 crore s from INR265 crore s, including accelerated provision of INR23 crores. Profit after tax for the quarter stood at INR103 crores. The return on assets and return on equity were at 0.8% and 6.7%, respectively.
We would now like to place before you the guidance for the year. Advances growth around 20% with secured growth around 35%, liabilities growth in line with advances to maintain CD ratio around 88%, the growth sh ould be around 18%. CASA percentage targeted to close at around 27%, cost -to-income percentages to remain around 67%, credit cost to be in the range of 2.3% to 2.4% of average gross loan book. ROE to be 10% to 12% and ROA to be around 1.2% to 1.4%.
Lastly , coming to the Universal Bank license application. Post the submission in February 2025, our application is under consideration of RBI. Before I conclude, I would like to introduce Mr. Umesh Arora, who has joined as our Head of Emerging Businesses. He hol ds a rich experience of over 25 years and has held senior leadership roles in retail lending, credit and asset businesses across reputed banks like Axis Bank, IDBI Bank, Standard Chartered Bank and Utkarsh Small Finance Bank. He would be overseeing the dep artments of Housing, MSME and Agri banking.
Thank you. Now I hand over to Viren.
Moderator: We have our first question from the line of Renish from ICICI.
Renish: Congrats on a good set of numbers. Just 2, 3 things from my side, one on this asset quality piece. So during Q1, we saw most asset equality metrics deteriorating sort of across segments, whether it is gross NPA, PAR 0, PAR 60, etcetera. So just wanted to g et a sense, is it largely due to seasonality? Or is there any specific to read into this?
Ashish Goel: Renish, this is Ashish here. So in terms of PAR, we had a higher PAR in Q1 as compared to Q4. This was largely in terms of addition, the PAR addition has started to decline for the last 2 quarters, as Mr. Nautiyal said. However, in Q4, we had done an ARC deal of INR300 crores. That had reduced our PAR significantly, and we have not had the need to do any ARC deal in Q1.
And ther

efore, the PAR and GNPA woul d show a slightly higher number. And similarly, the only thing that we have done in terms of intervention is about INR150 crores of write -off, which was eligible as per policy. So with no intervention, the PAR and GNPA numbers have gone up a little.
Renish : Got it. So let's say, adjusted for ARC sale in Q4, the fresh PAR accretion pace has deteriorated, I mean, has improved in Q1?
Ashish Goel: Yes. Renish, that is right. The PAR accretion has improved in Q1 because our Bucket -X collection shows a much bette r trend in Q1 as compared to Q4. In Q4, we also saw some deterioration because of Karnataka as a state. That factor did not played out till April. But in

May and June, that was not a factor. So our Bucket -X collection efficiency also showed an improved tre nd. We are now at about 99.4% for the last 2 months.
Moderator: Mr. Renish, does that answer your question? He has dropped from the question. We can take the next question. The next question is from the line of Pritesh Bumb from DAM Capital.
Pritesh Bumb: Just a couple of questions. One is on micro mortgages. The GNPA has now touched at 1%, though the number is smaller. But any colour that, is there some spillover from the main JLG or any other microfinance towards or micro mortgage as well?
Ashish Goel: Pritesh, so in micro mortgages, this book is almost now 15 MOB sorry, this book is now 24 MOB. 15 MOB is where we have built most of our bo ok. Almost 80% of the book is in 15 MOB. There will be a slight increase in PAR as we go forward as the book stabilizes as it matures. But if you see quarter -on-quarter, the NPA was negligible when we look at Q4 and Q3 of last year. So it will see a slight ly higher PAR and GNPA as we go forward as the book matures. As Mr. Nautiyal also said that this is a high -yielding book for us and complements the gap in housing of below INR10 lakhs, so it is budgeted accordingly.
Pritesh Bumb: Got it. Second, on individ ual lending as well, we've seen some PAR moving up. You alluded to PAR moving up in the JLG book due to s ale of some ARC, but in individual lending, we may not have sold to the ARC. So what has the reason been in the individual lending that the PAR has mov ed up?
Ashish Goel: As I said, Q4, we had done kind of interventions in terms of ARC sale. So the PAR had come down. And similarly, the NPA had also come down. But in terms of delinquencies, IL continues

to do better than GL. That is point number one. And point number two, most of the deterioration
that we see in the IL metrics has come from Karnataka. So I would take it as a one -off, and we
would see stability in this quarter onwards.
Pritesh Bumb: Just to follow up on that, any impact in Tamil Nadu as wel l because there was some movement
in terms of bill there as well in collections?
Ashish Goel: No. So in Tamil Nadu, GL has not been doing as well as we've seen IL. So GL, as we all know,
has been an industry -wide phenomenon because of higher leverage of cu stomers.
Overborrowing has been the highest in Tamil Nadu. So therefore, GL continues to show slightly
elevated PAR and NPA. But in terms of IL, it continues to be below 2% GNPA and the PAR
has been below 3%, 3.5% sorry, sorry, 4%. It has been in the range of 4%. So TN is doing quite
well in terms of IL.
Pritesh Bumb: Got it. Lastly, the secured yields and the macro banking yields have not much changed. I mean
the secured yields have unchanged and macro banking is down at 20 bps. But the overall yield
is do wn by 30 bps. This is basically only from the mix change, right? Nothing else to read from
that?
Ashish Goel: Yes. It is largely due to the mix change, Pritesh.

Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.
Rajiv Mehta: Good numb

ers. Just a couple of things from my side. Sir, firstly, on this NIM decline of 60 -odd
basis points on a sequential basis. How much was the impact of this buffer liquidity, which you
carried through the quarter also due to interest reversals?
And how do you see our NIMs moving forward in the remaining 2, 3 quarters, considering how
our liabilities will reprice basis the actions that we have taken the average tenure of bulk and of
retail, how the liabilities will reprice and also considering the fac t that we had reinstated lending
rate cuts from 1st April in micro banking. So there are multiple factors, but so if you can just
kind of clarify how the NIMs will incrementally move in the next 2, 3 quarters? And what was
the impact of buffer liquidity an d interest reversals in Q1?
Sanjeev Nautiyal: So Rajiv, there are 3 aspects to the change in the NIM. One is because of change in asset mix,
which is to the extent of 25 basis points. Excess liquidity, which shall be absorbed in Q2 and Q3
led to a 17 basis points inflection.
And one -off payment in micro banking, we had to refund prepaid instalments interest to the
customers, which led to a 14 basis points hit on the interest income. So total is 56 basis points.
If the points 2 and 3 were not present and onl y the change in asset mix were to be reckoned, then
our NIM would have been around 8%, which is a gradual 8.3% to an 8% kind of a movement.
So what we have done is peak FD rates have been cut by 65 basis points and savings account
rate calibration has also been done in a few buckets up to 100 basis points as well. So these
aspects are going to lead to a reduction in our cost of deposits. It has already reduced by 21 basis
points in Q1 over Q4.
We see further reduction coming to the exte nt of 30 basis points based on our plan. With CD
ratio at 86%, we have excess liquidity to the extent of INR11,000 crore s, which is getting unwind
now. We expect our NIM to be closer to 7.9% in Q2, Q3 and stabilizing at 7.8% by the time Q4
comes.
Rajiv Meh ta: Okay. Sir, 7.9% by Q2 itself?
Sanjeev Nautiyal: Sorry, Rajiv?
Sadananda Kamath: Sadananda here. 7.95% by Q2 because there are 2 factors. One is excess liquidity will get popped
up in Q2. And the other one -off payment won't get repeated. So you will see an immediate
improvement to 7.9%, and will sort of stay there.
Rajiv Mehta: Also just carrying forward this point of bulk deposits repricing, what is the average maturity
profile of bulk? And what is the current cost of bulk deposits versus what is the fresh rate in the
market right now? What is the difference that you'll capture in the next 1, 2 quarters?
Hitendra Jha: Yes. Hitendra Jha here. So if you look at bulk TD, we are now sourcing at 7.69% and average
tenure is around 1 year.

Rajiv Mehta: Okay, 1 year.
Hitendra Jha: And retail, we are now sourcing at 8.09% Q1, which, as Mr. Nautiyal said, going forward, it will
be come down.
Rajiv Mehta: Sure, sure. Just one last one thing on collections. As I can see that the current collection

manpower , off-roll has been ramped up in the last 2, 3 quarters. Now how does it reflect in our collection efficiency and the rollback and resolution efficiency in the coming quarters? I mean that, can you just kind of tell us what kind of an improvement can we seen, would it lead to significant rollbacks, that is what the plan with this kind of augmentation in collection manpower?
Ashish Goel: So, Rajiv, this increase in manpower will help us in 2 ways. One is in SMA collections and the second is in NPA collections. An d that also includes write -off. NPA also includes write -off collections because these are higher DPD. In terms of SMA collections, we had seen that t he environment was not so good.
So we had focused a lot on the early buckets. 31 to 90 is where most of ou r off-roll team is handling.

And we have seen the collection efficiency in SMA 1, which is 31 to 60, improved from about 36% to 37% to now 47% to 48%. And SMA 2 has gone up from about 42% to 45%. So a lot of our team is in the early buckets handling the s lippages. And that has also shown us lower slippage. The forecast is also going forward much lower. In terms of NPA collections, we have seen an improvement. But in micro banking, it takes time. There are 3 to 5 meetings over a couple of months it takes fo r NPA to start getting recovered. But Q1 has been better than Q4 in our NPA and write -off collections.
Gaurav Sah: Yes. Rajiv, just to clarify, excess liquidity to the tune of INR1,100 crores, not INR11,000 crores. And retail FDs, the peak rates have been cut now to 7.6%. So approximately, we'll see a drop. So Hiten dra sir mentioned about the quarter 1 average numbers. So we expect good amount of reduction there going ahead.
Moderator: The next question is from the line of Sagar Shah from Spark Capital.
Sagar Shah: Congratulations to the entire team of Ujjivan for a decent set of earnings in such an environment. Sir, actually, my first question was related to the asset quality. In this quarter, we have around some few loans which are insured against the CGFM U scheme. So what I wanted to understand that how can we look going ahead , still we have around INR649 crores worth of cover for CGFMU cover. So going ahead , are we looking to increase our cover is this going ahead? Or what is the strategy over here?
Sanjeev Nautiyal: Sagar, thank you for the question. Yes, we have started doing CGFMU from the Q4, and we continued in Q1 as well. And we intend to continue this. This gives a very good coverage, and we will continue to do as part of the portfolio coverage going forward as well.

Sagar Shah: Okay. So at least till in the next 1 year that what percentage of the portfolio are you targeting to cover? And in the next 3 years also, are you targeting to cover 100% of your portfolio?
Sanjeev Nautiyal: So I would not be able to give you a percentage at this point of time, but we have select pool and we have signed behind it. We'll be covering some part of our portfolio throu gh CGFMU.
Sagar Shah: Okay. Okay. Sure, sir. My next question was related , sorry?
Carol Furtado: I was saying that CGFMU is a dynamic activity that we would be doing quarter -on-quarter based on the situation around.
Sagar Shah: Okay. So that will depend on the situation of the kind of the portfolio quality that you'll be taking a call depending on that basically.
Okay. My next question was related to Ujjivan plus 3 lenders, which constitutes almost 7.4% of your total borrowers. And if I see the collection efficiency over the last obviously quarters , we know what the kind of environment are we going through, but the collection efficiency is constantly dropping. So when will we see this number stabilize?
You already highlighted that we will see some recovery going ahead. But I wanted to exactly have some word about Ujjivan plus 3 lenders. How is the portfolio doing? And how is your collection ? how is your off -roll collection team actually helping out to recover dues from them?
Ashish Goel: Sagar, one of the r easons for a drop in collection efficiency is also because Ujjivan plus 3 and above has also dropped. This number last year was about 14%, and now we are in the range of about 7.4%.
So while the denominator has gone down, that is one of the factors which contributes to a drop in collection efficiency because the good customers are finishing their loans and the delinquent ones remain. So having said that, it seems to us that it will take another 1 quarter to maybe 4, 5 months for this portfolio to bec ome insignificant and that is how we are looking at the rundowns.
Sagar Shah: Okay. Okay. Fine, sir. So my next question was rel

ated to opex . What kind of numbers are we looking at increasing our branch network this year? And any guidance related to that? How are we looking to increase our branches across , maybe not in this year, but next year any guidance related to that?

Sanjeev Nautiyal: This year, we are planning to open around 25 branches. And over the next 4 years, we may open around 400 branches. Tha t is the overall plan.
Sagar Shah: Okay. Okay. Fine, sir. And once this collection efficiency stabilizes, especially in this stress portfolio, do we see that at least the off -roll collection team coming back to normal by FY '27? That will be my last questi on, sir.
Ashish Goel: Yes, Sagar. Post COVID, this team was in the range of about 1,800 people. Immediately post COVID, we had ramped up the team. We brought it down to 1,200 as collections , the stock came

down. During this time, we felt we needed to incre ase it, so we have taken it up. And progressively, as the stock comes down, we will bring down the team size.
Sagar Shah: Okay. So that will be one of the factors behind the low in cost -income ratio, right?
Moderator: Sagar, sir, I'm sorry to interrupt. Ma y I request you to rejoin the queue as there are several participants waiting in the queue.
The next question is from the line of Shailesh Kanani from Centrum Broking.
Shailesh Kanani: Sir, my question is, first, with respect to our housing segment. There , our book is now at a decent size, and we are seeing a good growth over there on a quarter -on-quarter basis. One small data point over there, the SORP has seen a sequential drop from 96% to 94%. So I was wondering what is that balance 6%? And if you can j ust kind of highlight any key monitorables in this book and key things which are going well for us in this book?
Ashish Goel: Shailesh, we also take commercial property when we do LAP. So there is some part of residential and commercial. While I can come b ack to you on specifically what was the 2%, but it could possibly be commercial property. We can come back to you on that.
In terms of monitorable , we have in terms of asset quality monitor, a 99.5% Bucket -X collection efficiency. We also monitor our GNPA and PAR. Our GNPA has been in the range of 1.25% for the past few quarters. It has stabilized in that range.
Shailesh Kanani: And what things have gone rig ht for us? Means the growth has been quite robust over here.
Ashish Goel: This is largely driven, Shailesh, by our distribution. So , we are present in almost 550 branches out of the 750 branches that we have. And so the product is widely distributed. We ha ve improved our distribution over the last 1 or 2 years. I would say , that is the primary reason. The second reason is our price competitiveness. We also are competitively priced compared to the loans available in the market through competition. So these a re, I would say, the 2 factors which help us service our customers better.
Carol Furtado: And in addition to what Ashish said, we also measure our sanction -to-disbursement ratio, which is close to around 90%, which is much higher than, I guess, the industr y.
Shailesh Kanani: That's useful. My second question, I was just seeing the breakup of JLG book in terms of exposure. West Bengal is about 15 .1%. And I remember earlier, but our commentary has been that we would be keeping it below 15% for any state expos ure. Has there any change in policy over there or anything to read into it?
Sanjeev Nautiyal: So yes, we still hold that. We want to keep our microfinance portfolio within 15% range. And I think the data that you're looking at is only group loan. If you in clude IL also, it will come below 15%. But obviously, in the last financial year, we have been facing issue in South, especially Karnataka and Tamil Nadu.

And we at this point of time, I would say from the last 2 quarters, we see that East and North has stabilized faster than other regions. And we have a larger base there. We have a lot of good number of branches there. And at this point of time, we want to grow there. As South also stabilizes, we will also start growing here, and you will see this ratio ag ain changing.
Moderator: The next question is from the line of Nikhil Vaishnav from Emkay Global Financial Services Limited.
Nikhil Vaishnav: So sir, just one question from my side. You said about NIM, we have impact of some 17 days from one customer regar ding the prepayment. So can you give some detail on the same like who is the customer, like we have given this prepayment in loans, deposit or any corporate customer? So can you provide some detail on this?
Sanjeev Nautiyal: So yes, it's nothing, but we in microfinance segment, there is a day of prepayment because it is monthly payment, and it is based on days in the centre meeting. And some customers tend to pay 1 or 2 days, 3 days advance and kind of accounting that we have in microfinance system, the 2 - or 3-day advance prepayment that interest benefit was to be transferred to the customer.

And that exercise we have unde rtaken and that small amounts have been transferred to the customers. And that is something which is going as an interest reversal because it was realized and then reversed.
Nikhil Vaishnav: Okay, okay. Understood. And secondly, sir, can you give some indi cation on the GNPA? Of course, it will be below 3%. But can you give some guidance or some indication on slippages, how it will be going forward in Q2 and in second half and also the credit cost?
Ashish Goel: So in terms of slippages, the slippages have started to come down post Q4. In fact, as we said, Q4 was the peak in 9 out of 10 states and Karnataka has peaked in Q1. If you look at it, the SMA book has been steadily declining from 2.68% to 2.36% and now 2. 29%. So this means that the slippages going forward will be much lower than what we had in the past 2 quarters. So you can say that the GNPA would be contained below 2.5% as we go forward.
Moderator: The next question is from the line of Abhishek from HSBC .
Abhishek: A few quick questions. So one is in the provisions of INR225 crore s, how much was for MFI? The quarterly P&L provision of INR225 crore s, out of that, how much was made for MFI?
Gaurav Sah: Abhishek, I'll come back to you, but around 80% should be the figure. But I'll come back to you on this. We'll take this offline.
Abhishek: Sure, sure, sure. And in MFI GNPA, typically, what's the PCR you maintain approximately?
Ashish Goel: It's in the range of about 70%. That is the mandate that we have. We have used floating provisions. As you must have seen, we have also used floating provisions at a bank level for the computation of PCR. So in our unsecured book, the provisions are slightly higher. And on the secured book, the provisions are relatively low er because they happen at over . The provisions

increase at a much lower pace, unsecured happens much faster. So PCR on unsecured is about 80%.
Abhishek: Sure. On unsecured, 80%. So basically, when you write off, you have to just make the remaining 20%. Tha t's right? I just wanted to check that.
Ashish Goel: That is true.
Abhishek: Yes. And in IL, how much is in Karnataka? And what would be the PAR of that book?
Ashish Goel: Sorry, Abhishek, you're asking about?
Abhishek: In individual loans, like the individual loan book, how much of it would be in Karnataka and what would be the PAR?
Sanjeev Nautiyal: So in Karnataka, Our overall book is about INR5,300 crore s, and Karnataka is about 10% of that. The overall PAR is 7.4% in Karnataka.
Abhishek: That is the IL PAR, individual book PAR?
Ashish Goel: That is th

e IL PAR.
Abhishek: And last quarter, it could have been how much?
Ashish Goel: It's given in the investor presentation.
Abhishek: Okay, okay, okay.
Ashish Goel: It has increased from 6.8% to 7.4%.
Abhishek: Right, right, right. Okay. Got it. Sorry, I missed that. All right. And last quarter, ARC sale would be mostly in GL, right?
Ashish Goel: No, no, it happened for both, GL as well as IL.
Abhishek: So what would be the split? Roughly, could you remem ber?
Ashish Goel: 78% was GL and 22% was IL.
Moderator: The next question is from the line of...
Ashish Goel: Abhishek, one correction. Karnataka, the PAR has gone up from 6.8% to 7.4%. I mentioned erroneously 3.8%. It is 6.8%.
Moderator: The next question is from the line of Chinmay Nema from Prescient Capital.

Chinmay Nema: A couple of questions from my side. Firstly, could you give some colour on what you're seeing in Karnataka on ground? And when do you see or how soon do you see the PAR numbers coming down meaningfully or turning around?
Sanjeev Nautiyal: Chinmay, yes, about Karnataka, we are seeing improvement, definitely. That is very, very clear. And the situation in which the industry was in, in the month of January, has eased out a lot. We see a lot of improvement in Ujjivan portfolio as well. At a broader level, Karnataka has 2 geography in microfinance. We have Bengaluru metro and rest of Bengaluru. The rest of Karnataka, you can say, Bengaluru was never affected for us. Bengaluru has been doing very

well even during the month of January, February, March. And we have a large part of portfolio in metro.
We are better than the industry. It is clearly showing in month on data, also in portfolio quality. We have excellent portfolio quality in Bangalore and urban market, as I mentioned. We see still some kind of issue in certain districts like Belgaum, Davangere, Tumakuru and Ramanagar, which contributes close to 10% of our estate portfolio and which is majorly impacted due to ordinan ce issue. Otherwise, state portfolio is doing excellent.
We also see increase in demand in other pockets. With the audience issue subsiding slowly, new PAR addition has reduced across most of the districts in the state consistently and expect to improve f urther in the state. We have 24% IL book in the state, and it is performing far better than GL. And as the profile and income levels of these customers in the state is much better, and we'll see continuous improvement in coming months as well.
Chinmay Nema : Understood, sir. Got it. My second question is on PCR. The PCR has been coming down quarter -on-quarter. So is it primarily driven by change in mix towards the secured book? Or is there something else to look into?
Ashish Goel: So the PCR has come down be cause the increment in GNPA was faster than the increment in provisions. Now that the GNPA accretion has slowed down, the provision accretion will catch up. And therefore, the PCR will tend to rise going forward. Number two, in terms of secured book, our P CR is low. And the GNPA accretion has also been very low there. So therefore, PCR has also shown a slight decline during this quarter .
Chinmay Nema: Got it. So out of the INR775 crores of total provisions, would you be able to share what are the provisions earmarked towards the MFI book?
Gaurav Sah: This is Gaurav. INR775 crores is the total provision. INR130 crores is the floating provision earmarked for this. So I'll give you a breakup of this. We totally have INR181 crores of floating provision, out of w hich INR130 crores is currently earmarked towards the calculation of PCR. We have another INR30 crores earmarked for Tier 2 capital and around INR21 crore s is unutilized.
Chinmay Nema: No, I get that. But out of the total provisions, if you could share what are earmarked towards specifically the microfinance book?

Ashish Goel: There is no earmarking within the floating provision. So that happens as per the provisioning policy. Are you asking for a breakup of this between micro banking and others?
Chinmay Nema: Yes.
Ashish Goel: Of the overall provisions or for the floating provision?
Chinmay Nema: Overall position.
Ashish Goel: Overall, we can come back to you. But broadly, about 45% is the PCR for micro banking book and about 55% would be on the se cured book. But we will come back to you on that.
Moderator: The next question is from the line of Ashlesh Sonje from Kotak Securities.
Ashlesh Sonje: Okay. Firstly, on the MFI book, if I look at the performance of the group loan portfolio, that has seen a n improvement in the PAR 1 to 90 bucket over the last 2 quarters. But if I look at the same metric, the 1 to 90 DPD for the individual loan book, that seems to be steadily increasing, both in percentage as well as in rupees in the individual PAR. What is t he reason for this divergence in performance?
Sanjeev Nautiyal: So overall level, our IL book is doing much better than GL. And overall microfinance book is doing much better than the industry. Within IL, we have been a little bit impacted in Karnataka as in Karnataka, we were doing very well in IL. IL book size was also very healthy and large. And that has impacted to an extent. But what we have seen in the past also that in IL, even after delinquency, the recovery is much better than GL. And we see that t his will come back, and our portfolio will improve.
Ashlesh Sonje: Okay. Got it. And can you give a breakup of slippages across group loans, IL and non -MFI?
Gaurav Sah: Yes. So microfinance slippages approximately accounts for 80%. So roughly INR300 crores slippages are from micro banking put together, group and individual. Housing is rest around half of the rest and MSME takes another bulk. So roughly INR25-odd crores for housing, around INR20 crores for MSME and around INR5 crores for the vehicle vertical .
Ashlesh Sonje: Got it. And within this INR300 crores, how would it be split between GL and IL?
Gaurav Sah: Around INR220 crores, INR230 crores of group loan and around INR60 crores to INR70 crores of individual loan.
Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital.
Deepak Poddar: Sir, just wanted to understand, first off, I think you mentioned in the opening remarks that by third quarter, we expect normalized level of credit cost or collection efficiency. Is that right?
Sanjeev Nautiyal: We mentioned about the collection efficiency in microfinance to be normalized by Q3, yes.

Deepak Poddar: Okay. So , we expect 99% plus kind of a normalized efficiency , by third quarter, right?

Sanjeev Nautiyal: Yes, our current X -Bucket is close to 99.4% consistently for the last 2 months, and we expect to go beyond 99.5% plus collection efficiency in X -Bucket.
Deepak Poddar: Fair. And about credit cost, when do you expect credit cost to come to normalized level and by which quarter?
Ashish Goel: So increase in NPAs over the last 2 or 3 quarters is still to be fully provided. We expect that during the next 2 quarters, there will be provisions on the existing stock. But post that, since our Bucket -X collection efficiency started to imp rove in Q1, the impact of that will be seen in Q3 and Q4.
Deepak Poddar: So, by fourth quarter, I mean, ideally, you expect better . yes, please continue.
Ashish Goel: Yes, I would say so. I would say so that by fourth quarter, it would be normalized. And so what gets into Bucket -X in Q1 starts to show an impact in Q3. So on Q3, we will see a reduced number because the efficiency started to improve in Q1.
Deepak Poddar: Correct. I got it. So , the NPA increase in the last 2 quarters, you hav

e to provide for next 2 quarters, so ideally by when we'll see an improving trend at least, I mean.
Ashish Goel: Yes, yes. In H2, one can say that the credit cost would be much lower than what we see in H1.
Deepak Poddar: Correct. And what about second quarter? We can expect similar credit costs as we have seen in first quarter, in this coming quarter?
Ashish Goel: So, we can say that Q1 and Q2 would have credit cost. Q3 and Q4 would have much lower credit cost.
Deepak Poddar: Okay. Yes, yes. I go t it. And just one last thing. What's the normalized level of credit cost we are looking at? I mean once this settles down, so in terms of percentage, what sort of normalized credit cost we are looking at?
Ashish Goel: So on unsecured, the credit cost shou ld be in the range of 2% to 2.25%. And on secured, we see 0.7% to 0.8% on a steady -state basis, minus this disturbance in the environment that we are seeing now. So that is a steady -state credit cost that we should see.
Deepak Poddar: Okay. So since the bo ok is 50 -50, so maybe at a company level, we might look at 1.5%, 1.7% kind of an average?
Ashish Goel: Yes. Maybe lower than that.
Moderator: The next question is from the line of Vinay Nadkarni from Hathway Investments.
Vinay Nadkarni: Yes. Just one bookk eeping question I have, other than the credit cost. For this quarter, what is the credit cost that you have projected, actual credit cost in quarter 1?
Gaurav Sah: We had a credit cost of INR225 crores at a bank level.

Vinay Nadkarni: As a percentage?
Gaur av Sah: As a percentage of gross loan book, mostly around 0.7% on annualized.
Vinay Nadkarni: Okay. And secondly, in your projections, you have projected cost -to-income ratio of 67%. With an advanced growth of 20%, do you still expect the cost -to-income ra tio to be high?
Gaurav Sah: Yes. See, just highlighting that you would have seen that our newer verticals have started contributing to the top line, the micro mortgage, Gold , vehicle, even MSME and agri banking. So we still are in the investment phase. And additionally, we are also investing in the liability piece on the tech front, on the manpower front to o, we want to work on our CASA. So the investment phase continues on, and hence, we expect the cost to income to stay elevated.
Vinay Nadkarni: Okay. And in terms of your projections for yield on advances and cost of funds, could you give us some direction f or FY26 for the full year?
Sanjeev Nautiyal: So for cost of fund, we are expecting moderation by 20 bps right in Q2.
Vinay Nadkarni: And advances?
Gaurav Sah: See, adding that, so we have just done rate cuts in the last 90 days. If you look at the way we have worked, so from April till July, we have taken rate cuts around 65 bps in our peak FD rates and also calibrated the SA rates. We expect cost of funds to come down. Mostly, it should come down by 20 bps each quarter as per our calculations, directionall y.
Vinay Nadkarni: And on advances?
Gaurav Sah: Advances, you're asking about yield? So yield, which will continue to come down with the secured mix increasing steadily. But once the microfinance business starts to kick in by maybe Q3 onwards, maybe it wil l stabilize a bit before again further taking a downward trajectory.
Vinay Nadkarni: Okay. And just on the...

Moderator: I'm sorry to interrupt, Vinay sir. May I request you to join the queue the next question is from the line of Pranuj from JPMorgan.
Pran uj: So in your presentation, you have written that the new MFIN guardrails is only applicable for group loans. In your individual loans, could you give a sense of how is the number of lenders pending on Ujjivan plus 2 or plus 3 and above on that particular book? And also, we are lowering the qualifying criteria for NBFC MFIs from 75% to 60%.
Do you foresee a case where the competitive

intensity in the individual loan segment increases?
And sir, lastly, also, if you could give out the yield differential between group loans and individual loans?
Sanjeev Nautiyal: So on guardrails, yes, IL is beyond Guardrail 2.0. We don't need to apply that. But we have been applying even structured rule for IL because yield while graduation is something which we have

been doing for the last 15 years now, very, very well -established and well -crafted products that we have in the last 15 years, which we have developed. So our policies are much stricter in IL. At the same time, the underwriting is very, very diffe rent in IL. That also leads to a better assessment of the customers. So that is not a problem.
GL, yes, we have applied Guardrail 2.0 in letter and spirit from April 1 st and then January 1 st and see an RCA. But IL is very different for us. IL, we underwrite in a very different way, and that is even stricter than the guardrails that we have in place. And as far the yield is concerned, IL yield is close to 100 basis points higher than GL.
Pranu j: Okay, it's higher than GL. Okay. Sorry, so my question on IL was coming out more from the perspective of , like if you have some criteria where you underwrite the customer at the time of sourcing, it's also likely that because they don't conduct the guar drails subsequently after you have given the loans, the indebtedness could rise if they take subsequent loans from someone else. So it was more from that criteria and from a competitive intensity criteria also.
Sanjeev Nautiyal: So 2 points here. First is that these customers, if they try to take GL loan as such, they will not be eligible because guardrail will apply. As far as IL is concerned, this is our historic data also and historic data science also says that these are higher ticket size loans are giv en to this customer segment and underwriting is done well, the propensity of these customers taking further loans is much lower compared to in GL.
And this is something which we have seen over the period of time. And that also gives a lot of confidence whe n you are dealing with this customer segment and when you are graduating th em.
Second point is that which is also show n in data that 79% of our customers are Ujjivan and Ujjivan plus 1.
Moderator: We have our last question from Mr. Shailesh Kanani from Cen trum Broking.
Shailesh Kanani: Sir, just one point you mentioned that our PCR would increase going ahead. So any ballpark number? Would we be going back to around 80% by the year -end?
Ashish Goel: So we would be hovering in the range of 75% to 77% during t he course of the year. That is what the projections are telling us. We still would have INR21 crores of unutilized provisions that we are not using for computation of PCR. So that's over and above the 75%, 76% range that we are talking about.
Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Shreepal Doshi for closing comments.
Shreepal Doshi: Thank you, Viren. Thanks to the management of Ujjivan Small Finance Bank for giving us the opportunity to host the call. And thanks to all participants for being there on the call. Thank you all, and have a good evening.
Sanjeev Nautiyal: Thank you so much.

Gaurav Sah: Thank you.
Ashish Goel: Thank you.
Moderator: On behalf of Equirus Securities, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2025

USFB/CS/SE/202 5-26/93
Date : October 21, 2025

To,

National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

Symbol: UJJIVANSFB BSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 542904

Dear Sir/Madam,
Sub: Transcript of the Quarterly Earnings Call held on October 17 , 2025
Pursuant to Regulation 30 o f SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnin gs/quarterly conference c all held on October 17, 202 5 for the quarter and half year ended September 30, 202 5 is enclosed herewith.
The same shall be available on the Bank’s website at www.ujjivansfb.bank.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED

Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework

Encl: as mentioned above

“Ujjivan Small Finance Bank Limited
Q2 FY '26 Earnings Conference Call ”
October 17, 202 5

MANAGEMENT : MR. SANJEEV NAUTIYAL – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MS. CAROL FURTADO – EXECUTIVE DIRECTOR
MR. SADANANDA BALAKRIS HNA KAMATH – CHIEF
FINANCIAL OFFICER
MR. ASHISH GOEL – CHIEF RISK OFFICER
MR. MARTIN P S – CHIEF OPERATING OFFICER
MR. BRAJESH CHERIAN – CHIEF RISK OFFICER
MR. VIBHAS CHANDRA– HEAD OF MICRO
BANKING
MR. HITENDRA JHA – HEAD, RETAIL LIABILITIES
MR. SIDDHARTH BHARADWAJ – HEAD INVESTOR
RELATIONS
MR. GAURAV SAH – LEAD INVESTOR RELATIONS

MODERATOR : MR. PRITESH BUMB – DAM CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Ujjivan Small Finance Bank Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listened -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.
Now I hand over the conference over to Mr. Pritesh Bumb. Thank you, and over to you.
Pritesh Bumb: I welcome you all to Q2 FY '26 earnings Call of Ujjivan Small Finance Bank. Today, we have with us Mr. Sanjeev Nautiyal, MD and CEO; and the whole senior management team of the bank. I would like to thank the management for giving us the opportunity to host this call.
And on that note, I would like to hand over the call to Mr. Nautiyal for his opening remarks. Over to you, sir.
Management : Thank you, Pritesh. Good evening, and welcome to our quarter 2 and first half financial year '26 earnings call. I'm happy to walk you through the business and financial performance of the bank for the mentioned period. Please note, references will be made to Q2 '26 versus Q2 '25 as Y -o-Y and Q1 '26 as Q -o-Q, along with the comparison of H1 '26 against H1 '25.
India has remained the fastest -growing major economy, recording real GDP growth for Q1 '26 at 7.8 %, coming ahead of consensus estimates of 6.7 %. In the recent MPC, RBI has upgraded GDP growth estimates for Q2 and FY '26 to 7% and 6.8%, respectively, while lo wering the FY '26 inflation forecast to 2.6 % from 3.1 %.
This was done in continuation of a neutral stance in monetary policy. This broad -based growth and recent policy actions like repo rate cut, GST rationalization and tax cuts bode well for the economy's outlook, external headwinds notwithstanding.
The RBI's MPC has introduced a glide path for the transition to the ECL framework. While this is not applicable to SFBs, we have studied the details and remain watchful to any future implications. A c hange has been proposed through the risk -based deposit insurance framework. We will share any implications once the notification is issued.
Coming to the overall business. We have delivered a well -calibrated growth for the quarter by ensuring absorption o f excess liquidity, thereby taking our CD ratio to 88 %. Total deposits rose 1.5% Q -o-Q, up 15.1 % Y-o-Y at INR 39,211 crores. CASA grew 14.9 % Q-o-Q and 22.1 % Y-o-Y to INR 10,783 crores, crossing INR 10,000 crores for the first time, while retail TD plus CASA deposits remained around 71 % of our total deposits.
Our CASA augmentation efforts are beginning to take shape. The MF distribution would be rolled out to customers in Q3 '26. Incremental rollouts of ASBA and forex will further drive CASA mobilizati on. We have proactively reset rates in both TD and SA in various buckets, resulting in improvement of cost of funds by 23 basis points Q -o-Q and 17 basis points Y -o-Y.

As you are aware, the CRR reduction would be carried out in four phases of 25 basis poi nts, each of which two tranches have already become effective, supporting lower funding costs. We expect further COF benefits coming in the next quarters.
Coming to the asset side, loan origination remained strong this quarter with the highest disbursemen ts ever of INR 7,932 crores, up 21% Q -o-Q and 48% Y -o-Y. For H1 '26, disbursements grew 36% to INR 14,471 crores, led by the continued momentum in the secured loan book.
Our gross loan book grew 3.9% Q -o-Q and 14 % Y-o-Y to INR 34,588 crores, driven by our disciplined approach to diversify asset suite and build a sustainable loan book. This has led to share of secured loans improving to 47 %.
With the MFIN guardrails now in plac

e, our microfinance portfolio is stabilizing, showi ng consistent repayment behavior with bucket X collection efficiency improving month -on-month from 99.46 % in July '25 to 99.50 % in September '25.
In line with our stated branch addition plans, we added 14 branches in Q2. We shall be adding 11 branches i n H2 '26 to expand our network. These branches will start offering micro banking asset products from day one, while other products will be rolled out in due course of time.
In Q2 '26, we added roughly 1.26 lakh customers in the micro banking segment and h ave witnessed a graduation of approximately 32,000 group loan customers to individual loans. The graduation of MB customers to secured product lines such as gold loans, vehicle finance and micro mortgages also bodes well for the bank.
Moving on to specifi c asset updates. It is heartening to inform that micro banking has grown

meaningfully during Q2 '26 by INR 277 crores, which is 1.5 % of June '25 base. The group loan book stood at INR 13,106 crores, registering a growth of 1.1 % Q-o-Q, backed by a quarter ly disbursement of INR 3,131 crores in Q2 '26, up 29.5% Y -o-Y and 10.1 % Q-o-Q.
On individual loans, gross loan book remained strong at INR 5,464 crores, registering 9.3 % Y-o-Y and 2.5 % Q-o-Q. Disbursements for IL in Q2 '26 stood at INR 1,128 crores, up 3.5 % Q-o-Q. The growth in secured book is well aligned with our long -term vision of increasing its share and this grew by 52.9 % Y-o-Y in Q2 '26.
We have already grown 15.6 % in H1 and are on track to meet the FY '26 guidance of 35% plus secured book growth. This was on the back of strong growth from the affordable housing and micro mortgage loan book, supported by MSME and other emerging products with gold loans, vehicle fina nce and agri loans.
Secured disbursements in Q2 '26 came in at INR 3,701 crores, growing 78.8 % Y-o-Y and 39.6 % Q-o-Q. AHL and micro mortgages, our housing book remains well balanced between salaried and self -employed customers and has around 94% of loan s availed for self -occupied homes. Affordable housing loans delivered strong growth with a gross loan book of INR 7,656 crores, up 42% Y -o-Y and 8.3 % Q-o-Q.

Micro mortgages continued upward trajectory with gross loan book coming in at INR 1,094 crores, u p 180% Y -o-Y and 23% Q -o-Q. Our GNPA on the housing book has been steady around 1.1 % for last 4 quarters, reflecting stability in the loan book.
MSME, during the year, the MSME business scaled up meaningfully with the loan book touching INR 2,559 crores, a growth of 69% Y -o-Y and 14 % Q-o-Q. Working capital and supply chain finance now comprise over 23% of the loan book, thus reflecting diversification and deeper customer engagement.
Gold loans : Our gold loan business improved its monthly disbursement ru n rate to INR 72 crores in the quarter. Our gold loan offerings have expanded to 326 branches to be further scaled up to 400 branches in financial year '26. The gross loan book stood at INR 412 crores, growing 6x over Q2 '25 and registering a robust sequen tial growth of 41% Q -o-Q. Agri loans are now available across 298 branches aimed at supporting individual borrowers, farmers. The gross loan book has scaled up to INR 510 crores in Q2 '26, growing 4x Y -o-Y and strong sequential 27 %. Vehicle loans are now available in 262 branches with focus on funding new two -wheelers. In Q2 '26, gross loan book grew to INR 656 crores, up 150 % Y-o-Y and 17 % Q-o-Q. Disbursements stayed healthy at INR 165 crores with a robust growth of 117 % Y-o-Y. We expect strong demand for two -wheeler loans in Q3 '26 on the back of festivals across geographies.
On asset quality, the slippages have started to reduce and came in at INR 278 crores after staying at appr oximate levels of INR 350 crores for each of the previous three quarters. I am delighted to share th

at our SMA book as of September '25 is below 2 %, reflecting the lowest level since Q1 '25. This drop is driven by improvement in the MB segment. As anticip ated, credit cost for the quarter came in at INR 235 crores. We anticipate a meaningful decline in credit cost in the second half.
Bank undertook INR 31 crores of accelerated provision in Q2 '26 and maintained PCR at 73 %. Additionally, INR 21 crores of f loating provision is available as part of other provisions. The lower ticket secured segment is being closely watched and due prudence is being exercised to have a tight control over quality. As of now, we do not see any aberrations in these segments. Secured vertical slippage stayed nearly constant at around INR 50 crores for 6 consecutive quarters. On our financial performance, net interest income stood at INR 922 crores, expanding by INR 65.7 crores Q -o-Q. Other income got boost due to higher disburs ements and i ncreased insurance penetration.
While we reported a steady INR 256 crores other income for the quarter, the share of processing fee and insurance products was 53 % compared to 40% in Q1 '26. This segment will continue to improve and contribute to total income.
Net interest margin in Q2 '26 came in higher at 7.9 % versus 7.7 % in Q1 '26, supported by utilization of liquidity buffers. Loan book yields were at 17.5 % versus 17.6 % in Q1 '26 with an increased share of the secured mix. We expect NIM to stabilize around these levels for the financial year '26.

Cost to income remained stable sequentially at 66.4 %. PAT for the quarter stood at INR 122 crores with ROA at 1 % and ROE at 7.7 %, reflecting gradual improvement. Capital position remains strong with CRAR at 21.4 % and is aligned with our planned book growth.
In the end, I would like to add that bank continues to critically evaluate and improve its opex and finance cost controls wh ile looking to expand productivity, efficiency to support the future growth.
Before I conclude, I would like to introduce Mr. Deepak Agarwal, who has joined as our Head of Strategy and Transformation. He has in the past driven strategy formulation, large -scale transformations and business outcomes in various organizations. He last held the position of Head of Retail Business Strategy at Axis Bank and previously worked with Mastercard, Deloitte and KPMG.
Thank you, and I hand over back to Mark for the Q&A session.
Moderator: The first question is from the line of Renish from ICICI Securities.
Renish: Two things from my side. One on this non -micro banking profitability piece. So when we look at the yields, which has been sitting at around 12% for last 4, 5 q uarters despite introducing new products like Micro -LAP, retail etcetera, though the base is very low. I can understand that, but at 12% yield, I'm sure this...
Management : Renish, sorry, can you please just check your line? We are not able to hear you cle arly. Could you please repeat the question?
Renish: Is it better now?
Management : Yes.
Renish: So my first question is on the non -micro banking profitability piece, right? So when we look at the non -micro banking yields which are at 12% for last 4, 5 quart ers, and this yield, I'm sure non-micro banking vertical would be not even breakeven. So what is the strategy here in non -micro banking piece? I can understand that we have introduced many new products like Micro -LAP, retail etcetera, which is yielding 19% , 20%, but broadly when do you see this entire non -micro banking piece start contributing to at least PPOP level.
Management : Renish, can you hear me?
Renish: Yes, sir.
Management : So as you know -- okay, I'll answer in 2, 3 parts. First is regarding housing, you know, housing already making a decent amount of money, and it's been around for 7 to 8 years. So they are making enough money, and we need to

scale it up further.
Now next is gold, it's a new product. And by next year, we should be in a position to definitely breakeven there and make some money. Coming to two -wheeler, two -wheeler is going to end

up with around INR 1,000 crore book this year. Once it is INR 1,000 crores by end of this year, we should be breaking even in two -wheeler.
Micro mortgage has already broken even actually. So from that, you will make money going forward. So MSME is almost in breakeven stage. I think by end of the year, MSME also will come into shape. Supply chain is already in profit, working capital will brea keven, yes.
Renish: And any further data would you like to share, let's say, mortgage, I can understand it will be profit making since it's one of the oldest product, but is it fair to assume that the profitability currently would be less than 2% ROA at pr oduct level?
Management : Yes, we don't want to go into the detailed ROE at this stage and ROA sorry, but yes, it will come to the industry level within next 2, 3 years. That's what we are planning. We are not there still.
If you look at the industry level comparison, benchmark, we will be there in next 2, 3 years. That's what is our plan.
Renish: Got it. Got it. And again, a related question on the vehicle financing fees, which is predominantly two-wheeler currently and I'm surprised to see that given it's a new product, despite that, our gross NPA is touching 2%, PAR is 5%. So what is happening in that portfolio? I mean, despite this not, gross NPA is already inching up. So are we changing the strategy product mix here? Or what is happening?
Management : Renish, in vehicle finance, yes, it is 18 -month old product. Our GNPA of last year book is where the GNPA has come from, and even on a 12 -month book, the GNPA has not crossed 2.5%. So it is moving in the right direction. There is not much bump up in GNPA w e have seen in the last 6 months, specifically.
There is some part of the GNPA, which was pre -2023 book -- sorry, 2024 book, which -- these were locations which we have discontinued. So there is some amount of gross NPA there, which is almost about 30%, 3 5% of the overall NPA.
Renish: Got it. Got it. So broadly you're saying new book, let's say, 6 months...
Management : Yes. So Renish, we look at bucket X collection efficiency on a month -on-month basis, it's been

hovering in the range of 99.1%, 98.9% consistently for the last 9 to 12 months. So bucket x
collection efficiency being steady and bucket 1 to 90 being steady in the range of 60%, 50%,
there is -- increase in slippages is not visible.
Management : Just to add to that, this is Carol. Our book grew 17% quarter -on-quarter in vehicle finance, and
currently, our book size is around INR 656 crores, we are mainly in the Tier 1 and 2 cities and
our metro ur ban % come close to around 75%. So our book is holding up at the moment.
Moderator: The next question is from the line of Digant Haria from GreenEdge Wealth.
Digant Haria: My question is on the microfinance piece. I see that we have started growing the loa n book as
well, and it's reflective in our net interest income yields, everything. So just wanted to check
here that because you are the most diversified microfinance playe r.

So like what are the trends you are seeing that are more and more districts becoming, so to say,
lendable that where you can go out and source new book? Or is it more like player dependent
that in some districts, we may find growth opportunities, but other may not. If you can just
highlight what do you see on the ground?
Management : So Digant, like we've been discussing in the last 2, 3 earnings calls, there was significant stress
in the group loan book and we had called out that there was stress in Gujarat, Tamil Nadu and
Kar

nataka got added in Q4 of this financial year, and therefore, the slippages that we were seeing
were largely from these three, and we had also mentioned that there are some smaller states
where we were not focused, for example, Kerala and Odisha.
In most of the other states, the slippages had peaked out in March and Karnataka also came back
to normalcy. What we are now seeing on the ground is most of the districts are doing fine. Tamil
Nadu has started to show 99.5% efficiency. Karnataka is coming close to that, and states in East
are doing well with the exception of Odisha.
States in West are doing well with the exception of Gujarat. Gujarat probably will take a week -
- a quarter or two more, and North has started to grow quite well. So if you ask me about specific
areas, there are some specific area s in Gujarat and Karnataka, which are still not out of the woods
yet. However, we feel that in most of the other parts of the country are quite ready for growth of
the next phase.
Digant Haria: Okay. Okay. That's really detailed. So just like say, 12 month s from now, the next 12 months,
we can think of a 15% kind of a growth in the micro -- in this whole microfinance loan book,
JLG plus individual loans?
Management : So Digant, we can look at H2 as of now. So we have been cautious in our growth in H1 because
we were still not sure about whether the stress is going to continue longer. But in Q2, we started
getting the confidence that, yes, there is demand coming in from the market. We feel that H2
will be much, much better than H1 in terms of both disbursement and growth. We see for the
full financial year, a growth of about 7% to 8% on the micro banking book.
Digant Haria: All right. All right. All right. Fine. And the last question is on our credit cost. I think that has
also started declining. So that flow -- we know that flow has reduced that we know since the last
2 quarters that flow has been reducing, but at least the stock, we are almost getting done on the
provisions on the stock as well.
Management : In terms of provisions, we had also said that, look, Q1 and Q2 are going to be elevated because
there was an NPA addition happening in Q4 and Q1, and over a period of time, the provisions
would start to taper off, and you will start seeing this trend in Q3 and Q4 because provisions for
most of the book has b een done. There is a tail left, which will get covered in Q3 and Q4.
Digant Haria: Kudos to your team for being almost the first one to recover from this whole last 1.5 year of
stress.
Moderator: The next question is from the line of Suraj Das from Sundara m Mutual Funds.

Suraj Das: So the question is, sir, on the individual loan book, on the individual MFI loan book, if you look
at the PAR numbers, especially in Maharashtra, I think that number is slightly inching up. So is
there anything to read into it in terms of how do you look at the number? While the group loan
is doing well, but I think Maharashtra PAR 0, PAR 30, even PAR 90 on the individual portfolio
is inching up for last 4 quarters -- 3, 4 quarters.
Management : Not much to read. If you look at it, Suraj, the NPA remains at below 2% and the PAR is in the
range of 4%. Yes, is it -- is the PAR looking elevated at this time? Yes, compared to group loans,
it is looking slightly elevated, but in individual loans, the collection efficiency as well as t he

flow to NPA is slightly slower as compared to group loans because a lot of collection happens in SMA 0, 1 and 2. So in terms of slippages, this trend will -- is showing up consistently for 3 or 4 quarters. We don't see any incremental stress in Maharash tra in individual loans.
Suraj Das: Okay. So currently, I think that number is 5.5, which was 3.5, 2 quarters back. Do you think that number will let us normalize in a couple of quarters because of this collection thing?
M

anagement : Maharashtra, the overal l PAR is 4.2 and the NPA is 1.9. So the SME book is about 2.3.
Suraj Das: On the individual portfolio, specifically, I was asking, Ashish.
Management : Yes, this is for the individual portfolio, overall PAR of 4.2 and GNPA of 1.9.
Suraj Das: Okay. Sure. Yes . So that is part one. Second question was more on the risk weight side. So if I look at the risk weight number, that has gone up by 9% Q -o-Q versus 4% loan growth. So anything to read -- I mean, what is the rationale here?
Because your MFI has not grown in that sense. Your overall growth was 4% versus MFI is 2% Q-o-Q, while your MSME and affordable housing has grown higher than the overall growth, but those are, I think, housing and LAP loan side. So what is the rationale of RWA growing faster than the lo an growth?
Management : Suraj, it's Brajesh here. In this quarter, where the RWA and the risk weight has come down by 141 bps. Out of that, 55 bps has mostly contributed from some of the operational aspects like off-balance sheet adjustments, some rating re lated to our institutional borrowers, which will reflect over the time.
So it will get automatically adjusted. So effective RWA utilization was 86 bps which is commensurate with our loan growth of around INR 1,300 crores. So we expect the RWA to remain at similar level, looking at the estimated loan growth as well as the profitability and the PAT accrual, which -- estimated PAT accrual for the next 2 quarters.
Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.
Rajiv Mehta: Congratulations on good numbers. My first question is on the collection efficiency in September at the bank level has seen a good uptick on a month -on-month basis, and I believe there is no seasonality at play because last year, there was no such up tick in September versus August.

So is there something to read into in terms of can it be a sustainable trend for Q3, Q4? Or is it a function that you were able to recover a lot of overdues in the month of September. Can you just comment whether the Septe mber uptick is sustainable in the coming months?
Management : Rajiv, the collection efficiency that you see increasing from 97.2 to 98, this is a weighted average of non -delinquent SMA and NPA book.
Rajiv Mehta: Correct.
Management : So as the NPA book starts to slow down, the weighted average collection efficiency is expected to improve going forward also.
Rajiv Mehta: But any color on whether the SMA collections in micro banking, in particular, where you have a larger 1 to 90 DPD pool is also improving given the efforts that we put to ensure that, that pool doesn't roll forward?
Management : Yes, Rajiv. In fact, that was the strategy for Q1, and we had discussed it in the past that, look, when delinquencies start to go up, the best pools to focus are 1 t o 90 and 91 to 180 because that is where the incremental slippages would happen, and therefore, to manage stress, what we had done was over managing collections in SMA and early NPA book 91 to 180, and the collection efficiencies have been very good in our SMA book. That is reflecting in our improved slippages.
Rajiv Mehta: Okay. My second question is on margins, and you've given the outlook that margins will remain broadly similar in second half. So I mean, my question firstly is on yield side. When I look at your micro banking yield, it's flat. But in the previous quarter, you had that 14 bps of one -off impact. So I mean, so we have not seen an expansion because of that absence. And plus the slippages were also lower in this quarter. Disbursements are goin g strong.
So the question is, will the micro banking improve on a Q -on-Q basis? And second is on the deposit side, when you look at the average bulk deposit pricing right now versus the prevailing market rates, is there any sco

pe for further downward repr icing? And on the retail term deposits,
I see a sharp decline in the absolute deposit base. So how do we manage the traction of retail term deposits given that we want to grow at 20% at the bank level, and that is the biggest pool of deposit for us.
Manage ment : So Rajiv, if you see the NIM has improved by 20 basis points coming at 7.9 %. Our micro mortgages book is growing strong. The micro banking has just about beginning to spread it wings coming back into the growth trajectory. The vehicle finance has been doing well. It is a high-yielding book, and the housing side also has, for the last 2 quarters, shown improvement

and has maintained the higher yield than it was maintaining in the previous 2 quarters or so.
So overall, what we are seeing is that the yield on our portfolio is actually maintaining itself, of course, the repo cut notwithstanding, and the repo cut is actually applicable to only 17 % of our book, which is MSME, which is on repo rate and the FIG partial book which is on repo rates.
So I th ink the cost of deposits that -- the steps that we took from April to August are only now beginning to show their effect.

The September quarter saw only the major impact that we did in the month of August, only a partial effect of that has flown into this quarter. The coming quarter, we are likely to see a better cost of deposits coming into our books, and therefore, we feel that the NIMs at around 7.9 thereabouts is very much possible, is very much on the cards for our bank.
Management : I hope this addres ses your issue.
Rajiv Mehta: No, no, sir, clear about that. I had a specific question on why the micro banking yield did not improve Q -on-Q. Second was how do we manage the retail term deposit traction? Would we need to kind of start -- not cut pricing agg ressively here because the absolute deposits have fallen pretty sharply, and we are also aspiring for much higher levels of growth. So we will require those deposits to flow in for us. So in that context, growth versus margin, that's the whole paradox.
Man agement : Okay. So on the term deposit side, as we explained in the last call, we had a gush of liquidity sitting on our books, and in this quarter, we flushed out the liquidity because of which the CASA was focused upon, and therefore, the kind of growth t hat we had and the room that we had over the CD ratio because we were at 85 or 86 % in the previous quarter, we had enough room to grow our loans on the existing set of deposits.
So it was a pure play on not taking high -cost deposits and managing with the existing liquidity that we had and also simultaneously flushing out the excess liquidity that was sitting inside. Of course, now we will -- we are seeing the growth coming back because that's the way we have modulated our team members, and th erefore, ther e is no challenge.
There is no hiccup. It was a conscious call to actually be flexible in terms of the situation in which we were. So term deposits is all about that, and we are seeing the growth coming back because that's how we are now playing our game. And on the microfinance side, please?
Management : Yes, regarding micro banking yield, what you are asking, it is stable at 22%. We have not changed any rates. So we assume till the year -end, it will continue to be the same. Okay. Now over to Mr. Hitendra, he will answer on the deposits.
Management : So on bulk TD and retail TD, we had an opportunity to source bulk TD at lower rate. We had almost 67 bps lower than retail TD. So we focus slightly on a bulk TD. However, focus continues to retail TD. And also on -- if you look at maturity versus sourcing, we had almost a benefit of 108 bps on a sourcing side, maturity sourcing side on retail side. So retail TD, we can scale up whenever we want. It was a strategic call. It was not something

which we had not anticipated.
Moderator: The next question is from the line of Abhishek Murarka from HSBC.
Abhishek Murarka: Congratulations for the quarter. Just picking up from Suraj's question, actually, if you see the IL PAR in 2 or 3 states, it has gone up, right? I think in Karnataka, Maharashtra, West Bengal, it has gone up. And the thing is that the weighted average looks good because in the other states, you're doing okay. But any risk that you see in IL, especially in the context that over the medium to long term, you want to increase it from 30% of the book to 45% or so. So any early learnings

or anything from these three states? Or what's the real reason for this PAR going up in the IL portfolio?
Management : Abhishek, PAR has gone -- there are only two states which for the last 3 quarters have not shown a bette r PAR or a better NPA behavior, one of them is Karnataka, which, as we all know, had external issues. So therefore, the PAR was elevated. Otherwise, Karnataka always had an NPA below 2% Currently, the NPA is about 4.8% and PAR is about 7.4 %. So it is an ex ternal reason.
There are two other states where PAR and NPA have not shown a significant improvement, one is West Bengal and the second is Bihar, which you are not seeing in the top 5 states. It's a smaller state for us. So in West Bengal, we have kind of been calibrated in our growth. We have not been growing much, and in Bihar, we have actually seen a flat book growth. So it's not been increasing again.
Our focus areas have been Maharashtra, Tamil Nadu, Haryana, and these are the areas which are

doing w ell for us. Nothing in terms of the product construct or the underwriting or the income levels of the people. It is, I would say, related to Karnataka or West Bengal or Bihar, it is more like geographic areas not showing improvement as against the product construct or the income assessment.
Abhishek Murarka: Okay. So you're not feeling compelled to modify any of these -- any of the -- any features of the product or underwriting based on what you found in Bengal or Bihar? Or even actually even Maharashtra, y our numbers from 1Q versus this has actually deteriorated a little bit, the PAR 30 and the PAR 90.
Management : Yes. Some little bit of improvement, deterioration, we can keep seeing over quarter -on-quarter, but not much to read in terms of the asset qualit y. There are only two areas which, as I said, West Bengal and Bihar, where we are not seeing any growth as well, it is a flat book growth.
Abhishek Murarka: Okay. Fine, and in terms of your overall credit cost, your full year guidance of 2.3, 2.4 remains. But your first half, even if I remove the accelerated provision, it's around 270 bps. So second half should be around 210 bps or lower. Is that something you are envisaging? And where is that improvement? So GL, of course, but are all the write -offs prett y much over in GL? Can you give some sense on how you expect to achieve this 2.4 %?
Management : So as we said, we are not changing our guidance on credit cost. It will be in the range of 2.4. And H2 is going to be better than H1. That's again something that we had told in the last call as well because the bucket provisions were seen in the first half as compared to the second half. In terms of write -offs, -- sorry, H2 write -offs are going to be significantly lower. Most of the write -offs that we have done i n the entire write -off pool that we have done, I think only INR 2 crore comes from vehicle finance. Everything else comes from micro banking only. And H2, I think the same trend will continue, much lower write -offs and mostly from micro banking.
Abhishek Murarka: Okay. How much of the PAR 90 pool do you expect to write -off now in MFI?

Management : See, the write -off

s normally happen when there is a full provision taken on any account. So very difficult to say what percentage will be written off. But you can take thumb rule of about 1.2% to 1.3% for the second half.
Abhishek Murarka: From the GL PAR 90, out of GL PAR 90 ?
Management : Yes, from the total micro banking, not GL.
Abhishek Murarka: Okay. Okay. From the total micro banking. Okay. Oka y. That's right.
Moderator: The next question is from the line of Shreepal Doshi from Equirus.
Shreepal Doshi: Congrats to the entire team for a good quarter. My question was, firstly, if you recall, like the last couple of quarters, we've also seen issues pertaining to attrition as one of the reasons for elevated credit cost or even collection efficiencies being impacted. How has that trend shaped up, let's say, in the last quarter? And what are we doing in terms of measures to curtail it, particularly the lower level attritions?
Management : See from the attrition perspective, we have everything under control, and we are not seeing any kind of reasons why we need to worry on the attrition front. It is flat from the last quarter. And we are taking care of ou r employees as usual.
Shreepal Doshi: So what is it like at current levels at loan officer level or lower hierarchy level?
Management : Yes, we are at an annualized attrition rate of around 20% now.
Shreepal Doshi: Okay. And any particular teams where it wi ll be elevated or where are the issues are more common?
Management : We are not seeing anything particularly, but it's sort of flattish.
Shreepal Doshi: Got it. The other question was on the disbursement side. So post the implementation of guardrails, what are the disbursement ticket size for new GL customers as well as what are the ticket size for the customers that we moved up from, let's say, GL to IL category? That's the second question that I had on the ticket size for these two post the, let's say, gua rdrail being implemented where you would have more than three lenders to a particular customer?
Management: Our group loan ticket size is hovering around close to INR 64,000 and GL to IL graduation. So IL ticket size is almost constant at close to INR 1.3 lakh for last 2, 3 quarters.
Shreepal Doshi: That would be the average number. And what would be the range basically for the, let's say, relatively vintage customer in GL, we go up to INR 80,000 or is it more than that?
Management: We go -- as per policy, we go up to INR 1.25 lakh. But for customers who are third cycle and above, the average ticket size is close to INR 80,000.
Shreepal Doshi: Okay. And in the IL category?

Management: IL category average , as I mentioned, it is INR 1.3 lakh. The customers who go to higher cycles, the average ticket size move up to close to INR 1.5 lakh, INR 1.6 lakh.
Shreepal Doshi: Okay. And what would be the higher range here, like, let's say, the bracket in terms of the higher bucket?
Management: Yes. GL, it is up to INR 1.25 lakh. In IL, the highest ticket size possible is INR 3 lakh.
Shreepal Doshi: Got it. Got it. And in IL, just one last question here. Do we really monitor the end use being business? Or is it not clo sely monitored?
Management: So both GL and IL are purpose -based loans. IL, we have various purposes, including business loan, livestock loan, home improvement loan. And similarly, in GL also, it is purpose -driven loan and LUC is done 100% for all the loans . And based on that, only the PSO classification happens. So LUC happens for all cases by a bank employee.
Shreepal Doshi: Got it. The last question was pertaining to data point. Could you please give out that CD book number because it's not given in the p resentation.
Management : Asking about TD book, you're saying?
Shreepal Doshi: CD, certificate of deposits.
Management : CD, it is INR 411 crores.
Moderator:

The next question is from the line of Shailesh Kanani from Centrum Broking.
Shailesh Kanani: Sir, just wanted to understand, in terms of book mix, this year, maybe we'll end up somewhere between 50 -50 in terms of micro banking and non -micro banking given the growth. What would be our comfortable range in medium to long term? And how should we see that for FY '27, '28?
Management : Shailesh, as part of our 5 -year strategy, we have contemplated that our secured book would be in the region of 65 to 70 % and the remaining would be the unsecured part. So as we go along each year, the proportion of the se cured book will continue to grow faster than the unsecured part. Hope this is helpful.
Shailesh Kanani: Yes, yes, that's fine. And second question was with respect to our written -off pool. What would be that amount? And also in terms of recovery from that bad debt, if you can give some color, how can we expect that because that pool is on the higher side?
Management : So the pool that we have, there are two pools here. One is the written -off pool, which we have written off post -COVID, and there is a sale of assets that we have done. Put together, this is about INR 750-odd crores, and we expect anything between 15% to 20% recovery from this pool during this financial year.
Shailesh Kanani: So INR 150-odd crores, you are saying 15% to 20% out of that.
Managemen t: That's right.

Shailesh Kanani: Sir, my third question was with respect to our second half performance.
Moderator: Sorry to interrupt. Due to time constraint, I request you to please rejoin the queue. The next question is from the line of Ashlesh Sonje from Kotak Securities.
Ashlesh Sonje: Provision coverage which you have specifically for microfinance, including any NPA...
Moderator: Sorry to interrupt. Sir, could you please reconfirm your question?
Ashlesh Sonje: Just one question on MFI. If you can share the provisions which you are carrying specifically for microfinance, including NPA provision as well as any other provision buffers which you have? And secondly, if you can just explain this additional slide which you have added on Page number 22 of the presentation, the line chart, which you have added.
Management : Okay. In terms of PCR, Ashlesh, we have 80% provisioning cover on micro banking.
Ashlesh Sonje: Any other standard asset or contingent provisions there along with that?
Management : So standard asset is about 0.5% that we keep on all the standard assets.
Management: On your question on the slide, this is nothing but after guardrail 2.0 implementation in April, we were just trying to show that as per MFIN guideline also, loans cannot be g iven to customers who are 60 DPD, though even when you follow 30 DPD, it is stringent compared to what MFIN guideline says. But internally also, we have guideline around customers' credit behavior. And based on that, we accept or reject loans.
So internal ly, based on customer repayment history, if customers are up to 30 DPD and between 30 to 60 DPD, we can still lend. But what trend shows that in the last 4 quarters, 5 quarters, the percentage of loans, which is going to customers who are over 30 to 60 DPD in their previous cycle, the percentage of loan there is below 0.5%, actually much below than 0.5%. That says that we are not encouraging customers who are not having good repayment history in the previous cycle.
Moderator: The next question is from the l ine of Anand Dama from Emkay Global.
Anand Dama: Yes. Most of my questions are answered. I had one question around the -- I think during the analyst meet, you had suggested that you had exposure to microfinance borrowers who in turn

had -- were employees o f the Tirpur -based textile corporates. Any stress that you have seen in that portfolio? I think that was about 2% of your overall microfinance portfolio borro

wers as such.

Management : We have not seen any initial trend as of now. In fact, our repayment behavior in the Tirpur belt has not shown any decline. We have been watching Gujarat very closely. We've been watching NCR very closely. We've not seen any decline in the repayment behavior till now.

Anand Dama: What explains basically the surge that we have seen in the PAR portfolio, particularly in the state of Karnataka. It is still to do with that ordinance or like there are additional things which have actually happened because of which the...

Management : Nothing new, Anand. It is actually sh owing a very good improvement over the last 2 quarters. In fact, we are very close to 99.5% bucket x collection efficiency in micro banking, even in the state of Karnataka. So we have seen improvement in bucket x collection efficiency, improvement in slipp ages and the portfolio is coming under control now.

Anand Dama: But your PAR portfolio.

Management : externally, which is largely over.

Anand Dama: So that is basically the fresh set. But yes, the problem is that your PAR portfolio is still going up, right? And that could keep the credit cost higher in the state of Karnataka. And then you have Bihar elections now and then maybe West Bengal elections next year.

Management : So Anand, what -- if you look at it in terms of SMA bucket, early NPA and late NPA, the portfolio in Karnataka, which had gone into delinquency post the ordinance, that had to go through collections as well as recognition of NPA, both ways and credit cost. But last -- in the last earnings call, we said that 33% of our incremental slippages i n the quarter were coming in from Karnataka because Karnataka was going through a lot of pain.

This quarter, we have seen that number coming below 20%. So there is a significant improvement in Karnataka portfolio. The early delinquency has more or less co me back to normalcy. There is NPA recognition and credit cost recognition, which will happen during these 2 or 3 quarters, Q2, Q3, Q4. And I think by then, things will come back to normal.

Anand Dama: Okay. Lastly, we expect the universal bank license to c ome through. Any additional opex that we are already incurring in run -up to that license? Or how should we look at the overall opex growth or opex ratios in FY '26 and FY '27?

Management : Anand, our application is with the Reserve Bank of India, and they are evaluating and assessing our application, its contents. So the matter rests there. As we said earlier, we will await the decision of the RBI and as far as expenses or additional expenditure that we will need to do, I think nothing changes immediat ely as we become a universal bank.

Of course, there will be some matters which will gain immediate attention that will be about signages, our e -mail addresses, our -- all those kinds of letterheads. So those will be taken care of once we get a positive de cision from the Reserve Bank of India, and the other expenses or the investments that we will do are part of the general strategy that we have chalked out, which is agnostic to any outcome that we may get from Reserve Bank of India. So not much expenditure . If at all, there is, yes, there will be some, but it is nothing of not or of materiality, trust this is okay?

Anand Dama: If possible -- lastly, if you allow me, basically, just want to check.

Moderator: Sorry to interrupt. Sir, due to time restraints, I request you to please rejoin the queue. The next question is from the line of Abhishek Tandon from Bowhead India.

Abhishek Tandon: So just a question on credit cost. Going into fiscal '27, just fiscal '27, your secured book obviously will kee p increasing. And I guess there, the credit costs are pretty low because big parts of the secured book is affor

dable housing and FIG, where I guess you have very low credit cost. And microfinance would also be on a strong footing in fiscal '27. So is the a ssumption of, say, a credit cost of 1% in fiscal '27, a very aggressive assumption, would you say?

Management : So Abhishek, we'll come back on that, whether we want to take any assumptions for FY '27 as of now. But what we can surely see is the credit cost s, this cycle would not extend beyond quarter 4 of this year. And therefore, we'll see much better normalcy in the next financial year. I would also like to add here that we have started monitoring the book that we have sourced in the last

12 months, and i t is showing much better quality than the one which we had previous to that.
Moderator: The next question is from the line of Sagar Shah from Spark PWM.
Sagar Shah: Congratulations to the management for showing such a resilient set of numbers actually in s uch an environment. So my one question, sir, would be in terms of IL loans, individual loans. Individual loans as compared to the March '25 year ending, actually, they have been relatively on the flat side. So means I'm talking of the IL loans. IL loans ha ve been shown very negligible growth actually.
So my question is that considering that we are nearing to the bottom of this crisis, micro banking crisis, and you would have got filtered out some good quality GL customers also after the 1 -year debacle actu ally. So is it safe to assume in the next 6 months, in the next 2 quarters, our IL growth actually will grow better actually than the -- obviously, the GL growth due to the better filter of the GL customers? And will we get such good quality of customers? And what are you seeing on ground actually?
Management: So see, IL definitely, IL has been our growth engine in microfinance in the last 3, 4 years, and we want to grow this business. IL is mostly -- for us, it is GL to IL graduation, though we focus a little bit on open market acquisition as well. When we started this year, at that point of time, the industry was going through -- still going through a crisis and further fueled by Karnataka issue as well.
We were a little slower and cautious in the first q uarter, though IL has done better than GL in terms of growth in the first 2 quarters of the year. But yes, going forward, in the next 2 quarters, you will see IL doing much better, much better than GL and overall in absolute values as well as we -- you rig htly mentioned that we have good customers where the repayment history has been excellent. Their income levels are high and eligible for graduation. So in the next 2 quarters, you will see IL doing better than what we have done in the first 2 quarters.
Mod erator: The next question is from the line of Sarvesh Gupta from Maximal Capital.
Sarvesh Gupta: Congrats on a good set of numbers. Sir, most of the questions have been answered. So just one question on the cost of funds. So we have seen a 30 basis point d ecline in this quarter from previous quarter. And how do you see this going forward?

Are there some levers because of this we will be able to reduce it or given that we have done high consumption in this on CD, so going forward, we'll be sort of increasin g the rates again to capture more of this for our high growt h ambition on the advances side?
Management: So we had taken rate cuts in both FDs and also savings account between April to August. And we have seen some of the benefits flowing in the second quarter. We expect further benefits to flow in as the repricing happens for the fixed deposits. So those benefits will keep coming, and we expect to see better numbers in the next 2 quarters.
Sarvesh Gupta: But where do you want, yes, sorry, go ahea d.
Management : Sorry, sorry, please carry on.
Sarvesh Gupta: Yes. Basically, where do you expect this sort of a number to se

ttle down eventually?
Management: So, what we cannot -- it's very difficult to give exact number, but what we are saying, TD reprici ng will happen. So cost of fund will go down from here. SA repricing has happened. So SA book is already repriced, okay? Cost of fund has come down there. TD, as we go along, whatever incremental TD is booking, they're booking at much lower cost. So we are sourcing at roughly what 7.38% now TD average cost.
Sarvesh Gupta: Understood.
Management : So just to conclude, we expect to end of the year with around 7.1%, something like that.
Management : Around 7.1%, yes, right.
Sarvesh Gupta: Okay. And sir, on the s ecured book side, so your yield is around 12 -odd percent. Do you -- how do you see this increasing? Or do you think that this is what it can achieve because we are adding the other products, which have got higher yields. But overall, how do you see the non - microfinance book yields behaving in the coming quarters or years?
Management: The non -micro banking yields will go up a bit because of the newer segments which we have launched, which are higher yielding like micro mortgage around 19% plus, gold loans in the range of 15%, vehicle loans in the range of 20%. And with the contribution increasing in the non-micro banking book, overall, the yields for this book is expected to go a little upwards.
Sarvesh Gupta: Any number that you would want to reach there?
Management: No, it's difficult to put a number to this. We -- it depends on the book mix and how the products perform. So maybe here and there, but a little uptick should happen.
Moderator: The last question is from the line of Ashok Daga, a Retail Investor .
Ashok Daga: Sir, my question is that your -- this last 4 quarters, what I am seeing, you -- from your financing that is your main business, you are incurring a loss continuously. So what was the reason? And

how you are going to control that? And due to this, even though you are showing your net profit

is a positive due to other income, but your main business is showing the negative portion. So how this your cost of fu nd or all these things is going to make or bring you in the positive area?

Management: Sorry, could you please repeat the question, sir, we couldn't hear you?

Ashok Daga: My question is that your financial means whatever your cost -- your deposit and inter est you are paying your expenses are there. From that last 4 quarters, you are showing a loss. Your profit is coming from the other income. Due to that, your net profit is positive, but your OPM is negative for the last continuous 4 quarters ? My question i s clear or require more...

Management: No. So we are not able to understand the question, sir, we'll connect offline and maybe take this question, sir. What I just want to highlight to you is that our pre -provision operating profits have been coming across and they have started to grow sequentially as of now, but we'll connect with you and take it offline as well.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand over the conference over to the MD for the closing comments.

Management : I once again thank all the participants for their time and interest. We at Ujjivan SFB, remain focused on delivering on our guided numbers while we build an enduring institution. I wish everybody a happy Deepavali in advance. Please reach out to our IR team for any queries that you may have. Thank you once again.

Moderator: On behalf of Ujjivan Small Finance Bank Limited, that concludes this conference. Wishing you all a Happy Diwali. Thank you for joining us, and you may now disconne ct your lines.

Call: Jan 2026

USFB/CS/SE/202 5-26/127
Date : January 27, 2026

To,

National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

Symbol: UJJIVANSFB BSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 542904

Dear Sir/Madam,
Sub: Transcript of the Quarterly Earnings Call held on January 22 , 202 6
Pursuant to Regulation 30 o f SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnin gs/quarterly conference c all held on January 22 , 202 6 for the quarter ended December 31, 202 5 is enclosed herewith.
The same shall be available on the Bank's website at www.ujjivansfb.bank.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED

Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework

Encl: as mentioned above

"Ujjivan Small Finance Bank Limited Q3 FY '26
Earnings Conference Call"

January 22, 2026

MANAGEMENT : MR. SANJEEV NAUTIYAL – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MS. CAROL FURTADO – EXECUTIVE DIRECTOR
MR. SADANAND BALAKRISHNA KAMATH – CHIEF FINANCIAL OFFICER
MR. ASHISH GOEL – CHIEF CREDIT OFFICER
MR. VIBHAS CHANDRA – HEAD (MICROBANKING)
MR. HITENDRA JHA – HEAD (RETAIL LIABILITIES TASC & TPP)
MR. UMESH ARORA – HEAD (EMERGING BUSINESS)

MR. MARTIN P S – CHIEF OPERATING OFFICER
MR. BRAJESH CHERIAN – CHIEF RISK OFFICER
MR. SIDDHARTH BHARADWAJ – HEAD (INVESTOR RELATIONS)
MR. GAURAV SAH – LEAD (INVESTOR RELATIONS)
MODERATOR : MR. AJIT KUMAR – JM FINANCIAL INSTITUTIONAL
SECURITIES

Moderator : Ladies and gentlemen, good day and welcome to the Q3 FY '26 Ujjivan Small Financ e Bank Analyst Conference Call hosted by JM Financial Institutional Securities Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touch - tone phone. Please note that this conference is being recorded.
I would now like to hand the conference over to Mr. Ajit Kumar from JM Financial Institutional Securities. Thank you and over to you, sir.
Ajit Kumar : Thank you . Good evening, everyone. I welcome you all to Q3 FY '26 Earnings Call of Ujjivan Small Finance Bank.
Today, we have the senior Management Team of Ujjivan Small Finance Bank represented by Mr. Sanjeev Na utiyal - MD and CEO ; Ms. Carol Furtado - Executive Di rector ; Mr. Sadanand Balakrishna Kamath – CFO ; Mr. Ashish Go el - Chief Credit Officer ; Mr. Vibhas Chandra – Head (Microbanking); Mr. Hitendra Jha – Head (Retail Liabilities TASC and TPP); Mr. Umesh Arora – Head (Emerging Business); Mr. Martin P S - Chief Operating Officer ; Mr. Br ajesh Cherian - Chief Risk Officer ; Mr. Siddharth Bhar adwaj – Head (Investor Relations) and Mr. Gaurav Sah - Lead Investor Relations.
I would like to thank the Management for giving us this opportunity to ho st this call. I would like to hand over the call to Mr. Sanjeev Nautiyal for his opening remark. Over to you, sir.
Sanjeev Nautiyal : Thank you. Good evening, everyone. And thank you for joining us today for Ujjivan's Q3 and 9-month Financial Year '26 Earnings Call.
On behalf of the entire Ujjivan team, I would like to extend our warm wishes for the New Year.
Please note, references will be made to Q3 26 versus Q3 25 as Y-o-Y and Q3 26 versus Q2 26 as Q-o-Q. The operating environment remains favorable as reflected in real GDP.
Moderator: I am sorry to interrupt, sir. Could you please come a little closer to the microphone? Your voice is just a bit muffled.
Sanjeev Nautiyal : The operating environment remains favorable as , is this better, please ?
Moderator : Yes, sir. Slightly better. Please go ahead.
Sanjeev Nautiyal : The operating environment remains favorable as reflected in real GDP growth print of 8.2% in Q2 of Financial Year '26. This marks the fastest pace of expansion over last 18 months w ith Financial Year '26 growth expectation at 7.3%. This underscores the continued strength in domestic demand alongside improving industrial and manufacturing capacity utilization supported b y healthier corporate revenues.

For the banking sector, these str ong macro fundamentals translate into supportive backdrop for sustained demand for credit as well as improving asset quality. The RBI MPC rate reduction of 25 basis points in December lends further impetus to future growth prospects. We look forward to the union budget to continue the path of fiscal consolidation while boosting key pillars of GDP growth.
Coming to our quarterly performance :
We have delivered yet another stellar quarter on the overall business. Deposits grew by a strong 7.7% Q-o-Q and 22.4% Y-o-Y to Rs. 42,223 crores with our credit to deposit ratio staying comfortable at 88%. CASA mobilization has been healthy and remains a key focus area for us.
In line with our guidance, we continue to expand our geographic footprint during the quarter with the addition of 11 branches taking our total branch network to 777. This marks completion of planned addition of 24 branches for Financial Year ' 26. The clear focus on acquiring quality new-to-Bank customers and dedicated channels to engage better with existing -to-Bank

customers has led to CASA percentage staying above 27% for 2 consecutive quarters. We have witnessed improvements both on month -end balance s and monthly average balances. With the planned enhan ced engagements with CASA customers, we are poised to better this ratio.
Cost of funds continue to trend lower due to the deposit rate cuts already taken in H1 FY '26 and

better overall liquidity planning. Cost of funds for the quarter was 7.08% down 26 bps Q-o-Q. We are closely monitoring the tight liquidity scenario and remain comfortably placed with LCR at 165.6% as of December '25 . Effective January 9, savings account deposit rates in the lowest 2 brackets have been reduced by 25 basis points and 50 basis points respectively. Gross loan book GLB for the quarter grew by 7.1% Q-o-Q and 21.6% Y-o-Y to Rs. 37,057 crore s, driven by the highest -ever quarterly disbursements at Rs. 8,293 crore s. This was due to all -round performance across unsecured and secured products.

Our micro -banking portfolio continued to demonstrate strong momentum across collections and disbursement growth. Bucket X collection efficiency showed continued improvement for 7 consecutive months starting June 2025 and clocked 99.7% for December 2025. The book created with enhanced credit policies within MFIN guardrails is leading to these improved collections. The rejections trend has started to move lower, and we expect furthe r improvement in new customer acquisition going ahead.

New customer additions were at Rs. 1.4 lakhs up 11% Q-o-Q. Disbursements in micro -banking were at Rs. 4,688 crores up 10% Q-o-Q and 62.4% Y-o-Y led by improving market sentiments. Group loans GLB grew 0.2% Y-o-Y after a 5-quarter contraction. GL continued to witness increase in ticket sizes in line with larger market trend. Individual loans disbursement continued to grow steadily on back of graduating customers from GL. GLB came in at Rs . 5,687 crores growing 4.1% Q -o-Q and 14.8% Y-o-Y.

Coming to our secured portfolio :

Growth in the secured book continues to stay aligned with our long -term objective of increasing its share in the overall loan book, reaching 48%. Housing portfolio comprising of Affordable Housing and Micro Mortgage s delivered strong growth of 49.6% Y -o-Y. Affordable Housing GLB grew by a healthy 40.3% Y-o-Y to Rs. 8,231 crores. This was supplemented by Micro Mortgage book which more than doubled to Rs. 1,329 crore s Y-o-Y. Asset quality trends continue to be along expected lines with PAR improving sequentially to 3.3% and GNPA remaining flat at 1.1%. Housing loan portfolio represents a mature business that we have built steadily over the last 9 plus years. This book represents an important growth engine for the Bank . Our focus has been on scaling this franchise in a calibrated and sustainable manner leverag ing our distribution strengths.

MSME GLB witnessed a robust growth of 69.1% Y-o-Y at Rs. 2,865 crores driven by disbursement gr owth of 37.4% Y-o-Y to Rs. 457 crores. Asset quality continued to improve with GNPA as of December '25 at 4.1% with new book showing negligible delinquency. As the working capital business grows, the liabilities cross -sell continues to expand. The relative ly new gold loans business has scaled up roughly 5 -fold Y-o-Y to Rs. 557 crores. Disbursement capacity continues to expand with the product now being offered in 349 branches leading to Rs. 100 crore s disbursement month -on-month. With book LTV below 60% as of December '25 , portfolio is resilient to any abrupt shocks arising from underlying gold price movement. Agri loans now constitute 3.4% of the overall secured portfolio. The GLB has scaled sharply by 212% Y-o-Y to Rs. 607 crores supported by strong disbur sement of Rs. 125 crore s in Q3.

Vehicle loans, the steadily increasing new two -wheeler book is high yielding at around 20%.

Growth in the vehicle finance portfolio was driven on the back of the festivities in Q3, w itnessing a robust growth of 120% Y-o-Y reaching Rs. 823 crore with GNPA at 1.8%. FIG book has grown 6.9% Q-o-Q and 17.9% Y-o-Y and continues to create opportunities for the Bank across both assets and liability products. We will introduce our mid -corporate offerings in Q4 FY ' 26 which will expa nd the product suite. AD1 business has commenced in November 26. At present, we offer FCNR, E EFC and account payments for our customers. We are in the process of starting our trade build -out to handle FX bills, LCs and BGs.

Coming to Bank -level asset quali ty:

PAR for the Bank came below 4%. This was 5.36% as of December 24. SMA book continued the positive momentum and came in at 1.6%. As anticipated, slippages and write -offs have moderated to Rs. 221 crore s and Rs. 126 crore s respectively in Q3. GNPA came i n at 2.4% as of December '25 . Credit cost for the quarter, including Rs. 9 crore s of accelerated provision, came in at Rs. 195 crore s. PCR moved up to 76%, up 3% Q-o-Q, reflecting positive signs in provision requirement in Q3, which is expected to see furt her reduction in Q4. This is along guided lines.

On the margin side, net interest margin for the quarter was sequentially higher at 8.2%, support ed by lower cost of funds, favor able product mix, lower interest receivable (Correction: reversal) in unsecured portfolio, coupled with CRR relaxation. Our reported net interest income of Rs.

1,000 crore is a growth of 12.8% Y-o-Y and 8.5% Q-o-Q. This marks the highest ever reported NII, reflecting our growth as well as normalization in P&L post the recent stress period. As regards the implementation of new labor code effective November 25, we have assessed and accounted for the estimated incremental impact towards past service cost amounting to pre -tax Rs. 18 crores. Our cost to income ratio came in flat Q-o-Q at 66%. Adjusted for this Rs. 18 crore one-off impact our cost of income drops below 65%. Profit after tax came in at Rs. 186 crore with ROA of 1.5% and ROE of 11.5%, indicating strong improvement in profitability. The improved profitability is on expe cted lines and is built into FY '26 guidance range. On our Universal Bank application being considered by the regulator, we continue to remain hopeful.
To bolster the board, we welcome Mr. Anirud dha Paul to the Ujjivan family. He has been appointed as an Independent Director effective today, subject to the approval of the shareholders. He is an award -winning business and technology leader with over 3 decades of global experience across banking, insurance, technology and digital transformation. He brings expertise in complex transformation, innovation in AI and data, process and technology that will help the Bank in its growth trajectory.
As I conclude, I want to reiterate that the broad -based improvements delivered in quarter 3 across key operating metrics are durable and reflective of disciplined execution, keeping insight our long-term vision. While we grow our various businesses, we are managing our expenses in a very tight band and which should see our investments in distribution, process, technology, digital and marketing, creating and operating leverage over the medium term. As we close in on the end of the financial year, our teams are working on the annual operating plan for Financial Year ' 27. We shall continue to generate growth momentum across deposit and asset products into the new financial year. Asset book diversification shall continue while improving asset quality. Cost of funds is expected to trend better, leading to improved performance across parameters.
I will pause here and open the floor for questions. We have our ED, CFO and other colleagues who will collectively answer the audience's questions. I now hand o

ver to Alaric . Thank you so much.
Moderator: Thank you, sir. We will now begin the question -and-answer session. Our first question comes from the line of Rajiv Mehta from Y ES Securities. Please go ahead.
Rajiv Mehta : Hi, good evening. Congratulations on very strong performance. Sir, my first question is on the status of Universal Banking License, while you remain hopeful about it. But has there been any communication or any kind of pushback in the recent time, which implies that the approval will come with some delay or which explains why it is taking so much time because it will be about 12 months since we have applied. So, if there is anything like that or you think that it is a normal time and we are absolutely very new near the point where any application will get a decisive decision from RBI?

Sanjeev Nautiyal : So, Rajiv, it is being a ctively considered by the Reserve Bank of India and we have to just wait for their decision. That is all I can say. We would expect it to happen as quickly as possible. The decision that is.
Rajiv Mehta : And s ir, now just commenting, if you can comment on the NIM s trajectory, because NIM has pleasantly gone up by 30 basis points sequentially in this quarter. Now, incrementally, when I look at your cost of term deposits, it was just the first quarter wherein we hav e started the fall happening by 40 basis points. Now, if you can explain the trajectory of how your cost of term deposits can further fall and up to what level, and you have also cut some SA rates. So, how would that also have some positive impact on the c ost of fund? And now with the growth mix, slightly getting better with MFI coming back, how do you see the yield playing out? And consequently, at the dynamics of both asset and liability pricing, how do you look at your NIM s over the next 2-3 quarters?
Sanjeev Nautiyal : Hi, Rajiv. So, Rajiv, we expect the NIM to at least stay at the same level as we have reported in this quarter. Possibilities for improvement do exist. And the kind of initiatives that we have taken on the reduction of the rates of interest , savings Bank deposit rates in the lowest two buckets by 25 basis points and 50 basis points, and the tightening of the costs and the expenses, and the kind of portfolio held that we are witnessing on the microfinance side, and the growth that it is exhib iting, all points into a positive direction. So, let the actual action happen in the last quarter. We remain positive.
Rajiv Mehta : Sir, just 2 last things. So, where do you want to maintain your?
Moderator : I am sorry to interrupt, Rajiv. I would request you to rejoin the queue as you are done with two questions.
Rajiv Mehta : Sure. No problem.

Moderator : Thank you. The next question comes from the line of Suraj Das from Sundaram Mutual Funds. Please go ahead.
Suraj Das : Hi, sir. Am I audible?
Moder ator: Yes, Suraj. Please go ahead.
Suraj Das : Yes. Thanks for the opportunity, sir. Two questions. One on the yield on MFI. This quarter, the yield on MFI has gone up on a Q -o-Q basis. Just wanted to check if this is a function of the lower slippages or yo u have taken any rate hike or done some sort of that thing there. That is question one? Second question, sir, in terms of this individual PAR 0 number on the West Bengal side, I think that number has been quite sticky for last 2-3 quarters. When do you see improvement there? And the last question would be, sir, on the Affordable Housing book, I think in terms of PCR on the housing portfolio has come down quite a bit. Over the last 3-4 quarters, it used to be 60% plus 60 %-65%. Howev er, I think that number right now is mid -40s. So, what would be

your comfortable level of PCR in the housing portfolio as this is the one of the fastest growing portfolio within the Bank ?
Ashish Goel : Suraj, on the first question, which was 22.2 yield, the Bank has not taken any changes in the rate, the lending rate. It is only on account of reduced slippages and therefore, consequently reduced interest reversals. The second question was related to individual loans with West Bengal, we had pointed out last time, was showing a higher PAR . So, when you look at the SMA book, the SMA book has started to come down. Our bucket X collection efficiency in West Bengal has also improved. So, SMA has come down. However, 90 plus continues to be slightly on the higher side. And on housing, the PCR is 55%. I don't think it is lower than that. So, last time also, we had said that on almost all secured assets, our PCR is about 55% and on unsecured, our PCR is in the range of 85%, bringing the overall PCR to 75 %-76%. That con tinues even in the end of this quarter.
Suraj Das : Sure, understood. Thanks for that. Probably, the housing will take it offline.
Moderator : Thank you. The next question comes from the line of Shr eepal Doshi from Equ irus Capital. Please go ahead.
Shreepal Doshi : Hi, sir. Thank you for giving me the opportunity and congrats on a good quarter. S ir, my question was on MFI segment. So, what is the customer base there as on December and how has been the customer addition in the last couple of quarters? I just wanted to understand that and then to follow up there, what is the kind of rejection rate that we have seen in this segment for the new customers given the kind of guardrails that are prevalent for MFI lenders? So, that is question number one. And q uestion number two was on the OPEX front. So, that run rate continues to be elevated. So, while we have been adding branches there and also for I think the new product, the infrastructure, but will the run rate come down, or will it remain elevated despite the CA ratio looking better?
Vibhas Chandra : Hi, Shr eepal. Answering to your first question, NCA is something which is a question in our industry in the last one year after the crisis, how NCA moves, we will also decide that how your overall borrow base will increase in industry. This year has been good for us. We started this year in the first quarter with close to 1.08 Lakh new customer acquisition. Q2 was close to 1.24 Lakh and Q3 is at about 1.4 Lakh . So, there has been consistent improve ment every quarter in terms of new customer acquisition. And we see that in next quarter also , we will see improvement in new customer acquisition. The reason behind that is that if you look at, you also asked about rejection rates and rejection rate obvio usly after implementation of Guardrail 2.0, it went up and it went up to 46 %-47%. And if you look at our number now, our percentage of customers who are three lender or above has come down to 2.4%, close to 2.5% which was close to 14 %-15% at peak. As the p ercentage have moved down, our rejections have also come down to about 35 %-36% and we expect this number to be there going forward.
Shreepal Doshi : What is the common reason of rejection? Is it just the lender cap or anything else?

Vibhas Chandra : It is a mix. It is also Guardrail 2.0 with the lender cap as well as overall indebtedness. At the same time, the other reason is customer repayment behavior with us and others.
Shreepal Doshi : Got it. And sir, on the se cond question on the OPEX front?
Balakrishna Kamath : Shreepal, Bala here. Now , coming to your question on OPEX. Can you hear me?
Shreepal Doshi : Yes, sir. I can hear you.
Balakrishna Kamath : Coming to your question on OPEX, 6.7% was OPEX to asset ratio this quarter which was higher by 40 bps. But it is lower than our internal plan. This was very much envisaged by us. And the increase is due to two factors. One is you are aware of the gratuity. We had to

take a higher
provision of around Rs. 18 crores due to the new labor code that had an impact of 10 bps. And the balance is mainly due to the business growth which we factored in. Our dis bursal was at an all-time high. So, it is towards that. Q4 also will stay around the same level. That is what we are more or less anticipating.

Shreepal Doshi : So, Q4 also we should see 6.7% cost to average asset, is it?

Balakrishna Kamath : Yes. Next year, you should see an improvement. But this year, it will be at the same level. And this is what we had planned also in our budget for the year.

Shreepal Doshi : Got it, s ir. Thank you. Good luck for the next quarter, sir.

Moderator : Thank you. The next question comes from the line of Ashlesh Sonj e from Kotak Securities. Please go ahead.

Ashlesh Sonje : Good evening. Two questions from my side. Firstly, if you can talk us th rough the loan mix which you envisage over the next year or so. How fast do you expect the share of MFI to decline or do you expect it to stabilize around current levels? That is one. Secondly, if you can just summarize the rate cuts which you have taken o n SA again. I missed the numbers. And if you can also spell out what is the aspect on the cost of SA you expect over the next quarter ?

Balakrishna Kamath : Coming to your first question, we are working on a budget for next year along with the medium -term plan. Once it is concluded, we will share the details with you. Till then, we remain committed to our vision 2030. We have given all the details there. You may refer to that.

Hitendra Jha : In this quarter, we have reduced our SA in two buckets, 0 to 1 lakhs by 25 bps and 1 to 5 lakhs of 50 bps. Overall, 46% of deposit lies here, SA deposit in these two buckets. So, right now, we are expecting rate to , cost of fund around 7% here.

Hitendra Jha : Yes, exactly.

Ashlesh Sonje : Cost of fund is 7% for next quarter?

Hitendra Jha : Yes. Overall, right now , SA is 5.2%, so some moderation will happen here around 5 bps.

Balakrishna Kamath : Also, I wanted to add that the exit cost of fund by the year -end would be around 7%.

Ashlesh Sonje : Thank you.

Moderator : Thank you. The next question comes from the line of Deepak Poddar from Sa pphire Capital. Please go ahead.

Deepak Poddar : Am I audible, sir?

Moderator : Yes, Deepak.

Deepak Poddar : Yes. Thank you very much, sir, for this opportunity. S ir, just fir st up, I wanted to understand, I think you mentioned in your opening remark as well, you expect a further moderation in the credit cost. And you did mention in your presentation as well our steady -state credit cost of 1 %-1.5%, right? So, just wanted to und erstand by when we do expect the steady -state credit cost we strive to achieve, maybe what, we are 2 quarters away, 4 quarters away, how should one look at it?

Ashish Goel : So, Deepak, credit cost for us, when we had guided, we said that credit cost in H2 will be significantly better and we will start seeing a lower trajectory. As expected, Q3 has shown a very good improvement over Q2 and Q4 also will show an improvement over Q3. In terms of normalization of credit cost, we can expect that next year the nor malization should happen. There will be some amount of stock available probably in the later buckets which should get absorbed and which should get provided in Q1, I would say. So, we could say that we are about 2 quarters away.

Deepak Poddar : So, ideally, we can say by second half of FY '27, one can expect a normalization of your credit cost, right? That would be a fair assumption ?

Ashish Goel : Yes, we are in the process. The normalization has started and normalization of credit cost happens with l ag of NPA recognition. So, that process has already started in Q3 and I would say that by the end of Q1 and Q2, we should see the normalization of credit cost.

Deepak Poddar : Sir, I missed that, by end of what?

Ashish Goel : By end of Q1 and definitely by e nd of Q2.

Deepak Poddar : By end of first half?

Ashish Goel : That is right.

Deepak Poddar : And my second question is on your ROA. We have given our FY '30 vision where we are seeing ROA of 1.8 %-2%, right? And I think currently only at a not normalized credi t cost, we are at an

ROA of 1.5%. So, you expect this ROA profile of the company because we are going more towards secured book to be limited to that below 2% kind of a range. Because once you get that, currently your credit cost is in the range of 2.1%. So, on an average, steady state credit cost of

1%-1.5% will give you a delta of around 0.5 %-1%, right? But still, we are talking about ROA of 1.8 %-2%. So, just wanted to pick your brain, how do you think on it?

Balakrishna Kamath : We are going to have a diversified book and as shared in our plan for 2030, we have worked out the entire plan. And definitely, it is coming to the range of what you mentioned. Yes. So, with the book, which we envisage with more of secured and unsecured tapering off to 30% by 20 30, this plan can be achieved.

Deepak Poddar : And what is the assumption of secured book by FY 2030?

Balakrishna Kamath : 2030, we are assuming around 30 %-35% will be unsecured and the balance will be secure d.

Deepak Poddar : So, 65%-70% is secured and there we expect 1.8 %-2% kind of a ROA profile?

Balakrishna Kamath : Yes. This year will end around 50 -50. Slowly, it will progress towards 30 -70 by 2030. Every year, around 5%.

Deepak Poddar : Every year, 5%. Fair enough. I think those were my two questions. That is it from my side. All the best to you. Thank you so much.

Moderator : Thank you. The next que stion comes from the line of Suc rit Patil from Eyes ight Fin trade. Please go ahead.

Sucrit Patil : Good evening to the team. I have two questions. My first question is, as Ujjivan builds on its core and microfinance and Affordable Housing , how do you see the lending mix shifting over the next 2-3 years? And what role will digital onboarding and FinTech partnerships play in scaling inclusion and strengthening customer support? That is my first question ? I will ask my second question after this. Thank you.

Sanjeev Nautiyal : So, while we have given the overall guidance up to Financial Year 2030 in terms of the various components and building blocks of business that we will have, we are revisiting the issue and preparing a 3-year strategy to further fine -tune it. So, may I request you to please wait till we finalize our 3-year plan and then come up to you with a specific iteration. So, I would request you to just wait for some more , for this quarter , we will be able to come back to you with greater details.

Sucrit Patil : Fine. My se cond question is, with strong capital adequacy and improving asset quality, how are you planning to sustain margins and cost efficiency as deposits and secured lending expand? And how do you see digital cost efficiency shaping ROA and long -term profitabili ty in the coming quarters?

Gaurav Sah : Hi, this is Gaurav. So, with the improvement in the overall parameters across the unsecured landscape, we have started to see the credit cost moderation and that is leading to the increased profitability. And the dive rsification, if you see the secured verticals, the new businesses that we had started to incubate around FY '25 starting, they started to grow very well. So, they will soon add into the bottom -line as well. We have trajectory for that. And hence, the overa ll profitability will move in the tandem of, as Mr. Nautiyal also said, towards the FY '30 vision. So, that is the overall thing that we are looking at. And on the liability front also, just to add,

we are looking to increase the CASA percentages, which ha s come up to 27% in this financial year. We expect that to move towards 35% in our FY30 vision. So, all these things will play out and we look to have a consistent kind of profitability matrices.

Hitendra Jha : Just to add here, our CASA franchise is doing very good growth. This year , we saw growth of 33.2% Y-o-Y and 7% Q-o-Q. So, we are confident of increasing CASA percentage going forward.

Sucrit Patil : Thank you for the guidance and I wish the team best of luck for the next quarter.

Moderator : Thank you. The next question comes from the line of Rajiv Mehta from Y ES Securities. Please go ahead.

Rajiv Mehta : Thank you so much. My question was on the collection team. I see some reduction in the collection team starting to happen in this quarter. And now with normalized collection efficiencies across businesses, including microfinance, do you think, what is the scope for optimizing this number two? So, that is the numbe r one question. And second is on the Affordable Housing disbursement, I can see some mild degeneration in this quarter on Q-on-Q basis. And I can also see that in Affordable Housing , there is 20% (Correction: bps) of yield decline on Q-on-Q basis. So, I see growth or pricing or competitive challenges in that particular segment, because that is a material segment for us?

Ashish Goel : So, Rajiv, on the collection team, as you know, that we have had 4 quarters of increased slippages and increased PAR , which is now coming under control. And we are now starting to show very good numbers on PAR as well as NPA. However, the entire stress has been in the microfinance book. So, on microbanking, there is a long tail, which we already have. So, we expect that in Q4, there will be no meaningful decline in the number of people in the manpower. But Q1 onwards, we will start to see a decline of between 100 -150 people on a quarter -to-quarter basis. On Affordable Housing , see, we have moved towards Rs. 15 lakh of average ti cket size. So, the

decline in yield that you are seeing is largely because there has been a shift towards slightly higher ticket sizes, point number one. And point number two, there has also been increased competitive intensity in the market.
Rajiv Mehta : Got it. Thank you. Thanks and best of luck.

Ashish Goel : And there is of course, Rajiv, something that I missed pointing out was repo cut, which got passed on to customers that has also had an impact. So, the 20 basis points reduction is a factor of these three things.
Rajiv Mehta : Thanks.
Moderator : Thank you. The next question comes from the line of Hitendra Pradhan from Maximal Capital. Please go ahead.
Hitendra Pradhan : Sir, a couple of questions. One is on the CGMFU side. So, how much of the insurance that we have paid in this quarter and what percentage of our incremental disbursements and loan book is getting covered under this?
Brajesh Cherian : Hi Hi tendra, this is Bra jesh here. So, CGFMU, we cover a smaller portion. We do decide on the quantum to be insured, depending upon the risk adjusted returns. And also we use this as a tail risk protection strategy. So, as based on each quarter, looking at the quality and requirement, we cover some portion, but it is very limited. It is not a very high portion what we cover at this point in time. Thank you.
Hitendra Pradhan : So, how much is the insurance amount that we have paid in this quarter?
Vibhas Chandra : This quarter, we did Rs. 234 crores of coverage. It is a premium payment of about Rs. 1.7 cror e.
Hitendra Pradhan : And secondly, sir, as per your guidance for FY '26, which is 10 %-12% of ROE. So, if you do a back calculation, the Q4 PAT has to see a meaningful jump by almost like 33% to 75% growth on a Q-o-Q basis. So, what could be the contributor towards such a

sharp jump in the 4th quarter?
Are we expecting a meaningful reduction in the credit cost because you mentioned that NIM and OPEX are probably going to be in similar line ? So, if you can comment on that ?
Balakrishna Kamath : We stand by our guidance. Whatever we are given, we are confident about it. There will be 3 key factors. First one is the dis bursal will be at an all -time high with microfinance as well as secured book totally firing. Second point is the falling cost of funds. We have given a guidance. Cost of funds will fall further towards the 7% level. And finally, the credit cost as mentioned by our CCO , it is going to be much lower in Q4 as compared to Q3. All these factors will contribute to us reaching the figure which you menti oned.
Hitendra Pradhan : And finally, sir, on Micro Mortgages , we have seen a very high growth in this segment in this quarter, both in terms of disbursements, while we have also seen some PAR 0 increasing maybe because of book s eason ing. So, what are the t rends that you are se eing in this particular segment because there are players who are facing challenges in this particular segment, but we are growing fast despite having a slightly higher PAR 0 on a quarter -on-quarter basis. So, if you can give some color on that ?

Umesh Arora : Yes. Hi, this is Umesh. As far as Micro Mortgage is concerned, as we said that our book is somewhere around Rs. 1,325 odd crores. And since the base itself is very low and we started around 18 -20 months back , so this is absolute ly the full tenure of 12 months we have seen in this last year only. And that is why , on the percentage terms, it looks like, very heavy, but the base itself is low and that is why it has showing. Second, as far as NPAs are concerned , if we see that it was almost 0 because the volume itself was negligible. And as on date also, when we talk about it is some where like 0.3. So, it is like going to a little bit sort of like a matured, once the portfolio will mature, but I think we are well under control on that .
Hitendra Pradhan : But on the ground, are you seeing any challenges , sir, on this particular segment because we seem to be growing fast here?
Ashish Goel : So, there are a couple of points which I would want to add. One is the Bucket X collection efficiency. So, in terms of Bucket X collection efficiency, we have since inception, never gone below 99.7%. Exit D ecember, we were between 99.7% and 99.8% on the overal l Bucket X collection efficiency, with 12 MOB being 99.9% and above. So, therefore, it has been a stable portfolio for us with Bucket X is the beginning of all the measurement that we do. Secondly, we also are aware of the fact that there is a slight amoun t of stress in the market in the lower ticket sizes. We have, as a strategy, moved our average ticket size to 6.5 and above. So, now we operate between 6 lakhs to 12 lakhs as the predominant ticket size, with some cases happening below 6 lakh and some happ ening above 12 lakh also. But we are reducing our dependence on the lower ticket sizes and we will see a steady growth in 6-12 lakh ticket size. In terms of geographies, we

are now present in almost 260 -270 branches. So, therefore, it is very well diversif ied. We don't have any dependence on any geography. Fourthly, this is a non -DSA business, which is 100% self-sourced. Because of this reason, we also feel that since this is sourced through branches, it should have a slightly better asset quality. I am sorry, I mentioned 260 -270 branches. We are at 317 now.

Umesh Arora : And I would like to add here in as far as LTV is concerned, it is somewhere like 44 %-45% LTV that we operate in. And one of the key emotional connect with the customer is 96% of such properties are SORP, Self -Owned Residential Properties. So, that is giving us a comfort. And DSA sourci

ng or like through third party is negligible. So, all is in -house sourcing.

Moderator : Does that answer your question, Hitendra? Since there is no response f rom the participant, we will move to the next participant. Our next question comes from the line of Chintan Shah from ICICI Securities. Please go ahead.

Chintan Shah : Yes, hello. Thank you for the opportunity and congratulations on strong set of numbers. So, sir, firstly, on the OPEX decline, we mentioned OPEX to assets ratio could dec line from 6.7% in the next year, b ut in case ?

Gaurav Sah : Sorry, Chintan, we can't hear you.

Moderator : Sir, the participant has dropped and so we will move on to the next participant. That is Pritesh Bum b. Please go ahead.

Pritesh Bumb : Yes, hi. Good evening, sir. Congrats on a good set of numbers. One data keeping question and two questions. One is , I wanted a break -up of slippages between MFI and non -MFI and within the group and individual loans if you can provide ?

Siddharth Bharadwaj : Pritesh, request you to repeat the second question, please.

Pritesh Bumb : Wanted break -up of slippages between MFI and non -MFI and within MFI group and individual loans ?

Ashish Goel : So, the gross slippages, the average of microfinance is in the range of about 80% to the overall slippages. The total slippages we had for the quarter was Rs. 221 crores, which is about 2.4% annualized. Of this, 80% comes from microfinance and the remaining 20% comes from all the other assets.

Pritesh Bumb : And within group and IL, if we can have a broad color ?

Ashish Goel : Within group and IL, 70% is from GL and 30% is from IL.

Pritesh Bumb : Got it. The first question is that this West Bengal, which is now our largest segment within the micro -banking and we are seeing a lot of movement politically, SIRs. What is your thought process there now? Anything you are looking at as a measur e or any early indications of how that portfolio can behave?

Vibhas Chandra : Hi, Pritesh . On West Bengal, we recently also saw Bihar elections and you are right that in West Bengal, Tamil Nadu, Assam will also witness election in the early next financial y ear. West Bengal, we have been working for l ast 18 -19 years and we have witnessed previous elections also. We don't see much of disturbance as far as microfinance operations is concerned in West Bengal. This is also based on the fact that most of the portfolio in West Bengal, like other states, are mostly metro or urban in nature and our rural presence is limited. At the same time, our overall diversification in terms of product among the customers between GL and IL within microfinance and then beyond microfinance also within the Ujj ivan Bank is also very healthy. That gives us confidence that West Bengal is going to be okay right now also and next financial year as well.

Pritesh Bumb : Got it. The second question was in terms of CASA and deposits, we ha ve shown a decent growth this quarter. What are we doing to improve it further from this level of 27% and we are at a comfortable CD ratio of about 85% ? Now, how are you going to look at deposits as some growth is coming back and how do you think about the deposit side?

Hitendra Jha : Hi, Pritesh . So, CASA, as we have given our projection, we will maintain the same level this year and we will improve going next year. Starting next year, we will improve , but this year it

will be around the same level. And cos t of fund, we have already given our indication that it will be around 7%. So, if you look at CASA, growth rate is 33% which will make this kind of growth rate, we will maintain for next quarter also.

Pritesh Bumb : Sorry, I was asking a bout CD ratio being comfortable?

Hitendra Jha : Yes, we will maintain around same level. Ye s.

Pritesh B

umb : Got it. Thanks.
Moderator : Thank you. We got our next question from the line of Chi ntan Shah from ICICI Securities. Please go ahead.
Chintan Shah : Thank you, sir, for the opportunity and congratulations on a strong set of numbers. So, sir, firstly, on this OPEX decline, which you are expecting in FY '27, OPEX to ascend decline. So, this is despite assuming, even if we assume there is a universal Bank license approval, despite that also, we will see a decline in OPEX. Will that be a fair assumption to m ake?
Gaurav Sah : Yes, it should go in that direction. But as Mr. Nautiyal said that we are working on our plan and we will come back with the final figu res and guidance for FY '27 by the next quarter. So, I would request you to give us some time on that.
Chintan Shah : Sure. And secondly, on this MFI piece , I think last quarter we mentioned that the PAR was relatively elevated in a few states, namely Karnataka, West Bengal and Bihar. Given that there is an improveme nt in the collection efficiency, so we can say that, so what is the current status in all the 3 states? Now, the PAR is normalized across sta tes or do we still have any states where the PAR seems to be relatively on the higher side?
Ashish Goel : Chin tan, we have seen the collection efficiency in 10 out of 10 states at 99.6% and above in November as well as December. There was one blip in the mo nth of October in the state of Gujarat that has also got recovered in November, December. So, all our states are now above 99.6%. So, as a result, once the Bucket X collection efficiency is improved, the PAR percentages will start to show a gradual decline .
Vibhas Chandra : One point is, last quarter we discussed that Karnataka was on improving trend, but there was scope for further improvement. Gujarat, we talked about North Gujarat, where they had some issue. Bihar was never an issue for us and so far in t his quarter also, Bihar has performed well.
Chintan Shah : Sure. And just one last thing, on the margin front, so assuming that we are now gradually moving every year by 5 %-5% almost towards a more secure mix, so how do we expect the yields to trend from he re on? And will that decline in the yields, assuming that we are moving from MFI to non -MFI, will that be largely compensated by cost or we could also see some moderation in margins from structural standpoint, 2 -3 year standpoint?

Gaurav Sah : Hi, Chintan . Chintan, we will give you the guidance, but directionally what we see is that yields will come down since the book mix will continue to shift. However, there will be support of the lower cost of funds for the full year , next financial year. So, that is the overall direction, but please wait for the guidance.
Chintan Shah : Sure, no worries. Thank you and all the very best. Thank you.
Moderator : Thank you. The next question comes from the line of Sagar Shah from S park Wealth Management. Please go ahe ad.
Sagar Shah : Yes, thank you for the opportunity and congratulations, sir, for very good set of numbers. My first question was related to our RO A actually. Going forward, as our credit costs actually stabilize in next year and even better in FY '28 and e ven our asset growth actually accelerates from here on. But I wanted to understand what are the key lever s for RO A according to you actually, that is my first question ? And my second question was related to the slide number 20, where I was seeing the IL book actually, IL book the PAR ratio is actually increasing. So, that was my second question, sir ?
Ashish Goel : So, I will take the PAR question first. So, as I was describing the Bucket X collection efficiency in Q3 has been significantly better than Q2 with all 10 out of 10 states showing 99.6% and above and going up to 99.7% on an average in the month of December. So, we have started seeing a very g

ood rev ival in the Bucket X efficiency. So, our PAR over a period of time will start to show a declining trend. On IL specifically, we have seen the SMA book decline , 2 consecutive months between October to November and November to December. So, this trend hopefu lly will continue because we are not seeing any disturbance in the early Bucket. In IL, we have also seen that the collections in the SMA book has also improved, not just the Bucket X collection. But SMA collections have also started to see a very good imp rovement in Q3 compared to Q2. So, that also gives us confidence that the PAR will not translate to NP A as it has been in the past, which is showing in our reduced slippages ratio.
Sagar Shah : But sir, our PAR 90 plus has gone up from 2.3 -2.7. That was my question, sir, on the IL front ?
Ashish Goel : So, this is on account of two things. One, we had Karnataka, which is largely responsible. We did have some stock which has moved to 90 plus. And ye s, so this Karn ataka has been the outlier .
Vibhas Chandra : So, IL, one unique thing compared to what you see in microfinance typical group loan is in IL, your repayment in the SMA Bucket is also very good compared to GL. As you collect better in SMA Bucket, SMA 0, 1 and 2 , the customers moving to NPA is on the lower side compared to GL and that leads to lower write -off as well. But that is a problem to have. Your SMA Bucket is a little swelter because you are having a higher percentage of collection in this bucket. We are very comfortable in IL. We have been seeing IL doing better than GL for the last 5-6 years,

including pandemic and during the last year crisis. And we are very confident about IL going
forward as well.

Sagar Shah : So, basically, we will see stabilization t rends, at least in the IL PAR 90 plus as what we can perceive from your commentary, right?
Vibhas Chandra : Yes.
Sagar Shah : And my second question, sir, was the key levers for our expansion in ROE, sir, from next year and even better in FY '28?
Siddharth Bharadwaj : So, Sagar, we will leave you with the fact that our book makes changing in favor of select high yield products add ed to the fact that we will see credit costs coming down proportionate to the secured products that we run and a concerted effort to build on our other income streams gives us comfort to maintain the ROE trajectory and guide that we are looking at. As we m ove forward, of course, we will see the benefit of cost of funds supporting our ability to enter and grow the unsecured products as well.
Sagar Shah : Fine, sir. Thank you so much and all the best for future.
Moderator : Thank you. The next question comes fr om the line of Mehul Panj uani from 40 Cents. Please go ahead. Mehul, please go ahead with your question and kindly unmute your line in case if you are on mute. Since there is no response from the participant, we will move to the next participant. The quest ion comes from the line of Khushwant Pa hwa from KPAC Marketing. Please go ahead.
Khushwant Pahwa : Congratulations on a good set of numbers. I just have two questions. The first one is purely data. When I look at your presentation, page number 5, RO A for 9 months is given as 1.1 %, whereas in the results, it is given as 0.84 %. I am presuming that 1.1 is annualized and the other one is not. Is that correct?
Gaurav Sah : Sorry, Page # 5 and where? Sorry.
Khushwant Pahwa : Page number 5 of the presentation and in the results sheet for the 9 months ended, you give return on assets average there also. So, in the presentation and the results, both are uploaded on the website. So, I am comparing the two and I see return on assets as 0.84 % in the quarterly results, whereas in the PP T on page number 5, being the 5 number written at the bottom, actually slide nu mber 6, if I include the title slide. So, 1.1 is mention

ed there. So, I just wanted to understand, is it the difference just that one is annualized, the other one is not?
Gaurav Sah : So, maybe we will check this and come back. We will reconcile if there is an error at our end.
Khushwant Pahwa : All right. But if I go with what is given in the results, that is 0.84% and your guidance for this fiscal being 1.2 %-1.4%. Now, March is also quarter where you will have your bonus payouts and everything. So, how confident are you with likelihood of additional employee -related OPEX that you will actually be able to hit the ROA guidance? And how do you see it quarter -on-quarter improving from there on? Because your vision is 1.8 %-2% eventually, but slowly, you d o need

to reach 0.4 kind of quarter -on-quarter numbers. So, any comments on, qualitative comments, quantitative on this, if you have a qualitative in long term, how do you see it panning out?
Gaurav Sah : So, on the payouts and all, just to tell you that we stand by our guidance and we see that our range of 1.2 %-1.4% ROA will be met. We are very confident about that and any additional expenditure is already incorporated in that. So, we are very confident of falling in that range.
Siddharth Bharadwaj : Khushwant, just to confirm on the dual data that you mentioned, it is an annualized number which is reflecting in 1.1.
Khushwant Pahwa : I could get that. Thank you so much for that. All the best.
Siddharth Bharadwaj : Yes. Thank you.
Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing remarks.
Sanjeev Nautiyal : So, I once again thank all the participants for their time and interest. We at Ujjivan SFB remain focused on delivering on profitable growth while we build an enduring institution. Please reach out to our IR team for any queries that you may have. Thank you very much.
Moderator : Thank you, sir. Ladies and gentlemen, on behalf of JM Financial Institutional Securities Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2026

(no extractable text — likely a scanned image PDF)

Call: May 2026

USFB/CS/SE/202 6-27/21
Date : May 14, 2026

To,

National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

Symbol: UJJIVANSFB BSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 542904

Dear Sir/Madam,
Sub: Transcript of the Quarterly Earnings Call held on May 08, 202 6
Pursuant to Regulation 30 o f SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnin gs/quarterly conference c all held on May 08 , 202 6 for the quarter and year ended March
31, 202 6 is enclosed herewith.
The same shall be available on the Bank's website at www.ujjivansfb.bank.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED

Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework

Encl: as mentioned above

"Ujjivan Small Finance Bank Limited
Q4FY26 Earnings Conference Call"
May 08, 202 6

MANAGEMENT : MR. SANJEEV NAUTIYAL – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MS. CAROL FURTADO – EXECUTIVE DIRECTOR
MR. SADANANDA BALAKRISHNA KAMATH - CHIEF
FINANCIAL OFFICER
MR. ASHISH GOEL– CHIEF CREDIT OFFICER
MR. VIBHAS CHANDRA – HEAD OF MICRO
BANKING
MR. HITENDRA JHA – HEAD OF RETAIL
LIABILITIES , TASC & TPP
MR. UMESH ARORA– HEAD OF EMERGING
MARKETS
MR. MARTIN P.S–CHIEF OPERATING OFFICER
MR. BRAJESH CHERIAN–CHIEF RISK OFFICER
MR. SIDDHARTH BHARADWAJ – HEAD (INVESTOR
RELATIONS)
MR. GAURAV SAH – LEAD INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Ujjivan Small Finance Bank Limited 4QFY26 Earnings Conference Call hosted by Ambit Capital Private Limited. As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Jignesh Shial from Ambit Capital. Thank you, and over to you, Mr. Shial.
Jignesh Shial: Yes. Thank you, Michelle, and good evening, everyone. On behalf of Ambit Capital, I would like to...
Moderator: I'm sorry to interrupt you, sir. Sir, can you please start? Because your voice broke.
Jignesh Shial: Yes. Okay. So thank you, Michelle, and good evening, everyone. On behalf of Ambit Capital, I would like to welcome you all to 4Q and full -year FY26 earnings call of Ujjivan Small Finance Bank. We have, along with us, Mr. Sanjeev Nautiyal, Managing Director and CEO; Ms. Carol Furtado, Executive Director; and the senior management team of Ujjivan Small Finance Bank.
I will now hand over the call to Mr. Sanjeev Nautiyal, Managing Director and CEO, for his opening remarks. Over to you, sir.
Sanjeev Nautiyal: Thank you, Jignesh. Good evening, and thank you all for joining us today for Ujjivan SFB's 4 Q and financial year 2026 earnings call . Please do note I will be referring to year -on-year comparisons with Q4 financial year '25 and quarter -on-quarter with Q3 financial year '26. The Indian economy continues to exhibit resilience as reflected in a stable GDP growth outlook. This is supported by strong domestic fundamentals, government initiatives , and interventions supported by adequate liquidity.
On the industry front, overall Bank credit recorded strong growth of 16%, reaching INR219 lakh crore, while deposits increased by 13.4 percentages to INR268 lakh crore s as of March 31, 2026.
The Reserve Bank of India has kept policy rates unchanged at 5.25%, while maintaining a neutral stance reflecting a balanced approach to support growth, while retaining flexibility amid evolving risks.
CPI provisional inflation for March '26 came in at 3.40%, up 19 basis points over February '26, and RBI expects headline inflation to average around 4.6% for the financial year '27. We do not expect rates to be increased unless there is a sharp surge in inflation above the RBI target range.
Real GDP growth for the financial year '26 -'27 is expected to be around 6.9% as per the RBI.
The projection faces downside risks from geopolitical tensions, such as the West Asia conflict, oil price volatility, supply c hain disruptions, and the super El Niño weather phenomenon, fuelling inflation. GDP expansion is likely to be supported by continued government capital expenditure and a recovery in private consumption.

I will commence with our financial year 2026 journey before I delve into quarterly performance.
We received communication from the RBI on 13th April on our application for voluntary transition to a universal bank. The regulator , while returning our application, has acknowledged our ongoing efforts towards diversification of our loan portfolio.
We shall continue to engage with the RBI and reapply as per their constructive guidance at an appropriate time, demonstrating a diversified portfolio. We remain committed to our universal banking aspirations. During the year, we continued to widen and deepen our Board and management. At the Board, Mr. Aniruddha Paul brings expertise in complex transformation, innovation in AI and data, process , an

d technology.
In the financial year '26 till December '25, management additions of Mr. Umesh Arora, Mr. Deepak Agarwal, and Ms. Vijayalakshmi Muddu have strengthened business strategy and audit functions, respectively. In quarter 4 of the financial year '26, with the appointment of Mr. Pankaj Gupta as Chief Digital Officer and Mr. Mohd Shakil Khan as Head of Collections, our digital capabilities and collection portfolio are further strengthened.
Let me now enumerate a few important milestones achieved in financial year '26. Deposits and

gross loan book each have crossed INR40,000 crores , taking the balance sheet across the INR50,000 crore s mark. Retail deposits crossed INR30,000 crores , and savings accounts crossed INR10,000 crores. Housing vertical comprising of affordable housing and micro mortgage crossed INR10,000 crores, while MSME and FIG crossed INR3,000 crores each. Total secured advances portfolio crossed INR20,000 crores. Micro banking as sets, GL and IL combined , grew past INR20,000 crores after a large contraction in financial year '25, and also in financial year '24.
Q4 concludes another important year for Ujjivan, marked by strong execution, improving operating performance , and continued strategic progress, with the outcomes in line with the guidance at the start of financial year '26.
We continue to see strong momentum in deposit growth. Total deposits stood at INR45,668 crores, reflecting Y -o-Y growth of 21.4% and 8.2% Q -o-Q, while CASA deposits grew higher, leading to an improvement in the CASA ratio to 28.6%. Retail TD plus CASA stood at INR31,995 crores (Correction: ■31,955 Crore) , contributing 70% of total deposits. Cost of funds for the quarter stood at 7% and for the year stood at 7.2%. In a period marked with tight liquidity, we maintained CD ratio at 89% with comfortable liquid ity reflected in LCR at 142% as of March 31, 2026.
Focus remains on strengthening the granular and retail -driven deposit franchise and further improving the CASA ratio. On the gross loan book, during the year, we continue to progress towards building a more balanced and diversified loan portfolio with a clear focus on increasing the share of secured assets. The secured portfolio now contributes 49.4% of t he overall book, up from 43.5% Y -o-Y and 48.1% Q -o-Q. This transition positions us well for more stable and sustainable growth going forward.

Disbursements during Q4 FY26 were the highest ever at INR9,811 crores, up 32.1% Y -o-Y and 18.3% Q -o-Q, reflecting strong demand across segments. The gross loan book reached INR40,655 crores, growing 26.6% Y -o-Y and 9.7% Q -o-Q. The secured portfolio scaled meaningfully to INR20,079 crores , up 43.5% Y -o-Y and 12.6% Q -o-Q. Within secured segments, housing portfolio continued to demonstrate strong traction with growth of 43.4% Y -o-Y and 9.6% Q -o-Q, while the MSME portfolio witnessed robust growth of 57.9% Y -o-Y and 12.8% Q -o-Q driven by strong execution on the formal and semi -formal focused MSME strategy. We also saw strong momentum across newer business lines with gold loans, vehicle finance , and agri banking, scaling up rapidly by 292%, 101% (Correction: 102%) , and 126% (Correction: 127%) Y-o-Y respectively. I am pleased to note that these 3 newer lines now contribute around 6% of our loan mix against 3% in the financial year 2025.
In micro banking, as guided earlier, we witnessed healthy disbursement growth of 11.9% Q -o-Q to an all -time high of INR5,245 crores. During the quarter, MB portfolio grew to INR20,709 crore, up 6.9%. Implementation of guardrails has stabilized the portfolio, and durable demand has returned. The individual loan portfolio continued to grow steadily, while group loan growth remained calibrated. The new customer addition for the financial year '26 was at 5.4 lakhs. Coming

to the bank level asset quality. We have seen stable performance with improving trends across portfolios during the quarter. At a bank level, GNPA stood at 2.27% with sequential moderation in PAR, reflecting improving borrower behaviour and the effectiveness of our collection efforts. Overall, portfolio quality remained robust with credit cost improving to 2.2% of the average gross loan book for financial year '26, down by 20 basis points Y -o-Y, and a visible moderation in slippages during the perio d.
PCR improved to 81%, providing an adequate buffer. Bucket -X collection efficiency in micro banking remained strong at 99.8% in March '26 and above 99.7% across Q4, underscoring disciplined execution on the ground. Within the secured portfolio, asset quality continues to remain robust , with housing and MSME portfolios showing healthy performance and improving delinquency trends.
Our financial outcome for Q4 reflects near-normal portfolio and operational performance. Total income for FY26 stood at INR8,039 crores, up 11.6% Y -o-Y, while quarterly total income came in at INR2,186 crores, up 18.6% Y -o-Y, reflecting continued momentum. We delivered strong NII growth of 26.4% Y -o-Y and 9.2% Q -o-Q to INR1,092 crores, driven by a robust loan growth and a stable product yield. Net interest margin for the quarter improved further to 8.5%. This was largely due to reducing cost of funds, stab le yields and optimal liquidity utilization.
Other income remained healthy, driven by processing fees and insurance income. Other income to ATA for FY26 is at 2.2%. Interest expenses were well managed through active liability management, while opex to ATA for financial year '26 came in at 6.4% , and cost to income for

financial year '26 at 65.6%.

Net profit for financial year '26 came in at INR693 crores with ROA and ROE at 1.4% and 10.9%, respectively. The exit quarter PAT stood at INR282 crores. ROA and ROE were at 2.1% and 17.2%, respectively.
Future FY27 and beyond. For FY27, we plan to accelerate both branch and digital infrastructure, in line with the asset growth objective of around 25%. The current financial year will focus on the addition of about 20%, keeping with our growth plans for the current financial year.
Our digital , AI, and analytics investments will continue to better align with our existing and new customer needs, strengthening our data foundation through a cloud -led platform. An integrated architecture will ensure we deliver on a truly connected bank, thus augmenting our customer acquisition and retention through their life cycle.
Guidance FY27. Grow the advances by around 25%, expect credit cost to moderate to 1.4% to 1.5% of the average GLB, and reach ROA of around 1.6%. As I conclude, we remain committed to profitable growth with a focus on investments in distribution, technology, risk, and multiproduct infrastructure.
Additionally, to maintain an adequate buffer over the regulatory capital threshold, our Board has approved raising equity capital for an aggregate amount not exceeding INR2,000 crores. This capital infusion would propel growth for the medium term. I now hand the call to the moderator to commence the Q&A. Thank you. Thank you very much.
Moderator: The first question is from the line of Digant Haria from Greenedge Wealth .
Digant Haria: Congrats on a good set of numbers. My first question is that we have an average ROE of more than 2%. And for the next year, we are guiding an ROA of around 1.6%. So , is it because you said that we'll open more branches? That is fine. But will it be like our opex grows at 40%, 50% because that's the only line item that will probably increase and pressurize our ROA? That's my first question.
Sanjeev Nautiyal: So I think, Digant, as I said, we would be entailing investments on the lines that I indicat

ed,
which is on tech, digital, AI, and branch expansion. So all these expenses or investments would actually lead to an ROA, which I indicated. And therefore, I would not see anything unusual about our numbers.
Digant Haria: Okay. Because the exit credit cost at this quarter end is around 1.1%. We are guiding for around 1.4%. So like what is -- so you don't see anything adverse there as well, right? It's just the higher investment, which is pushing the ROA down next year in our guidance?
Siddharth Bharadwaj: Digant, this is Siddharth here. The credit cost you're referring to is on DuPont. What we are reporting is on an average GLB. So that's the only difference. But Mr. Nautiyal will give the further response to your question.

Sanjeev Nautiyal: So Digant, we have got the guidance of Reserve Bank of India. So obviously, gradually, we will be scaling up the secured book also. And therefore, the configuration will alter and change and that would also have a bearing on the return on the assets.
Digant Haria: Okay. Perfect. Perfect. So , but I understand that this 200 -- see, like, we are at 51% in micro banking. We will not deliberately slow it down, right? We may increase the other part faster? Or how are we thinking about this, particularly to get...
Sanjeev Nautiyal: Absolutely. Absolutely. We continue to do the micro finance business as we do , and also see that the ratio of the secured book grows faster. So that is how we are going to calibrate the 2 sides of the loan books.
Moderator: We'll take the next question from Shreepal Doshi from Equirus.
Shreepal Doshi: Congrats on a great set of numbers. My first question was on the growth front. So while we've highlighted 25% growth on the overall book, what would be the segmental growth aspiration in segments like micro banking , as well as home loan, and the other segments that we have launched recently? That is my question number one.
And the other question is on the margin front. So I think the earlier participant highlighted opex being one of the aspects, but would it also be margins , given that we would be focusing more on secured side? And therefore, from our exit margin of 4Q, we would see the whole year FY27 margin coming down? So these are my 2 questions, sir.

Sanjeev Nautiyal: So as far as the micro banking business is concerned, we would be growing it at less than 10%, I would say, a higher single -digit number , and correspondingly, the secured book would grow at a much faster pace. And this combination is going to lead to the return on assets that we have given as guidance at 1.6%.
Shreepal Doshi: And sir, on the margin front, NIM margin?
Sanjeev Nautiyal: NIM, I think the second question of yours was on the NIM side?
Shreepal Doshi: Right, sir. Right.
Sanjeev Nautiyal: All right. So what we are saying is the NIM for this year would be at the same level of the exiting quarter, right, close to that number.
Shreepal Doshi: Okay. So we will be at closer to 8.4%, 8.5% is what we're guiding for?
Sanjeev Nautiyal: Yes. Yes, please.
Shreepal Doshi: Got it, sir. Got it.
Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: Congratulations on a good set of numbers . Sir, just to understand this guidance a little bit better. You are saying that the NIMs would remain at the same level as the exit quarter, which is Q4. So what kind of opex growth are we envisaging this year?
Sanjeev Nautiyal: Our cost -to-income. Our cost -to-income ratio, despite the investments that we are going to do will continue to remain at the same percentages as we had in the preceding financial year, which is for FY'24 (Correction : removal of word) FY'25/'26. So you

would expect to see the same cost -
to-income ratio prevailing as of 31st March 2027.
Sarvesh Gupta: Okay. So , sir, in the absence of much of an increase in cost -to-income, also. So I just wanted to understand , like this 50 basis point compression in ROA, that would be caused by which particular line item in your P&L?
Sanjeev Nautiyal: So the investments and new projects would be on branches, on efficiency enhancements , and the others, which are about marketing and new training programs, efficiency would be on IT projects, AI investments, low -cost channels, and branches about infrastructure and staff costs.
Sarvesh Gupta: Okay. Sir, I'll maybe take it offline to understand a little bit better. Sir, secondly, like on the secured side, so we have seen a higher yield for the overall book on the secured side. So , given the plans for next year, how are we seeing this book behaving in terms of the secured book yield? And what would be the main drivers here?
Sanjeev Nautiyal: This would remain more or less the same as we have seen in the financial year '25 -'26.
Sarvesh Gupta: Okay. So this year, we have seen a steady, sort of, increase in the secured book yield. So do we expect now to stabilize at this level? Or how do you see it?
Sanjeev Nautiyal: Yes. Yes. We seem to have the capacity to stabilize them at the same level as you've seen in the last quarter. In fact, in the third and the fourth quarter, the enhancement in the yield, which we have seen generally would continue in the financial year '26/'27 as well.
Sarvesh Gupta: Okay. And finally, sir, on this fundraising, when do you plan to do it? Will it happen this quarter itself? Or what is the plan there?
Sanjeev Nautiyal: Our plan is to do it in the second half of the current financial year, depending on the suitability of the circumstances.
Sarvesh Gupta: Okay. Sir, final one question, if I may. Sir, given this RBI guidance, is there any specific number in terms of the secured book mix that we would want to reach? Because generally, I think a lot of, given the degrowth in the microfinance industry that we have seen, I think normal microfinance growth could be higher than a single -digit number. So are we sort of -- do we have a plan, let's say, by when we want to reapply?
And hence, we want to sort of not grow that book at a normative number and grow only at a single -digit number? Or do we have a mix in plan for the next year that we want to read this mix in secured? So if you can throw some more color on, how are you thinking , given that you guys want to reapply?

Sanjeev Nautiyal: So, the RBI does not share, direct, or guide a particular ratio. We will have to devise our own means of arriving at a particular ratio by an appropriate time before we contemplate applying to the Reserve Bank of India for a transition to a universal banking license. So we will continue to strengthen and enhance the secured book in a manner that the journey is palatable, maintaining

the profitability underpinnings , and to also ensure that the ratio is better than what we had shown to the R eserve Bank of India.
So this will be a self -discovery, I would say. But certainly, we will calibrate and decide at what ratio by what time we need to abide by , so that we are in a position to apply to the Reserve Bank of India. For this year, I can only guide that our secured portfolio would be a little upwards of 56%.
Moderator: We'll take the next question from the line of Abhishek M from HSBC.
Abhishek M : So 2 questions. One is your guidance on margins. So when you say margins will be stable from here, and the secured book would reach 56% from 49% , yes. If I look at the yields, most of the secured book yields are lower. I mean, I understand you have some pricing power with your customer set, but still , most of the

secured book yields are lower than your MFI and individual loan yields.
So how do you plan to protect your margin with such a sharp change in loan mix? And at the same time, do you see any further cuts in your TD rates? Do you think you have room , or you're actually going to have to increase it a bit because of the competitive scenario? So, I just wanted to understand your margin guidance in the context of these 2 things.
The second question is on opex . So, if I split your opex into business costs where you are pushing up your secured book and trying to change your mix versus any kind of technology upgrade or system upgrade or anything else that the RBI may have asked you to do as part of your conversion into a bank, how would y ou split it? Like the kind of opex growth you're seeing this year, what would it be driven by? Yes, those are the 2 questions.
Sanjeev Nautiyal: So I think on the margin side, we will continue to see some release on the cost of deposit side. So we will benefit from the cost of funding side that also needs to be factored in. And also because of the health of the microfinance portfolio now in its prime shape, the reversals of the interest on account of the NPAs would also be lessened -- much lessened. So that is an area where we would al so -- and the release of the cost of funds or the cost of deposits is also what we are going to wi tness. So these would be the...
Abhishek M : In terms of your cost of deposits coming off, how much more repricing would be left?
Sanjeev Nautiyal: Benefit of around 30 basis points.
Abhishek M : Is still left?
Sanjeev Nautiyal: Yes. Yes.

Abhishek M : Okay. And in terms of the interest reversal, now I guess that would already be there in the 4Q numbers, right? Because now your PAR has gone down quite substantially. So do you see further sharp improvements over there? Or how should we...
Sanjeev Nautiyal: Not sharp improvement, not sharp improvements. But at least the new book or the new exposure will behave very properly, and therefore, we'll not have any stress on that account.
Abhishek M : Yes, sir, but that would be in your 4Q numbers. In your 4Q numbers, you are already replacing a 22.5, maybe closer by 10, 20 bps. So the mix change impact still remains the main issue.
Sanjeev Nautiyal: Right. Right.
Abhishek M : So, how will your NIM be stable? That's again, maybe 20, 30 bps improvement from the cost of fund side, that will be able to offset the mix change, is it?
Sanjeev Nautiyal: We also have the 2 -wheeler and the proposed used car product that we are going to launch. The 2-wheeler has a substantive yield sitting on it. Then we also have the gold loan, which is upward of 14% , and micro mortgages, which are at 19.8% (Correction: 19.7%) . So these 3 business verticals would continue to support us on the yield side and the other secured businesses, which are the housing and the MSME , would continue to maintain the yields that they have shown and basically help us to ma intain the NIM overall with the support of reduced cost of funds that I spoke about.
Abhishek M : Got it. Got it, sir. And the opex question?
Sanjeev Nautiyal: On the opex , I would request you if you can get in touch offline to have more details about it.
Abhishek M : Okay, sure, sure. Got it.
Moderator: The next question is from the line of Kaushik Agarwal from Haitong Securities.
Kaushik Agarwal: Congratulations on a good set of numbers. Sir, my first question is on the deposit front. So see, broadly, your deposit growth has been slightly lagging the overall advances growth. However, the CASA ratio has been improving consistently. So broadly, how d o you see your CASA ratio for the next year? Number one. And is there any possibility that you have taken any price hike on the TD side, because a lot of competitors have

indicated that they have taken some price hike
on the term deposit side? That is ques tion number one.
Number 2 is in the gold portfolio. So gold, I was just checking the average ticket size on a Y -o-Y basis for your book , which has gone up by 60%. But the yields are also inching up marginally. So I have seen there is a 30 basis point increase in the gold loan portfolio yield on a Q -on-Q basis. So , can you just help us understand what your strategy with respect to the gold loan book is?
And then last is broadly on the asset quality piece. Is there anything that you can indicate on a qualitative basis for your customer segment, in terms of any issues they are facing from this

West Asia conflict, or any sort of early warning indicators that you are noticing in your portfolio?
So yes, these were the 3 questions from my side.
Hitendra Jha : So, if you look at our CASA ratio, it has improved by Y -o-Y 1.75% and Q -o-Q 1.28%, we are at 28.6%. We expect it to increase further. It's very difficult to give you an exact number, but it will be around 30% will be the CASA ratio. Our focus will continue to be CASA, but yes, the overall book will continue to grow.
Vibhas Chandra: Kaushik, this is Vibhas. On gold loan, you're right, our ticket size has increased during the financial year. At the same time, our yields have also increased. Ticket size naturally has increased because when we started gold loan initially, we were experimenting and working with mostly microfinance customers.
But t oday , as we have gradually increased focus on the open market and leads from other verticals as well, leading to higher ticket size. At the same time, during the year, we have also adjusted interest rates for lower ticket size loans positively , which impacted yield positively.
Sanjeev Nautiyal: On your question about -- it was about CD ratio. So we have basically tried to pivot ourselves around 88% to 89% CD ratio, which helps us to manage with a lower deposit growth that came in the last year. And the CASA ratio is what we are going to achieve somewhere around 29% -- 29% to 30%. The CASA ratio would be around 29% to 30%.
Kaushik Agarwal: Okay. So sir, just continuing on this -- sorry. Just checking that, are you building in any price hike or have you taken anything on the deposit front?
Hitendra Jha : As of now, we are not contemplating any change in the deposit rate; we'll continue. We'll watch this space closely. And if anything happens, we'll calibrate accordingly.
Sanjeev Nautiyal: As far as the risks to the various businesses on account of the Middle East crisis, what we would like to say is that our portfolio is overwhelmingly domestic , granular, and retail in nature. And we do not have any foreign currency lending exposure, no exposure to oil, gas, defense , or aviation. And therefore, our customer segment is more or less insulated from the first -order geopolitical disruption. But we are mindful of the situation , and therefore, we have taken steps to ensure that we refresh our scenario frameworks across all major verticals.
We have stress -tested our portfolio. Origination posture is calibrated geography -by-geography, and we have a heightened monitoring system in place, for example, for 2 -wheelers, used vehicles, MSME working capital, and monitoring has been tightened, and with strong provisioning and capital buffer, this provides us a very meaningful absorption capacity for any second -order impacts.
Moderator: The next question is from the line of Jitark Shah from Union Mutual Fund.
Jitark Shah: Yes. Okay. So sir, I just have 2, 3 questions. So first, on the ROA front. Sir, I understand what you're trying to say is that since secured book will grow at a much faster pace, there could be some pressure on the yield. But at the same time, it will be likely compen

sated by the cost of

funds, and that's why the margins are going to remain steady state. Is that the correct understanding?
Sanjeev Nautiyal: Yes, please.
Jitark Shah: So then on what are the levers where from current state of 2% ROA, you are guiding for about 1.6% ROA for FY27. So what could really drive ROA compression from the current exit ROA? That's my first question. And the second question is since earlier, you had guided for a 70 -30 mix between secured and unsecured piece over the next 5 years with almost 5% of change. So now will there be any change in that time lines considering the RBI's decision? And will there be any change in strategy in that? And lastly, from the INR2,000 crore s cap raise front, would

you have -- I mean, could any sort of inorganic acquisition of secured book be on the cards? So these are my 3 questions, sir.
Moderator: Excuse me sir. Sir, if you are speaking, I suppose you are on mute.
Jitark Shah: Yes, yes, I can hear you.
Sanjeev Nautiyal: So, we have no plans at this point in time for any inorganic acquisition. And we are maintaining the 1.6% at this point in time. These are the numbers that we have worked out. If there is any upside , it could be possible.
Jitark Shah: Okay. So basically, if I understand correctly, the margins are going to remain steady state. And so you are just guiding it on your estimates, the 1.6%, but the current opex and credit costs also, you don't see any material deterioration that could lead to any compression at an ROA level, right?
Sanjeev Nautiyal: No.
Jitark Shah: Would that be the right understanding?
Sanjeev Nautiyal: Yes, please. Yes.
Jitark Shah: Okay. And sorry, sir, I just missed this part on your time lines about the 70 -30 mix between secured and unsecured, if you could just repeat that.
Sanjeev Nautiyal: So we have broadly constructed our secured and unsecured ratio for this year. For the remaining years, which is '27, '28, '29, we are still in the process of deciding the configuration, and we would perhaps come back to after a short period.
Jitark Shah: Sure. Got it. And sir, sir, just trying to understand this one thing. So you already have a significant CAR in your book. So you are fairly well capitalized. Then what would be the rationale behind having a fresh capital raise since you are already well capitalized, and you can grow organically also this well. So just trying to understand the logic behind that.

Sanjeev Nautiyal: So we have already guided for a 25% growth on the asset side per year. And our Board mandated threshold is 20%. We also need growth capital to fund our appetite for the next 3 years. And therefore, we think this would be the right time to fund ourselves a nd to be replete with the capital that we would need for our -- fuelling our growth for the future.
Moderator: The next question is from the line of Ashlesh Sonje from Kotak Securities.
Ashlesh Sonje: Two or 3 questions from my side. Firstly, on the CASA deposit book, good to see the progress there in spite of cutting rates. The question is, do you see any further scope to cut the pricing on TDs as well as SA deposits , and get them closer to where the mid -tier banks are? That is one. Secondly, on the MFI book, is there room to increase the pricing there because we are still, let's say, at the lower end of the pricing of the market in general? And the last one is a data keeping one. Can you share the MFI slippage for the quarter?
Hitendra Jha: Ashlesh, this is Hitendra. So on the savings account side, we have changed some rates, interest rate on higher buckets, okay? So we are expecting close to 25 to 30 bps reduction on SA cost of fund. We have no plan as of now to reprice our reta

il TD or bulk TD. We will wait and watch this space, and we'll be competitive in the market. If anything happens in the market, we recalibrate. But as of now, we have no plan to change our interest rate on deposits.
Vibhas Chandra: Ashlesh, this is Vibhas. On similar lines, as Hitendra mentioned, in the MFI book, we are also not thinking of changing interest rates at this point in time. We want to hold on to what we are charging at this point in time.
Ashlesh Sonje: Understood, sir. And if you can share the slippages number for MFI for the quarter?
Gaurav Sah: Slippages for MFI. This is Gaurav. Slippages for MFI regards -- around for group loan individual and put together would be in the range of INR130 crores.
Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.
Rajiv Mehta: Very good numbers. I just have one question about this overall mix change in the current year. So we demonstrated pretty strong recovery in microfinance business in recent quarters. Now we're talking about growing the book by 8% to 9% in the next year, FY27. So how would you restrain growth?
I mean, we have a seasoned leadership team that has navigated the cycle very well. And you also have a large on -ground team in MFI. So then would you just limit customer acquisition to pull down growth or to pull down the current momentum? And if you do that, wouldn't it be difficult to retain good peo ple in the microfinance business?
Ashish Goel : Rajiv, so we were slow. Actually, we were degrowing our microfinance book post Guardrail 1.0. Even after Guardrail 2.0, we -- our customer base was degrowing. So the growth of this year would have 2 components . One, the new customer acquisition and the second is the repeat loans. Now most of the repeat loans that -- most of the customer acquisition that we have done would not be eligible for repeat loans .

Which is why you will see a slightly lesser growth this year as compared to the last -- as compared to what it could have been if we had done customer acquisition in the last cycle. So that is the reason why you will see a slightly lower growth. It may not cross maybe 10%, 10%, 11%, single digit -- a higher single digit means around 9%, 10%. So it is on account of the repeat loans that this is happening.
Rajiv Mehta: No. But Ashish, you will also have a lot of place or space for acquiring new customers as the guardrails impact has got kind of -- is going behind us and the eligibility of the customer pool who were restricted by the guardrail in the industry, once they come out of that eligibility become eligible for loans. Then, I mean, the obvious lever to kind of not grow faster is to limit the new customer acquisition.
Ashish Goel : So Rajiv, the way we've been looking at growing our business is approximately 25 -odd percent new-to-bank customers and 75% repeat. We don't see a very big swing there in favour of the new-to-bank in the coming financial year. A higher growth would mean that we may have to actually cross 40%, 45% new -to-bank. That's something that we will be a little cautious about doing. Maybe 25% could go up to 30%, but certainly not more than that.
Moderator: The next question is from the line of Shailesh Kanani from AMSEC.
Shailesh Kanani: Yes. Sir, just my first question, the more clarification on the ROA guidance. Are we building in any contingency buffer to be built up next year, that is FY27, so that when ECL implements happen, we can kind of apply or reapply for the universal banking license?
Ashish Goel : By contingency buffer, you would say additional provisions, Shailesh?
Shailesh Kanani: Yes. Yes. Yes. Strengthening of the balance sheet more.
Ashish Goel : No, we don't have a plan to that effect, Shailesh for the next financial year.
Shailesh Kanani: Okay. And okay, the second question wa

s with respect to SA bucket. So I remember Jan, you had indicated that we had taken cuts in the SA bucket and you alluded to that as well, right? But when I see the cost of the funds, the cost of SA remains to be quarter -on-quarter flattish at 5.2%. So just wanted to understand that part. I guess even in April, we have taken one more SA rate cut, right? So why this is not getting reflected in the numbers?
Hitendra Jha: So our -- am I audible? Hitendra here. So our cost of fund, if you look at SA exit March was 5.21%, okay? And what rate we have changed in April, we'll see impact coming now. So around 25 to 30 bps reduction will happen as we go along from here.
Shailesh Kanani: So we had taken on in the month of Jan as well, right, if my memory serves, right?
Hitendra Jha: No, no. This rate cut, what we have taken, I'm talking in April.
Shailesh Kanani: Okay. In Jan, we had not taken the SA rate cut?

Hitendra Jha: SA, we had taken that advantage. If you look at January cost of fund was around -- sorry, it was 5.25, which came down to 5.20.
Shailesh Kanani: Okay. So it's 5 bps came. A minimal impact over the …
Hitendra Jha: That's right.
Shailesh Kanani: Okay. Fair enough.
Hitendra Jha: So this time, we have taken rate cut on a meaty book where the maximum book lies close to 33% of my book lies in INR10 lakhs to INR10 crores. There, we have reduced our rate. So we'll see higher impact this time.
Moderator: The next question is from the line of Mehul Panjuani from 40 Cents.
Mehul Panjuani: Most of my questions have been answered, but I have just one correction -- I mean one confirmation because I may have missed something. Sir, can our secured lending continue to grow at 35% to 45% while maintaining a low GNPA?
Ashish Goel : So the growth of our secured book is coming from both our established products, which is affordable housing and MSME. And new businesses, which we have started in the last 3 years, micro mortgages, gold loans, 2 -wheeler, agricultural loans. We've also ini tiated -- we've also built a book on working capital. That's about INR600 crores, INR700 crores already. So when we are building our book, the newer customer acquisition is a very diversified income profile. Working capital book for us is about INR1 crore average ticket size. LAP is about INR60 lakhs, INR65 lakhs. And then there are the other businesses, 2 -wheeler, micro mortgages, which are at the lower end. So on the secured side, as far as GNPA is concerned, while the book is now

seasoning, but at the same time, we've put an adequate guardrails around m aintaining our collection efficiencies.
So micro mortgages, 2 -wheeler, all of them are above 99.5% on Bucket -X. Affordable housing, MSME, they are all at 99.77%, 99.75%. So in terms of GNPA, I think we are broadly maintaining the asset quality as far as the secured benchmarks are concerned.
Mehul Panjuani: Sir, so can we expect to grow in that range, 35% to 45%?
Ashish Goel : Yes, 40% is something that we have already planned. So 10% on unsecured, 40% on secured and therefore, 25% average.
Mehul Panjuani: Right. And sir, my next question is on the time line for going back to RBI on the banking license. Do we have any -- I mean, I may missed the commentary, but if you can help me or say anything.
Sanjeev Nautiyal: As in the initial part, I had enumerated that the Reserve Bank of India has only given us the guidance to improve further the secured, unsecured ratio. And that is not a number that RBI guides or directs. So we will have to see how much this ratio can be delivered. And what is the appropriate time, we wil l have to sit down and decide and build a plan. And based on an

appropriate ratio being achieved by us with a

further guidance in the next few years, we'll be in a position to take the call. Obviously, that's not going to happen immediately.
Mehul Panjuani: Sir, what does this do to our 2 to 3 years road map? Because we may have some road map based on the license being wanted and now that -- I'm not saying it's a setback, but I'm just trying to understand how -- what will be a change in strategy for the next 3 years?
Sanjeev Nautiyal: For '27, we have given the guidance. And as I said, we are in the process of building the plan for the next 2, 3 years. And we would then, after finalization of our plan, we would certainly sharing that with you all in some -- at some point in time in the very near future.
Mehul Panjuani: Right. So can we expect in the next quarter...
Moderator: I'm sorry to interrupt you, sir. Sir, I would request you to kindly re -join the queue for follow - ups, please. There are others who are waiting for their turn. We'll take the next question from the line of Sagar Shah from Spark PWM.
Sagar Shah: Yes. First of all, congratulations to the entire team of Ujjivan for posting an excellent set of earnings, actually. Now my -- sir, first question was related to our opex . You highlighted in your opening commentary that we are guiding for around 20% increase in the branches , actually. As of March '26, we are at around 776 branches. So it is safe to assume that we are likely to open at around 140 branches in the next year or maybe in the next 2 years. Can you please clarify that?
Sanjeev Nautiyal: Broadly, yes.
Sagar Shah: So, I mean, in FY27, we are going to open 140 branches?
Sanjeev Nautiyal: Yes, please.
Sagar Shah: Okay. Fine. And my second question, sir, was related to our deposit growth. Deposit growth has lagged in this quarter by around 200bps , actually, as compared to our advances growth. Now going ahead, are you guiding even for a very -- your guidance for CASA is at around 30%. So we are not assuming very strong growth in CASA, even though this quarter has been actually very good on the number front.
Now my question was related to that, that how are we seeing basically on the TD growth? Are you assuming at least a 25% plus growth in this quarter? And what exactly measures have you taken? Are you banking on some new geographies for such kind of healthy growth? Or what is your strategy going on this on the liability front?
Hitendra Jha : Sagar, so for this 30%, what we said was the CASA ratio, not the CASA growth rate.
Sagar Shah: Yes, sir. CASA ratio. Yes.
Hitendra Jha : Okay. So see, our deposit book will grow in line with our credit growth, okay? We will not lack here. And if you look at our growth in deposit has been steady since July, August, okay? We

had deliberately slowed down on deposit for 3 months because we had some excess liquidity. Thereafter, we are seeing a very healthy growth of deposits, and our focus will be continue to book a retail TD book than a bulk side. I hope that answers your query .
Sagar Shah: Yes, yes, sir, certainly. Now my last question, sir, was related to asset quality. Asset quality in terms of GL, now the entire microfinance segment is doing well, and it's actually rebounding.

And I hope Ujjivan does well, especially in IL loan. So , is it safe to assume that the last 2 years, the kind of growth that we got in the secured front?
And that is why our ratio between secured and unsecured was relatively very quick towards secured growth. So now , over the next 2 years till FY28, is it safe to assume that it will be -- our book will look like 55 -45, 55 towards secured and 45 towards unsecured, what can be the ratio that you can drive for, sir?
Ashish Goel : So, as Mr. Nautiyal had initially said in his comments, we will end March '27, somewhere in the range of 56 -44. So yes, while you said 55 -45,

that is roughly the number that was suggested earlier.
Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Darshil Jhaveri from Crown Capital.
Darshil Jhaveri: Firstly, congratulations on a great set of results, sir. Sir, sorry to harp upon the question that a lot of people have asked. But we are saying our NIM growth, NIMs will be around the same level. Our opex will be around the same level. Our credit cost is similar to Q4. Then why will our ROA decrease from 2% to 1.6%?
I'm just trying to find that a bit like hard to reconcile, right, right? So right, sir, like if everything is the same, then ROA should be similar to Q4, right? Like -- is there anything wrong with that assumption, sir?
Siddharth Bharadwaj: Darshil, this is Siddharth here. Darshil, as Mr. Nautiyal has -- you rightly said, this is the fourth of the time you've got this question on the call. What you are not catching right now is the fact that we are being conservative on both our opex and our credit cost. And our guidance is coming from that place.
We do appreciate that there are certain dynamics, which may play out on a couple of our key products, and covering for eventualities is where you're seeing the ROA at the guide level. We will certainly update you as we see any meaningful change in this particular number. We appreciate the sensitivity of the same, and that's where we would like to leave it for now.
Darshil Jhaveri: Fair enough, sir. And just wanted to understand, like a few of your peers were saying , that they are seeing some kind of intense competition in terms of deposits. So , if we feel that there might be a 30 basis points improvement that we are hoping for, they can come under some kind of pressure because of the deposits. You know our deposits are just a bit hard to get right now.
What are your comments on that, sir?

Hitendra Jha: Hitendra here. As of now, we don't see any stress on deposit side. It is growing as per our expectation. And going forward, we will maintain the same level of growth.
Moderator: As that was the last question for today. I would now like to hand the conference over to Mr. Sanjeev Nautiyal, MD and CEO, for closing comments. Thank you, and over to you, sir.
Sanjeev Nautiyal: Once again, thank all the participants for their time and interest. We at Ujjivan SFB remain focused on delivering on profitable growth while we build an enduring institution. Please reach out to our IR team for any queries that you may have. I would fina lly like to give the guidance of NIM around 8.5%. The opex to ATA ratio would be 20 to 30 basis points above financial year '26 due to the investments that we are making for the future growth. And thereafter, this de would decrease. Hence, the base case ROA of 1.6%. Thank you. Thank you very much. .
Moderator: Thank you, members of the management. On behalf of Ambit Capital Private Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines.
Thank you.

Call: Jul 2026

USFB/CS/SE/2026-27/61
Date: July 28, 2026
To,
National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C-1, Block G, Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051
Symbol: UJJIVANSFBBSE Limited
Listing Compliance
P.J. Tower,
Dalal Street, Fort,
Mumbai – 400 001
Scrip Code: 542904
Dear Sir/Madam,
Sub: Transcript of the Quarterly Earnings Call held on July 23, 2026
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform you that the Transcript of the earnings/quarterly conference call held on July 23, 2026 for the quarter ended June 30, 2026 is enclosed herewith.
The same shall be available on the Bank's website at www.ujjivansfb.bank.in .
We request you to take note of the above.
Thanking You,
Yours faithfully,
For UJJIVAN SMALL FINANCE BANK LIMITED
Sanjeev Barnwal
Company Secretary & Head of Regulatory Framework
Encl: as mentioned above
"Ujjivan Small Finance Bank Limited
Q1FY27 Earnings Conference Call"
July 23, 2026
MANAGEMENT : M S.CAROL FURTADO –EXECUTIVE DIRECTOR
MR.SADANANDA BALAKRISHNA KAMATH –CHIEF
FINANCIAL OFFICER
MR.ASHISH GOEL –CHIEF CREDIT OFFICER
MR.VIBHAS CHANDRA –HEAD MICRO BANKING AND
GOLD LOANS
MR.HITENDRA JHA –HEAD RETAIL LIABILITIES ,TASC
AND TPP
MR.UMESH ARORA –HEAD EMERGING BUSINESS
MR.MARTIN PS–CHIEF OPERATING OFFICER
MR.BRAJESH CHERIAN –CHIEF RISK OFFICER
MR.SIDDHARTH BHARADWAJ –HEAD INVESTOR
RELATIONS
MR.GAURAV SAH –LEAD INVESTOR RELATIONS
MODERATOR : M R.MANJITH NAIR

Moderator: Ladies and gentlemen, good day, and welcome to Ujjivan Small Finance Bank Q1 FY27 Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Manjith Nair from Antique Stock Broking Limited. Thank you, and over to you, sir.
Manjith Nair: Thank you. Good evening, everyone. I welcome you all to Q1 FY27 Earnings Conference Call of Ujjivan Small Finance Bank. Today, we have the senior management team of Ujjivan Small Finance Bank represented by Carol Furtado, Executive Director; Sadananda Kamath, Chief Financial Officer; Ashish Goel, Chief Credit Officer; Vibhas Chandra, Head of Micro Banking; Hitendra Jha, Head of Retail Liabilities, TASC and TPP; Umesh Arora, Head of Emerging Business; Martin P.S., Chief Operating Officer; Brajesh Cherian, Chief Risk Officer; Siddharth Bharadwaj, Head IR and Mr. Gaurav Sah, Lead Investor Relations.
With this, I now hand over the call to Carol Furtado, ED for her opening remarks. Thank you,

and over to you, ma'am.
Carol Furtado: Thank you, Manjith. Good evening and thank you all for joining us today for Ujjivan Small Finance Bank's Q1 FY27 Earnings Call. Since our MD, Mr. Sanjeev Nautiyal is indisposed and not in office today, hence unable to attend this call. Please do note, I will be referring to year-on-year comparisons with Q1 FY '26 and quarter-on-quarter with Q4 FY '26.
I will begin with a brief overview of the macroeconomic environment before discussing the bank's performance for the quarter. The geopolitical situation in West Asia, which started in Feb this year, continued to create uncertainty across global markets during the quarter. While discussions around the ceasefire emerged, the situation remains fluid.
Softening of global energy prices from their peak, coupled with easing Indian commercial gas supply restrictions has smoothened commercial operations. On the local front, the weather-related uncertainties continue to pose risk due to strengthening of El Nino in the months ahead.
We believe that harvest of rabi crops has led to better outcomes currently, but any delay in sowing of kharif crops might impact H2 economic activity. This remains a key monitorable.
On the positive side, the high-frequency domestic economic indicators have largely shown stability. RBI in its June MPC review meeting decided to keep the policy repo rate unchanged at 5.25% while maintaining a neutral policy stance. The forex hedging cost dispensations by RBI have been a welcome step and should help in liquidity and hence stabilizing the deposit rates.
While the real GDP growth for FY '27 was recalibrated to 6.6%, inflation forecast was within the band defined by RBI and is projected at 5.1% for full year. The governor also emphasized

that the banking sector continues to remain resilient, supported by healthy credit demand, steady deposit mobilization and adequate liquidity to meet the productive requirements of the economy.
Against this backdrop, the bank delivered another quarter of steady business growth. Our strategy continues to remain centered on strengthening our liability franchise, building a diversified asset portfolio and maintaining prudent risk management practices to ensure profitability along with growth.
As part of plan for FY '27, bank has operationalized 38 new branches, taking total count to 814 as of June '26. We delivered highest Y-o-Y growth in deposits at 25% in the last couple of years, taking the deposit book to INR48,129 crores. CASA deposits grew to INR12,930 crores, up 37.8% year-on-year.
In a tight liquidity scenario, we maintained comfortable CD ratio. To adjust for evolving market scenario, we effected rate increases in the month of June on key buckets in line with our intended ALM outcome. Our focus on enhancing the value proposition for deposit customers continues to deliver encouraging results.
The high net worth program, Ivory, has witnessed strong momentum and is increasingly becoming an important pillar of our affluent banking franchise. Insurance cross-sell penetration has improved further, reflecting stronger customer engagement. The mutual fund distribution offering now accessible through mobile and Internet banking channels is seeing growing customer adoption.
Additionally, the co-branded credit card currently in the testing phase is expected to further strengthen customer engagement and product penetration. Cost of funds continued the downward trajectory and stood at 6.86% for the quarter. We remain in sound liquidity health with liquidity coverage ratio around 132% for the quarter, reflecting a well-balanced approach towards growth and liquidity management.
Turning to our asset franchise. We are pleased to note that our progress towards diversification of loan portfolio remains on track with more than half of the loan book being secured at 50.4% as of June '26. Following a strong performance last quarter, growth in our secured book has continued at robust rates and expanded to INR21,638 crores, up 42.7% year-on-year and 7.8% quarter-on-quarter.
The bank level gross loan book reached INR42,903 crores, growing 28.9% year-on-year and 5.5% quarter-on-quarter. Disbursements for the quarter were at INR9,245 crores, up 41.4% year-on-year. Driven by the sustained momentum in the micro banking sector, our micro banking book reached INR21,371 crores, up 16.8% year-on-year, while disbursement grew by 16.4% year-on-year to reach INR4,581 crores.
On the asset quality front, bucket X collection efficiency for the quarter stood at 99.68%, demonstrating a healthy portfolio. After seven quarters of degrowth, borrower base has started

to grow, supported by 1.72 lakh new customer additions in Q1, marginally above the Q4 FY '26 numbers.

Affordable housing and micro mortgages recorded strong growth with gross loan book increasing 40.8% year-on-year to INR11,210 crores, underscoring resilient customer demand and effective execution across key markets. Affordable housing distributed through 581 branches and micro mortgages through 323 branches benefits from broad geographic dispersion and a well-defined state-wise collateral framework.

Our disciplined underwriting approach supported by calibrated LTV and FOIR thresholds continues to reinforce portfolio quality while enabling sustainable growth. GNPA across affordable housing and micro mortgages remained stable at 1.2% and 0.6%, respectively. The MSME portfolio continued its strong momentum, registering growth of 54% year-on-year at INR3,470 crores on the back of maintaining prudent underwriting standards.

We have enhanced our product offerings within this segment. The working capital and supply chain finance jointly contribute around 28% in the MSME book. The business continues to help in customer diversification and increased deposit mobilization. The MSME PAR dropped 13 bps and new book GNPA remained stable at 0.5%.

Gold loans continues to be strong growth driver with sourcing across 455 branches with an increase of 106 branches in the quarter. Gold gross loan book stood at INR1,020 crores, up 248.6% year-on-year. This increased product penetration and tailored offerings resulted in disbursements growth of 183.9% year-on-year at INR467 crores.

Origination LTV for Q1 remained comfortable at 75%, while the book LTV remained around 56%. The vehicle loans with new two-wheeler segment c

ontinues to do well. This product is

offered across locations catered by 337 branches with focus to enhance our mix of mid-premium and EV.

The vehicle gross loan book stood at INR1,036 crores, up 85.1% year-on-year. Portfolio quality remains steady with GNPA at 1.7%. Together, the new business lines of gold, vehicle and agri have contributed to 7% of the gross loan book, while the disbursement share was at 9% in Q1.

Bank level asset quality continued to be stable during the quarter with GNPA reducing by 10 bps to 2.17%. Provision coverage ratio strengthened further to 85%, providing adequate coverage across secured and unsecured products. Collection efficiency for current due plus overdue remained healthy at 98.4%, supported by consistent execution across our operating network.

Write-offs for the quarter stood at INR72 crores. Credit costs came in at INR127 crores. We are watchful of the macro environmental factors and will continue to take timely corrective steps to address any developments. The business growth witnessed across both our liability and asset franchise in Q1 translated into a healthy financial performance with profit after tax at INR317 crores, resulting in ROA of 2.2% and ROE of 18.2%.

Net interest income increased to INR1,186 crores, while net interest margin remained stable at 8.5%. Processing fee and insurance cross-sell supported other income. Operating expenses remained well managed quarter-on-quarter, while personnel cost increase reflects salary increments effective from April 26, hiring and towards gratuity and leave encashments.

The other expenses were lower sequentially on account of lower business generation expenses and lower CSR expenses. The strong performance across our asset products has more than offset the impact of macroeconomic headwinds and reinforced our confidence in achieving our FY '27 planned asset growth of 25%.

The expenses planned this year for future capacity building has started kicking in from late Q1 and the effect would be seen over the remaining quarters. Capacity building expenses are of the nature of branch opening, branding and tech and analytics capabilities. This deferred commencement of expenses, coupled with ongoing efficiency gains will result in full year opex to be lower than earlier planned and now would be around 6.4% of average assets.

We continue to witness encouraging trends in asset quality with credit cost at 0.9% with absolute slippages during the quarter remaining lower than anticipated. Accordingly, we are revising our FY '27 credit-cost guidance to 0.9% to 1% of average total assets. Please note, we are moving away from guiding credit cost on average gross loan book to average balance sheet for better alignment.

We remain mindful of the prevailing funding rate environment and the continued competitive intensity in CASA mobilization, along with pricing pressures across key asset products and the resulting impact on margins. Taking these factors into consideration, along with the strength of our operating performance, improving asset quality and enhanced cost outlook, we are confident in raising our FY '27 ROA guidance to 1.8% to 2%.

We continue to invest on creating more levers for liability customers to bank with us. Simultaneously, multiple digitalization and analytics-led interventions are being carried out to further bolster liability franchise. We are also utilizing the newly created capacities on forex side by offering attractive FCNRB rates.

It is of paramount importance that capacity building continues to happen on all fronts.
Highlighting a few new initiatives on assets front. Unsecured Fast Track loan has completed successful pilot and is ready for a scale-up. This is a pure digital product with the utilization of account aggregators and bureau details. Pre-owned cars has been piloted in Karnataka. It will be creating a growth engine

within our vehicle loan business. Lending to mid-corporates has commenced with disbursements in Q1. The MSME product suite has been expanded with purchase invoice discounting.
With that, I conclude my opening remarks and request the moderator to open the floor for questions. Thank you.

Moderator: Thank you very much. We'll now begin the question-and-answer session. The first question is from the line of Renish from ICICI. Please proceed.
Renish Bhuva: Congrats on a good set of numbers. Just two, three things, sir, one on the asset yield, right? So we are experiencing a very attended competition in segment like affordable housing or maybe financing. So how we are preparing ourselves from, let's say, speed-to-fire perspective to sustain these yields even if competition increases, right?
So why I'm asking this is that since we are moving away from MFI business structurally and if you are not able to sustain yields in some of these new products, then on a steady-state basis, maintaining 2% ROA will be challenging. So just wanted to know your thoughts on the non-MFI yield today and how are we placed from a 3 year to 5 year perspective?
Ashish Goel: Renish, so I'll first address the affordable housing and then move to the overall yields. Yes, so on the affordable housing side, our markets are semi-urban, largely urban and semi-urban. We are not present in the metros. We would be present in a small way in the metros. We are present in about 580 to 590 branches.
So that has given us a very robust distribution network to be able to maintain growth. And a INR16 lakh to INR20 lakh ticket size also is the right mix that we have found to maintain the yields that we desire. So we've been able to maintain yields. There is definitely some competitive pressure. And however, we feel confident that in the markets that we are, we should be able to maintain the yields.
Renish Bhuva: Just on this affordable piece. So, let's say, even if you look at your internal rates, right, it has been hovering around 12.2%, 12.3% for the last maybe six, seven, eight quarters, right, which definitely suggests that the market environment is such that even if we want to increase the price, the market is not going to allow us.
And hence, my question is slightly from a medium-term perspective. Are you confident of sustaining these yields in this segment at this level? Or maybe we have to, let us say, revisit our strategy in terms of scaling micro mortgage more aggressively to maintain overall mortgage book yield?
Ashish Goel: No, I was talking about affordable housing being in the range of about 12.5% yield. And this is something you have to see the mix of ticket sizes and the geographies in which you operate. For us, the affordable housing, we've not had to compromise on yields because of the geographies and the ticket sizes that we've been operating in.
There is a business line of micro mortgages, which we started around three years back. It is now about INR1,800 crores. Here, the yields are much healthier. You're right, in the range of 19.5%-odd. And here, again, about 70% of our business is semi-urban in nature. In the ticket sizes of about INR10 lakhs to INR15 lakhs, the average is about INR7 lakhs, INR8 lakhs in micro mortgages. Even if we go to INR10 lakhs or INR12 lakhs, the yield doesn't come down significantly. Again, as I said, it's a mix of ticket sizes and geographies.

Renish Bhuva: Got it. Got it. Okay. And my second question is on the gold loan, right? So when we look at the customer sourcing mix, right, so this quarter, the new-to-bank customer has increased very sharply to 40%. So just wanted to know in one quarter, what has changed, which helped us acquiring a lot of customers from outside or it is just to do with the vintage of branch.
Vibhas Chandra: Hi, Renish. This is Vibh

as. As far as gold loan is concerned, it is a business which is very promising. At the same time, it is a new business to us. If you look at this quarter, we have activated more than 100 branches in gold loan, and that leads to new customer acquisition also.
At the same time, we have seen that the demand in microfinance customers have also increased in Q1, leading to new customers from this segment also to come in. So these two factors combined has changed the numbers.
Renish Bhuva: Got it. And any ballpark absolute number we have in our mind as far as gold loan book is

concerned, let's say, 5,000 by '28 or any number would you want to find?
Ashish Goel: So, Renish, In this business, we are looking at increasing capacities. And this is the consistent strategy we've been maintaining for the last two years, keep activating branches, keep enhancing capacity. This quarter, we've done on an average about INR160 crores to INR170 crores a month. The exit in June being INR170 crores, INR175 crores. So, and we have a plan to take our active branches from about INR430 crores, INR440 to about INR575 crores by the end of this year. So, we'll, again, significantly add capacities. The exit number for disbursement should be somewhere in the range of about INR250 odd crores a month. We should be able to.
Renish Bhuva: How much, sorry?
Ashish Goel: About INR230 crores to INR240 crores, INR250 crores month exit March. This would actually result in the book getting increased.
Moderator: The next question is from the line of Shreepal Doshi from Equirus.
Shreepal Doshi: Congrats on a good set of numbers. My first question was on the liability side. So there, we've seen cost of fund and cost of deposit coming down on a sequential basis on the, but we've taken increase in the rates in some of the ticket size buckets. Now incrementally, do we expect the cost of fund to move up? Also, you highlighted in your commentary that the liquidity situation remains tight. So in that scenario, would we like see incrementally the cost of fund going up? And if yes, then to what extent are we expecting for the full year for that number to close?
Brajesh Cherian: Hi, Shreepal. Our deposit growth has been broadly aligned with the asset growth you would have seen. We also have some more avenues to support the funding, if at all required and to optimize the margin, we have the IBPC refinance, securitization options are also open for us. We remain cognizant of the fact there is a deposit pressure in the market. And those impacts are also being accounted for. That's been baked into our ROA guidance of 1.8 to 2 percentage. So that's been considered while we guiding the number of 1.8 to 2 percentage. We don't see a very significant increase, but marginal increase has been expected.

Shreepal Doshi: Got it. So undoubtedly, sir, we've done a commendable job despite the situation being tight on the deposit side. But, do you see any further rate hike requirement at our level in some of the buckets? Or now we are okay with the current rate hikes that we've taken in the 1Q?
Brajesh Cherian: As such, we don't see an immediate requirement for any upward revision. We will continue to remain at the same levels. And we will be watchful about how the market moves.
Shreepal Doshi: Got it. Sir, second question was on the vehicle finance portfolio. So we plan to add the pre-owned car segment within vehicle. Do we also plan to explore CV such as LCV, HCV in that category?
Ashish Goel: So, Shreepal, we have just completed the pilot for pre-owned cars. This is a business that we will test during the year in maybe two or three geographies and plan to scale up next year once we understand the customer segment better, the pricing and the local flavor of all the geographies that we are operating in. HCV and LCV, if and when we plan would be only after this financial year.
Shreepal Doshi:

Got it. Sir, just one last question on the fee income side. This quarter, we have seen a dip in the insurance income. So what explains that? Incrementally also, should this be the run rate? Or will we see some bounce back there?
Hitendra Jha: Hi, Shreepal. Hitendra, here. So what we have seen that our income has grown by almost 15% Y-o-Y, and we are hopeful to maintain same kind of growth rate as we go along from here.
Shreepal Doshi: Sir, from sequential, like from 4Q okay, so you mean to say on a, alright, okay.
Sadananda Kamath: Shreepal, just to add, it all depends on the disbursal. So Q4 disbursal is all-time high, whereas Q1 is not comparable. That may explain the difference to you.
Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.
Rajiv Mehta: Congratulations on very strong set of numbers. So my question is on, if you can share the investment amount that you want to put for this capacity building, which is your branch opening, branding, tech and analytics. Because see, I'm looking at your current rate of profitability, which is INR317 crores in the first quarter, wherein typically other income is also lower? And when I look at the guidance, you're implying INR1,250-odd crores of profit at a 1.9% ROA. So then are we also trying to build in some NIM compression throughout the year, which is why we'll be remaining at the same rate of quarterly profits and adding up to INR1,250-odd crores. So, if you can just tell us, firstly, the amount that you'll be spending on capacity building throughout the year and whether any NIM compression has been budgeted in the overall guidance of this current ROA?
Sadananda Kamath: Hi, Rajiv. Bala here. We already had informed you that we are planning to spend around INR250 crores. Not much has been spent in Q1, which is why there is a good impact on upward in the profits. But definitely, the spending has started in June because it requires some planning. For

example, in marketing, IT, we have worked on it opening branches, many branches opened in June. So it will build up in the coming quarters. That is why you can see that we have given you a guidance of 1.8% to 2%, which has considered the spend of this INR250-odd crores in the coming quarters.

Rajiv Mehta: Yes. And on the NIM side, what is the budget in the ROE guidance?

Sadananda Kamath: NIM already, my colleague, CRO, Brajesh, just now explained on the cost of fund. So, on one side, the yield, you can see that the MFI is doing pretty well. So that will be helpful in keeping the yield up along with our higher, some of our higher-yielding segments such as gold, two-wheeler, used car, micro mortgage. So that will sustain there.

And already my colleague has explained that we don't see any major changes in the cost of fund going forward because we have various instruments such as IBPC, refinance, securitization, upward sleep, which we have not used in the first quarter, and we'll use it to keep it stable. So you can go ahead with the guidance of the NIM, which we already gave at the beginning of the year and which we have recorded in the first quarter.

Rajiv Mehta: Okay. Sure. And see, just on this funding of this very strong growth that we are delivering on the asset side, how are we looking at liability mobilization for funding such high level of growth? So from a distribution point of view, you explained that you'll be adding more branches. But in pricing also, I think we have done something on the pricing side as well. Anything from the productivity side that we plan to take some action so that we are able to get the required amount of deposits to fund this 25%, 30-odd percent growth that we plan?

Hitendra Jha: Rajiv, Hitendra here. So there are two strategies. Number one, we are adding 144 branches this year. Out of that 38 already we have opened, 106 branches will open which will give us a distrib

ution. Number two, from beginning, we have guided that our focus on liability side is in top 8 and top 30 markets, where we are seeing robust growth of roughly 75% Y-o-Y growth on CASA and overall 36% growth.

So we'll continue to focus in this market, which has given us a good result, number one. Number two, we have introduced certain products, which is helping us to acquire good customers. And also, we are now more segment focused. We are not looking customer as one customer. We have different segments. We are focused on HNI segment.

We are focused on NR. We are focused on task customers and also corporate salary. So this segmental focus, we are very confident with a new set of branches, we will be able to garner the deposit what we require. And also, we have FCNR opportunity, which has come up, okay, which will give us a good, till now, we have done INR60-odd crores in Q1 and are very hopeful to do this number, what we have guided earlier.

Rajiv Mehta: Okay. Okay. Just last thing. Can you share the current ROA profile of the affordable housing book, excluding micro mortgages? And how do we see the ROA of that portfolio shaping up in the coming year?

Gaurav Sah: Hi. This is Gaurav. So, Rajiv, we are not looking to give any product level numbers. We'll come back to you once we plan to give, yes.

Rajiv Mehta: Thank you and best of luck.

Moderator: The next question is from the line of Kaushik Agarwal from Haitong.

Kaushik Agarwal: I have a couple of questions. So, firstly, on this guidance cut on the credit cost side. So what gives you the confidence in terms of cutting down this guidance? And broadly, if you can comment in terms of MFI portfolio, though we are seeing that broadly on the industry side, things are improving. But how is your portfolio performing? And owing to this uneven weather conditions, are you seeing any early warning signs in your portfolio?

That is number one. Second question is on affordable housing. So the growth has been quite strong over there. So what is the management strategy in terms of the growth that we are seeing? And do you expect the momentum to continue? And second part of this question is in the micro mortgages in the par, there was some uptick on a sequential basis. So how should one read this? And lastly, on margins. So I saw that in your presentation, there is some like improvement in cost of fund despite that margins were largely stable. If you can help us understand what has really happened? And do you expect the cost of fund has largely bottomed because last quarter, you indicated that some part of the borrowings were supposed to be repriced in the upcoming quarter. Is it all done or something is still left over there?

Ashish Goel: Kaushik, I'll answer the question on microfinance first. So the credit cost is actually a function of the bucket collection efficiency. In Q1, we have seen 99.7% which is a very healthy collection efficiency. And last quarter also, we said that 99.7% is something that we are, we find comfort in.

The trends in July are remaining roughly the same. So therefore, we feel that this trend will continue. If there is a 5, 7 basis points increase or decrease, that would lead to a marginal increase

or decrease in the credit cost. So that, as long as this trend continues, our credit cost will remain largely under control.
The second question was on affordable housing. The momentum, as we said, is basis the geographies that we are present in. We are largely into the urban and semi-urban geographies, very little presence in metros. And the ticket sizes and the yield that we have been maintaining has helped us grow this business. It is largely a distribution-driven business.
Similarly, on the micro mortgages side, we are already present in about (Correction:323) 325 branches. So as we go through the year, some of these branches will start to give a better ef

ficiency. In terms of PAR, yes, there has been a marginal increase in PAR, but this business is only 2.5, 3 years old. It has still not started. The 18 MOB book is still very small. So as we go forward, there will be a natural increase in PAR. So that is how the micro mortgages book will mature over a period of time.

Kaushik Agarwal: Okay. And on the margin piece, if you can answer that part as well?
Gaurav Sah: Sir, we are not able to listen to you, Kaushik, sorry.
Kaushik Agarwal: So, basically, I was asking that during this quarter, there has been some improvement in cost of funds, but the margins have largely remained stable. So what explains that? And second part is, like should one expect that cost of fund has largely bottomed because in the last quarter, you suggested that some of the book has to be repriced. So is it all done or some more further improvement in cost of fund can be expected?
Brajesh Cherian: Hi, Kaushik. From the repricing side, that benefit is almost, we can't see further visibility on repricing benefit. We feel it would remain at the current level or slightly elevated. There is, you know there is a pressure on the market. But we don't see significant changes to the current levels beyond a few bps here or there.
Moderator: The next question is from the line of Abhishek from HSBC.
Abhishek Murarka: Congratulations for the quarter. So I just wanted to check in the MSME business, the ticket size is increasing quite steadily. Is this LAP or is this working capital? And what is the yield range on this business, higher ticket business that you are doing currently?
Ashish Goel: Abhishek, so this increase is a conscious strategy that we have that we started in quarter 1 of this year. And the increase in ticket sizes both on LAP as well as working capital. LAP, as you know, was about INR58 lakhs to INR60 lakhs. We are currently in the range of INR80 lakhs to INR90 lakhs.
Similarly, on the working capital side, while we were in the range of INR70 lakhs, INR80 lakhs, we have now consciously taken it up to INR1.1 crores to INR1.2 crores. The yield, therefore, cannot be maintained at about 11%, 11.5%, which we used to do earlier. It would be somewhere in the range of 10.5%.
Abhishek Murarka: Okay. So the disbursement yield would be similar to the book yield or it would be lower than the book yield?
Ashish Goel: It would be lower than the book yield.
Abhishek Murarka: Yes. Because in the last three quarters, your book yield is also trending down and which coincides with the ticket size increase.
Ashish Goel: Yes.
Abhishek Murarka: Where does that stop? Like where do you draw the line and say, now we don't want to migrate further up the ticket size curve just to protect yield or hold it where it is?
Ashish Goel: So yield and opex are two variables that we are consciously monitoring. As the ticket size increases, the opex also comes down. It doesn't fully compensate the decrease in yield, but the

opex plus the risk takes care of the trade cost. Both of them take care of the decrease in yield. So we feel that currently, we are in the range where we should continue for some more time. if there is any further increase in ticket size, probably it can be looked at next year. But this year, probably we'll be working in the same band.
Abhishek Murarka: Right. And the way you think about this is it's essentially a leveraged product, right? So you may not be making great ROA there, but you will be making high ROE. That's the way you would approach this product.
Ashish Goel: Absolutely, Abhishek. Sorry, Abhishek, this is the way we are looking at it. And it also gives us some foothold into the liability relationships, the overall banking relationships, bank guarantees. So there are some nonfund-based opportunities also, which are available in the higher ti

cket
sizes. So those are also areas in which we have started to see some success, although this is early success, but yes, these are also opportunities which are opening up.

Abhishek Murarka: Got it. And separately, I wanted to check on housing. So if I look at the mix between micro mortgage and affordable, of course, micro mortgage is going up quite significantly in the mix and the disbursements are also quite high. So what are the further legs? Like what will keep these trends this kind of mix change towards micro mortgage for, say, like next 12 months or 24 months? And where do you expect the mix to settle? Like right now, I think it's 27-73 broadly. Where would you expect this to settle eventually?
Ashish Goel: Abhishek, we are not looking at the ratios as of now. What we are looking at is the capacity that we have built. So on the affordable housing side, a capacity of about INR350 crores, INR375 crores a month has already been built. And on the micro mortgage side, you will see INR100 crores a month kind of a disbursement number, which exit March will probably reach in the range of INR140 crores, INR150 crores. So the mix can be derived from there. But yes, we will be working on these capacities.
Abhishek Murarka: Right. So the disbursement mix will be increasing towards micro mortgage?
Ashish Goel: Yes. The disbursement mix, the incremental book will be more towards micro mortgages. Marginally higher.
Abhishek Murarka: More towards. Got it. I also wanted to check on opex. So the way to think about opex in light of what Kamath sir said is that this quarter, your opex is fans any kind of additional spending. So this is your true underlying run rate. And on top of this, we add around INR250 crores to get to a full year number. Broadly, that should be the broad thinking. Is that fair or how to think about it?
Sadananda Kamath: Yes. More or less, you are there. The extraordinary spend, what we factored of INR250 crores was delayed due to planning and also some macroeconomic factors. We are a little cautious there. But we started spending in June. So you will see the impact in the coming quarters going forward.

And we want to spend that money because it is for the development of the bank, and it is going to be responsible for the growth going forward. And we have also given you a guidance. ED Madam said it will be around 6.4%, which will be the opex to ATA by the end of the year for the year.
Moderator: The next question is from the line of Ashlesh from Kotak Securities.
Ashlesh Sonje: I think first question is on the liability profile. You have seen a fairly good growth in the CASA deposits this year of about 35%. Do you expect that to continue into FY '27? And on the CASA ratio as well, there was a lot of discussion during the analyst meet last year about taking it closer to 30%. Are you still on track to get there, let's say, by the end of this year? That's the first question?
Hitendra Jha: Hi, Ashlesh. So, yes, we are confident of maintaining the same CASA growth what we have delivered this quarter, and we have taken various steps to ensure that kind of growth. Of cost as CASA ratio also, we are, whatever we had projected, we are very much committed or we may over deliver slightly.
Ashlesh Sonje: Understood. And just a follow-up on that. What has been the strategy on the liability profile in the last few quarters? While CASA has grown well, I think there has been a little bit more reliance on bulk term deposits over retail term deposits. Along with that, the share of individual depositors has also declined in the last few quarters, if I look at the depositor mix. So if you can just elaborate on what has been the strategy there so far?
Brajesh Cherian: Our bulk deposit ratio is about 30% and our guiding factor is to keep it in and around 30%. So through the year, we will make sure that we are closer to that one.

And we have other interventions and other opportunities to make sure to bring it within that particular ratio, which we have guided. So we'll continue to work on it.
Ashlesh Sonje: Okay. Just to get more clarity on that one. What would be the rough ballpark cost of the retail TD part and the bulk TD part? And was that a cheaper source, the bulk TD part this quarter?
Hitendra Jha: No, this quarter, it's not. Now it is definitely cheaper than bulk TD, okay? And we are now getting good momentum in retail TD, and we plan to continue momentum in retail TD now.
Ashlesh Sonje: Understood. Okay. The second part of the discussion was on the loan mix. Now what are you looking at the target loan mix between MFI and non-MFI for March '27 and March '28? I remember you had earlier guided for a number closer to 56% in non-MFI by March '27. Is there any update to that one?
Ashish Goel: Ashlesh, we maintain the same guidance of 56%. 56% of secured by exit March '27.
Ashlesh Sonje: Understood. Okay. And lastly, if you can share the slippages in the MFI business and the provisions in the MFI business made in this quarter?

Ashish Goel: Slippages were less than 2%. And on the provisions, I can talk about the provision coverage

ratio. It's in the range of about 95% for MFI. Exact amount of provisions? I can actually come back to you on the exact amount, but in terms of provision, PCR is about 95-odd percent.
Ashlesh Sonje: Sure. Can you give us the MFI slippage number in rupees, if possible?
Ashish Goel: Yes, I'll give it to you.
Moderator: The next question is from the line of Param from Investec.
Param Subramanian: Congrats on the quarter. First question is on the operating expenses. Sir, you mentioned that this year, we should be at 6.4% of assets. But how to look at this from, say, next year or next couple of years, how should this track?
Sadananda Kamath: Yes. This year, we will be at 6.4%. But going forward, yes, the investments would be slightly lesser. So you will see an improvement there. Exact figures, we'll let you know a little later. But there will be improvement year-on-year. Yes, since the efficiencies will start kicking in and the majority of the investment we would have taken this year. But going forward also, there will be investment, but in a lesser amount, so we'll see improvement year-on-year. That's what we see.
Param Subramanian: Okay, sir. Sir, if I can ask that another way, among the non-MFI businesses, which of the businesses are, say, yet to achieve PPOP level breakeven. So we get an idea of what can contribute to operating leverage going ahead?
Sadananda Kamath: Yes, we don't give any guidance each vertical-wise at this moment. When we are ready, we'll come back to you on it.
Moderator: The next question is from the line of Pritesh from DAM Capital.
Pritesh Bumb: Congratulations on a good set of numbers and strong outlook. Just on the outlook part, so the driver of our ROA guidance being higher is on the credit cost. So when you look through your portfolios segment-wise, geography-wise, is that now that the book has reached fair level of maturity or the mix is driving the overall credit cost lower? Like what has been the comfort area for us to revise that credit cost downwards in last couple of quarters?
Ashish Goel: So, Pritesh, the revised guidance on ROA is on Opex first and credit cost next. So it is a combination of both opex as well as credit cost. In terms of microfinance, all states have completely stabilized. We are getting consistent 99.7% bucket X collection efficiency. There are states which do 99.75%. There are states which do 99.60% - 99.65% also. But largely, every state is now stable in terms of repayment behavior.
The guardrails have also led to a very minimal four lender and above. So it's now below 1.5%. So there is no overleverage in the market. The customers have got deleveraged. Repayment is

consistent. So therefore, we feel that the 2%, which we had said on unsecured might be just a little lower than that. Q1 was about 1.9% on the GLP of microfinance.

Pritesh Bumb: Right, right. Second question was on the micro mortgage. If you look at of course, the book has been growing quite strong now today, INR1,800 crores. But if you look at the PAR and the GNPA, it has been also steady climbing. So almost par has doubled or GNP also is slightly higher. Where do you think this will go and settle? And second point was that do we have a higher LGD on this portfolio generally as it grows? How do we see that?
Ashish Goel: Yes, Pritesh, the PAR number, which was about 1.2% is now in the range of about 1.5%. It's not a very significant increase. Similarly, on the NPA side, we were at about 0.47% and now we are at about 0.55%. Largely on the micro mortgage book also, what we do is we keep measuring the bucket X collection efficiency.
Currently, we see about 95% on-time repayment and about 99.7% to 99.75% bucket X collection efficiency month-on-month consistently for the last 24 months with the exception of April of this year, it has been working on a very steady basis. there will be an increase in PAR because the product is not matured yet.
It's three years old. The first year was again a very small base. So on an 18 MOB and a 24 MOB, the numbers will not be fully representative. But what we see is even the 18 and 24 MOB has not touched about 2.5%. So we feel that the book quality and the locations, the customer profile is acting quite well for us.
Pritesh Bumb: Sure. And last two questions. One is on MFI side, you mentioned that all the states have stabilized. From a growth perspective, which state do you think can now contribute to growth? Of course, you had mentioned in your guidance that it will be in a 10%, 15% range of growth over time. But do you think that any state will start contributing again to a slightly higher growth compared to what we have seen in the last two years?
Vibhas Chandra: Pritesh, as far as the microfinance growth is concerned, we are witnessing increase in demand in almost all states. Kerala is one state where we strategically don't want to grow that much. But apart from that, from all the states, we are seeing good demand and new to bank and new customers also coming in. As far as our branch opening strategy is concerned, our branch opening is also happening across many states, but a little more in states like UP, Rajasthan, some in Bihar also, where the portfolio has behaved better in the last three, four years.
Pritesh Bumb: Sure. And lastly, when you look at your liability customer, the liability.

Gaurav Sah: Sorry, we are not able to hear.
Gaurav Sah: Pritesh got disconnected.
Pritesh Bumb: For the savings, or is it like only term deposit liability customer as well in this number?
Hitendra Jha: Actually you have to repeat your question. We lost you in between.

Pritesh Bumb: Sorry. So I wanted to check the liability only customer, which has been steadily growing, I think about INR53 lakhs. Does it mean that they all have savings account or they will have only a term deposit relationship with us and may not have a savings account?
Hitendra Jha: No, largely, all customers will have saving account customers. We do not onboard any stand-alone term deposit customers. So either it will be through micro banking or through liability franchise. Some small number will be there, but largely, it will be backed by saving account.
Pritesh Bumb: Got it. Okay. Thank you so much. Thank you for answering my question. All the best.
Moderator: Thank you. Due to time constraints, this will be our last question. The next question is from the line of Sagar Shah from Spark.
Sagar Shah: Good evening, management. First of all, congratulations to the enti

re team of Ujjivan for posting
such healthy set of earnings. I had a couple of questions. Now first of all, related to your productivity on the gold loan metrics actually. Now on the gold loans, I wanted to understand that incrementally, how are we expanding our portfolio to something like in which, in the current scenario, in how many branches are we disbursing our gold loans? And what is our outlook, so that our productivity can be enhanced? And my second question was on the guidance front. On the guidance front, you have revised your credit cost guidance as well. So I wanted to understand that are we seeing any healthy recoveries, especially in the MFI space, which will lead to better actually, which will lead to lowering of credit cost and thus, that is the enabler behind your guidance actually? These are my two questions?
Vibhas Chandra: Yes. Hi, Sagar. I will answer your first question. I'm Vibhas, and I will request Ashish to take up the second question. As far as gold loan is concerned, as I mentioned earlier also, it is a new business and very promising business for us. And we are expanding and started offering gold loan from branches from where we operate.
This year also, we'll be activating gold loan in about 250 branches. And we are witnessing that branches where we start operations, within 1 year, the productivity of our loan officers reaches a level of INR25 lakhs to INR30 lakhs, and that is something which is happening across branches and across regions.
One good thing that we have been able to see being a late entrant, we also have a benefit of understanding what are the nuances of gold loan, and we have been able to understand and build a product which fits the market. As RBI also came up with policies, we were already following most of the policies as this business is new to us.
As gold loan is in the industry, it is very heavy in the South, we also see opportunity in other regions also, including East, even Northeast and northern part of the country, where market is not that extracted so far, and we see a good amount of business happening from this region as well apart from Southern states.
And expansion of gold loan to branches, all branches where we operate and also expanding capacity through gold loan team and all other business teams, which work in the branches and

getting leads from there is leading to high business volumes, and that will continue over the period of time as we go ahead.
Sagar Shah: Okay. So, till FY '28, how many branches are we seeing to add for gold loan disbursements?
Vibhas Chandra: So, right now, as we mentioned, we have close to 800 branches, and we will be opening branches in the future also. Our plan, our intent is to offer gold loan from almost all branches from where we operate. There will be some branches where we'll, a small number where we'll not be able to operate because of operational issues, but we intend to have gold loan across branches we operate.
Sagar Shah: Okay. Fine. And my second question?
Ashish Goel: So, on the microfinance side, we have seen a significant reduction in slippages. So there are two points. One was related to bucket X collection efficiency, where we are seeing a steady 99.7%.
And the second is on slippages. This also answers Ashlesh's question. Ashlesh had asked about slippages in Q1 and have the slippages come down.
So, on an annualized basis, the slippages is about 1.72%, which was 2.68% in Q4, again, on an annualized basis. So with the reduction in the slippages, we have, therefore, seen a much better one, bucket X collection efficiency improving, remaining steady, two slippages coming down.
This leads us to much better credit cost for the full year. Your question related to provisions held is about INR657 crores.

Moderator: Thank you. I would now like to hand the conference over to the ED for the closing comments.
Over to you, Ma

’am.
Carol Furtado : Thank you. I once again thank all the participants for their time and interest. We at Ujjivan Small Finance Bank remain focused on delivering profitable growth while we build an enduring institution. Please reach out to our IR team for any unanswered queries that you may have. Thank you.
Moderator: Thank you. On behalf of Ujjivan Small Finance, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.